Vodafone Idea Ltd. (IDEA)

Conference call transcripts, oldest-first. 13 call(s). Generated 2026-06-08.

Call: Jun 2023

2 June 2023
National Stock Exchange of India Limited
Bandra - Kurla Complex,
Bandra (E),
Mumbai 400 051BSE Limited
Phiroze Jeejeebhoy Towers,
Dalal Street,
Mumbai 400 001
Dear Sirs,
Sub: Transcript of Analyst / Investors Call (Regulation 30)
In terms of Regulation 30 of the SEBI (Listing Obligation and Disclosure Requirements), Regulations, 2015, please find enclosed transcript of the analyst / investors call held on 26thMay, 2023 fourth quarter and Financial Year ended 31stMarch, 2023.
The same is also www.myvi.in
The above is for your information and dissemination to the members.
Thanking you,
Yours truly,
For Vodafone Idea Limited
Pankaj Kapdeo
Company Secretary
Encl: As above

"Vodafone Idea Limited Q4 & FY23 Earnings
Conference Call "

May 26, 202 3

Moderator: Good afternoon, ladies, and gentlemen, this is Neerav , the Moderator and w elcome you all to the Vodafone Idea Limited Conference Call.
For the duration of this presentation all participant lines will be in the listen -only mode. After the presentation a question -and-answer session will be conducted. Should you need assistance during this conference call please signal an operator by pressing '*' then '0' on your touchtone phone. Please note that this conference is being recorded.
We have with us today Mr. Akshaya Moondra – CEO of Vodafone Idea Limited ; and Mr. Murthy GVAS – CFO of Vodafon e Idea Limited along with other key members of the senior management on this call.
I want to thank the Management Team , on behalf of all the participants, for taking valuable time to be with us. Given that the senior management is on this conference call , participants are requested to focus to key strategic and important questions to make sure that we make good use of the senior management's time. I must remind you that the discussion on today's call may include certain forward -looking statements and must b e viewed therefore in conjunction with the risks that the company faces.
With this, I now hand the conference call over to Mr. Akshaya Moondra. Thank you, and over to you, sir.
Akshaya Moondra : A warm welcome to all participants to this earnings call. Yes terday, our Board of Directors adopted the audited results for the quarter and year ending March 31, 2023. All the results related documents are available on the website and I hope you had a chance to go through the same.
Let me provide a brief on our stra tegic initiatives and key highlights for the quarter. Post this, I will handover to Murthy to share details on the Company's financial performance.
First of all, during the quarter, we have completed the issuance of equity shares to the government towards loan of Rs. 161.33 billion representing the NPV of interest related to deferred AGR and spectrum dues. We have also completed the process of issuing the OCD worth Rs. 16 billion to ATC India in February, 2023.
Moving on to our strategic initiatives. Firstl y it is about our focused investment approach

We continue to follow a focused approach to investments, biased towards our 17 priority circles which contribute over 98% of our revenue and around 93% of Industry revenue. This helps us in utilizing our capex effectively while ensuring that we continue to offer superior customer experience in these areas as our network investments have been impacted on account of liquidity constraints.
To improve our 4G presence and 4G experience for our customers, we, continue to refarm our 3G spectrum to 4G and have clo sed around 1,850 3G sites during the quarter while we added around 1,950 4G sites, as a result our broadband coverage as well as capacity has expanded. Our relentless pursuit to offer better 4G experience to our customers is clearly visible through these n etwork investment initiatives. We also have the highest rated voice quality in the country as per TRAI's "MyCall" app data for 25 out of 29 months between November 2020 and March 2023.
Moving on to market initiatives
Our brand "Vi", continues to garner go od reception, building brand affinity across all customer segments in the country. The company continues to make extensive progress on the marketing front by communicating key differentiators to consumers, entering into alliances and introducing various innovative products and services.
A refreshed postpaid offering with more benefits, more data, more entertainment & more privileges – Vi Max postpaid, which helps with differentiated offering from competition was promoted extensively through TV, digital & retail channels.
In

a cricket obsessed country, your company engaged with users through Vi 20 FANfest on social media and stayed one of the buzziest brand during the 1st Women's Premiere League (WPL) 2023. Vi #LoveTunes was done to engage with users and to promote our music offering on social during Valentine's day.
Our relentless pursuit on the marketing front is clearly visible with our top ranking at the ET Brand Equity – India DigiPlus Awards where Vi won Silver for Best Use of Performance Marketing an d Bronze for Digital Campaign in the B2B Category.
We continue to focus on getting more customers on 4G/Unlimited plans for further ARPU improvements. We have seen ARPU growth for seven consecutive quarters now. Q4FY23 ARPU stands at Rs. 135 compared to R s. 124 in Q4FY22; growth of 9.3% YoY, highest among wireless operators.

Our share of gross additions was higher than our subscriber market share, clearly reflecting our ability to effectively compete in the market.
Moving on to Business services
Business Services or enterprise segment, is one of our strength areas owing to our long standing relationships with our enterprise customers as well as our ability to leverage from the experience of Vodafone group in various global markets. We continue to make prog ress in line with our stated strategy of transformation from Telco to TechCo for our enterprise offerings. Our planned expansion of services beyond connectivity has seen good traction and we continue to work with multiple partners to make our offerings mo re relevant to enterprise customers.
On IoT, we continue to maintain our strong position with innovative solutions for large enterprises as well as for small businesses and it continues to grow at a very healthy pace. In the Smart Utility space, we have an unparalleled track record in powerin g India's energy infrastructure by providing innovative IoT solutions and becoming a partner of choice for advanced metering Infrastructure (AMI) projects. We are currently working with over 25 power distribution companies and successfully connected 3 Mill ion+ meters in the country. We aim to strengthen the Government's Digital India mission and transform the country's power distribution sector through our IoT solutions.
As part of our strategy to transform from a telco to a techco, we continue to build ou r cloud portfolio. We are working on our cloud strategy through a combination of our own assets and strategic partnerships in order to accelerate digital transformation for enterprises. Our comprehensive cyber security portfolio, Vi Secure, provides a rang e of reliable solutions that offers protection against multiple threats arising from network, cloud and end points, enabling businesses to achieve their digital objectives in a secure manner.
Our "ReadyForNext" program continues to support SMEs & MSMEs in digital adoption, transforming their businesses and making them future ready. Since its launch, ReadyForNext has helped in assessing the digital needs of more than 80,000 MSMEs in India, offering them the right set of solutions for their digital journey. T he ReadyForNext campaign has been awarded on multiple national platforms like e4m Indian Marketing Awards, ET BrandEquity DigiPlus Awards and Mint Marketing Awards.

In the growing hybrid working scenario Vi Business Plus Mobility Bundling solutions are ena bling today's mobile workforce to connect, communicate, collaborate and do a lot more with their postpaid plans. Bundled with benefits such as data pooling, mobile security, location tracking and entertainment, Vi Business Plus provides superior customer e xperience, with seamless and uninterrupted high speed data.
Vi Business is also an active participant in the fixed Data Connectivity business and continues to e

njoy
the confidence of some of the largest multinational and Indian organizations to connect the ir offices and various locations through its suite of ILL and MPLS / GMPLS solutions. Vi Business is also doing pioneering work in the space of Private Networks. Through our active and deep engagement with our large customer base, we aim to participate in building the private networks infra in the country in a relevant manner basis customer needs.
All these initiatives and efforts, enabled us to register an annual revenue growth of 18% plus (+).
Vi Business continues to garner recognitions at national and international levels. Our Carrier services has recently been awarded at an APAC level, with the A2P SMS Monetization of the Year Award (India) at Asian Telecom Awards 2023. At CIO Choice 2023, Vi Business has been chosen as the preferred partner of choice for SIP Trunk, Telecom Carrier (Mobile Access), Managed Mobility Services, Cloud Telephony and Telecom Carrier (International access) on the basis of an extensive pan -India CIO referral voting process that spans across industry verticals. At the Voice and Data Awards 2023, Vi Business has been recognized for innovation and excellence in Customer Service and for Vi Business Hub.
The next strategic initiative is driving partnerships and digital revenue streams
We have set a strong digital roadmap for the co mpany and have been executing the same through strategic partnerships, in our continuing journey of being a truly integrated digital services provider. Over the last 5 quarters, we have significantly expanded our digital portfolio with addition of music, videos, gaming, jobs, education and digital advertising and we continue to add various features to our offerings. And, we are primarily building most of it on our Vi App, which saw around 30% YoY growth in MAUs in the last year.
We have seen a strong growt h on each of the digital services during the year. Our digital engagement on these telco+ propositions has almost doubled through the past 1 year. This is being led mainly by

Vi Movies & TV and Music, both of which have shown strong growth on our platforms in the last quarter and the whole year. Music users as at the end of the year saw 63% growth year on year. Similarly, Vi Movies & TV showed a 32% growth in monthly active users vs exit FY22. This, of course, is on the back of various curated content and e vents we keep creating for our users.
On the video front, our strategy has been to provide curated premium content to our consumers. We continue to build partnerships with content producers to be able to deliver an enriching experience to our users. We ha ve added new partners in the past quarter to build on our content repository.
Through our partnerships, we not only offered premium entertainment content to our users, also for the first time, we offered LIVE T20 International 'league cricket' on Vi app to our users on the back of our partnership with Zee. We have seen highest growth on our video consumers in the past quarter.
One of our endeavor on Digital is to read the emerging trends and build relevant propositions to be able to drive meaningful engagem ent and create opportunities for better monetization. Snackable content as you all know has been in huge demand, which is 'shorts' or 'reels' that consumers can consume on the go in a very little time. We have recently launched a new channel – BYTES, on Vi app in partnership with NDTV to provide quick bytes of trending news & stories across sports, films & lifestyle.
As you would be aware, we had enhanced our gaming proposition with the launch of multiplayer games. On that front also, we continue to see st rong growth. Expanding our gaming portfolio, we also introduced eSports on Vi App in partnership with one of the leading eSports start -up Gamerji. With
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e objective of democratizing eSports, we offer daily tournaments to our eSports fans across some of the marquee titles like Call of Duty Mobile, Asphalt 9, Free Fire Max, WCC3 & more.
While we continue to build new propositions for our consumers across various digital categories, we have also worked a lot on enhancing the digital experience of our consumer s on our digital assets.
This reflects in the fact that our App ratings have improved significantly in the last year. While Vi App moved up from 3.9 to 4.3 on the Google Play Store, Vi MTV moved from 3.7 to 4.1. Our apps rating is now amongst the best in Industry. Our endeavor is to consistently enhance this and deliver

superlative experience to our consumers.
We had also talked about the launch of Vi Ads - our own Ad -tech platform, which is one of our key monetization drivers. “Vi Ads” is helping us driv e the monetization of our digital assets as we continue

to scale our footprint and are now able to drive good demand. Vi Ads is now empanelled with almost all of the key media agencies in the country and we are part of the media plan for some of the big brands in the country. We worked with over 35 top brands in the past 2 quarters. While we continue to drive demand from the large agencies and the big brands, our focus in the coming year is going to be on building a strong go to market for the Small and Med ium Businesses.
We will continue to have a disproportionate focus to build a digital ecosystem with our partners, enabling a differentiated experience for Vi users, which will help us to drive customer stickiness as well as provide incremental monetizatio n opportunities.
Moving on to other highlights
On an annual basis, FY23 is the first year of annual revenue growth post -merger, clearly reflecting our ability to drive operational excellence, despite various challenges we faced. More importantly, our EBITDA of Rs. 83 billion and EBITDA margin at 19.7% were also highest since merger and our annual EBITDA registered a growth of 24.1%.
We continue to register improving 4G subscriber base for seventh quarter in a row with 1.1 million 4G customers added in Q 4. The 4G base now stands at 122.6 million. However, the overall subscriber base declined to 225.9 million vs 228.6 million in Q3FY23. We registered the seventh quarter of average daily revenue growth despite subscriber loss.
The overall average daily da ta volumes for the quarter were up by 2.9% QoQ, while on a YoY basis the growth was 10.8%. We continue to see the increase in the data usage per broadband customer which now stands at ~15.1 GB/month. We have also seen an increase in voice minutes per sub b y 1.6% QoQ.
With that, I handover to Murthy who will share the financial highlights for the quarter. With that I hand it over to Murthy who will share the financial highlights for the quarter.
Murthy GVAS: A warm welcome to each of you.
On the quarterly performance , the average daily revenue for the quarter improved by 1.4% compared to the last quarter. This is a seventh consecutive quarter where we have registered growth in average daily revenue and 4G subscribers.

Revenue for the quarter stood at 105.3 billion. EBITDA excluding 116 impact was up by 3.3% quarter -on-quarter at Rs. 20.7 billion as compared to 20 billion in Q3FY23 , primarily due to lower network expenses partially offset by the increas e in roaming and access charges .
As highlighted by Akshaya, the annual revenue improved for first time since merger, and grew by 9.5% from Rs. 385.2 billion in FY22 to Rs. 421.8 billion supported by tariff hikes, improving subscriber mix and 4G subscriber additions. Resultantly, Pre IndAS116 EBITDA for the year increased from Rs. 66.8 billion to Rs. 83 billion registering strong g

rowth of 24.1% and EBITDA margin at 19.7%. Both EBITDA
and EBITDA margin are the highest post -merger.
Excluding the impact of IndAS 116, the Depreciation & Amortisation expenses an d Net Finance costs for the quarter stands at Rs. 42.4 billion and Rs. 40.2 billion respectively. The reported post IndAS 116 Depreciation & Amortisation expenses and Net Finance costs for the quarter stands at Rs. 57 billion and Rs. 49.1 billion respectiv ely.
Capex spend for the quarter stands at Rs. 5.6 billion taking the capex spend for FY23 to Rs. 33.6 billion.
Following the conversion of loan relating to interest on deferred spectrum instalments and AGR dues into equity amounting to Rs. 161.33 billion to the Govt. of India, the total gross debt, excluding lease liabilities and including interest accrued but not due, as of March 31, 2023 stands at Rs. 2,092.6 billion vs Rs. 2,228.9 billion as of Dec 31, 2022. It comprises of deferred spectrum payment ob ligations of Rs. 1,307.1 billion and AGR liability of Rs. 655.5 billion that are due to the Government, debt from banks and financial institutions of Rs. 113.9 billion and Optionally Convertible Debentures (OCD) amounting to Rs. 16.1 billion.
With this I h and over the call back to Neerav and open the floor for questions.
Moderator : Thank you very much. We will now begin the question -and-answer session. The first question is from the line of Sanjesh Jain from ICICI Securities. Please go ahead.
Sanjesh Jain: So, what is driving the ARPU improvement for us beyond this 2G to 4G addition?
Akshaya Moondra : So, Sanjesh, ARPU is a result of multiple factors . One is that we have been focusing

on quality and on renewal rates . As you get better quality of customers , the gap between the expiry

and the renewal improves . It is a major factor which improves the ARPU . We have been focused on both the quality of our customer acquisition as I had alluded in the last call and also how to improve the renewal rate, so several interventions have been done in that direction. Second, of course, as we have mention ed that our 4G subscribers and UL subs have increase d quarter -on-quarter and that helps the A RPU story. So, I would say these are the main factors which ha ve benefited us on the ARPU front.

Sanjesh Jain: Second on the voic e minutes probably post -merger this is a first quarter w here the sequential voice minutes has grown, are we benefitting from Airtel increasing the minimum recharge from 99 to 155. Two set of question are we benefitting from Airtel taking the minimum recharge to a higher level. And #2 what's our thought process in te rms of realigning the minimum recharge to a higher rate?

Akshaya Moondra : With the point you are making that why is the voice minutes going up, it is due to the number of UL subscribers going up. In the past for some time we were flat or declining and for the last two quarters we have seen an increase in the number of UL subscribers so that is helping voice minutes. Airtel's action would have impacted the churn a little bit, b ut it would not have impacted the increase in voice usage per sub really. In fact, people migrating to 99 plan actually should on a weighted average bring down the number of minutes of use per subscriber. So, that cannot result in the increase and the usag e per se.

Sanjesh Jain: No, I was looking at more of the total usage , but I fairly understand.

Akshaya Moondra: The more important metrics to look at is what is happening to per sub consumption and that is increasing . You can see a significant improvement in the last two quarters which is largely supported by as I said, I mean the factors for this are the same as the ARPU th at you are getting more UL subs, you are getting better renewal rates and if you get better renewal rates then the usage is also higher .

Sanjesh Jain: And

any plan or thought process on realigning the minimum recharge?

Akshaya Moondra: Can you be little more specific?

Sanjesh Jain: So, are we planning to also increase the prices on the minimum recharge from the existing level to 155?

Akshaya Moondra: Let me just explain this in some detail. We have always stated that the tariffs in the industry need to go up . It goes without saying that the current tariffs are definitely not giving the adequate return on capital to anyone in the indust ry maybe you have not noticed that in Mumbai two days back we have change d the entry level pricing to some extent by reducing the benefit from the 99 products . The 99 product which was earlier on a 28 days validity, the validity on that has been brought do wn to 15 days so that price intervention has been done in Mumbai. We will continue to observe the space and make interventions as we go forward.

Sanjesh Jain: The next set of question is on the capex , this quarter capex look ed quite lower than what we have been doing historically. How should we see capex say for FY'24 as we go for the next year?

Akshaya Moondra: As we have said in the past , the capex that we are in curring is more of a minimum sustenance capex . And for meaningful implement ation in capex we have a business plan, for which we are in discussion with the banks and other sources of funding. Capex guidance we will be able to give once the funding is in place, but definitely we have plans to ramp up the capex mainly to bridge the 4G coverage gap . If I were to tell you today and we have been mentioning this over the last several quarters that today we have the best 4G speeds on our network wherever we are present , we have the best voice quality as reported by TRA I, as I alluded to in my opening remarks, we have the best ratings on our app and We are currently acquiring customers with the share of customer acquisitions being higher than our current customer market share.

So, really speaking you look at anything whi ch matters in the market and it is going right for us. The only place where we are losing out is on loss of customers which we are not able to arrest which is a result of the fact that our 4G coverage is limited and we have not been making the required investments for last one, one and a half years. So, the investments will be made and that will start making a meaningful difference to our operations. But as I said other than the loss of subscribers if you look at any other matrices which I explain ed we are doing very well and we are confident that with the investment coming on we will be able to make significant improvements to our performance.

Sanjesh Jain: One last bookkeeping question. In this quarter finance cost has dipped very sharply.

Does thi s also have a retrospective impact on the finance cost where we have booked the cost for the previous nine months, and now that the government has converted the interest into equity ,, it's a balancing figure Q4. So, it's a cumulative impact of the entire y ear is that what seeing in the Q4 number. And what will be the steady state finance cost for us?

Murthy GVAS : So, Sanjesh you are right, given that we continue d to accrue interest till the time of the order, therefore that amount was written back. And from the steady state perspective what was written back if you are not to consider , then going forward you will have that kind of a n interest cost impact on a quarterly basis.
Sanjesh Jain: So, can you give us in this quarter what was the benefit of retrospective reversal of the interest cost?
Murthy GVAS : About Rs. 1,300 crores.
Akshaya Moondra: And generally speaking, Sanjesh going forward on a steady state without any forex impacts and one -offs, we would expect

to have financing cost which is i n the ballpark of Rs. 5,300
crores to Rs. 5,400 crores in a quarter .
Moderator: Thank you. The next question is from the line of Balaji Das from Allianz Services . Please go ahead.
Balaji Das: I have basically two question s like it's a hot topic actually you know maybe I still remember it, I think it's almost one year and I remember the former CEO mentioning about the funding we are so near and all other things but still the similar story. Like my entire family is using Vi e verybody is just interesting on the 5G mark etc. so where exactly are we and are we having any option of promoter putting in funds or it's just the banks or is there FII something there is lot of rumors in the air actually. And we have never seen managemen t speaking any single thing on that, so can you just give us small idea on wh ere exactly are we in the terms of 5G?
Akshaya Moondra: Okay, Balaji let me just respond to your question as much as I can of course some of these are topics which I cannot disclo se but let's say and you are right that this topic of funding has been discussed for fairly long period of time.
As we would recall that the funding discussions are on and anybody who is wanting to provide funding to the company whether it is debt or equity wanted to make sure that the reforms package was implemented in toto. And the conversion of shares or issue of shares to government got delayed. And that was the primary reason why we could not make any progress on that front. Now the government conversion has happened in February and post that since all the reform, most of the items on the reforms package were imp lemented , Mr. Birla has also rejoined the Board in April.

I would say post government conversion and these events we have been actively engaged with the banks. Promoters have contributed equity in the past and they are also ready to contribute some more eq uity. The third leg of funding has to come from external investors to bring in equity and currently multiple discussions are on. And these discussions have become active in the last one month or so post the government conversion.
We are progressing well o n at least three discussions which are ongoing. And we expect to make progress on this and conclude funding. So, we are moving in the right direction. I would say that the implementation of the reforms package was a prerequisite for any conclusion to happe n, that having happened we are now trying to work towards getting this to a closure.
Balaji Das: Just the supporting part of the same thing , like we got this 5G spectrum allocation last year, August, so we have an obligation to deploy at least in the minimum ticket by August. So, do we have a target by when we can plan and like so how are you looking at that part actually ?
Akshaya Moondra: So, MRO i s more a compliance requirement and we will work on that but as you said the entire family is asking for a 5G connection , so you are not focused on the MRO compliance but you are looking for a wider coverage. As you can say that our capex in any 5G will be dependent on new funding. The plans that we have shared with the banks and investors include 5G investments and good amount of 5G coverage. So, definitely 5G is a part of our plan. And we will be executing and implementing that immediately once the funding is in place -- you will have a 5G connectivity once we started this thing.
Balaji Das: And just the last p art on this, we had the recent statement from DoT chairman we are expecting a revival plan within one month -- they can provide more clarity like how is the communication with DoT going on and is there any discussions on an advanced stage on the revival plan which the DoT is expecting from the management.

Akshaya Moondra: No, we continuously remain engaged with DoT , DoT is the largest

stakeholder in
our company today from all points of view. So, we are constantly engage d with them and we are updating them on a regular basis. One of the most important thing is that we are focused on our operations and the operations continue efficiently . And I have alluded in my opening remarks and the response to Sanjesh 's question that we are actually operating efficiently and getting the right KPIs progression as far as operations are concerned. But as we said that for any meaningf ul improvement

to happen in the performance investment is necessary and that remains the focus area for us, so we are working on that. And DoT is constantly updated on whatever actions we are taking to make that happen.

Moderator: Thank you. Next question is from the line of Vivekanand from Ambit Capital. Please go ahead.

Vivekanand: So, I can see that your sales and marketing spends as well as churn seem ed to have moderated compared to where it was say in second quarter and third quarter. So, Akshaya would appreciate your comments on the on-ground aggression with respect to you know rotational churn and also the three players, how they are behaving in the industry right now as far as customer acquisition costs are concerned ?

The second question is now that the tariff environment has been stable for a while, last tariff hike was taken in December , how are we thinking about the tariff outlook for the next six to nine months? Are there any considerations like potentially inflation subsiding or anything that th e industry is waiting to really take the next step in increasing tariffs ?

Akshaya Moondra: To your first question on the sales and distribution spends, so it is right that and I had alluded to this in my last call also that we ha ve taken a number of interv ention to reduce the, I would not say reduce the aggression but to improve the quality of gross additions. And we have also seen that other players have also been trying to do the same. I mean at some level if you see the industry spending anywhere between Rs. 12,000 to Rs. 14,000 crores a year towards customer acquisition cost. And what you see as a net addition to the industry is very little. So, it is very clear that there is a lot of expense being incurred which is just supporting rotational churn that needs to be address ed and that goes without saying.

So, what we have been doing is that we have been looking and we have done lots of analysis, lots of detailing to see where are th ese coming from and what are the cohorts, which on a long term basis are v alue destructive for us . They are giving us negative cash if you do an analysis over a six month or a 12 month period. So, we have taken actions to stop doing business with partners who are contributing to los s rather than adding value to us.

So, while we continue to be aggressive in the market, we are taking very conscious and deliberate actions to eliminate acquisitions as a cohort, you can't do it at an individual level but cohorts which

are los s making for us we are eliminating that. We have also taken some interventions to see that the incentives being paid to the channel partners and all are done on a more realistic basis, sometimes there is a bit of a n over exuberance in incentivizing the channel and we are saying that what is reasonable needs to be done.

We had also looked at rotational churn within the M NP segment also. And we found that generally it was believe d that rotational churn is in the fresh segment and in M NP there is not so much rotation, but as things have happened or developed over the years and particularly in the last one year , we have also observed lot of rotational churn happening in the M NP segment. And we have also identified that and taken actions so

that those kind of acquisitions are not incentivized. You reduce
the incentive which is being paid for subscriber who are habitual rotational churn.

So, I would say many initiatives have been taken. We also see some initiatives being taken by some competition. And I do believe that the industry needs to move in a direction where we c ompete to acquiring customers on merit and not through the high cost through . So, we continue to work in that direction.

Vivekanand: On tariff side are there any considerations that perhaps the industry is looking for like perhaps inflation moderating or perhaps smartphone prices coming down to take the next steps as far as tariff hikes are concerned, given that the last hike is now fully in the base.

Akshaya Moondra: Okay, I don't think it has to do anything with smartphone prices and I cannot speak for t he industry but I can speak for us. Let me get to first the main principle that the tariff s need to go up. As I had mentioned in the last earnings call , telecom is an essential service and probably the cheapest price d essential service which actually bring s you the maximum benefit. If you look at electricity for example, there is a base charge because whether somebody is using it or not the service provider incurs a cost of providing infrastructure to the customer. And so there has to be a minimal charge fo r availing the service whether you actually use it or not. And that is the basic concept of the entry level pricing.

More importantly the construct of the industry has been fairly distorted and I do believe that the biggest factor which has impacted the right ARPUs in the industry is th is trend of daily limit 1GB per day or 1.5GB per day . So whether you use 5GB in a month or you use 28GB in a month, you pay the same which does not happen in any industry. And as I said, essential services like electricity is a very

good example or you take gas supply, anything of that nature. So, we need to move in a direction where there is a fixed charge for availing the connection. And then you pay based on usage, usage with of course be a telescopic pricing. So, we cons tructively need to move in that direction as an industry.

In terms of our position, you are aware that we have lost some subscribers primarily because of lack of 4G coverage at this point of time and so we are watching th e space . We would be happy to follo w any tariff improvement actions by the market leaders because we do believe that the tariffs need to go up. At this point of time, we will not be able to take the lead on that. However , as we get back to the investment mode, and we are able to expand our 4G coverage we could also take the lead. But it goes without saying that there is an essential need to get the tariffs to reflect the cost that the industr y is incurring .

Vivekanand: So, I understand that you are now only doing capex that is bare minimum or just necessary to do, right. But what we are seeing is that with your capex on an annual basis is much lower, I mean it has been declining every year for the last four year since merger. But now your subscriber numbers, your revenu e trends seem to be fairly healthy. So, how should we interpret this, I mean on the one hand your capex is declining continuously and on the other hand we are seeing that your subscribers are now stable almost or only marginally declining and revenue trend s also seem to be fairly healthy, even if we compare it with peers.

Akshaya Moondra: Thanks for recognizing that. The way I would describe it is that as long as the traffic growth is there at existing location, the way the pricing model in the industry has evolved , we should deploy more capacity on the same si te as the cost is not very much given that m ost of the time we are just buying additional licenses and the hardware is already paid. The

major part of capex comes only
when you have to expand coverage.

So, really speaking even in that minimal capex that we have been incurring, we have been constantly increasing our capacity. And that is clearly reflected as our traffic has grown and we still continue to have the best 4G download spe eds in the industry wherever we are operating. While we are incurring the minimal capex , we are ensuring that our customer experience wherever we are operating is not impacted. What we have not been able to do is expand our coverage or invest in 5G which a re the two main things which will need to be address ed by the new funding.

Moderator: Thank you. Next question is from the line of Kunal Vora from BNP Paribas. Please go ahead.

Kunal Vora: My first question was on 5G . What's your device accreditation amongst your subscribers and have you see n any increase in churn amongst 5G customers? And have you done any survey on the customer expectations regarding 5G and how do they see you not having 5G and your thoughts on over the next one year, how do we see t his impact?

Akshaya Moondra: So, the 5G devices on our network are in the ballpark of about 8%. In terms of customer until now has there been any impact in terms of churn ? We have not seen any change in the trends and in fact this quarter you would have se en a reduction in our overall churn. So, definitely this is the latest quarter where large investments have been made by competition in 5G. So, it has not impacted our churn so definitely at this point of time it is not impacting our churn levels.

Currently also, there are multiple challenges in use of 5G as you are mostly aware that there is an issue with battery. Now of course the thing is the earlier challenge was that consumption went up but anyway now competition is giving 5G data for free, whi ch again is then good for the consumer , but definitely as has been mention ed by competition that this is not sustainable . Ultimately , 5G data will

have to be charged and if that starts getting charge d, the challenge is that what is the benefit you get in terms of experience versus what is the additional data being consume d, because as is the case generally speaking for using 5G on your hand held device, you will not see a perceptible difference for the same application let's say video is the highest data con suming application, whether your speed may be fast, but you will watch this video at the same speed. So, that experience cannot change, of course there will be, if you measure the speed you will find the difference in experience. But generally, you will no t find a difference in experience or a discernible difference in experience.
From an experience perspective it is not going to make a significant difference and there are currently teething issues with 5G in production. But these are a matter of time, th ese will go away. I guess we will need to invest in 5G because anybody who has a 5 G when 5G networks stabilize they would want to have whether they use it or not customers would want to have the option of having 5G. It is not having any impact today and I don't see it having an impact in the next few months. But definitely if you look at over a longer period of time, everybody needs to have a 5G offering. Now what should be the depth and breadth of that coverage i s something which will have to be iterativel y determined

over a period of time , but needless to say we are working on having a 5G offering as and when our funding is tied up .
Kunal Vora: And as and when you get funding what will be the priority, would you look to expand 4G coverage or would you star t investing in 5G?
Akshaya Moondra: Both together.
Kunal Vora: My second question is on bank borrowings, it's down almost by

Rs. 6,700 crore last one
year. So, how has been the experience dealing with banks, earlier the expectation was that after the release of bank guarantees you should be able to get a roll forward of loans but that does not seem to be happening even now . And also, how much is due in the next 12 months?
Akshaya Moondra: We have never been talking about a roll forward of the loan . All that we have been discussing with the banks is new facility for capex for investment. So, we continue to pay all our debt as it falls due. the bank funding which I explained i n detail earlier was not progressing because the government conversion had not happen ed. Post that discussions have been initiated , there is a certain linkage between the equity being tied up and the bank that's being tied up and that work is on as I said we made a lot of progress in the last one month following the conversion. And we are progressing in the right direction as far as that is concern ed. Our debt servicing in FY'24 is abo ut the same level as we had in the last year in the ballpark of about Rs. 8,000 crores for the full year . So, it's not different from what we had last year.
Kunal Vora: But total borrowings if I remember the number it is about Rs. 11,000 crores, I am talking about the external borrowing so of that Rs. 8,000 crore will get paid out within FY'24, is it?
Akshaya Moondra: That's right.
Kunal Vora: So, after that let's say assuming you are able to make this payment then after that external borro wings will be almost negligible?
Akshaya Moondra: Actually if you really look at it today , we have had some accumulation of vendor dues because we have had to prioritize the debt servicing, but as you are saying debt servicing is let's say it's about Rs. 11,000 crores for the banks, our EBITDA is in the ballpark of Rs. 8,000 crores so in

some ways it is single turn. And once we are out of that period and the debt servicing burden starts reducing then we will be able to use the generation from operations to address the vendor dues.
Kunal Vora: And lastly on the postpaid side, are you seeing your large customers being approach ed by competition or you are seeing some new plans getting rolled out on postpaid. Have you seen any impact in the postpaid market?
Akshaya Moondra: As far as what is happening on the competition front is business as usual . Of course , off late there has been this aggression in the family pricing , and so family or no family you can get into a family plan. And that has brought some aggression into the postpaid plans and the postpaid pricing. So, I would say that has been the onl y deviation on the postpaid. Otherwise, it is business which is doing well. Postpaid is a focus area for us and we have done some changes within the structure in which we run the postpaid business. And I expect to see a better performance in FY'24 on the p ostpaid.
Kunal Vora: And is the postpaid ARPU s stable?
Akshaya Moondra: Yeah ARPUs are generally stable . As I have said there is some dilution happening on account of these family plans which have come in and we will just have to be a little cautious about

these becoming a way to discount the postpaid pricing but let's see it is in early days . We will have to see how it works, but until now we have not seen any dilution on the postpaid ARPUs.
Moderator: Thank you. Next question is from the line of Aditya Suresh from Macquarie. Please go ahead.
Aditya Suresh: I just have one question, with Mr. Birla joining the Board, I just want to understand has there been any change in your priorities since he has resumed. The last bit was simply about in terms of balancing your spend between marketing versus say payments to tower companies and your other suppliers and also in view of your, comments around kind of having operational stability, how do you ba

lance these diffe rent requirements?
Akshaya Moondra: On your question of any change in priorities after Mr. Birla has joined the Board, let me assure you that even while Mr. Birla was not on the Board, he has been actively engaged and involved in the affairs of the company as he was when he was on the Board, so his level of engagement has not been impacted, whether he has been on the Board or not been on the Board. So,

to that extent our priorities and focus on doing whatever needs to be done to get the funding and get back to investment remains the same. So, that is not impacted by Mr. Birla joining the Board, but of course his coming back on the Board gives a lot of confidence in our discussion with the investors and bankers. And this will definitely be helpful enough on funding part.
On the second question, on your prioritizing of, see currently if you will see we are largely paying all our OPEX payments what we are not able to incur is the capex payment. So, that is where we are operating. Now within that overall structure we prioritize our payments to which are in the best interest of our operations. I don't think we have to do a trade -off between whether I pay the tower company or marketing spend. It is all in the normal course of business. So, managing operations we are doing well, we basically need to get funding for the purpose of making investment that is the most important thing.
Moderator: Thank you. Next question is from the line of S aurabh Handa from Citi Group. Please go ahead.
Saurabh Handa : I had two questions, the first one was on network expenses what was the reason behind the sequential decline and is this is a sustainable rate going forward?
The second was on trade payable so that number has been coming down for the last couple of quarters. So, again sort of just to reiterate what you were saying earlier do we assume that you have been prioritizing vendor payments to some extent and which is w hy the capex has also declined for the last couple of quarters?
Akshaya Moondra: The trade payable this quarter is appearing less because some ATC payables have been converted to an OCD structure, which was a transaction of about Rs. 1600 crores. So, this quarter the payables reduction is largely coming from that otherwise as we are saying that we are remaining flat on our payables, they are neither reducing nor increasing, they are largely flat, because capex is kept at the minimum and OPEX is largely bein g paid in full. There could be some timing variations here or there but that is largely the way we are operating.
Murthy GVAS : So, Saurabh on the network OPEX, it is largely due two days lesser in Q4 versus Q3 and also the seasonality effect of the quarter. At the same time as I alluded to earlier there have been a few write backs which has happened and accordingly all these factors had an effect on the Rs. 200 crores decline in the quarter.

Saurabh Handa: So, this number should go back up may be to last quarter's level in Q1 then?
Murthy GVAS: It may not, I mean obviously the seasonality effect will obviously go away as the summer sets in and of course if you are able to do better , then in that case it may not really have that impact back, but yes if the consumption is higher and there are inflationary effects then it is possible that the number will go up.
Akshaya Moondra: You are broadly right . Q3 would be a more representative figure on assessing what could Q1 be like.
Moderator : Thank you. N ext question is from the line of Hemang Khanna from Nomura. Please go ahead.
Hemang Khanna : First part was on the subscriber loss; this quarter saw the lowest rate in probably the last six quarters that we have seen. Could you just help us understand how April and May have a

lso
panned out?
Secondly on dues and payables, so for FY24 you mentioned about 80 billion as the total payable. Could you help us with FY25 and FY26 as well how do those payables look?
Akshaya Moondra: Okay, as far as the subscriber indicators for April and May are concerned, I will not be able to give you any guidance right now. You will have to wait for the results to be announced. On the other question you were asking , our outstanding at the end of this year is about 11500 crores, we have about 8000 crores which is due in the next year . So, what would be left then is a very small part of debt, which is Rs. 3500 crores of main debt left, which will be paid in FY25/26 I don't have the exact breakup but ultimately at that point of time the debt servicing becomes very small.
Moderator: Thank you very much . I now hand the conference ov er to Mr. Akshaya Moondra for closing comments.
Akshaya Moondra : FY23 has come to an end and there are many positive takeaways as we move to next year as highlighted in my opening remarks . FY23 is the first year where we have registered annual revenue grow th post -merger despite various challenges we faced , clearly reflecting our ability to effectively operate and compete in this market. Further our EBITDA for the year has registered strong growth of 24% with highest post -merger EBITDA margin at 19.7%. We have reported seven

quarters of sequential growth in several key metric including ARPU and 4G subscribers. In fact , our year -on-year ARPU growth of 9.3% is the highest amongst wireles s operators. All of this is possible only because we are focused on providing great data and voice experience and are building a differentiated digital experience adding several digital offering in the recent months. We have issued equity shares to the gov ernment consequent to conversion of the interest, related to deferment of AGR and spectrum dues. We continue to engage with lenders for further debt fund raising as well as the other party for equity or equity linked fund raising to make required investmen ts for network expansion and 5G rollout to arrest lots of subscribers. We have had the best 4G speeds, best voice quality, best app rating and our customer acquisition share is higher than our current CMS. Riding on this foundation we have been improving o ur performance in the last seven quarters with limited investment and we are confident that with the investments coming on stream we will be able to make more meaningful improvements in our overall performance. Thank you all for joining this call. Have a good day and a good weekend ahead. Thank you.
Moderator: Thank you very much. On behalf of Vodafone Idea Limited that concludes this conference thank you for joining us you may now disconnect your lines. Thank you.

Call: Aug 2023

23 August 2023

National Stock Exchange of India Limited
“Exchange Plaza”,
Bandra - Kurla Complex,
Bandra (E),
Mumbai – 400 051 BSE Limited
Phiroze Jeejeebhoy
Towers,
Dalal Street,
Mumbai – 400 001

Dear Sirs,

Sub: Transcript of Analyst / Investors Cal l (Regulation 30)

Ref: “Vodafone Idea Limited” (IDEA/532822)

In terms of Regulation 30 of the SEBI (Listing Obligation and Disclosure Requirements) Regulations, 2015, please find enclosed transcript of the analyst / investors call held on 16th August, 20 23 relating to the Company’s performance for the first quarter ended 30th June 2023.

The same is uploaded on Company’s Website : www.myvi.in

The above is for your information and dissemination to the members .

Thanking you ,

Yours truly,
For Vodafone Idea Limited

Pankaj Kapdeo
Company Secretary

Encl: As above

“Vodafone Idea Limited Q1 FY24 Earnings Conference Call”

August 16, 2023

Vodafone Idea Limited
August 16 , 2023

Moderator : Good afternoon, ladies and gentlemen. This is Nirav, the moderator for your conference call. Welcome to the Vodafone Idea Limited conference.
For the duration of this presentation, all participant lines will be in the listen -only mode. After the presentation, a question -answer session will be conducted. Should you need assistance during this conference call, please signal an operator by pressing ‘*’ then ‘0’ on your touchtone phone. Please note that this conference is being recorded.
We have with us today, Mr. Akshaya Moondra – CEO of Vodafone Idea Limited; and Mr. Murthy GVAS – CFO of Vodafone Idea Limited, along with other key members of the senior management on this

call.
I want to thank the management team on behalf of all the participants for taking valuable time to be with us. Given that the senior management is on this confer ence call, participants are requested to focus on key strategic and important questions to make sure that we make good use of the senior management's time. I must remind you that discussion on today's call may include certain forward -looking statements and must be viewed, therefore, in conjunction with the risk that the Company faces.
With this, I now hand the conference call over to Mr. Akshaya Moondra. Thank you, and over to you, sir.
Akshaya Moondra : Thank you, Nirav. A warm welcome to all participants t o this earnings call. On Monday, our Board of Directors adopted the audited results for the quarter ending June 30, 2023. All the results -related documents are available on the website, and I hope you had a chance to go through the same.
Let me provide a b rief on our strategic initiatives and key highlights for the quarter. Post this, I will hand over to Murthy to share details of the Company 's financial performance.
Our first strategic initiative is our focused investment approach.
We continue to follow a focused approach to investments biased towards our 17 priority circles, which contribute over 98% of our revenue and around 93% of industry revenues. This helps us in

utilizing our CAPEX effectively while ensuring that we continue to offer superior customer experience in these areas as our network investments have been impacted on account of liquidity constraints. Despite this, over the last 1 year, we have added more than 1,500 unique 4G towers and about 13,400 4G broadband sites. As a result, our broadband coverage as well as capacity has expanded. In our relentless pursuit to offer better 4G experience to our customers, we took upon a challenge to cater to the crucial connectivity requi rement for the constantly moving Mumbaikars. We partnered with the best human network, the Dabbawalas, to test and improve the network for offering a superior network experience to its users. We got them to torture test Vi GIGAnet to understand where the n etwork was seamless and where it needed strengthening on parameters such as data, voice calling, video streaming, gaming, et cetera. The team traversed the length and breadth from Mumbai City, testing the network strength of Vi GIGAnet across 22 wards and over 550 locations. Based on their feedback, a team of Vi network engineers continue d to reinforce the network and the locations having weaker experience.
Today, we are confident that we offer superior network connectivity even in the nooks and corners of the city and the Dabbawalas are testimony to it. We also have the highest rated voice quality in the country, as per TRAI’s MyCall app data for 28 out of 32 months between November 20 20 and June 2023.
Moving on to Market Initiatives:
Our brand ‘Vi’ , contin ues to garner good reception, building brand affinity across all customer segments in the country. The company continues to make extensive progress on the marketing front by communicating key di

fferentiators to consumers, entering into alliances and intro ducing various
innovative products and services.
With the holiday season, Vi promoted its International Roaming packs with 'Truly unlimited data and calls' on Digital. Vi is the only telecom operator in the country to offer truly unlimited data and call benefits on international roaming.
A unique night data pack “Chhota Hero” was launched to allow customers to snack on content during the night with unlimited data.
At The MOMMYs 2023 awards, Vi won 'Best Social Media Brand - Telecom' and 'Best use of memes' .

At AFAQs Marketers 'Xcellence Awards 2023, Vi won 5 awards - 1 gold, 1 silver and 3 bronze in the categories of Best use of influencer marketing, Best use of Instagram, Best use of short form video, Best performance marketing and Best use of influencer on YouTube.
We continue to focus on getting more customers on 4G/Unlimited plans for further ARPU improvements. We have seen ARPU growth for eight consecutive quarters now. Q1FY24 ARPU stands at Rs. 139 compared to Rs. 135 in Q4FY23; growth of 2.9%. You may recollect that in May we had piloted change in entry level pricing where the validity of Rs. 99 plan was reduced from 28 days to 15 days in Mumbai. We have expanded this to 11 circles now and we continue to observe the space and will make further inter ventions as we go forward. It is pertinent to note that there is no impact on ARPU in Q1FY24 as these changes were introduced in further 2 circles only by end of June and in other circles post Q1. That said, tariff rationalization on the higher usage plans and moving to a

structure of paying more for using more remains critical to ensure the operators make reasonable returns on their massive network and spectrum investments.
Moving on to Business services
Business Services or enterprise segment, is one of our strength areas owing to our long standing relationships with our enterprise customers as well as our ability to leverage from the experience of Vodafone group in various global markets. We continue to make progress in line with our stated strategy of t ransformation from Telco to TechCo for our enterprise offerings. Our planned expansion of services beyond connectivity has seen good traction and we continue to work with multiple partners to make our offerings more relevant to enterprise customers.
We co ntinue to strengthen our focus on the MSME segment. On World MSME Day 2023, we reiterated our commitment to catalyse the digitalization of MSMEs for enabling inclusive growth of the Indian economy, by launching our 360 degree program ‘Ready for Next 2.0 ’. The program supports MSMEs in digital adoption, transforming their businesses and helping them unlock the growth potential of their business.
Vi Business launched the ‘Unlocking MSME Growth Insights Report’. This report was a summation of the insights captured over the last 1 year of running the Assessment tool covering nearly 1 lakh respondents across 16 industries. The report also helps busine sses to understand their own digital maturity and also of the industry that they compete in.

ReadyForNext 2.0 Digital Self Evaluation tool is an enhanced version with a more dynamic and personalized assessment which is focused on the MSME industry and ann ual turnover of the enterprise customer. With solutions like Vi Ads, email & device security, our exclusive MSME offerings are tailor made to enhance productivity, collaboration, customer reach and security in today’s digital era.
To address the growing ne ed for reliable and secure networking solutions, Vi Business has launched Hybrid SD -Wan, an enhanced proposition designed in collaboration with global tech leaders. Vi Hybrid SD-WAN helps businesses simplify and optimize their network infrastructure and en hance their security p

osture, while ensuring cost efficiency.
The next strategic initiative is driving partnerships and digital revenue streams
We have set a strong digital roadmap for the company and have been executing the same through strategic partner ships, in our continuing journey of being a truly integrated digital services provider. Over the last few quarters, we have significantly expanded our digital portfolio with addition of music and video streaming, gaming and e -Sports, jobs, education and di gital advertising and we saw almost 25% YoY growth in daily users.
We have seen a strong traction on each of the digital services during the year. Recently, we launched a converged proposition ‘Vi One’ bundling mobility, fiber and over -the-top (OTT) subsc riptions bringing convenience and value to the consumers under a single plan. It is an industry first for prepaid market. It has been launched in 12 cities across 3 circles of Mumbai, Maharashtra and Gujarat. While we are currently testing this out with ou r own You Broadband, we shall soon roll -out this proposition in other markets in partnership with other Broadband players.
Amongst the existing categories, while we continue to drive scale on our existing propositions on music & video, we are also working aggressively to have a strong proposition for the connected TV segment to get the next leap of growth, particularly to fuel monetization. Similarly, on Gaming, we have an exciting pipeline with a set of new partners coming on board to help accelerate the g rowth on both, user adoption and engagement. We shall announce the same in this quarter.
Based on all the transformation the Vi App & Vi Movies & TV app saw last year, we have seen significant improvement in our customer ratings on Play Store taking our app ratings to one of the best in Industry. We continue to maintain the same trend.

Vi Ads, our Ad -tech platform, continues to grow with newer brands coming on board as well as healthy trends on sustained campaigns from some of our key advertiser brands. Given our focus on the SME segment for Vi Ads, we also had Vi Ads as one of the key offerings into the MSME program – Ready For Next that we launched on the MSME day.
We would like to reinforce that we will continue to have a disproportionate focus to bui ld a digital ecosystem with our partners, enabling a differentiated experience for Vi users, which will help us to drive customer stickiness as well as provide incremental monetization opportunities.
Moving on to other highlights
When we look at the industry revenue trend over the last few years, industry revenues are growing primarily due to regular price increases and customer upgrades. We also, for the first time since

merger, witnessed annual revenue growth last year. We are confident that with th e investments coming on -stream, we will be able to make more meaningful improvements in our overall performance and participate in the growth opportunities.
During the quarter, we registered improving 4G subscriber base for eighth quarter in a row and the 4G base now stands at 122.9 million. However, the overall subscriber base declined to 221.4 million vs 225.9 million in Q4FY23.
Despite subscriber loss, we registered the eighth quarter of sequential growth in average daily revenue for the quarter. Revenu e for the quarter stood at Rs. 106.6 billion, a QoQ improvement of 1.2% aided by improvement in subscriber mix and 4G subscriber additions. ARPU improved to Rs. 139, up 2.9% QoQ vs Rs. 135 in Q4FY23 primarily aided by 2G to 4G upgrade and migration of subs cribers to higher ARPU plans.
The overall data volumes were up 3.5% QoQ and we continue to see the increase in the data usage per broadband customer which now stands at ~15.7 GB/month. We have also seen an increase in voice minutes per sub for the third su ccessive quarter.
With that, I handover to Murt

hy who will share the financial highlights for the quarter.
Murthy GVAS: Thank you, Akshaya. A warm welcome to each of you.
On the Quarterly Performance:

As Akshaya mentioned, we continue our average daily rev enue growth journey for the eighth straight quarter with quarterly revenue of Rs. 106.6 billion registering a QoQ improvement of 1.2%. This is also the eighth consecutive quarter of growth in ARPU and 4G subscribers. Quarterly EBITDA excluding IndAS116 imp act was at Rs. 20.2 billion compared to Rs. 20.7 billion in Q4FY23, marginally lower primarily due to higher network expenses on account of seasonality and SG&A costs, partially offset by the reduction in roaming and access charges. The increase in SG&A ch arge is on account of higher amortization due to the downward revision in life of subscribers while the actual cost incurred has reduced quarter on quarter.
Excluding the impact of IndAS 116, the Depreciation & Amortisation expenses and Net Finance costs for the quarter stood at Rs. 41.7 billion and Rs. 54.6 billion. The reported post IndAS 116 Depreciation & Amortisation expenses and Net Finance costs for the quarter stood at Rs. 56.2 billion and Rs. 63.8 billion respectively. As explained during last quarter's earnings call, Q4FY23 had one time impact of reversal of accrued interest on account of government equity conversion.
Capex spend for the quarter stands at Rs. 4.5 billion.
The total gross debt excluding lease liabilities and including interest accrued but not due as of June 30, 2023 stood at Rs. 2,117.6 billion comprising of deferred spectrum payment obligations of Rs. 1,337.4 billion and AGR liability of Rs. 668.6 billion that are due to the Go vernment, debt from banks and financial institutions of Rs. 95 billion and Optionally Convertible Debentures amounting to Rs. 16.6 billion. With cash & cash equivalents of Rs. 2.5 billion, the net debt stood at Rs. 2,115.1 billion. It is important to note that the debt from banks and financial institution has reduced by Rs. 57 billion during the last one year.
Further, we have submitted a letter to DoT that we propose to pay Spectrum Auction Instalment of Rs. 1,680 Crore towards 2022 Auction, which is due o n 17th August 2023, by availing the grace period of 30 days with interest, in accordance with the terms of Notice Inviting Applications.
With this, I'll hand over the call back to Nirav and open the floor for questions.
Moderator: Thank you very much. W e will now begin the question -and-answer session. First question is from the line of Sanjesh Jain from ICICI Securities. Please go ahead.

Sanjesh Jain : First question is on the minimum recharge. Now that we have rolled it in 11 circles, how has been the initi al impact of it on the subscriber churn rate, acceptance rate? And what is the potential benefit to the revenue we could see over a period of time because of this?
Akshaya Moondra : Thanks, Sanjesh, for the question. Actually, I would just want to add that we have actually expanded it to 12 circles. But in the 12 th circle, the structure was a little different, and that's why we set that to 11 circles. So, in Haryana, we had done somewhat differently. Now this has definitely given us in this quarter, which is , I mean, in the current quarter, a positive revenue uplift net of the impact of some loss of subscribers. And I would say that the impact on the subscribers in initial period is not very much, but we will have to observe it for a longer period of time. An d hence, I will not be able to kind of quantify the benefit of this. But definitely, we have had this in Mumbai for about 3 months now. Even after 3 months, this is showing a positive impact. In the other circles, this was launched later. But the circles w hich have been launched later have a higher comp

onent of these
subscribers and definitely, that will give us benefit going forward. I hope that answers your question.
Sanjesh Jain : What have we done differently in the Haryana circle?
Akshaya Moondra : So, in the other circles, we had said that the pricing point of Rs. 99, the validity was reduced from 28 days to 15 days. In Haryana, we had actually removed the Rs. 99 price point and introduced an interim price point with the same benefits and with the validi ty of 28 day. The price point was Rs. 127. This, we had done as a trial in a one circle.
Sanjesh Jain: Second, on the comment which you initially made that we need to charge the customer as they use more pay more kind of a structure. This has been in discussion now for many years. While we have seen that unlimited remains the majority of the subscriber at least on the 4G and 5G, again, we have gone to the unlimited data pack, which is exactly opposite to what we have been talking, do you expect in the near term, say, in a year or 2, we will go to a more tier planned structure and unlimited will be for the higher end of ARPUs? Is it really a possibility or it's just an ambitious expectation?
Akshaya Moondra : I would say this is a very high possibility. Y ou have heard at least 2 players specifically saying that that is the right way to go. And I would just say that today also, these are not unlimited in nature. You have a limit of 1 GB per day or 1.5 GB per day. The only point I want to highlight, which I have kind of mentioned in my earlier calls also is that today, we are equalizing the

price in a way for somebody who uses in a wide range of 5, 6 GB per month to 28 GB per month. And that is where we believe that this is not the correct pricing structure. And the basic philosophy behind this is that at the entry level pricing, significant changes have happened over a period of time. And we believe that now the requirement is that pay as you use more should actually start applying. And the compression of the ARPU range that we have seen in the last few years, where if I were to just say generally, the ARPU range start ed from 0 because you could stay on the network without paying anything to a level of as high as Rs. 1,500 to Rs. 2,000.
Now that has largely co mpressed today to a level of Rs. 100 or Rs. 150, you pay for the GST from there and almost everybody can meet their needs at a plan of Rs. 500 -600. So, at the entry level significant improvement has happened, which is good. But at the upper end for higher uses, the ARPU levels need to go up. And I believe this will happen for sure as we start rationalizing the tariffs.
Sanjesh Jain: The next question is on the postpaid category. We have seen, again, increased competitive intensity there in this quarter. And one of your peers is aggressively pushing the converged plan. While we have been protecting our postpaid customer, how is the postpaid customer not reacting to the competitive intensity? And are we worried because we cannot offer that kind of a converged planning over a medium term on the postpaid subscriber base?
Akshaya Moondra: So, on the postpaid, you would have seen that there is a marginal improvement. While there's an overall decline in subscribers, in postpaid we have seen a marginal improvement. This is somewhat coming from M2M. On the consumer side, it has kind of been more flattish. But I would say that we are holding on to our postpaid base. I know converged offering has its benefits. But until now, we have not seen it making any significant imp act on the market as such in terms of movement of subscribers. As I mentioned in my opening remarks, we have also launched V i One, where we are offering broadband plus mobility plus content with our own subsidiary, and we also intend to expand it with othe r broadband fiber -to-home players. And so, we wil l also have this offering. It's

a means of attracting customers, but I don't think it has contributed to churn in any significant manner.
Sanjesh Jain: Got it. The next question is on the customer loss. It w as somewhat low last quarter, but we have again jumped back to that 5 million, 6 million run rate we had for many, many quarters. When do you think this can sustainably decelerate and we go to a positive territory or until you think that we invest signific antly into the network that looks a tough task?

Akshaya Moondra: We are doing interventions. Last quarter, we saw a good result. It was somewhat helped by the fact that competition had raised tariffs and we followed later on. So, maybe last quarter was bet ter. But definitely, I mean, compared to the figure of 6 million where we were before that, we are down to 4.5 million. So, there is some improvement. And we will continue to make efforts to reduce this. But any significant improvement, whereby we can arre st this completely and start partic ipating in the industry growth will require us to expand our 4G coverage and invest in 5G. So, that, is essential for this to be changing the direction from negative to positive.
Sanjesh Jain: Last question from my side is on the finance costs. I thought once we have converted the interest on interest on the equity, this was supposed to settle at lower than Rs. 63 billion kind of run rate, which was there until Q3. But again, we are back to the Rs. 63 billion. Why has the finance cost

gone up? I think that conversion to equity would have taken some pressure off the finance costs, right?
Murthy GVAS: So, Sanjesh, as we explained in last quarter, the accrued interest for over 9 months was reversed, and therefore, what's comi ng in now is the period cost. The benefit of reversal that happened last quarter is not available this quarter. That was more of a one time, and that's the reason why I mentioned that even in my remarks.
Akshaya Moondra: Sanjesh, what you're saying is righ t that the conversion will impact and will reduce the financing costs to the extent debt is converted into equity. So, in that sense is correct and that is reflecting in our financing costs. And maybe you can have a separate off -line discussion with us so that we can explain you because finance cost is a lot of these month to month movements, which can kind of not make them comparable. But the conversion does reduce the interest, that point that you're making is absolutely correct.
Moderator: Next question is from the line of Aditya Suresh from Macquarie Group. Please go ahead.
Aditya Suresh: Mr. Akshaya, I had 2 questions. The first was more strategic. I'm trying to understand what's guiding your spending choices. And I guess the specific question was about sales and marketing versus CAPEX . So, when I look at sales and marketing, absolute spends have been steady over the past 3 quarters, the absolute level of spend in sales is now more than twice that on CAPEX , it is also kind of much higher compared to any time in the past 5 years. So, can you help throw some

light on this in terms of what's guiding the choices here in terms of spending sales, marketing versus CAPEX ?
Akshaya Moondra: Did you have one more question? Or this is the only question here?
Aditya S uresh : The second question was more on cash flows, where I was hoping for, if at all possible to get a number on what was CFO less CAPEX , less lease and less interest payments in this quarter?
Akshaya Moondra: So, let me answer the first question, and I'll understand the second question after I've answered the first question. So, it says the comparison which you're making between SG&A and CAPEX is not so much a question of choice. When you're looking at the SG&A exp ense, you have to be competitive in the market. And the current SG&a;

mp;A costs reflect the market intensity. However, you
would have noted, and as Murthy had explained in his opening comments, that some of the P&L charge of these expenses have been impacted be cause of the change in life of customer. But quarter -on-quarter in absolute terms, these costs have reduced for us from Q4 to Q1. And also, we had reduced these costs from Q3 to Q4. So, for2 successful quarters, we have actually reduced the cash cost in th is category.
However, we have to be competitive in the market. But the interventions we've made to focus on the quality of customer and eliminate some waste there has given us positive results in being able to contain that cost. If you are not competitive on that front, then ultimately you will see a challenge on revenue growth, which will suffer. So, it's not so much a trade -off. Our current CAPEX is based on our current liquidity situation. But we are in the process of making funding arrangements. And onc e we are back to investment, as I mentioned, I don't see any reason why that will not help us to kind of grow our business and start participating in the industry growth.
Aditya Suresh: Great. And the second, just to clarify, I was hoping for an update on the cash flow statement. So, is there a number which you are able to share on cash from operations less your CAPEX , interest and lease payments?
Akshaya Moondra: You mentioned lease payments, I mean, let me just tell you that while our reported financials are based on lease accounting 116, we also, in our quarterly report, gave data which is more reflective of cash EBITDA. And to that extent, our cash EBITDA has be en north of Rs. 20 billion for the last few quarters. So, that represents cash generation. The CAPEX figures are also reflected. This quarter, it was Rs. 4.5 billion. That is the actual CAPEX incurred, but the actual cash outflow, again , is

much lesser. So, regarding financing cost, broadly speaking, the cash outflow would be in the region of Rs. 3 billion to Rs. 4 billion in the quarter.
Aditya Suresh: I guess the real heart of the question was actually I was trying to understand like are we able to get to pay our suppliers and have the organic means to do that? And based on your answer, it seems like on the cash basis, we can continue to pay our suppliers and remain in operations while we're kind of looking for that external funding.
Akshaya Moondra: So, Aditya, just to be clear that we have had an accumulation of vendor payments, which was kind of reflected in our financials. This particular quarter, which is Q2, we had significant payments of debt for which, as we have disclosed to the stock exchange, w e have received a letter of support from the promoters also of up to Rs. 2,000 crores or Rs. 20 billion, so that is there. With cash

generation and with that support from the promoters, we will be able to manage our payments in this quarter.
From next quar ter, actually, our debt servicing burden goes down significantly. So, we are roughly at the level of Rs. 5 billion in the next quarter for debt servicing, followed by about Rs. 17 billion in the following quarter and another Rs. 5 billion. So, if you look at over the next 3 quarters following this quarter, our debt servicing is only Rs. 27 billion as against our cash generation in the same period of about Rs. 60 billion. So, once we are through with this quarter and we are able to manage our payments with the help of the support from promoters and also some nonoperational cash inflows, which we are looking at, we will be able to then manage and start unwinding the vendor dues from the next quarter.
Moderator: Next question is from the line of Hemang from Anvil Shares. Please go ahead.
Hemang Kotadia: Sir, what is the status of the funding that we are going to tie up with the promoter and nonpromoter? And any incremental debt fund

ing? That was my first question. And second
question, on the CAPEX front. So, if we are not getting the funding upfront for 1 or 2 quarters, so what would be the CAPEX guidance for the current year? That are the 2 questions I have.
Akshaya Moondra: So, thanks, Hemang, for the question. On the funding, I had given some commentary last quarter. I would say that in the last 2 months, our discussions with multiple groups of investors on both equity and equity -linked instruments has progressed. It has gained a lot of momentum, and we have seen a very good p rogress in the last couple of months, particularly in the

last 1 month where some of these discussions have started progressing to a level of due diligence or proposals being discussed with these investors. We are making good progress, and we expect to conclude these discussions in the coming quarter. So, that is as far as the equity funding is concerned.
As far as debt funding is concerned, we have been engaged with a consortium of banks for a long time. Generally, their ask is that equity also needs to be tied up. So, as we already disclosed that the promoters have already given support for Rs. 2,000 crores of equity, some external equity needs to be tied up. And with that, the bank funding will also be tied up. So, we expect to conclude all these funding arrangement in the coming quarters. And once that happens, then we will be able to continue our investments. Any specific CAPEX guidance, we will be able to give only after that is tied up. Until then, our current level of CAPEX , which we are incurring in the last quarter, would be a representative level of CAPEX for us.
Moderator: Next question is from the line of Aliasgar from Motilal Oswal. Please go ahead.
Aliasgar Shakir: First question was on the subscriber churn. Now I see that in this quarter as well as in the last few quarters, the churn is mostly at the overall level, while 4G and data customers have kind of remained flattish, in fact, seen moderate growth. So, if you could just give some color, this subscriber churn, is it happening in basically feature phone customers who may -- I don't know, whether they are consolidating with the tariff increase we have taken in recharge vouchers? Or is it typically the smartphone c ustomers who may be probably churning out probably if they are upgrading to a data or 4G connection? So, if you could just give some color in terms of where is this churn basically that we are seeing?
Akshaya Moondra: So, you see at some level, the churn h appens across the ARPU levels and across all kinds of users, and some of this is rotational churn as you would see in the industry, so that churn is across board. But if you see where it is skewed, the fact that our ARPUs continue to increase, our 4G subsc ribers continue to increase, that is a reflection of the fact that the churn is more skewed towards the lower ARPU subscribers. And as you said that as the entry -level prices kind of start increasing at the minimum participation price, you would see some c onsolidation of dual SIMs happening, although that was not the factor for us in the Q1 because we had just done this for any significant period of time only in Mumbai. But at an industry level that would be a factor. But mainly to answer your question, it is skewed towards the lower ARPU categories of subscribers for us.

Aliasgar Shakir: So, I mean, just a quick follow -up. Basically, we're not really seeing customers moving out probably as they upgrade to 4G. I don't know if we are able to track that.
Aksha ya Moondra: I mean, we are able to track that. As I said, there is addition of subscribers in all categories. There is churn of subscriber in all categories. The overall industry churn is much higher. I mean that's the nature of the industry today, that

yo u have a significant higher quantum of gross adds
in the industry and the net adds is quite less compared to that. And that is because there's a lot of rotational churn. So, if you will look at churn in every operator, while the quantum may vary, but

every body sees churns across categories of customers whether it is 4G, whether it is higher ARPU or lower ARPU.
Aliasgar Shakir: Second question on the tariff hike. So, I mean, we have followed the other player in taking tariff hike in the minimum recharge cate gory. But there has been some, I don't know, reservation in tariff hikes in the unlimited plans. So, I mean, if you could just give some sense in terms of how the situation is there. Would we take the lead over there? Or I mean, because of the churn that w e are seeing, we may be ready to take a lead over there? And what could be time lines that we could see? Or do you think this will be some time away, any tariff hike in unlimited plans?
Akshaya Moondra: I had mentioned in the last earnings call also, at th is point of time, we would expect the market leaders to take the lead in making any tariff changes. We have always reiterated that tariff changes, and I mentioned that in the early part of today's call also, that tariff changes in the higher level of consu mption are absolutely essential for the industry's health. So, if the market leaders are taking any actions, we'll be very happy to follow. That is something which we have been reiterating all the time. In terms of whether we can take the lead in making th ese price interventions, we would be able to do that once we are back to investing. But till then, we would look at the market leaders, and we'll be very happy to follow.
Aliasgar Shakir: And last question, I'm sorry if I missed it. You mentioned obviously the Rs. 1600 crore spectrum repayment. But apart from that, what are the other repayments coming up in this year? I think you did mention, I don't know if I missed it.
Akshaya Moondra: Yes. I mentioned that we have slightly more debt repayment i n this quarter, and that is why we have received a letter of support from the promoters to support us to meet those obligations. So, that is regular debt obligations, which are more than the usual. As I said, that this

quarter, we had higher debt servicing for which we are getting that support letter from promoters. But from next quarter, our debt servicing goes down significantly. And next quarter, it is only Rs. 5 billion of debt servicing that is there. So, there's a bit of, let's say, the overall debt s ervicing in this year is less than last year. However, the fact that it is kind of a little more bunched up in Q2, we needed the support from promoter. But once we are towards the end of this quarter, actually our external bank debt will be less than Rs. 6 0 billion. Really speaking, the external debt, which is the bank debt, will come down significantly post this quarter, and our debt servicing going forward will be much less.
Aliasgar Shakir: So, did you mention that Rs. 60 billion of overall repayment com ing up in this year apart from this Rs. 1600 -odd crores spectrum payment that we have in 2Q?
Akshaya Moondra: No. The total debt repayment including the spectrum payment was more in the region of about Rs. 70 billion.
Aliasgar Shakir: Rs. 7,000 crores, right, basically, apart from the Rs. 1,600 crore odd we have for the 5G repayment. And this Rs. 7,000 crores is coming up for repayment by what time?
Akshaya Moondra: Q1, we have already paid. So, this figure of Rs. 7,000 crores is from Q2 to Q1 of next ye ar. It would be sufficient to say that this debt schedule and business information is available in our annual report. You can take a look there, the quarterly detail is given. Without getting into too much detail there, what I'm telling is that for this qu arter, we'll be able to manage our

payments with
the promoter support. And from next quarter, our cash generation will be more than debt obligation, which was not the case for the previous few quarters. And so, we will then be in a much better position, be able to kind of reduce our vendor payables, which have accumulated over a period of time.
Moderator: Next question is from the line of Aditya Chandrasekar from UBS Group. Please go ahead.
Aditya Chandrasekar: A couple of questions from my side. Firstly, o n the 4G subs, so every quarter we have typically added 1 million to 1.5 million subs in the last, say, 4, 5, 6 quarters. This quarter has almost been flat, I think, 0.3 million subs added this quarter. So, just wanted to see how you're looking at the 4G s ubs trend. Are we seeing the impact of the competitors having 5G and therefore, are 4G subs also kind of preferring competitors because of their 5G service? Though, I don't know, performance -wise, it makes a difference, but I just wanted to get your though ts on that.

Akshaya Moondra: So, let's say, our 4G subs last quarter, the increase was 1 million, roughly. And that was in a situation where our net subscriber loss was much lesser, this and which I said was largely coming from the benefit of there being a price intervention by competitor, which we have actually done in this quarter. So, that has given us a benefit in the last quarter. This quarter, we have seen a larger churn of subscribers. So, that has also impacted the net addition of 4G. But growth of 4G subscribers remains our focus area, and we continue to work on that as to how to just upgrade our subscribers.

Now one is, of course, you upgrade subscribers from 2G to 4G is one category. Secondly, is within the 4G segment also, you try to move the sub scribers to a higher plan. Amongst the 4G subscribers also, you will have some subscribers who are not on dual plan. And that is another area which we continue to focus on, and that is why you have seen that our ARPU has actually grown from Rs. 135 to Rs. 139 in this quarter. While 4G is a good measure of what is happening, but the most important measure to our mind is the growth in ARPU. And that is what we continue to remain focused on.
Aditya Chandrasekar: Are we seeing any impact of any kind of increased churn because the competitors have 5G now especially in the 4G subsegment?
Akshaya Moondra: It would be wrong for me to say that it is having no impact at all because definitely we don't have 5G, and competition has 5G, but I would say it is not significant. There has been no significant impact that we are seeing until now because of 5G. And as our funding gets started, we will roll out 5G also. So, it's a matter of time, not that we will not roll out 5G.
Aditya Chandrasekar: And secondly, on the minimum recharge plan, so Bharti has increased it to Rs. 155, and I mean, assuming that the JioBharat phone picks up, et cetera, that's at around Rs. 125 -odd, what stops us from taking our plans from Rs. 99 Rs. to 1 55? Because the subs don't really have another option, right? I mean we will see some churn, but I just wanted to get your thought process on that.
Akshaya Moondra: So, maybe, Aditya, you joined a little late. We had a discussion on this topic, but we have also withdrawn the 28 days validity plan. And in 12 circles, our minimum entry plan for a 24 -day validity is Rs. 155 already except in Haryana, where we have a non -unlimited plan, which is still available at Rs. 127. But in 11 circles, minimum entry plan for 24 days validity is already Rs. 155 for us

also. And we will continue to expand this to other circles. We've been a little staggered in our approach of launching thi s, and we've continued to expand this to other circles also.
Aditya Chandrasekar: And lastly, the promoter support of Rs. 2,000 cror

es, is it from both promoters?
Just wanted to check.
Akshaya Moondra: We have made a disclosure to the stock exchange that i t was from one of the promoter entities.
Moderator: Next question is from the line of Kunal Vora from BNP Paribas. Please go ahead.
Kunal Vora: And I'm sorry, I joined the call late. So, if you already answered some of the questions, you can skip them. So, I wanted to understand on the letter of support from the promoter, can you provide some d etails whether it will be debt, it will be equity and like what are the time lines?
Akshaya Moondra: So, the letter says that the support could be either direct or indirect, direct would be more in the form of equity. If it is debt, it would be, in some way, supported by the promoters is what my understanding is. That is what the promoters have in mind. So, funding will be made available as and when required by the Company . If it has to be equity, then you are already aware that there is about 30 to 40 days' time line required for completing the process. Any bank funding which is based on promoters support can be arranged fast. So, depending on the time when this is required, they will arrange accordingly.
Kunal Vora: So, when do you need the funding? You mentioned it will be provided as needed. So, when do you need the funding?
Akshaya Moondra: There are multi ple discussions happening on funding. At the earliest, this may be required in September. And it may not be required at all depending on some other discussions which are happening.
Kunal Vora: Second is on the 5G rollout obligations. Like what do you need to do? How much CAPEX will you need to do if you want to meet them? And what are the implications if you are not able to meet the obligations?
Akshaya Moondra: The CAPEX for just meeting the MRO obligation is not very much. I'll not want to get into figure s at this time. Needless to say, our intent is to not look at only doing the MRO thing, we

would want to roll out a commercial network. Just in terms of consequence, we had done some calculation. In any case, out of the 17 circles where we have acquired sp ectrum, and 2 of the circles we have already filed for compliance, where we have done some minimal investments. But in the remaining circles, as per the NIA, there is liquidated damages, which are applicable. If we look at the 15 circles where we have not rolled out currently, over a period of 26 weeks, this amount is up to order of about Rs. 12 crores to Rs. 13 crores.
Kunal Vora: And on the SG&A cost, like if I look at last 2 years, it's an increase of almost 70% while the network cost is flat. Is there a way we can go back to the levels of SG&A costs you had 2 years back? Or something has structurally changed and thus we need to build on top of where the cost is right

now?
Akshaya Moondra: SG&A cost is a direct reflection of the number of gross adds addin g in the industry. Now one of the factors which has also impacted the costs starting somewhere in the COVID period is because the SIM prices have gone up. That has started correcting and that part should come down. However, the market competitive intensity has gone up because of which the level of gross adds has gone up and that has taken this cost up. We would be very happy if initiatives are taken by the industry to kind of curtail this practice because if you really look at the total industry cost being incurred at a net add level, this is very, very high. But it has to be a bit of an industry concerted action, whereby the gross acquisitions are driven more by the quality and the desire of the customer rather than by market incentives, which seems to be happening right now.
Kunal Vora: But if the churn level does go down, do you think the SG&A costs can come down meaningfully from current levels? Or we shoul d not bill that?
Akshaya Moondra:

Yes. If the level of gross additions comes down, that will definitely reduce the cost.
Kunal Vora: And lastly, on the postpaid, the customer additions, prima facie it looks strong. Is it M2M or it's like real customers?
Akshaya Moondra: So, on the postpaid in this quarter, the consumer numbers, there is a marginal change improvement, and the bulk of the increase is coming from M2M. However, we have made interventions in our postpaid strategy, both in terms of GTM and also i n terms of some of the organization structures. So, we are looking at better performance in the postpaid segment going forward.

Just one point, Kunal, I wanted to clarify is also and again, maybe you can have a discussion with us offline. But the P&L charg e of the SG&A costs is somewhat also impacted by the change in life of customers. So, the percentage increase that you may be seeing may be higher than it actually is. So, maybe you can have an offline discussion, we can give you what is the real increase in cost. It would not be as high as the percentage you are indicating, but I don't have a figure with me right now.
Moderator: Next question is from the line of Yung -Juen from AR Capital. Please go ahead.
Akshaya Moondra: Nirav, if somebody is speaking, we are not able to hear him.
Moderator: There is no response from the participant line. We'll move on to the next participant. The next question is from the line of K. Thakkar from KSL.
K. Thakkar: This is regarding exchange submissions about the litigation amounts which you have already submitted to the exchange. Can you just throw some light on your engagement with the concerned ministry and/or authorities about resolution of the said litigations? As we all know, with due respect to the court, this litigati on we have a history that goes on for years and years and not just for months for whatever reasons, which kills the near purpose of ease of doing business. And I mean, the reason is this amount totals to near Rs. 30,000 crores. And can you throw some light on how much amounts have been paid out of the Rs. 30,000 crores? And how much have been accounted for?
Akshaya Moondra: Let me give you a broad idea. I had quickly looked at this list. This is the first time these disclosures are being made by all compani es based on new regulation, and it's a fairly long list. I will give you an overall picture, and Murthy can add as required. If you look at our list of litigations, the main litigation on the regulatory side of a significant value is the one which is relat ing to one time spectrum charges which is right now in Supreme Court. Other than that, I mean, relative to the context, the other regulatory litigations are not that large. The other larger amounts which are appearing are in the income tax litigation. Unfo rtunately, the way the income tax litigations works is that there is a judgment by a higher authority, according to which some of the demands are not correct.
However, since the income tax assessments work on an assessment year basis, even some subjects which are covered by earlier judicial pronouncements at a higher authority, the same demands keep on getting raised each year, then you have to take it to tribunal to be setting based on the previous

judicial pronouncements. So, this is a cycle to be followe d. Now definitely, as an industry, we would be representing and we keep on representing this with the relevant ministries. Anyway, as far as DoT is concerned, we are constantly engaged with them. And as I said, there is only one major litigation left.
Inco me tax is not specific to telecom. This is generic. And we need to make a structural change so that the department should not really be raising demands in case there is a matter which has been decided favorably by a higher judicial authority.

For that structural change, we need to make that
representation stronger so that this unnecessary litigation can be avoided. I hope that's the point you're trying to make.

K Thakkar: Yes. Because I mean you all are in a better position. These things do come in talk s with your investors as well to secure funding because every time it seems that this is the only Company which is facing a lot of litigations and I mean, it is taking a lot of time to get a resolution . So, that is the reason that your engagement with the relevant or concerned authorities of the ministries to come up with some solutions where it is faster enough for going through the court procedures every time. That's it.

Akshaya Moondra: Thanks for that suggestion.

Moderator: Ladies and gentlemen, I now h and the conference over to Mr. Akshaya Moondra for closing comments.

Akshaya Moondra: Thank you, Nirav. We have reported 8 quarters of sequential growth in several key metrics, including ARPU and 4G subscribers. We remain focused on providing competitive d ata and voice experience at locations we are present and are building a differentiated digital experience, adding several digital offerings in recent months.

We continue to remain engaged with our lenders for further debt fundraising as well as with other parties for equity or equity -linked fundraising to make required investments for network expansion and 5G rollout to compete effectively. These discussions have gathered momentum and progressed well over the last couple of months. We have been improving ou r performance in the last 8 quarters with limited investments, and we are confident that with the investments coming onstream, we will be able to make more meaningful improvements in our overall performance.

Thank you all for joining this call, and all of you have a very good evening. Thank you.

Moderator: Thank you very much. On behalf of Vodafone Idea Limited, that concludes this conference. Thank you for joining us. You may now disconnect your lines. Thank you.

Call: Nov 2023

TM
4 November 2023

National Stock Exchange of India Limited
“Exchange Plaza”,
Bandra - Kurla Complex,
Bandra (E),
Mumbai – 400 051 BSE Limited
Phiroze Jeejeebhoy Towers,
Dalal Street,
Mumbai – 400 001

Sub: Transcript of Analyst / Investors Call (Regulation 30)

Ref: “Vodafone Idea Limited” (IDEA / 532822)

Dear Sir/Madam,

In terms of Regulation 30 of the SEBI (Listing Obligation and Disclosure R equirements) Regulations, 2015, please find enclosed transcript of the analyst / investors call held on 30th October , 2023 relating to the Company’s performance for the second quarter and half year ended 30th September 2023.

The same is uploaded on Company’s Website : www.myv i.in

The above is for your information and dissemination to the members.

Thanking you,

Yours truly,
For Vodafone Idea Limited

Pankaj Kapdeo
Company Secretary

Encl: as above

“Vodafone Idea Limited Q2FY24 Earnings Conference Call”

October 30 , 202 3

Vodafone Idea Limited
October 30 , 2023

Moderator : Good afternoon, ladies and gentlemen, this is Ziko, the Moderator for your c onference Call. Welcome to the Vodafone Idea Limited Conference.
For the duration of this presentation , all participant lines will be in the listen -only mode. After the presentation , a question -and-answer session will be conducted. Should you need assistan ce during th e conference call , please signal an operator by pressing ‘*’ then ‘0’ on your touchtone phone. Please note that this conference is being recorded.
We have with us today Mr. Akshaya Moondra – CEO of Vodafone Idea Limited ; and Mr. Murthy GVAS – CFO of Vodafone Idea Limited along with other key members of the senior management on this call.
I want to thank the Management Team , on behalf of all the participants, for taking valuable time to be with us. Given that the senior management is on this conference call , participants are requested to focus on the key strategic and important questions to make sure that we make good use of the senior

management's time. I must remind you that the discussion on today's call may include certain forward - looking statements and must be viewed therefore in conjunction with the risks that the Company faces. With this, I now hand the conference call over to Mr. Akshaya Moondra. Thank you, and over to you, sir.
Akshaya Moondra : Thank you, Ziko.
A warm welcome to all participants to this earnings call. Last week, our Board of Directors adopted the unaudited results for the quarter ending September 30, 2023. All the results related documents are available on the website and I hope you had a chance to go through the same . Let me provide a brief on our strategic initiatives and key highlights for the quarter. Post this, I will handover to Murthy to share details on the Company's financial performance.
Let me first talk about recently concluded India Mobile Congress
The co mpany through partnerships and with ecosystem players has developed a diverse range of use cases across enterprises, consumers and Community development, showcasing the transformative power of next -gen technology and the 5G network. The Vi booth presented an array of cutting -edge solutions under the theme 'Innovation for a Better Life'

We also showcased first ever advanced IoT solution 'Sanchaar Shakti' to make the ports of the country smarter, connected and more efficient at par with the world -class infrastructure. Developed in partnership with a couple of start -ups, Sanchaar Shakti solution is designed to propel the Hon'ble Prime Minister's amb itious Gati Shakti master plan into a reality by enabling an end -to-end journey of seamless flow of goods from port to the last mile with IoT, private 5G shaping and next -gen technology.
As one of the pioneers in delivering IoT enabled growth in India, we are committed to continue developing an IoT -centric ecosystem and empowering MSME's in their digital transformation journey with our ready for next solutions.
We are poised for next phase of growth with next gen technologies that will usher in a connecte d world with boundless digital innovative solutions across various sectors. We are confident about bringing a significant transformation in customer experience, drive operational efficiency and improve business performance for our partners and consumers wh ich further will positively impact the growth of the Indian digital economy.
Further, we showcased our curated ReadyForNext2.0 solutions like CPaas, Colocation & Cloud services, which can help SMEs on their digitization journey. We continue to use the inno vation in technology for public good across livelihood, education and digital -financial literacy.
Moving on to update on our strategic pillars, the first priority area for us is focused network investments
While our network investme

nts have been impacted on account of liquidity constraints we continue to
upgrade the existing non 4G sites to 4G by spectrum refarming. Over the last one year, we have added more than 800 unique 4G towers and over 5,800 4G broadband sites. As a result our broadband coverage as well as capacity has expanded. This helps us in utilizing our capex effectively while ensuring that we continue to offer superior customer experience in these areas as we continue to follow a focused approach to investments, biased towards our 17 priority circles which contribute over 98% of our revenue and around 92% of Industry revenue.
Our relentless pursuit to offer better 4G experience to our customers is clearly visible through these network investment initiatives. We also have the highest rated voic e quality in the country as per TRAI's "MyCall" app data for 30 out of 35 months between November 2020 and September 2023. On 5G, we are in discussion with various network vendors for finalisation of our rollout strategy. We continue to work with various p artners to develop use cases and build device ecosystem.

Moving on to market initiatives
Our brand "Vi", continues to garner good reception, building brand affinity across all customer segments in the country. The company continues to make extensive prog ress on the marketing front by communicating key differentiators to consumers, entering into alliances and introducing various innovative products and services.
We recently launched our new brand campaign - 'Be Someone's We ', rooted in the company's vision of being a partner to its customers; in building a better today and a brighter tomorrow. Humans have inherently been social beings. Since the evolution of mankind, humans have always been together to survive and thrive. Ho wever, today's world poses new types of challenges. Several studies indicate that people from all walks of life, especially the Gen Z & millennials are struggling with challenges such as loneliness and social isolation impacting their overall well -being. T his underscores the crucial need to establish genuine emotional connections in our ever evolving phy -gital world.
Bringing together the best of both worlds where physical and digital realms intertwine, our campaign

is designed to deliver a powerful message of supporting one another through both good and challenging times, even with the smallest of actions. It draws inspiration from everyday life scenarios to illustrate how a network can serve as a bridge for forming human/social bonds, promoting inclusivity and fostering a sense of togetherness.

Further, we continue to work on our offering to make them more relevant to the changing customer needs and behaviour and recently revamped our offerings to make them more relevant to the customers. India is a diverse country, where cultures, languages, and even last names often overlap. However, all telecom companies have traditionally offered 'one -size-fits-all' kind of plans. We recognized basis Urban Consumer Insights Trends report FY23 that consumers need more 'Ch oice' and 'control' on the benefits. Accordingly, we have pioneered a new era of personalization offering the freedom to select and customize benefits tailored to customers' unique preferences, reflecting the spirit of India's diversity. This initiative en ables our postpaid users the freedom to opt for exclusive lifestyle benefits across Entertainment, Foo d, Travel, and Mobile Security. Our focus is to empower our customers by granting them the autonomy to tailor their mobile experience to their unique preferences. By integrating preferred OTT subscriptions, enhanced security measures, and lifestyle privileges, we're delivering a holistic solution that resonates with the digital lifestyle of today's users. Vi

Max is a testament to our dedic

ation to driving v alue, power, and convenience for our cherished customers, enabling them to flourish in the digital era.

We continue to focus on getting more customers on 4G/Unlimited plans for further ARPU improvements. We have seen ARPU growth for nine consecutive quarte rs now. Q2FY24 ARPU stands at Rs. 142 compared to Rs. 139 in Q1FY24; a QoQ growth of 2.1%. On a YoY basis, ARPU has increased by 8.7%. You may recollect that at the end of last quarter, we had changed entry level pricing where the validity of Rs. 99 plan w as reduced from 28 days to 15 days in 4 circles. We have expanded this to 15 circles during the current quarter and we continue to observe the space and will make further interventions as we go forward. However, given that many of these tariff intervention s are taken during the month of August, the complete impact of these interventions is not reflected in this quarter. That said, tariff rationalization on the higher usage plans and moving to a structure of paying more for using more remains critical to ens ure the operators make reasonable returns on their massive network and spectrum investments.

Moving on to Business services

Business Services or enterprise segment, is one of our strength areas owing to our long standing relationships with our enterprise customers as well as our ability to leverage from the experience of Vodafone group in various global markets. We continue to make progress in line with our stated strategy of transformation from Telco to TechCo for our enterprise offerings. Our planned ex pansion of services beyond connectivity has seen good traction and we continue to work with multiple partners to make our offerings more relevant to enterprise customers.

In this fast -evolving digital era, enterprise needs have broadened for various servic es and solutions be it security, connectivity, or cloud. To cater to these growing needs and as part of our ongoing portfolio expansion, we have partnered with Yotta Data Services to enhance our data center Colocation and Cloud services portfolio. This par tnership will augment our extensive market presence with Yotta's strong position in high -quality data centers, cloud infrastructure and service delivery capabilities to aid the digital transformation journey of Indian enterprises. We are well -positioned to offer end -to-end solutions including colocation, managed hosting, public cloud, direct cloud connects and security on our high -speed network across the country.

We continue to strengthen our focus on the MSME segment through our 360 degree program Ready for Next 2.0. The program continues to support MSMEs in digital adoption, transforming their businesses and helping them unlock the growth potential of their business.

The next strategic initiative is driving partnerships and digital revenue streams

We ha ve set a strong digital roadmap for the company and have been executing the same through strategic partnerships, in our continuing journey of being a truly integrated digital services provider.

Over the last few quarters, we have significantly expanded our digital portfolio with addition of music and video streaming, gaming and e -Sports, jobs, education and digital advertising and we continue to add various features to our offerings. We are building most of these offerings on our Vi App,

Based on the trans formation Vi App & Vi Movies & TV app saw last year, we have seen significant improvement in our customer ratings on Play Store taking our app ratings to the best in Industry. We continue to maintain the same trend.

On the consumer side, we launched Vi On e – a converged proposition offering mobility, fixed broadband & content under a single plan during the quarter. It is an industry first proposition for the pre-paid customers. It is a pilot launch with our subsidiary You Broadband in 12 cities across 3 ci rc

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and now we are in the process of expanding it to other markets with other partners. This brings to the consumers a unified proposition offering mobility, broadband & content as one package, i.e. through a single plan - bringing convenience & value to the consumers.

We would like to reiterate that we will continue to have a disproportionate focus to build a digital ecosystem with our partners, enabling a differentiated experience for Vi users, which will help us to drive customer stickiness as well as provide incremental monetization opportunities.

We have a strong pipeline for Q3. We are in the final stages of launching propositions for connected TV, cloud gaming and a few new categories, where we have signed some strategic partnerships to drive monet ization. You will hear some news coming around that very soon.

Moving on to other highlights

The 4G subscriber base continued to grow for the ninth successive quarter and stood at 124.7 million as on September 30, 2023 vs 122.9 million in Q1FY24. An addit ion of 1.8 million 4G subscriber during

the quarter is highest 4G subscriber addition in last 8 quarters. With improving operations, we have seen lowest quarterly subscriber decline of 1.6 million since merger. The overall subscriber base stood at 219.8 mi llion.

Revenue for the quarter stood at Rs. 107.2 billion, a QoQ improvement of 0.6% aided by better subscriber mix and 4G subscriber additions. ARPU improved to Rs. 142, up 2.1% QoQ vs Rs. 139 in Q1FY24 primarily aided by change in entry level plan, 2G t o 4G upgrade and migration of subscribers to higher ARPU plans.

The overall data volumes were up 2.0% QoQ and we continue to see the increase in the data usage per broadband customer which now stands at ~15.8 GB/month.

With that, I handover to Murthy who will share the financial highlights for the quarter.

Murthy GVAS : Thank you, Akshaya. A warm welcome to each of you.

Quarterly Performance

As Akshaya mentioned, revenues for the quarter stood at Rs. 107.2 billion, a quarter -on-quarter improvement of 0.6%, aided by better subscriber mix and 4G subscriber additions. This is also the 9th consecutive quarter of growth in ARPU and 4G subscribers.

Quarterly EBITDA excluding IndAS 116, CAPEX improved from Rs. 20.2 billion in quarter one FY24 to Rs. 20.6 billion in quarter 2. The reported EBITDA stood at Rs. 42.8 billion as compared to R s. 41.6 billion in quarter one FY24. Further, the depreciation and amortization expenses and net finance costs for the quarter are Rs. 56.7 billion and Rs. 65.3 billio n respectively. Excluding the impact of IndAS 11 6, the depreciation and amortization expenses and net finance costs for the quarter stood at Rs. 41.8 and Rs. 56.3 billion respectively.

Following the Supreme Court ruling in October 2023 relating to the tax methodology on the revenue share license fees, a tax provision for the past periods of Rs. 8.2 billion and related interest has been considered in this quarter. The CAPEX spend for the quarter stood at Rs. 5.2 billion . The total gross debt excluding lease liabilities and including interest accrued but not due as at 30th September stood at Rs. 2,127. 8 billion comprising of deferred spectrum payment obligations of Rs. 1,351.3 billion and AGR liability of Rs. 681.8 billion that are due to the Government , debt from banks and financial institutions

of Rs. 78.6 billion and OCD s amounting to Rs. 16.1 billion. The net debt stood at Rs. 2,126.6 billion. The debt from banks and financial institutions has reduced by Rs. 72.2 bi llion during the last one year.

With this, I hand over the call to Zik o and open the floor for questions.

Moderator : Thank you very much. We will now begin the question -and-answer session. The first question is from the line of Sanjesh Jain from ICICI Securities.

Please go ahead.

Sanjesh Jain: First is on the subscriber side. We had a lower decline this quarter and 4G addition s also improved over last few quarters , and one of our peer s who has reported t heir number on Friday also showed higher subscriber addition. Is it a market wide phen omena and what is driving higher subscriber growth in the industry ?

Akshaya Moondra: It is a mixture of a few things combined together. One is that , of course , the market intensity is higher and the overall customer acquisitions and maybe the additions of customers in the industry is also increasing. As I have also probably said in the past is that the subscriber trends we see over the last few years is a mix of new subscribers coming in and multiple SIMs being consolidated. It is a little difficult to assess what is the impact of SIM consolidation. But I think probably that impact has reduced over a period of time, we should start seeing the real subscriber grow th figures. As far as Vi's performance is concerned , I think besides the normal performance improvement that we are focusing on in terms of getting better subscriber additions during the quarter and I think after a long time while the figure is quite nomin al, we've also seen a positive trend on the consumer side of the postpaid business . So, I think that is also helping, but one of the main reasons for the trend in this quarter is that we have participated in a government scheme and that has brought in significant number of new subscribers including 4G subscribers, so that is one of the things which has helped us in this quarter. But even without that, we would have seen an improving performance in this qua rter over the previous quarter.

Sanjesh Jain: Fair enough. Second on the cash management side, I think bank debt with the Q2, we said that a significant pressure on us will be behind. So, now for second half, what is the bank payment left and how do we plan to incrementally utilize the capital with the repayment pressure coming down? Will it significantly go towards increasing the CAPEX?

Akshaya Moondra: No. We continue to incur some minimal CAPEX and that will continue as to the necessary CAPEX in terms of where we are operating today. However, our growth CAPEX in terms of expanding our 4G coverage and also rolling out 5G which will go side by side will happen based on the new funding being tied up. In the interim, since our cash generation will now be more than our debt servicing, we intend to use this for meeting our regular requirements, regular CAPEX and then to some extent this will go towards reducing the vendor outstanding. But any significant CAPEX will happen after the new funding is tied up.

Sanjesh Jain: And on the funding side, is it fair to assume that we are closer in terms of pro curing the funding now?

Akshaya Moondra: I had alluded in the last call that we have made progress after the gov ernment conversion had happened. D iscussions are progressing and we've again made progress since our last earnings call. I would expect that we should be able to conclude these discussions , which are relating to the equity investors in this quarter, which is also what I had indicated in the last quar ter. With the banks, the discussions have happened earlier and currently the focus is on tying up the equity investment basis which the banks will process the request for bank funding and process t heir internal approval.

Sanjesh Jain: Fair enough. One on the I oT side , the capability showcases also coming from the technology transfer from Vodafone PLC because I think they are one of the largest as far as Io T goes ?

Akshaya Moondra: Yes, that is right. We benefit a lot from what is happeni ng at Vodafone Group and their leadership position in the IoT segment. And I would describe this as two different parts. One is the volume driven I oT segm

ent, which is generally going in metering and PoS applications where it doesn't require any significan t support from Vodafone Group as it is more Indian business and that is supported by the India team. But if you look at the automotive sector, Vodafone Group is kind of leader in that. So, wherever value added I oT applications are involved , we do benefit from them and that is the reason why we also have the leadership position in the automotive sector in India today.

Sanjesh Jain: Got it. One last bookkeeping question , Akshaya . This Rs. 822 crores of tax liability or what we have recognized, how much of it is interest cost and how much of it is principal?

Akshaya Moondra: I'll request Murthy to respond to that.

Murthy GVAS: So, Sanjesh , the 8.2 billion is actually the tax charge and interest is additional.

Sanjesh Jain: Okay, this is only the tax charge and interest will be over and above.

Murthy GVAS : Yes, that's right.

Sanjesh Jain: And we have not provisioned for it, Murthy ?

Murthy GVAS: We have provisioned for it.

Sanjesh Jain: But not through P&L or it is sitting in the interest cost?

Murthy GVAS: It is sitting in the interest cost.

Sanjesh Jain: And what will be that number?

Murthy GVAS: We will not be able to share that with you separately because it is a mix of various things . The tax figure was more relevant.

Akshaya Moondra: Anything which is provided right now will give you a benefit later on. Since in our position we are not recognizing a deferred tax asset at this point of time so that contra effect is not appearing and I would say some of these provisions have also been taken on a bit of a conservative side. We believe that it could actually be lesser than this, but I think there are many interpretation issues and I would say this has been taken more on the conservative side.

Sanjesh Jain: And Akshaya, this should be paid in the cash immediately if it crystallizes or can you adjust

against the deferred tax you have ?
Akshaya Moondra: One is that we have large amount of tax refunds which we still have to receive from the tax department. Again , this is multiple years and it's a compl icated thing, but to my mind, most of it, if anything happens which will take some time because just to be clear, these calculations if somebody has to do they date back to the year 2000 and you do a cumulative calculation from that time. We've done a quic k calculation. I think these can convert to actual cash outflow once the tax department has done their working, they kind of come up with what the ir interpretation and calculation and there will be some difference of opinion on the interpretation, so I thi nk it will take some time but

most likely, and Murthy can add to that whether this would largely offset the tax refunds rather than resulting in incremental cash outflow.
Murthy GVAS: Yes, that's right. Sanjesh , the tax refunds are higher than this amount, but currently we have not seen the demand . So, till such time, there's a trigger either at an ITAT or a High Court pertain ing to that year because of other disallowances , then that will lead to the tax officer recomputing tax liability . This will not lead to any outflow immediately.
Moderator: Thank you. Our next question is from the line of Kunal Vora from BNP Paribas. Please go ahead.
Kunal Vora: First one, how is the launch of 5G by competition impacted you so far? Are any of the corporate customers demanding that you offer 5G and would you say that like so far the impact is not much or it's something w hich is becoming worrisome?
Akshaya Moondra: Kunal, as you can understand, this is something which we track on a regular basis and we do believe that we will need to have 5G , but until now we have not seen any significant impact of 5G not

being with us and being with competition. And the reason for that is that let's say, if we look at our trends of churn for 5G device owners and non -5G device owners, there's no significant difference which would be relevant . Also if we look at the postpaid subscribers, which then generally is seen as a kind of surrogate for the higher ARPU subscribers or people with more 5G devi ces, actually in that segment in this quarter we have after a long time seen a grow th in the net ads in the consumer segment . So, really speaking , both these are indicators that this is not impacting us so much. And the reasons for that are that while 5G is a good technology, whether consumer feels the difference is one thing. And second, as we have discussed that while today people are not paying f or 5G usage as and when it comes to time for payment of 5G usage , currently, the experience on a small handset device is not that different. But your data consumption for watching, let's say YouTube video would be much higher. It is one of the challenges w hich ultimately will be there and those who understand it, they may find that. Of course, as the networks get a little more ubiquitous , experience of people on 5G will improve. So, I would say it will deliver a good experience over a period of time, but wh ether people are driven by the need for 5G, we've not seen an y significant impact until now.
Kunal Vora: Thanks for that. Second one is on SG&A costs down this quarter . Last year , this number had seen a sharp increase. Do you see the numbers stabil ize or moderate going forward?

Akshaya Moondra: The SG &A cost, generally , on the customer acquisition part, which is the part of this cost, the cash cost would have gone up a little bit in this quarter. But if you recollect , last quarter we had made a change in the life of customer. Because of which, the deferment being lesser, the impact on the P&L was higher . So, this quarter, there is no impact because of the change in life. So, from a P&L charge, it is appearing better and we've also taken some initiatives to reduce the cost on the SIM side. So, just from a pure market a ctivity, given that our gross a dds are higher in this quarter , our overall market -based customer cost of acquisition has increase d. But that has been offset by other savings, largely in cost savings, as the deferment being higher in this quarter because last quarter we had changed the life of the customer.
Murthy GVAS: Also, there have been certain cost initiatives on the content side, which has led to certain savings, which we expect to cont inue.
Kunal Vora: Okay , thanks. And is there any change in compe titive intensity in the market?
Akshaya Moondra: It is somewhat higher than what we saw in the last quarter particularly on the industry side .
Kunal Vora: Thanks. And you had announced the pr omoters would support Vodafone I dea to the extent of Rs. 2000 crore s. Is there any update on this and you made a payment of Rs. 1,700 crore to government recently. Did you get any funding from promoters?
Akshaya Moondra: No. In the last quarter, we had gotten a letter from the promoters that they will support us to the extent of Rs. 2000 crore. Till date they have not actually contributed anything. We had gotten some bank funding to tide over the short term mismatch that we had in the last quarter.

The promoters ' commitment is there. They have said that they will support as and when required. And we expect that this promoters ' contribution should also come alongside the tie up with the external investor.
Kunal Vora: But is that subject to external funding coming in, or even without that, the Rs. 2000 crores will come?
Akshaya Moondra: It is not subject to that. But the expectation is that both can happen together, but it is not subject to that. Most likely this will conclude in t

his quarter. That's our expectation.

Kunal Vora: And any impact of Jio Bharat that you 've seen so far?
Akshaya Moondra: Actually not very much, and the best i ndicator of that would be that, this was the quarter where we did most of our intervention of changing the entry level pricing , and that would probably have been a factor because the Jio Bharat phone was targeted more towards the people who were on entry level pricing or let's say, who wer e on the non-unlimited plan. So, if that was going to happen , significant impact or any impact at all, I think it would have reflected some impact on as we took the changes in the entry level price. Since that has not happened, that is one very clear indicator from an external perspective. But let's say this is not the subject of discussion anymore because it's not had any impact, so to say.
Kunal Vora: And lastly on the Supreme Court decision, would you be looking to contest it or do you think it does not really have any meaningful cash impact to like?
Murthy GVAS: So, we are evaluating that and we'll take some time on this.
Moderator: Thank you. Our next question is from the line of Himanshu Shah from Dol at Capital. Please go ahead.
Himanshu Shah: So, one question. We went back to Supreme Court filing a curative p etition with respect to the differences or errors in the AGR liability. So, just want to understand what is the difference that we are envisaging ? And why we are going back after almost a gap of 2 .5 years since this amount was crystallized o ver the last Su preme Court judgment ?
Akshaya Moondra: Before I answer this question, let me just say that the matter is before the Supreme Court. And so any response that I'm giving should be seen in light of the fact that this is subjudice. I'm just trying to provide as much clarity and information on the subject, but ultimately the final result will be what the court decides. Having said that, if you remember that , we have been at multiple times saying that there are errors in the demands a nd the Supreme Court judgment, which was given in 2020, had kind of mentioned that the demand which was captured in the affidavit filed by the DoT in the court at that time where this information was sought was kind of fixed, although DoT in their own filing the affidavit, they had said these are provisional in nature. Now post that , we had filed a review petition against the judgment of October 19, which was disposed of. And then we had filed another review petition post the judgment of 2020. This was file d in 2021. That review petition has not been disposed

off. And since that was taking some time, we thought that at this point of time it would be best to file a curative petition because looks like the review petition one was rejected. In any case, we had to address that. And the other one was not progressing. So, one thought earlier was that both the review petitions w e disposed of, they were relating to the same matter and then file the curat ive, but since that was taking some time, we finally decided that we should file the curative petition. In terms of the fact that there were errors and demands , this has been a matter of public knowledge. In fact, when the judgment was announced, DoT had asked us to do a self -assessment exercise, which was then kind of not proceeded with because that was the court direction. We had also filed our figures of self - assessment and all. So, it is clear knowledge that there are some errors in those demands and we have requested the Supreme Court to allow the D oT that if th ere are any errors in these demands, they can be corrected because I don't think any government would like to recover demands which are not r ight. The second prayer in the curative petition is also seeking waiver of penalty and intere

st thereon. And
the ra tionale for this is that since till the time the last judicial pronouncement of this was given by the Tribunal , I think somewhere in 2015 the matter was largely divided in favor of the industry . So, really speaking, there was no opportunity to pay because the matter was decided in favor of the industry largely, and at that time TDSAT had directed the D oT to issue fresh demand based on the TDSAT judgmen t at that time. However, since D oT had gone into appeal in Supreme Court, they had not raised any revised demands at that point of time. So, basically the intention of the service providers is that there should not be any penalty levied , interest itself is the time value of money is being c overed by that, and in this case the interest itself was penal in nature. So, in summary, there are two prayers, one

is allow and direct the D oT to make correction in the demands which they had provisionally raised earlier. And secondly, waiver of the pena lty and interest on penalty there.
Himanshu Shah: Sure, s ir. This is very helpful and very clear. Just a small follow -up on this. Will there be any kind of hearings on the curative petition or the co urt will just review the filings and basis that they will unanimously decide on the curative p etition , whether to give any kind of revision or not, this is one? And are there any timelines with respect to the curative petition outcome?
Akshaya Moondra: Himanshu, I'm not an expert on the subject , so don't hold me to what I'm saying, but my best understanding today is that first the court has to decide whether they will admit the curative petition or not, and that is the first decision to be taken. If it is decided that it will be taken , our sense is it would most likely be heard in the court, but I'm not sure about that. In terms of timelines, I think we cannot comment o n the timeline that is for the court to decide.

Himanshu Shah: Very helpful. So, with respect to one equity funding from external parties, any color you can provide on the quantum of fundraise that we are loo king for from external parties?
Akshaya Moondra: I think Himanshu, while we are working on specific figures, given the nature of these discussions and the sensitivity around the m, I would avoid answering that question at this point of time. But let me just put it this way if it is of any help that we have a business plan with an investment plan and basically the total equity plus bank funding that we are targeting is of a nature that we should be able to use that funding to make the investments and then improve the operations to a point where the balance sheet of the Company is addressed to an extent that we then become self -sufficient both in terms of cash generation from busines s being able to meet our requirements largely and if there is any gap to be able to raise new funding . So, all that I can say is that we are looking at an overall funding which will meet our requirements where currently our cash generation is less till we get to a point of self-sufficiency based on our projects.
Moderator: Thank you. Our next qu estion is from the line of Aliasgar Sh akir from Motilal Oswal. Please go ahead.
Aliasgar Shakir: First question was on your network coverage. So, while I see your coverage both in terms of population coverage as well as consensus towns have improved or at least remain stable, but your unique sites have to some extent, although very little but kept reducing. Are these overlapping sites therefore that we are reducing because also your total broadband sites have reduced or how should we see going forward in terms of our unique sites coverage expansion ?
Akshaya Moondra: The real figure to be seen in terms of network coverage is the network coverage in terms of population, which is improving. And the point you are mentioning is mos

tly technical. What is
happening is a lot of 4G is coming out of a 2100 frequency band b eing deployed for 4G . So, let us say that if in a particular circle we had deployed some 2100 for 4G already , but we're using one carrier of 2100 for 3G because that was the need based on the 3G devices in that location or in that circle. That would be counted as one 3G site in 2100 and one 4G site in 2100. Now, if that spectrum is ref armed to be used completely for 4G , then what you would say is that the number of 4G sites remains the same, but the number of 3G sites reduces . So, what is happening is that the overall broadband sites would show a reduction. So, that part is only technical. I think our capacity has been constantly increasing.

Our coverage is increasing , though marginally and this reduction in broadband sites is more technical because of what I explained to you.
Aliasgar Shakir: Understood. This is very clear. And what about the unique towers, although that has reduced by a very little amount, but that has also been reducing every quarter. So, how should we read that?
Akshaya Moondra: So, let me answer that based on what I can tell you and if there' s anything that Murthy or others would like to add , they can do so. One of the reasons is that currently we are not rolling out new physical site , that is very few and some of these sites which are getting closed down are also because of landlord issues or those kinds of issues . So, some closures keep happening for that reason, and I think it should be largely representative of that reason unless Murthy wants to add something on that part.
Murthy GVAS: So, if we look at these numbers on a quarterly basis, there's hardly any difference except for a few and that I think is just normal.
Akshaya Moondra: So, that must be because of these, either because there is some safety concern, which govern ment authorities kind of say this has to be closed or there is any landlord issues and the landlord says that we don't want to con tinue with that site . I think a minor reduction is happening probably on that count and since our new rollout is minimal at th is point of time, you may be seeing a decline. This closure of sites happens with everyone , but because they rolled out more sites, so it may

not be appearing so in the other case.
Aliasgar Shakir: Got it. This is clear. Second question is on the subscriber churn and dilution. While you did emphasize that you may have not seen as much impact in the low subscriber category because of the competition, but more so because of the revision in the price pl an that you have done. Having said that, the 4G subscriber base has seen improvement. So, if you can just give us the overall perspective in terms of dilution, where are we seeing this, is it mainly only in the lower ARPU category and the premium segment w e are gaining customers or how should we look at this , if you can just share some light ?
Akshaya Moondra: While in this quarter w e have had a price intervention, g enerally speaking, post - December 21, there has not been any significant price intervention except this one where we changed

the entry level pricing . And if ARPU is improving in that scenario, it is based on some interventions and upgrade of subscribers. So, it is very clear that on an overall basis, the subscribers are getting added to the higher ARPU category. In terms of churn, you're right that we are seeing most of the churn at the lower ARPU categories and some of it might have also been accelerated by the change in entry level price . So, I think that lots of subscribers churn is happening at the lower ARPU segment. So, I don't know was this your question and have I answered it or you're wanting to understand something?
Aliasgar Shakir: Yes, so point is basica

lly at the premium end we have been able to more or less protect
the customer base.
Akshaya Moondra: That's right. And as I said, in this quarter, we have also seen after a fairly long period of time, we've seen an ov erall decline in the number of s ubs and also on net addition in the postpaid sum, that's a marginal number. But that has happened after a long period of time. And that clearly shows that in terms of attractiveness of our proposition as far as subscribers are concerned, we are moving in the right direction.
Aliasgar Shakir: Right, got it. And just last bookkeeping question. So, we have about Rs. 7,174 crore of debt which is coming up due before 30th of September, 2024. So, would you be able to share, is this entirely coming on the 30th? Or it is coming in tranches and what are those dates and is this bank debt or are there any government obligations also part of this?
Akshaya Moondra: Let me try and answer to the extent I can and then Murthy can add on to that . So, firstly, this is spread over a period of time. Secondly, this is excluding the covenant breach related reclassification. It includes Rs. 1,600 crores of OCD s, which were issued to ATC. And if those get converted , then this will not need to be serviced. So, that is one part. The rest is bank debt, which is spread over , which is in the nature of amortizing th is. I think one main figure would be that there is Rs. 2,000 crores of debt which we had taken in the quarter gone by as we said for taking care of the short term funding gap. And that will be rep aid in next quarter, which is Q4 FY 24. So, that is a larger debt servicing , otherwise the remaining debt is more of an amortizing nature . Murthy, is it right that 7 ,174 includes the OCDs of ATC?
Murthy GVAS: Yes, that's right.

Aliasgar Shakir: So, rest of the nearly Rs. 5,500 crore is spread across different period s of the year, right? And out of that Rs. 2000 crore as you mentioned is one tranche which will come in 4Q?
Murthy GVAS: Yes, that is the single large tranche . The rest of it is mostly amortize d.
Moderator: Thank you. Our next question is from the line of Santosh Sinha from Emkay Global. Please go ahead.
Santosh Sinha: My question is regarding this Rs. 822 crores tax charge post Supreme Court judgement, so how judg ement will actually impact the P& L going forw ard. That is my first question and second is regarding any major cash payment that has to be done in 12 months. So, these are my two questions.
Murthy GVAS : The first is that you see what the Supreme Court said is that the revenue share license fee, the tax allowability of that would be in line with the upfront license fee that was paid at the time of acquiring any license. And since that's happening now, then what will happen is that if you take a 20 - year period of a license, then in that case one will tend to get 1/20th in the first year, 1 /19 plus the 1/20th in the next year. So, it's basically a waterfall that will happen and the second half of the license period , one gets better tax allowability as compared to the first half of the license period. As far as we are concerned, given that we are into losses , this is a onetime charge for the past years until such time that we get back to profitability while the taxable computation would obviously be a little lower than your book loss, it does not result in any tax outflow . This would possibly affect organizations and entities which have a taxable profit rather book profit because to the extent th e tax profit would be higher.
Moderator: Thank you. Our next question is from the line of Sohan Joshi from ASC Consultants. Please go ahead.

Sohan Joshi: Just one confirmation . In one of the previous question s, you said that since you have a good amount of cash now available be cause sizable chunk of the debt has been paid and you will

be
clearing the outstanding dues of the vendors. So, is it that before receiving those external funding and promoters funding , we are targeting a certain higher percentage for clearing the vendor payment so that the balance funding will then be entirely deployed for the growth CAPEX only?
Akshaya Moondra: Whenever anybody is providing capital today , the basic driver of that capital is that it should be invested in growth CAPEX because that is the m ain reason why the lack of investment is

preventing our ability to compete in the market , primarily the lack of 4 G coverage. So, any new funding which is coming either from equity or from banks, the main objective of that funding is growth CAPEX . However, given the fact that we have accumulated some vendor over due and which is also happened somewhat because of the fact that we have continued to pay the bank debt on schedule on a regular basis , we are in discussion with our funding pro viders that some part o f that we earmark to clear the part of the vendor overdue and the rest will be cleared over a period of time out of the internal cash generation.
Sohan Joshi: That was helpful, s ir. The second question, we have a significant stake in one of the vendors ’ entity. So, up to last year there were plans that we might plan to s ell out some stake in Indus. Is it that we might go ahead next year to sell out some of the stake in Indus or will continue the current capital allocation only ?
Akshaya Moondra: Vodafone I dea does not have any stake in Indus . That stake in Indus is led by Vodafone Group . I cannot comment on behalf of Vodafone PLC. That is a question t hat can only be answered by them .
Moderator: Thank you. Ladies and gentlemen, that was the last question of our question and answer session. I now hand the conference over to M r. Akshaya Moo ndra for closing comments.
Akshaya Moondra: Thank you, Ziko. With improving operations, we saw the lowest quarterly decline in subscribers post merger. We have reported 9 quarters of sequential growth in ARPU and 4G subscribers. We remain focused on providing competitive data and voice experience at locations where we are present and are building a differentiated digital experience adding several digital offerings in the recent quarter. Our share in gross customer addition continues to remain higher than our customer market share for last several quarters, clearly reflecting our ability to compete in the market once the investments are in place. We continue to remain engaged with our lenders for further debt fundraising as well as with other parties for equity or equity link ed fundraising to make required investments for network expansion and 5G rollout to compete effectively. We have been improving our performance with limit ed investments and we are very confident that with the investments coming on stream, we will be able to make more meaningful improvements in our overall performance. Thank you all for joining us on this call. Have a very good evening. Thank you.

Moderator: Thank you. On behalf of Vodafone Idea Limited, that concludes this conference. Thank you for joining us and you may now disconnect your lines.

Call: Feb 2024

TM
06 February 2024

National Stock Exchange of India Limited
“Exchange Plaza”,
Bandra - Kurla Complex,
Bandra (E),
Mumbai – 400 051 BSE Limited
Phiroze Jeejeebhoy Towers,
Dalal Street,
Mumbai – 400 001

Sub: Transcript of Analyst / Investors Call (Regulation 30)

Ref: “Vodafone Idea Limited” (IDEA / 532822)

Dear Sir/Madam,

In terms of Regulation 30 of the SEBI (Listing Obligation and Disclosure Requirements) Regulations, 2015, please find enclosed transcript of the analyst / investors call held on 30th January, 2024 relating to the Company’s performance for the third quarter and nine months ended 31st December 2023.

The same is uploaded on Company’s Website: www.myvi.in

The above is for your information and dissemination to the members.

Thanking you,

Yours truly,
For Vodafone Idea Limited

Pankaj Kapdeo
Company Secretary

Encl: as above

“Vodafone Idea Limited Q3 FY24 Earnings
Conference Call”

January 30, 2024

Moderator : Good afternoon, ladies and gentlemen. This is Neerav, the moderator for your conference call. Welcome to the Vodafone Idea Limited Conference .
For the duration of this presentation, all participant lines will be in the listen only mode. After the presentat ion, a question -and-answer session will be conducted. Should you need assistance during the conference call, please signal an operator by pressing ‘*’ then ‘0’ on your touchtone phone. Please note that this conference is being recorded.
We have with us tod ay Mr. Akshaya Moondra – CEO of Vodafone Idea Limited and Mr. Murthy GVAS – CFO of Vodafone Idea Limited, along with other Key Members of the Senior Management on this Call.
I want to thank the Management Team on behalf of all the participants for taking valuable time to be with us. Given that the Senior Management is on this Conference Call , participants are requested to focus on key and strategic and important questions to make sure that we make good use of t he Senior

Management 's time.
I must remind you that the discussion on today's call may include certain forward -looking statements and must be viewed therefore in conjunction with the risk that the Company faces. With this, I now hand the conference call ov er to Mr. Akshaya Moondra. Thank you and over to you, sir.
Akshaya Moondra : Thank you Neera v. A warm welcome to all participants to this Earnings Call . Yesterday, our Board of Directors adopted the unaudited results for the quarter ending December 31, 2023. All the results related documents are available on the website and I hope you had a chance to go through the same. Let me provide a brief on our strategic initiatives and key highlights for the quarter. Post this, I will handover to Murthy to share d etails on the Company’s financial performance.
Our first strategic initiative is our focused investment approach
Our network investments have been impacted on account of liquidity constraints but we continue to upgrade the existing non 4G sites to 4G by spectrum refarming. Over the last one year, we have added almost 700 unique 4G towers and over 5,200 4G broadband sites. As a result, our broadband coverage as well as capacity has expanded. So far we have shut down 3G services in 5 circles of Gujarat, And hra Pradesh, Maharashtra, Mumbai and Kolkata by refarming the spectrum in these circles to 4G. This helps

us in utilizing our capex effectively while ensuring that we continue to offer superior customer experience in these areas. W e continue to follow a fo cused approach to investments, biased towards our 17 priority circles which contribute over 98% of our revenue and around 92% of Industry revenue.
Further, to ensure a seamless network connection to all visitors and pilgrims arriving at the city of Ayodhya, we improved our network coverage, increased capacity, and enhanced backhaul connectivity by augmenting the network across all spectrum bands in the city of Ayodhya. Covering all the major points across the city, we significant ly added new sites, u pgraded or refarmed L2100 spectrum capacity across nooks and corners of city including Ayodhya Railway Station, Ram Mandir Campus, the airport, and the connecting highways to Lucknow and Varanasi. Our relentless pursuit to offer better experience to our cu stomers is clearly visible through these network investment initiatives.
On 5G, we are in discussion with various technology partners for finalisation of our 5G rollout strategy as well as working with many partners to develop use cases relevant to the In dian market and partnered with leading handset manufacturers to test their extensive 5G smartphone portfolio on our 5G network. We are also in advanced stage of trials of Open RAN and embracing new technologies such as virtal RAN.
Moving on to market initiatives

Our brand “Vi”, continues to garner good reception, building brand affinity across all customer segments in the country. The company continues to make extensive progress on the marketing front by communicating key differen tiators to consumers, entering into alliances and introducing various innovative products and services.
Our new brand campaign - ‘Be Someone’s We’ delivered a powerful message of how a mobile network can serve as a bridge for forming human/social bonds, p romoting inclusivity and fostering a sense of togetherness. The campaign focused on deepening emotional affinity to build positive momentum and consumer connect for Vi. This campaign was promoted across TV, digital & on ground. To promote the campaign, var ious on -ground engagements were carried with NGOs, old age homes etc. to celebrate the brand’s promise of ‘Being Someone’s We’ with people who are experiencing loneliness. Our employees, along with more than 500 kids from NGOs created a Guinness World Rec ord for largest notebook sentence, with over 23,000 notebooks across 1 lakh sq.ft to generate awareness of ‘Be Someone’s We’. These notebooks were then distributed amongst the children, bringing a smile on their faces.
Further, in our endeavor to offer unp recedented benefits, we introduced 'Choose Your Benefit' on Vi Max postpaid —a pioneering feature allowing customers to customize plans based on their needs. This

marked the end of an era for postpaid plans that were one -size-fits-all. The launch was suppor ted by a comprehensive 360 -degree campaign, encompassing outdoor, print, and commercials aired throughout the World Cup. During the festive season, Vi HERO Unlimited promotions seamlessly integrated the celebratory spirit, enabling customers to maximize th eir experience with Vi Hero Unlimited. Further, through our international roaming campaign, we emphasized our exclusive benefit of truly unlimited calls and data on international roaming available for both prepaid and postpaid customers. It was promoted to our customers travelling overseas through contextual placements on travel portals and via WhatsApp messages.
You may recollect that we had changed entry level pricing where the validity of Rs. 99 plan was reduced from 28 days to 15 days. This has been exp anded to 16 circles now and we continue to observe the space and will make further interventions as we go forward. Major impact of these interventions is

reflected in this quarter. We continue to focus on getting more customers on Unlimited plans for furth er ARPU improvements. We have seen ARPU growth for ten consecutive quarters now. Q3FY24 ARPU stands at Rs. 145 compared to Rs. 142 in previous quarter; a QoQ growth of 2%. On a YoY basis, ARPU has increased by 7.4%. That said, tariff rationalization on the higher usage plans and moving to a structure of paying more for using more remains critical to ensure the operators make reasonable returns on their massive network and spectrum investments.

Moving on to Business services

Business Services or enterprise segment, is one of our strength areas owing to our long standing relationships with our enterprise customers as well as our ability to leverage from the experience of Vodafone group in various global markets. We continue to make progress in line with our s tated strategy of transformation from Telco to TechCo for our enterprise offerings. Our planned expansion of services beyond connectivity has seen good traction and we continue to work with multiple partners to make our offerings more relevant to enterpri se customers.

In this fast -evolving digital era, we are the first and only provider of 'Rich Business Messaging' in India which is a communication channel provided by Vi for Android devices. We have successfully delivered 2Bn messages during the year. This is a new visually appealing medium for enterprises to reach th

eir
customers and has distinct feature benefits like:

- Two way conversation from the customer's default messaging inbox
- rich content like images, pdf, gifs, videos over SMS

- Enterprises can do 1: 1 communication in a much more segmented and Branded way where the brand name and company logo is visible
- Enhanced security features like 'Verified Shield Badge' , Whitelisting and firewall protection against SPAM and Fraud
- The digital User Experience Int erface allows for many experience features like Url embed , Location share, Carousal scrolling of content along with capabilities of chatbot and real time analytics

It helps enterprises improve their ROIs and offers multifold use cases through the purchas e cycle i.e. bookings, reminders, status of purchase and delivery confirmations to name a few.

During the quarter, Vi Business has been honored with Frost and Sullivan Best Practices Award 2023 wherein our Smart Mobility solutions have received the 2023 En abling Technology Leadership Award and our Session Initiation Protocol i.e. SIP Trunking services have received the 2023 Technology Innovation Leadership Award for the second time in a row.

The next strategic initiative is driving partnerships and digital revenue streams

We have set a strong digital roadmap for the company and have been executing the same through strategic partnerships, in our continuing journey of being a truly integrated digital services provider . We are building most of these offerings on our Vi App.

We recently integrated 'utility bill payment' functionality on Vi app enabling our users to pay their electricity bills, water bills, LPG bills, recharge FASTAG, renew their DTH or broadband subscrip tions or pay insurance premium / Loan EMIs. Further, leveraging telco data and access capabilities to create a Digital marketplace, we have launched 'shop' section on Vi App in partnership with leading players across categories like entertainment, food, sh opping and travel.

We also inked a strategic partnership with EaseMyTrip to enable flight bookings from Vi app with exclusive offers for Vi customers. We will soon be adding hotel, train and bus bookings. We have a clear roadmap to scale each of these stre ams and that's going to be our focus in the coming quarters.

We recently launched our first bundled proposition with Amazon on prepaid, bundling Prime Video Mobile Edition with prepaid unlimited packs. In the coming weeks, we would be expanding this portfo lio. We have also developed TV apps for Vi Movies & TV that will support multiple TV operating systems like Android or Google TV, Firestick, Taizen and others. These will be launched to consumers very soon.

As you may remember, we offer gaming on our Vi ap p wherein we have hyper casual games in partnership with OnMobile, some casual games li ke Solitaire, Ludo etc and also e-Sports in partnership with Gamerji. We have recently expanded our offering with a strategic partnership with a global gaming leader Gam eloft. Our customers can now access Gameloft originals and other popular game titles such as Danger Dash, Block Breaker Unlimited, Asphalt Retro, and more. We also entered into strategic partnership with the global eSports major 'Team Vitality' to build a strong offering into eSports. These partnerships underscore our commitment to provide the best in category gaming options and experience to mobile gamers.

On Jobs front, we recently got into a strategic partnership with Job Hai, an InfoEdge group company, to strengthen our Jobs proposition by providing early & exclusive access to new jobs and a guaranteed interview within 48hours of applying for a job.
Based on the transformation Vi App has seen over the last year, our customer ratings on P lay Store have improved taking our app ratings to the best in Industry

. We continue to maintain the same trend.
Further on the customer servicing front, we remain focused on providing best customer experience. We have seen reduction in the overall custom er complaints. Also in line with evolving customer behavior, around 60% of our customer service requests are raised digitally compared to 40% a year ago.
We would like to reiterate that we will continue to have a disproportionate focus to build a digital ecosystem with our partners, enabling a differentiated experience for Vi users, which will help us to drive customer stickiness as well as provide incremental monetization opportunities.
Moving on to other highlights
The 4G subscriber base has continued to grow for the tenth successive quarter and stood at 125.6 million as on December 31, 2023 vs 124.7 million in Q2FY24. The overall subscriber base stood at 215.1 million.
Revenue for the quarter stood at Rs. 106.7 billion. Pre -IndAS EBITDA at Rs. 21.4 bi llion is highest in last 11 quarters. ARPU improved to Rs. 145, up 2.0% QoQ vs Rs. 142 in Q2FY24 primarily aided by migration of subscribers to higher ARPU plans, higher uptake of data sachets and higher international roaming revenue as well as changes in entry level plan.
As for f unding discussions, these are in progress with investors, and given the nature of these discussions, we will not be able to respond to any queries on this subject.
With that, I handover to Murthy who will share the financial high lights for the quarter.

Murthy GVAS: Thank you Akshay a. A warm welcome to each of you.
As Akshay a mentioned , revenues for the quarter stood at Rs. 106.7 billion , a year -on-year improvement of 0.5% aided by improving subscriber mix and change in entry level plan. This is also the 10th consecutive quarter of growth in ARPU and 4G subscribers . Quarterly EBITDA excluding IndAS 116 improved by 6.8% on a year -on-year basis to 21.4 billion compared to Rs . 20 billion in Q3FY23 and the EBITDA margin improved to 20%. The reported EBITDA stood at Rs . 43.5 billion as compared to 41.8 billion in Q3FY23.
Further depreciation and amortization expenses and net finance costs for the quarter are Rs . 56 billion and Rs. 64.9 billion, respectively . Excluding the impact of IndAS 116, the depreciation & amortization expenses and net finance costs for the quarter stands at Rs. 41.2 billion and Rs. 55.8 billion, respectively. The exceptional line item of Rs. 7.6 billion represents the excess amount paid towards the difference in the administrative spectrum price and the auction price at the time of merger as acknowledged by DoT and directed by T DSAT this quarter .
CAPEX spends for the quarter stood at Rs. 3.3 billion and CAPEX for the nine months at Rs. 13 billion. The gross debt excluding lease liabilities and including interest accrued but not due as at December 31st, 2023, stood at Rs. 2,149.6 billion comprising of deferred spectrum payment obligations and AGR liability of Rs. 2,072.6 billion out of w hich 1,885.5 billion is under moratorium and the balance 187.1 billion is payable in annual installments. The debt from banks and financial institutions stands at Rs. 60.5 billion and the balance 16.6 billion is towards optionally convertible debentures. T he net debt stood at Rs. 2 ,146.4 billion.
With this I hand over the call to Neerav and open the floor for questions.
Moderator: Thank you very much. We will now begin the question -and-answer session. The first question is from the line of Vivekanand from A mbit Capital.
Vivekanand: The first question I have is on the network cost provisions , so I know that the reported number is pre IndAS or rather post IndAS , so just wanted to understand , were there any cost saving initiatives that kicked in that resulted in network cost being lower than the average in the last four quarters? That's my first questio

n. I'll ask my other ones after you answer this.

Murthy GVAS: The costs in this quarter are usual. These were lower due to seasonal impacts and therefore if you look over the nine months period this year and last year , the costs are in line.
Akshaya Moondra : While the larger part of the reduction is coming from seasonality , there was some impact also because of reduction in energy cost in a few circles. Also , we continue to take initiatives in terms of taking actions to reduce our cost which a re not a single large initiative which may result in a

large cost reduction but there are constant initiatives being taken to bring down cost in each line item and that also contributes to the overall cost improvement.
Vivekanand: As far as the refarm ing initiatives are concerned , you have mentioned that 3G has been shut down in five circles. The reason why you shut 3G down now , was it because there were too few numbers of users who had only 3G handsets or was it something else? I'm just curious to understand what the driving force behind the timing of 3G shutdown is . You could have done it earlier also but I'm sure you have some logic to decide why you shut down only this quarter.
Akshaya Moondra : We have been shutting down 3G in the five circles where it is no w shut down completely. Some districts have been shut down earlier . It's not that this has all happened in this quarter. What we mentioned is that in these quarters , these five circles all the 3 G sites have been completely closed. The other circles also many 3 G sites have been closed. Fundamentally given a choice we would want to shut down all the 3 G sites and use the spectrum for 4G which provides better capacity , better experience and of course eliminates one technology from a site which is generally an optimum way to operate. However , the continuation is only based on the number of 3 G devices and progressively we are continuing to close down 3G sites. Whi le I cannot give a definite timeline, I would expect that in the next financial year we should also be able to close the entire 3 G network as the number of handsets reduce on the network.
Vivekanand: So, a related question on the 3G shutdown is the population coverage of broadband. I see that when you shut down 3 G sites and refarm the spectrum into 4G, population coverage doesn't seem to have improved. So , is it only impacting 4G availability and capacity ? Maybe I'm technically challenged , so if you can explain this in detail that'll be great.
Akshaya Moondra : So, it’s s imple. Every 3G site already has 4G. 1800 is completely deployed in 4G. Some sites 2100 would be on 3G. What we do when we refarm is that 2100 is also deployed for 4G. So, there would be no site today which is 3 G but not 4G.

Vivekanand: So, when you refarm 2100 -megahertz spectrum to 4G, you are not getting additional coverage but capacity.
Akshaya Moondra : We are just getting additional capacity. That's right.
Vivekanand: Today because in your presentation that you gave in June last year , you had highlighted some targets with respect to progress on the targets . What was outlined during the merger versus what you have delivered, there you highlighted that there was a 3X uplift. So , this is helping you exceed that even further. Is that the right way to think about it?
Akshaya Moondra : So, I would say that given the quantum there is a capacity addition. Capacity addition is happening by refarm ing. Capacity addition is also happening where we have deployed some 4G only sites although these have not been very large . I had alluded to the numbe rs in my opening remarks. This is resulting in capacity addition, but it is not of a significant nature because the delta that you get is that 5 megahertz of 3G what capacity it could deliver

and 5 megahertz that converted to 4G c ould
deliver a higher capacity. So, that capacity growth continues to happen, but it is not of a very significant nature. But very roughly over the last one year we have added overall capacity of about 2% on our network.
Vivekanan d: My last question is on the bank loans that you are repaying. So, now that you have another around 5 ,400 crore s of loans that are due for repayment , is it fair to say that once you retire these loans assuming no change in funding situation , your ability to invest in the network will improve? Is that how to think about your CAPEX a year from now?
Akshaya Moondra : The CAPEX required is significant and if we want to make significant changes to our cash generation , then the level of CAPEX has to be higher, and it would largely depend on funding. Of course, the easing out of debt situation does help us in keeping setting aside some capital or some cash for CAPEX . However, as you are aware that we also have an overdue vendor position and what will really start happening in the first phase is that as our cash is not going towards debt servicing, we will then be able to use it towards reduction of vendor overdue a nd that would be our first priority.
Moderator: Next question is from the line of Sanj esh Jai n from ICICI Securities.

Sanjesh Jain: Last quarter al so I did ask the question , that thing s doesn't look like improving on the subscriber addition front for the industry as a whole has significantly slowed down. Any particular reason why there is a sudden deceleration in subscriber growth across the operator?
Akshaya Moondra : Sorry, could you repeat the last part? You said significant….
Sanjesh Jain: Deceleration in the subscriber addition for Vodafone as well as for the industry.
Akshaya Moondra : As far as industry is concerned, we have only seen one set of figures which show a similar trend of subscriber additions. In our case, the reduction or the higher level of decli ne is coming

out of two factors. One is that as we had mentioned that last quarter, we had significant additions in the Indira Gandhi Smartphone Yo jana and so that kind of helped us in resulting a lower net decline. Then if I take out the impact of that an d build some additional loss of subscribers because of the change in the entry level plan as any change that you make in the entry level plan or any plan would be generally overall positive on the revenue but it does result in a one-time increase in chu rn. If I take those two factors into account, our churn or our net decline in subscribers is more or less in line with what we saw in Q 1. So, Q2 was helped a bit by the Ind ira Gandhi Smartphone Yojana. The industry additions continue , there is no deceleration there. But of course we need to make investments to get into positive territory of subscriber additions because while we continue to acquire more customers, our share of gross ads is higher than our customer market share, but we need to provide additional coverage so that we can arrest the churn completely and move to a positive territory of subscriber addition.
Sanjesh Jain: Coming to the investment , even in this quarter we saw that capex outlay was only 3 billion odd. Do you s ee in the coming quarter higher share of cashflow , now that there is lower repayment required for the bank loan and we have started doing some vendor payout also in this quarter, do you see more share of cashflow being deployed for the CAPEX growing next q uarter onwards?
Akshaya Moondra : In this current quarter, which is Q 4, we still have fairly large debt servicing that does not leave us any additional room. In the next financial year Q1, we will have to strike a balan ce between what we allocate to CAPEX so that at least we are making some investment which can enable us to improve our cash flo

ws , while in parallel also paying something to the vendors so they see a reduction
in over dues. So, it's a fine balancing act we have to do till the time we get funding. And of course, when funding is there, then the new funding will be used for new CAPEX and the generation that we are

getting from our operations, minus the old debt servicing, will be used to pay the vendors. That' s the way we are planning this out.
Sanjesh Jain: My last question is on 5G. We said that we are now speaking with the vendor and evaluating. Any initial thoughts on how do you look at 5G deployment?
Akshaya Moondra : This is evolvi ng in a manner, and we will have the benefit of seeing how the 5G adoption is happening. Significant investments have been made on the 5G front with significant CAPEX being incurred. The challenge which we see today is that there is no monetization happening. In fact, the way 5G is priced today is actually resulting in discounting of 4G also, because whatever is being used on 5G is not counted at all. The strategy of rollout is that we need to provide a good experience to our customers where customers are asking for it. However, by the time we launch it, we will also have some clarity on what monetization is happening, which we believe is round the corner because having made such large investments and no monetization happening, the industry does need to see some movement towards monetization. And let's say if we are launching 5G in six to seven months' time, then probably we will have a better idea of what is happening on the mon etization front. After funding is there, we will need some time to roll out, let's say, six to seven months and once that happens, by then the monetization will be clearer than it is today, and our strategy will be based on that. Because once 5G starts getting charged, we will have to see the adoption of 5G in that scenario. Currently, since it is free, the adoption is not clearly representative of what the customer is willing to pay for the higher consumption for the same application which may happen on many 5G use cases.
Sanjesh Jain: One last bookkeeping question. We have received advanced income tax which we have paid earlier. We also have a large GST outstanding. I guess it has been a long demand from our side for releasing that. Any pr ogress on that side?
Akshaya Moondra : As far as GST is concerned, it has been a request from the industry that whatever GST is blocked, even if a cash refund is not possible, we should be allowed to offset it against payments which are made on a re verse charge basis. We had also requested that items like spectrum and all which are one -time payouts, if those government payouts can be accepted from GST payment, generally, the sense I have is that since this is a matter which is with GST Council and GS T Council is comprising of multiple state and central government, any decision in this side is a little difficult to make. So, as of now there is no progress, but given the status of the telecom industry today, given the need for the investme nts required, it would be very useful if the government can look at it favorably and do

something about it. Because all telecom operators have a large blockage and especially with the 5G investments now having come in, people having invested in 5G spectrum also and all those payouts are also subject to GST, the GST blockage is really a bit unfair for the industry. So, any help there would be very -very helpful or any support from the government will be very helpful there.
Sanjesh Jain: What will be o ur outstanding GST right now in the balance sheet?
Murthy GVAS: It is north to 7,000 crores.

Moderator: Next question is from the line of Aliasgar Shakir from Motilal Oswal Financial Services Ltd.
Aliasgar Shakir: A couple of questions. One is

on this repayment that is coming up in the next one year,
about 5,400 crores. You've also mentioned that some of the debt has been classified as current maturity due to obviously certain covenant clauses, which is another appr oximately, 2,800 crores. So, do these 2,800 crores include the 5 ,400 crore s or is it additional? And a follow up there is, if it is additional and if it's also payable before, let's say December 2024, then cumulatively it works out to be somewhere close to approximately 8,500 -odd crores. So, with the current cashflow, we will be adding somewhere about 2900 -odd crores . So, how do you think we can fund this if our funding does get a bit extended? So, that's my first question.
Murthy GVAS: Firstly, th e reclassification arising out of the breach of covenant is as mandated by accounting standards and, therefore, doesn't mean that is payable unless and until demanded by the lenders. As of now, that's not the case and therefore, what is payable over the n ext twelve months is only that figure of 5,400 odd crores that you mentioned.
Akshaya Moondra : But just to give you a breakup - 5,400 crore s includes about 533 crores of spectrum payouts, the principal part. Then there is about 3,200 crores of bank debt. And then there is OCDs of 1,600 crores where repayment is dependent on whether conversion happens or not. If they are converted into equity, then 1,600 crores will go out of this 5,400 crores figure.
Aliasgar Shakir: So, basically, unconditional payment is about 3 ,300 crores. Rest is conditional, right?
Akshaya Moondra : The spectrum payment is also unconditional. Only 1600 out of this is really different.

Aliasgar Shakir: Second question is on this data traffic which I see has declined in thi s quarter by 2%. Now in a way, one is we have seen 4G subscribers growing while obviously about 1.2 odd million grown and obviously that would be coming at a higher usage per customer. Also, you were mentioning that probably data traffic may have gone high on 4G understanding that's what I think peers in the industry have also been saying. So, just want to kind of understand what would have led this decline. And a quick follow up there actually is that while of course tariff hike is something which everybod y in the industry believes will come probably later when the other way to monetize is higher consumption where the customers will probably either upgrade their unlimited plans or maybe they would require some addons. So, in this scenario where the traffic is declining, that seems to be kind of a trend which is contrary to what the other two players are seeing. So, if you could just clarify how this is playing out?
Akshaya Moondra : Let me just try to address this question in a few parts. Firstly, while we ha ve gone from a positive growth in the last quarter to negative, last quarter we were (+) 2% positive and this quarter we are (-) 2%. So, the delta of growth in the delta of quarter -on-quarter is about 4%. You would see the same trend in the other set of re sults which have been declared where the growth has declined, the percentage of growth has declined by about the same level of 4%. So, it is not specific to us, it is more an industry thing. Now, if you come to think of it, this looks a little awkward that especially in a quarter where we've had World cup, why should this happen? And when this initially happened, we were also a little surprised as to why this is so. And a complete answer to this is not available. But with whatever trends we could se e, one of the things which happened is that a lot of consumption happens on OTT content which is watched on the mobile. During the World cup there were few things that we observed. One is all India matches were normally on weekends whereby people were watc hing this largely either on cable TV where the time lag was minimum, and we had obse

rved somewhere that
there was a time lag of 5 to 6 seconds in the OTT platform. And in fact, I was joking with my team that 5 to 6 seconds is hardly anything. And people we re telling me, no, when you're watching a live match, 5 to 6 seconds delay could be a lot. So, India matches people watched a lot on the cable TV also while at home, even if they were watching it on the OTT platform, it was probably more on Wi -Fi. So, when we have evaluated the data, especially during the weekends where India matches were there, the data consumption actually declined. So, I think there is a bit of a difference. And I would say that if you compare it with IPL, IPL sees a fairly long period of increased data consumption, which is generally the expectation during World cup, but the consumer behavior during World Cup and during IPL has been quite different.

The other point which you mentioned is that another way of getting higher revenue s is monetizing the data. And I can tell you in this quarter we have seen a higher sale of data sachets which I had also mentioned in my opening remarks is one of the factors which is a marginal contributor to the improvement in ARPU. So, while the overall data consumption has reduced, the sale of data sachets has increased. And so, it's a bit of a mixed bag. Maybe people have not utilized their quota fully. And in

fact, this trend has kind of increased, the consumption has somewhat reduced on some of these days during the World cup and it has been back.
So, in summary, this is not only us. The other results which have been declared also show the same result. The sale of data sachets over and above the limit has actually gone up. So, that is not a factor which is resulting in data reduction. So, we'll have to see what is happening over a longer period of time. But definitely the quarter is a bit of an aberration in terms of trend of data traffic.
I hope I've answered your question.
Aliasgar Shakir: Yes, thanks so much for that elaborate answer. That's very clear. Sorry I joined a little late, but if you did explain, can you just explain this TDSAT related gain of 760 crore is related to what?
Murthy GVAS: As I mentioned in my opening remarks, the gai n of 7.6 billion is on the account of a difference. If you recollect, at the time of merger, based on the merger guidelines, we had to pay a certain amount to the DoT, which the DoT had raised a demand. We had subsequently found that the demand was on a higher side and we had taken it up with DoT. We also filed a petition in the TDSAT. DoT accepted that based on their calculations, it is an amount of 7.6 billion, whereas as for us, it was supposed to be about 1 ,200 crores. So, therefore, the balan ce amount is still sub judice. But currently TDSAT directed that the 7.6. billion be given to us and therefore that's a credit that's come in the financials.
Aliasgar Shakir: So, cash is not received yet you are saying, but we have reversed it on the basis of the TDSAT ruling.
Murthy GVAS: That's right. It will be adjusted against the payables that we have i.e. towards license fee and other dues to DoT.
Akshaya Moondra : Basically, it is a non -cash item in the sense that there is no transfer of cash, but it is a cash accretion because we have been able to use it or set it off against other liabilities which we would

have to pay out cash otherwise. So, it's a clear refund. Effectively, it's a refund of what we had paid excess at the time of the merger.
Aliasgar S hakir: What was this towards payment of during merger?
Akshaya Moondra : During the merger for the merging entity, the differential in price of the administered spectrum versus the market price of the spectrum has to be paid. This was calculated by DoT in a certain manner, which we have challenged . Out of the challenge, part

challenge is still being
contested. But DoT had themselves accepted that there was an excess calculation of 775 crore. As an interim relief TDSAT has ordered that this should be re funded by DoT. In fact, this should also be refunded along with interest according to us. And that would be a part of the final decision which the TDSAT gives on the matter. So, we are looking at two further benefits in the same case. One is that there is an incremental amount of calculation where DoT and VIL still have a different view. And secondly, on what has been agreed, the interest on that is still to be closed in the final hearing as and when it happens at TDSAT.
Moderator: Next question is from the line of Kunal Vora from BNP Paribas.
Kunal Vora: I just wanted to understand the CAPEX. What we are seeing now, I think, is the lowest we've seen in many years and maybe the lowest ever. Does this hamper the businesses in any way? And can you continue ope rating at 3% CAPEX to sales? What's the minimum amount of maintenance CAPEX which you think should be done?
Akshaya Moondra : This question of maintenance CAPEX has been asked many times, and in the past also, I have replied that th ere is very little gross block which goes out of use because it is no longer usable, it goes out of use because the technology forces you to change it. So, we would currently have equipment deployed in our networks which is surviving for much more than the nine years of life over which we depreciated. And there are also cases where we've had to retire equipment earlier than that life because technology has changed. In essence, what I am saying is there is very little in terms of the concept of maintenance CAPEX. And if you will see, as far as VIL is concerned, went through a massive integration exercise where a lot of 2G equipment was surplus. So, to that extent, from a maintenance perspective, as far as 2G or 3G is concerned, we have sufficient equipment availabl e. So, really speaking from a spares perspective, the only place where that is required is 4G. And those are all generally covered by AMCs and AMC appears more as OPEX . So really speaking, there is very little that is to be

incurred by way of maintenance C APEX. Currently the CAPEX which we are incurring is more to kind of do the necessary CAPEX where some capacity bottlenecks are there, it is necessary to incur. IT is a major, I mean some of the IT development is a part of CAPEX. There are new regulations w hich come up which have to be addressed. That has to be done. There are some places where equipment is end of life that is to be replaced. But to maintenance CAPEX, I don't think there is much of maintenance

CAPEX. A larg e part of it is covered by AMC.
Kunal Vora: I just wanted to understand if you don't see any data volume growth, can you manage with this 3% -4% CAPEX of sales?
Akshaya Moondra : As I have been saying, our challenge has not been capacity of late and we have been providing good speeds which have remained good over a long period of time. So, capacity, while it is not equally distributed, but our overall performance on speeds and perf ormance is good. But in terms of sustenance, see, at one level I can say that CAPEX then is required primarily for expansion of coverage, and from a competitive perspective that is essential. And that will happen only once funding is there. But ye s, with our debt largely having been serviced and with the current level of cash generation, it is not an ideal situation to operate. We would want to make investments, but it is also right that we are generating cash where we are able to meet our obligatio ns and provide service to customers. The only negative thing is that we have to make sufficient investments to be able to arrest the decline of loss of subscribers which is the most essential thing . That would require an expansion of 4G coverage

an d some element of 5G rollout.
Kunal Vora: Second is, can you update us on the promoter funding that was expected? What were the terms and why is there a delay? Sorry if it's already covered. I joined the call a bit late, but if you have not covered, if you can talk about it?
Akshaya Moondra : We had made this disclosure in August, around the time of the last results that the promoters will provide direct or indirect financial support to the Company for meeting the impending payment obligations and that commitment still stays. They are committed ultimately to provide this as equity funding. But that will be as things stand now, let's see , and will be a part of the overall equity raise. However, that support is available in case the Company needs it necessarily for meeting its impending obligations.
Moderator: Next question is from the line of Bharat Rajan from Antique Stock Broking Ltd.

Bharat Rajan: I just wanted to understand, is there scope for you to reduce the tenancy cost now that 5G is being rolled out by your competition. So, wherever you are sharing the power, do we have scope to reduce our cost?
Akshaya Moondra : No, that is not the case. Because the tower contracts are made in a certain manner. So, if there's a single tenan t on a site, you get a second tenant then the rental of first tenant goes down. If there are two tenants and a third tenant comes in, then the rental of both the first and second tenant comes down. It also results in some benefit or some optimization in te rms of energy costs. However, if the number of tenants on a site does not change, and a new tenant is only deploying, or existing tenant is only deploying new equipment, then the rental for that tenant increases without any reduction to the existing tenant . So, 5G deployment is not the case where the cost of existing tenants can go down.
Bharat Rajan: The upgradation of 2G customers over the last quarter, do we see an improving trend or is it largely flattish?
Akshaya Moondra : When you say improving trend, you mean that are we continuing to see an upgrade? Yes, we continue to see upgrade. The pace of upgrade is not very different. It has continued at a certain pace. And as I mentioned again, if that pace has to accelerate significantly, we would need to expand our 4G coverage. But as you will see, over the last ten quarters, we have continuously improved our ARPU and our 4G subscribers. So, generally, that is a growing trend . as Our 4G su bscribers, are a surrogate for higher ARPU subscribers and that is shown in the fact that our ARPU actually, if you look at in percentage terms, is increasi ng while our customer mix is different and our absolute ARPU is lower. But if you will see the percentage im provement in ARPU over the last one year or even last two years, we have had similar percentage of ARPU increase as competition has had. But a large change in the customer mix can happen only by expanding 4G cove rage and having a significant change in that trajectory that we have seen until now.
Moderator: Next question is from the line of Hemang Khanna from Nomura.
Hemang Khanna: Firstly, on the subscriber mix, now that the tariff intervention for the Rs. 99 plan is largely done, would it be fair for us to understand that broadly speaking, going forward, the overall subscriber declines would moderate from here on. And my second question is related to the overall payments which are present in FY25 -FY26. Could you please share what would be the overall payabl es in terms of government and other debts over each of these two years for FY25 and FY26, please?

Akshaya Moondra : Let me answer the first question and I'll leave it for Murthy to answer the second question. But we'll be able to give you a figure f or FY25 which was answered in the earlier questio

n. But
he can answer that question once again. So, on your question of 99 plan, one is that this has been implemented in 16 of our circles. And whatever impact it had to have on churn that is mostly completed. In our six circles, we have still not implemented it. We may implement it in future. As I mentioned earlier, there is a bit of accentuation of the churn that we have seen in this quarter because of the change in tariff plan which happened in t he last quarter. So, in some ways, yes, it should represent a bit of an accentuation of the overall net decline. So, one would expect that going forward in the next quarter we should see some improvement in this KPI. However, the extent and quantum of that is difficult to predict.
Now, as far as the liability is concerned, in the last question we said there is about 5400 crores of servicing in FY25 out of which roughly 500 crores was towards spectrum. And this is only the principal part of spectrum, the installment is higher, about 3200 is towards bank debt which is actually falling due. And then there is 1600 crores of OCDs which are currently counted in that figure. But there is a possibility that they may get converted and if that happens then tha t 1600 will reduce from the 5400 crores figure which has been given for FY25. I will ask Murthy if he has an FY26 figure, but it will be a very nominal figure because the bank debt will be very nominal. Of course, the government debt is large.
Murthy GVAS : So, 2025 -2026, once a moratorium gets over, then that case there's a lumpy payment to be done. And as Akshaya mentioned, the bank debt is a nominal one. But the overall amount is close to about 30,000 crores.
Akshaya Moondra : What is the bank amount ?
Murthy GVAS: It's about 1800 crores.
Akshaya Moondra : So, the bank debt will be 1800 crores. The government payable will be higher. In FY26, it would be six months only.
Hemang Khanna: You mentioned about 30,000 crores as the overall payment, which is related to the government side in FY26, right?

Akshaya Moondra : Just give me 1 minute. In FY26, the government payout will be roughly 27,000 - 28,000 crores.
Moderator: Next question is from the line of Ramesh Haran from HSBC.
Ramesh Haran: We do get to hear a lot of negative news on ET Now, Money Control, etc., on various topics. What is VIL doing to clarify on these and take this up subsequently so that these sorts of negative news do not come in which are unsubstantiated?
Akshaya Moondra : Ramesh, as you mentioned, a lot of this news is unsubstantiated. That is the way the media operates here. There's very little we can do about it unless the government itself does something or the regulatory agencies themselves do something to re gulate the media on not publishing such unsubstantiated reports. There's very little that we as corporates can do .
Moderator: Thank you, ladies and gentlemen we'll take that as the last question. I will now hand the conference over t o Mr. Akshaya Moondra for closing comments.
Akshaya Moondra : Thank you, Neerav, and thank you everyone for participating. In line with the evolving industry landscape and changing customer needs, we have revamped our offering as well as focusing on executi on to effectively compete in the market. Resultantly, we are able to grow our 4G subscribers and ARPUs consecutively for the last ten quarters. We have also reported in this quarter the highest pre -IndAS EBITDA of Rs. 21.4 billion in the last eleven quarte rs. Further, we remain focused on providing competent data and voice experience at locations we are present where we are present, and are building a differentiated digital experiencing, adding several digital offerings in the recent quarters. Our share in gross customer addition continues to remain higher than our customer market share for the last several quarters, clearly reflecting our ability

to compete in the market once the
investments are in place. We remain engaged with various parties for fundraisi ng to make required investments for network expansion, including 5G rollout. Thank you all for joining this call. Have a good evening. Thanks.
Moderator: Thank you very much. On behalf of Vodafone Idea Limited, that concludes this conference. Thank you for joining us and you may n ow disconnect your lines. Thank you.

Call: May 2024

24 May 2024

National Stock Exchange of India Limited
“Exchange Plaza”,
Bandra - Kurla Complex,
Bandra (E),
Mumbai – 400 051 BSE Limited
Phiroze Jeejeebhoy Towers,
Dalal Street,
Mumbai – 400 001

Sub: Transcript of Analyst / Investors Call (Regulation 30)

Ref: “Vodafone Idea Limited” (IDEA / 532822)

Dear Sir/Madam,

In terms of Regulation 30 of the SEBI (Listing Obligation s and Disclosure Requirements) Regulations, 2015, please find enclosed transcript of the Analyst / Investors Call held on 17th May, 2024 relating to the Company’s performance for the fourth quarter and financial year ended 31st March 2024 .

The same is uplo aded on Company’s Website: www.myvi.in

The above is for your information and dissemination to the members.

Thanking you,

Yours truly,
For Vodafone Idea Limited

Pankaj Kapdeo
Company Secretary

Encl: as above

“Vodafone Idea Limited Q4 FY24 Earnings
Conference Call”

May 17, 2024

Moderator : Good afternoon , ladies and gentlemen, this is Dorwin the moderator for your conference call. Welcome to the Vodafone Idea Limited Earnings Conference.
For the duration of this presentation , all participant lines will be in the listen -only mode. After the presentation a question -answer session will be conduc ted. Should you need assistance during the conference please signal an operator by pressing ‘*’ and then ‘0’ on your touchtone phone. Please note that this conference is being recorded.
We have with us today Mr. Akshaya Moondra – CEO of Vodafone Idea Limited and Mr. Murthy GVAS – CFO of Vodafone Idea Limited, along with other key members of the Senior Management on this call.
I want to thank the Management Team on behalf of all the participants for taking valuable time to be with us. Given that the Senior Management is on this Conference Call , participants are requested to focus on the key , strategic and important questions to make sure that we make good use of the senior management's time. I must remind you that the discussion s on today's call may inc lude certain forward -

looking statements and must be viewed therefore in conjunction with the risks that the company faces. With this, I would now like to hand the conference over to Mr. Akshaya Moondra . Thank you, and over to you, sir.

Akshaya Moondra: Thank you Dorwin . A warm welcome to all participants to this earnings call. Yesterday, our Board of Directors adopted the audited results for the quarter and year ending March 31, 2024. All the results related documents are available on the website and I h ope you had a chance to go through the same. Let me provide key highlights for the quarter and a brief on our strategic initiatives. Post this, I will handover to Murthy to share details on the Company's financial performance.

Let me first talk about our f und raise .

We have marked an important milestone in the journey of Vodafone Idea Limited by raising Rs. 180 billion through FPO route which has been the largest in the country. The overwhelming success of our FPO is testimony to the confidence and trust t hat has been reposed in us by each and every one of our investors who have rallied behind us in large numbers leading to our issue being subscribed almost 7 times.

Further, ATC converted OCDs amounting to Rs. 14.4 billion into equity shares. The transact ion was an expression of confidence in VIL and its plans and has been a win -win for both parties, whereby ATC besides getting a liquid asset in the form of equity shares, has also benefited from the appreciation in the value of their investment. For VIL, t his has been beneficial as this clears part of its operational dues outside of operational cash flow and additional equity raise.

Further, one of the ABG promoter group entity is contributing Rs. 20.75 billion through preferential issuance of equity share s at an issue price of Rs. 14.87 per share. All required approvals are taken for this including shareholder approval and we expect it to close during this month.

This coupled with the preferential equity raise of ~Rs. 49.4 billion in 2022 from Vodafone Gr oup and ABG takes the total fund infusion by both the promoter groups to ~Rs. 70 billion between March 2022 and May 2024.

Considering all above, we have successfully raised equity of ~Rs. 215 billion during last 3 months. Additionally, we are in discussio ns with consortium of banks to raise debt of Rs. 250 billion and additional non -fund based facilities of Rs. 100 billion. Post the Telecom reforms package in September 2021, our bank exposure has reduced by ~Rs. 347 billion.

Let me now quickly talk about o ur strategic initiatives.

Our first strategic initiative is our focused investment approach

Our investments have been impacted on account of liquidity constraints over

last few years.

This Equity funding and proposed bank facilities are to be utilised p rimarily towards capex over next 3 years which is expected to be in range of Rs. 500 to 550 billion, which will enable us to effectively compete and participate in the industry growth opportunities.

The capex will be towards expanding 4G population covera ge in 17 priority circles which contribute over 98% of our revenue and around 92% of Industry revenue, 5G launch in key cities or geographies, capacity expansion to address the increasing data demand and also investment to grow our enterprise business. It is important to note that since we will be launching 5G now, we will be well placed to

effectively utilize our capex spend as we will be able to address a part of the capacity requirements via 5G instead of 4G.

We continue to work towards refarming the 3G spectrum towards 4G considering the overall ecosystem and have shut down 3G completely in 6 circles with Kerala getting added to the list of 5 other circles where it was done earlier; namely Maharashtra, Gujarat, Andhra Pradesh, Mumbai and Kolkata. In the other circles also, we continue to follow the same approach. This helps us in utilizing our capex effectively while ensuring that we continue to offer superior customer experience in these areas.

On 5G, we have completed minimum rollout obligations for 5G in 4 circles of Maharashtra, Delhi, Tamil Nadu, and Punjab and applied for completion certificate in 2 circles of Bihar and Mumbai. We are in discussion with various technology partners for finalisation of our 5G rollout plan. We are also in advanced stag e of trials of Open RAN and embracing new technologies such as virtual RAN.

Moving on to market initiatives

Our brand "Vi", continues to garner good reception, building brand affinity across all customer segments in the country. The company continues to make extensive progress on the marketing front by communicating key differentiators to consumers, entering into alliances and introducing various innovative products and services in line with emerging customer needs and preferences.

During the quarter, we continued with our brand campaign - 'Be Someone's We' urging customers to be there for others and make the world less lonely with the power of connectivity and deepened emotional affinity to build positive momentum and consumer connect for Vi. This campai gn was promoted across TV, digital & on ground.

Further, in our endeavor to offer additional benefits, we continued the 'Choose Your Benefit' on Vi Max postpaid campaign with the addition of Swiggy One as one of the benefits. During the cricket season, we engaged with our customers on social media through the Vi 20 FANfest program.
Additionally, we offer the most comprehensive international roaming proposition to our consumers recognizing that diff erent consumers have different needs. Vi is the only operator in the country to offer unlimited packs across a vast expanse of 29 countries that contributes to 70% of the international roaming traffic. These packs offer unlimited voice, data and SMS that e nsure peace of mind for the

consumers. We also offer limited packs to consumers who may not have a very large need for data and or voice. Additionally we have also expanded the pack portfolio to 27 new countries this year and brought new travel destination s like Azerbaijan, Uzbekistan , Iraq etc.
Our brand continues to get more recognition and even more love. Very recently, we won the prestigious “The One Show Award” in advertising and design. Our campaign Vi Human Network Testing Network was recognised for its creativity where we partnered with Mumbai’s Dabbawalas, to test and improve the Vi GIGAnet in the pursuit of offering a superior network experience to our users. The campaign underscores that monitoring and im

proving a network requires a lot more than just the latest
technology.
We continue to focus on getting more customers on Unlimited Data plans for further ARPU improvements. We have seen ARPU growth for eleven consecutive quarters now. Q4FY24 ARPU stands at Rs. 146 compared to Rs. 145 in Q3FY2 4 despite one day less during the quarter. Over the last two years, our ARPU CAGR at 8.4% is highest in the industry. That said, tariff rationalization on the higher usage plans and moving to a pricing structure of paying more for using more remains critic al to ensure that the operators make reasonable returns on their large network and spectrum investments.
Moving on to Business services
Business Services or enterprise segment, is one of our strength areas owing to our long -standing relationships with our enterprise customers as well as our ability to leverage from the experience of Vodafone group in various global markets. We continue to make progress in line with our stated strategy of transformation from Telco to TechCo for our enterprise offerings. Ou r planned expansion of services beyond connectivity has seen good traction and we continue to work with multiple partners to make our offerings more relevant to enterprise customers.
As I said during the last quarter, we pioneered the provision of 'Rich Bu siness Messaging' in India, exclusively available through Vi Business for Android devices. Over 50+ brands have adopted RBM as a reliable and preferred marketing channel. RBM enables enterprises to map their customer journeys without investing significant resources in development of apps and maintaining them.
This is a new visually appealing medium for enterprises to reach their customers by sharing rich media content like images and videos, PDF, Gifs, audio, any kind of media files or QR codes.

Vi remains steadfast in its mission to deliver innovative solutions while upholding the highest standards of security. With data security becoming increasingly critical in today's digital landscape, Vi consistently makes efforts to strengthen its security posture an d validate its position as a trusted custodian of customer data.
Another significant achievement has been that we became the first Indian telecom operator to achieve the SOC2 Type II attestation. This attestation signifies that we are maintaining the highe st standards when it comes to data security and safeguarding sensitive customer information and their privacy while managing Distributed Denial -of-Service or DDoS attacks. The attestation proves that we handle the customer data on key parameters such as av ailability, security, confidentiality, processing integrity, and privacy in a professional and secured manner.
During the quarter, Vi Business has been lauded with seven CIO Choice recognitions for our IoT, Cloud Telephony, SD -WAN, Rich Business Messaging , Telecom Carrier (Mobile Access), Telecom Carrier (International Access) services on the basis of an extensive pan -India CIO referral voting process that spans across industry verticals. We have also been honoured as the Digital Transformation Enabler for its ReadyForNext Assessment for MSMEs. Adding more stars to our glory, we’ve been awarded the Asian Telecom Awards 2024 for our end -to-end multimodal logistic solution – Vi Business Sanchaar Shakti under the category IoT Initiative of the Year – India. Ou r Vi Business IoT Smart Central Platform too bagged a victory at the Voice & Data Excellence Awards 2023.
The next strategic initiative is driving partnerships and digital revenue streams
As we have shared with you over past few quarters, we have a robust digital roadmap for the company and we have been executing the same in our continuing journey of being a truly integrated digital services provider and with a very clear objective of driving higher digital engagement with our consumers as well as driv

ing monetization through specific streams or by participating in select digital categories. Also, we would like to emphasize here that our stated strategy around this has been to build this out through strategic partnerships and working with the best players i n the category. We are building most of these offerings on our Vi App.

Vi App todays boasts of being a multi -utility app and not just a telco account management app. On the entertainment front, it is like any other OTT app offering native video experience allowing our users to

watch over 400 LIVE TV channels, specifically LIVE News, as well as VoD content, from multiple content partners.

We also have a complete gaming arena under Vi Games on Vi App, where one could play a host of hyper casual games online from carrom to ludo to unoto chess and tambola. We also have an integrated eSports platform under Vi Games enabling the avid gamers to participate in eSports tournaments on marquee titles like Free Fire, Clash of Titans, Pokemon Unite, Call of Duty and the likes. Recently, we also announced the launch of CloudPlay, our offering on Cloud Gaming that allows our consumers to play the best of the games without having to download and install them on their devices. It is a subscription service, currently being of fered only on mobile and soon we will take it to large screens too.

We have also integrated ‘utility bill payment’ functionality on Vi app enabling our users to pay their electricity bills, water bills, LPG bills, recharge FASTAG, renew their DTH or broad band subscriptions or pay insurance premium / Loan EMIs. Further, leveraging telco data and access capabilities to create a Digital marketplace, we have launched ‘shop’ section on Vi App in partnership with leading players across categories like entertainm ent, food, shopping and travel. Vi Shop, again, has opened to some very encouraging response from the consumers and one would only see better of it as we keep bringing in newer categories and expand our catalogue.

We recently launched Vi Movies & TV in an all new avatar with all new apps for mobile on both, Android & IOS as well as for TV across all OS, ie Google TV, Samsung, Firestick and soon we should have it for LG as well. It is an offering, mainly for Connected TV wherein our subscriber can buy a subs cription plan to get access to most of their favourite OTTs, just like the way we have been buying DTH plans for TV channels. This gives significant savings to the subscriber vs paying individually for different OTTs as well as convenience of one subscript ion and one payment compared to managing multiple subscriptions with different cycles. We are quite pleased with the initial response and we have a very strong roadmap to build Vi Movies & TV as a destination of choice for our consumers when it comes to th eir TV entertainment.

On the OTT front, given its already large adoption and the growth potential, we are also continuing to expand and scale our bundling play. We already have OTT bundle plans across prepaid & postpaid with

Amazon Prime, Disney+ Hotstar, SonyLiv, SunNxt. We will very soon be adding more content partnerships on Vi app for both prepaid and post paid users.

While we continue to scale all this, we still have a strong pipeline of products & propositions that’s on our digital roadmap, which we will unveil in the coming months.

Based on the transformation Vi App has seen over the last year and a half, our customer ratings on Play Store have consistently improved.

Further on the customer servicing front, we remain focused on providing best cus tomer experience. We have seen reduction in the overall customer complaints. Also in line with evolving customer behavior, around 60% of our customer service requests are raised digitally compared to 40% a year ago.

We wo

uld like to reiterate that we will continue to have a disproportionate focus to build a digital ecosystem with our partners, enabling a differentiated experience for Vi users, which will help us drive customer stickiness as well as provide incremental monetization opportunities.

Moving on to other highlights

I am proud to share that we have been recognized as one of the ‘Best Companies to Work For in India’ by the Business Today magazine in its recent publication. We have attained rank 15 across industries in India and rank 1 in the telec om industry. This recognition reflects our commitment to creating a supportive, flexible, and inclusive work environment.

On operations front, the 4G subscriber base has continued to grow for the eleventh successive quarter and stood at 126.3 million as on March 31, 2024 vs 122.6 million as on March 31, 2023. The overall subscriber base stood at 212.6 million.

Revenue for the quarter stood at Rs. 106.1 billion and the QoQ average daily revenue grew by 0.5%.

Our Pre -IndAS EBITDA of Rs. 21.8 billion is highe st quarterly EBITDA post merger.

With that, I handover to Murthy who will share the financial highlights for the quarter.

Murthy GVAS: Thank you Akshay a. A warm welcome to each of you.

As Akshaya mentioned, revenue for the quarter stood at Rs. 106.1 billion and the average daily revenue, on a QOQ basis, grew by 0.5%. This is also the eleventh consecutive quarter of growth in ARPU and 4G subscribers. Quarterly EBITDA excluding IndAS116 im pact, improved by 5.4% on YoY basis to Rs. 21.8 billion recording the highest EBITDA post merger and EBITDA margin has improved to 20.6%. The reported EBIDTA stood at Rs. 43.4 billion as compared to Rs. 42.1 Billion in Q4 FY23.
Further, Depreciation & Amor tisation expenses and Net Finance costs for the quarter are Rs. 57.5 billion and Rs. 62.5 billion respectively. Excluding the impact of Ind AS116, the Depreciation & Amortisation expenses and Net Finance costs for the quarter were Rs. 42.6 billion and Rs. 53.5 billion respectively.
The annual revenue and Pre -IndAS 116 EBITDA grew consecutively for the second year despite significantly limited investments reflecting our execution capabilities. Revenue for the year grew from Rs. 421.8 billion to Rs. 426.5 bi llion as a result, the pre -INDAS 116 EBITDA for the year increased from Rs. 83 billion to Rs. 84 billion. The reported EBIDTA for FY 24 stood at Rs 171.3 billion vis -à-vis Rs.168.2 billion for FY 23 registering a growth of 1.8%
Capex spend for the quarter stood at Rs. 5.5 billion, and capex for the year at Rs. 18.5 billion. As Akshaya mentioned, the equity funding and debt funding including non -fund based facilities once sanctioned are to be utilised primarily towards capex which is expected to be in range of Rs. 500 to 550 billion over next 3 years.
The total debt from banks and financial institutions stood at Rs. 40.4 billion and Optionally Convertible Debentures at Rs. 1.6 billion as of March 31, 2024. The debt from banks and financial institutions reduce d by Rs. 70.9 billion during the last one year. It was at Rs. 111.3 billion in Q4FY23. The cash and bank balance stood at Rs. 1.7 billion as of March 31, 2024.
The deferred payment obligations to the Government were at Rs. 2,034.3 billion as of March 31, 2024 as compared to Rs. 1,888.6 billion as of March 31,2023. The break up as at 31st March 2024 is deferred spectrum payment obligations of Rs. 1,331.1 billion and AGR liability of Rs. 703.2 billion, which are payable till FY 2042 and FY 2031 respectively.
With this I hand over the call to Dorwin and open the floor for questions.

Moderator : Thank you very much . We will now begin the question -and-answer session. The first question is from the line of Kunal Vora from BNP Paribas.
Kunal Vora : First question

is on the CAPEX . If you can share some details about the 50 ,000 -55,000 crore s which you're looking to invest , how much of that will be in FY25 and what will be the main areas of investment in F Y25?
Akshaya Moondra: Do you have other questions ?
Kunal Vora: if you can just answer this one then I'll move on to the next one.
Akshaya Moondra: The CAPEX of 50 ,000 to 55 ,000 crores over the next 3 years will be spent across four broad categories. First is the expansion of 4G coverage which would include a lot of infill for experience improvement particularly by rolling out more sites in the Sub-GHz or L900 segment. The second would be capacity gro wth mostly in 4G where we already have 4G deployed or where we plan to deploy 4G. The third category would be 5G where the rollout has to be started afresh. And of course there is some CAPEX which is specific to enterprise business.
In terms of timeline , our topmost priority is 4G coverage because that is the only reason why we continue to lose subscribers. Accordingly , we have to expand our 4G coverage and that CAPEX will be fairly accelerated. There are also some areas where we have to decongest because of capacity issues. These are very few but that would again be the top priority. That will be accelerated. The rest of the investment in capacity growth will happen as the traffic grows.
On the 5G front , we should be able to start rolling out 5G on a from about 6 months from now. 5G market as you see has been evolving , we will have to see as to how the market is evolving. The main focus is going to be on main cities or other areas which see a large concentration of 5G devices. However , 5G investment will be a bit iterative in nature in terms of timing and we will make investments as the market evolves.
Kunal Vora: Just a follow up on this. How much of the CAPEX will be in FY25 and in terms of the network side, there's a wide gap betwee n you and Airtel now. They are at 3.3 and you are at 1.84 lakh sites. Where do you see yourself ending up in next 2-3 years? How much of a gap will you look to bridge?

Akshaya Moondra: The gap is representative of both , the difference in coverage and the difference in capacity or difference in traffic. Now to the extent , there is difference in traffic , I don't think we need to build so many sites. So basically , we are focused on saying that we need to expand coverage in our 17-priority circle , so that we are competitive vis-à-vis competition. Secondly , in the five remaining non - priority circles we will be investing there. However , the priority of investment will be different rather

than matching or competing at par with c ompetition.
Kunal Vora: Just one last question , on AGR dues ; you have about 70 ,000 crore s in your books now . What is your self-assessment of the dues right now?
Akshaya Moondra: We have filed the curative petition . Is that your question?
Kunal Vora: Yes, in curative petition , what's your self-assessment ? I understand that finally that's not a number which might come out but if you succeed , how low the number could be in terms of how much you will need to pay ?
Akshaya Moondra: The matter is sub judice . I am not getting into the merits but I can give you the indication of what we have requested. We have asked for corrections on the base amount which is about 6 ,000 crores roughly. Now as you know as far as the AGRs demand is concerned it had built up of interest , penalty and interest on penalty. We don't have the exact details of the 58 ,000 crs of the demand which was a part of the affidavit filed by DoT. But our rough sense is that the base amount is about 25% and the overall amount then becomes 4X. So, if I take that principle 6 ,000 of base correction should mean about 24 ,000 of total amount and this is the amount as of around October '19. There would be interest accrual at

the rate of around 8% per annum and by now it will be somewhere around
36%. So , you can add about 36% of accrued interest to that amount until the period of March '24 which would then represent the amount where we are seeking correction. The amount which I am indicating to you does not include the additional prayer that we have in the curative petition is for waiver of penalty. Because the last judgment on the matter was at the Tribunal where it was largely decided in favor of the industry. So , in our judgment the penalty could also be taken of f. So , these are the two requests that we have.
Kunal Vora: Anything on the timeline , when do you expect or it is difficult to see that?
Akshaya Moondra: No, this is a matter at the court . I can't give any comment on the timeline.

Moderator: The next question is from the line of Sanjesh Jain from ICICI Securities.
Sanjesh Jain: First on this network expansion , you did mention that 4G coverage and the capacity will be the priority in that order. Just wanted to understand what kind of tower ro llout do you think in this 17-focus circle , you will need to match the existing peers to have at least a coverage which is competitive in the market?
Akshaya Moondra: Sanjesh , we have that working. I will not be able to give that figure to you right now but when we are talking about the CAPEX of 50 ,000 to 55 ,000 crores , we have done our projections in terms of what do we need to do to have a competitive coverage in the 17 circles and that is provided for in that CAPEX . The capacity , based on our projections of what is the traffic growth has been provided for in terms of norms that are followed in the telecom industry. So , both coverage and capacity have been adequately provided for. But I will not be able to give you a number of sites if that is your question.
Sanjesh Jain: No that's fine. I am not looking at number of sites. How much time do you think it will require for us to bridge that gap? Will it take 6 months into starting the CAPEX or will it take 18 months?
Akshaya Moondra: I got your point. As far as decongestion is concerned , we should be able to start adding capacity in a couple of months from now , maybe even faster because a lot of capacity upgrade just requires a license upgrade to some of the sites which were already in place. They kind of got stalled in between because of the liquidity issues. So , the capacity addition or decongestion can be addressed within a couple of months from now and that will get finished quite quickly. That does not require much of an execution . As far as the coverage is concerned , I believe we wil l be able to start the rollout against that requirement in 3 to 4 months from now. And we should be able to complete the large part of the coverage to be competitive or completely competitive in a period of 12 to 15 months.
Sanjesh Jain: The implication o n it, how would you rate your success that your CAPEX has been fruitful ? What are the initial parameters that you want to track in terms of how we are executing and that's resulting in a commercial success?
Akshaya Moondra: First thing we have to achieve is that we should stop the loss of subscribers and we should start growing. At a very simple level , the industry is growing at a certain rate but we are not participating and we've not been able to participate because of the lack of investment. W e believe with the investments being back and our competitiveness being there , we should be able to participate to

our fair share in the industry growth. That is if we are there , that is what I would describe as achievement of our objectives coming out of this investment.
Sanjesh Jain: One area of CAPEX probably you could touch upon is the backhaul. We haven't covered it in the top four priority. With traffic gr

owing and that becomes a critical bottleneck , how are we looking
at that as a factor and where i t fits in our CAPEX plan?
Akshaya Moondra: It is very much a part of the plan and when I say I divide it into three categories , that

was from the nature of growth of network. So , whether we are doing 4G coverage expansion or we are doing 4G capacity growth , both requires backhaul. And of course , 5G rollout will require the maximum quantum of backhaul. So , backhaul enhancement is common to all three categories. That's why I did not mention it separately. I was mentioning it more from the objective of where our customer interface is and how do we need to augment it. Whatever is to be done in core and backhaul including transport and everything will be provided for according to the three buckets and according to the growth of traffi c. So that is very much a part of the plan.
Sanjesh Jain: Two last questions from my side before I join back the queue. First is on , you said that you won't invest a lot into 4G capacity , that remains a priority as well. How will you say that this is enou gh for a 4G capacity and incrementally the capacity creation will happen from 5G. I thought were in a position where we can swap 4G capacity to a 5G capacity , thereby future seeing the business, h ow you differentiate that? Because it's contradicting that y ou are talking of 4G capacity expansion at the same that we are telling of optimizing it by adding 5G capacity.
Akshaya Moondra: Sanjesh the audio was not very clear but if I've understood you correctly , the way we are going to approach this is that we wi ll decide on locations where we need to roll out 5G. 5G will provide most of the capacity enhancement in those locations. Of course , in parallel we have to see that what is the penetration of 5G devices because there will be growth in 4G traffic also. If we believe based on our projections that while we set up 5G capacity and the 4G can be absorbed by the 5G deployment , then there is no need to add 4G capacity at those locations. However , we believe that there are areas where 4G capacity plus 5G will both be required given the number of 4G devices and 5G devices. So , it is an iterative process. General ly, 5G comes in with a lot of capacity , so where you roll out 5G today , the capacity will almost get doubled at that location. You do not need more capacity to be deployed there immediately unless the 5G devices and the off take on 5G is less. So that is something we will

keep on observing as to how things are progressing and 4G capacity growth is a very low lead time item. It can be done very quickly.
Sanjes h Jain: One last question. We are still losing the data customer. I can understand the overall customer but we are still losing on the data customer even in this quarter. Do you think this should be the first to be fixed and earliest?
Akshaya Moondra: We have to fix the loss of subscribers. We lose subscribers across categories and we have to address the loss of subscribers which we are quite confident that we will be able to fix as we go along. Just to put things in perspective , as we make investments , the customer experience will improve and our coverage and the geography in which we are offering 4G services will expand. So definitely if we are having a certain number of new customer additions today that will grow and as we have been mentioning earlier also that our share of new customer acquisitions is higher than our customer market share. This will grow as we expand our geography in which we are competing in the market. More importantly what we believe is that with the improvement of experience and m ore importantly the coverage , we will be able to retain more subscribers than we lose today because of lack of 4G coverage. So, with a positive on the subscriber addition and a control on churn subscribers who we

are losing
because of lack of 4G coverage , we will be able to participate in the growth of the industry.
Moderator: The next question is from the line of Sachin Sa lgaonkar from Bank of America.
Sachin Salgaonkar: I have three questions. First question Akshaya, I wanted to understand the ability of the market to absorb tariff h ike of a meaningful proportion. The reason I am saying that is historically whenever tariff hike happened , we did see some consolidation and some impacts per se from that perspective. So just wanted to understand , do we see things being a bit different this time around? Second question perhaps a follow up to earlier Sanjesh's question , again I do get the point that your priorities to fix the loss of users and then that coverage forms an important part. But beyond c overage it will take some 6 to 9 months for your coverage to be at that level. Are there some other initiatives you guys could take in the interim like revamping distribution network or anything which could help reduce the loss of subscribers in the inter im? And lastly again , what we are seeing slightly longer -term sort of a question out here , we see market moving towards a bundled offering. Again , from what I mean by bundle offering is broadband being offered. So again , wanted to understand , any strategy you guys

have from a fixed broadband perspective and out of the capital raise anything earmarked from that perspective out here ?
Akshaya Moondra: Your first question is on the ability of the market to absorb any tariff increase. See, whenever a tariff incr ease happens there would be some consolidation which happens. But I am very sure that the consolidation is only consolidation of dual SIMs or multiple SIMs. I do believe that there is not a single user who is a user today and he stops using the service bec ause the price has gone up. Secondly , logically there is nobody who will spend less than what they are spending today even if the price goes up. So , the nature of the spend is that it is not a discretionary spend and nobody will spend

less than what they a re spending today. That's a given . As opposed to many other industries and I keep giving example of this airline industry that somebody may take a flight or somebody may do something else but this does not fall in that discretionary category. Anybody who's using a service will continue to use that service. You will also see as price corrections or increases have happened over the last few occasions; the impact of consolidation has also progressively reduced. That is also a reflection of the fact that the multiple SI M phenomenon has already re duced . Thus the extent of consolidation which will happen will also be less. Ultimately you have to see what is the share of wallet and what is the value it brings to people. So even at the lowest level where people are only using it for voice communicatio n, at the price levels that we have today even if you add 50% to that , I believe the service being offered is of much value to everyone given the share of the wallet and if you look at what other items are being spent on . Now sometimes there is a bit of a correction as soon as the price increase happens. But some of it also gets recovered over a period of time. Somebody may immediately say 'okay' we'll not buy today the price has gone up or I'll not increase my spend. But over a period of time , we have seen this is not there. So , I would be very less concerned about the ability of the market to absorb. The market can definitely absorb this as we have been saying and some of our competitors have also been mentioning , that some of the price recovery over a per iod of time has to happen in the form of expanding the higher end, i.e. pay more for using more which has gone away from the market over the last few years. So , the price increase may not be as high at the

entry levels. I believe the price increase
has to now focus more on paying more for using more.
Your second question was that any other initiatives other than the investment or till the time investment kind of starts having an impact on the customer experience. As I said that some of the areas where we are investing in capacity that can happen very quickly. As I said we will start in a couple of months. Hopefully we should be done addressing the capacity in 6 to 7 months' time a nd there the

experience improvement will be quite rapid. Of course , the cover age expansion will take longer. But nevertheless , in terms of distribution as we expand our coverage we have to expand our distribution also to those areas. But if I were to describe our current distribution as I already mentioned earlier today , our share of customer acquisitions is already higher than our customer market share. So really that is an area where we are doing quite well. The challenge we have is the loss of subscribers and that loss of subscribers , to my mind , is only because of coverage. Beca use whether you look at , our voice experience or even data experience which we have kind of talked about in the past , when 4G reports speeds were being separately reported , you've had good experience on both voice and data. The only reason why we continue to lose subscribers , largely or disproportionate to the others is because of lack of 4G coverage. And that is the churn, or the loss of subscribers is what we need to address. As far as acquiring customers is concerned , I believe we are already doing well there. Of course , we will have to enhance and expand our distribution where we are not offering our services today.
Your last question was about bundled offers. I would put it this way that bundling has been there 3-4 years at least . it is not a recen t phenomenon. However , while it does cater to a certain segment, I've not seen it having any significant impact on the overall offering , or on the overall change of customers or any impact on our customer movement. But let's say , we have already as I menti oned in my opening remarks or as you may otherwise know , we have launched connected TV where as far as content is concerned , we now have a full-fledged offering of accumulated content. Out of the three things which you are talking about , we have mobile services and we have content which we will continue to grow. The only part which we are not there in a large way is 'fiber to home ' and that is a segment which we do not have plans of investing in right now. Of course , we continue to have a small play there through YOU B roadband and we are also now partnering with other ISP's to see whether we can provide a bundled offering of the fiber to home with some partners other than YOU B roadband which is our subsidiary.
And just in terms of YOU B roadband as I mentioned there , we already have a product called Vi On e where they are operating in about 12 cities and in those 12 cities these bundle propositions are available through YOU B roadband but I agree its small scale . Thus, content and mobility is being offer ed to each one of our customers but fiber to home will be a limited offering. I don't think it has any significant impact on the customer preference or the customer's preference to choose us.
Moderator : The next question is from the line of Vivekanand Sub baraman from Ambit Private Limited.

Vivekanand Subbaraman: I'll start with the industry level issues. So now that the minimum ARPU itself has moved up substantially for feature phone users , to your mind what is the ARPU differential between your feature phone base and the smartphone base? I am asking in the context of the uplift that you will get here on from adding customers , adding 4G customers. Second issue is on

the rotational churn that
one of your peers discussed about . Your monthly churn is still quite elevated at 4.3%. It is high for other players also . I am just trying to understand , I am sure churn has come down this quarter not only for you but for Airtel as well. But I am just trying to understand is the industry doing anything like it has done in the past to address this issue of rotational churn like agree upon certain practices to ensure that rotational churn is c urbed? Last question the industry side is , there appears to be a difference of opinion between you and Airtel on one side and perhaps you on the other side given that Jio's users seem to be using a lot more data on a monthly basis , around 29 GB odd whereas your users , Airtel users are using relatively less, and you guys are talking about charging more money for those users who are consuming more. But with the kind of network capacity that perhaps a Jio and an Airtel now have , it seems that they may be think ing differently on this front. So how does the indust ry, who will b ell the cat in making the industry move from current quasi unlimited packages to a more usage linked pricing paradigm?

Akshaya Moondra: Vivek , so you have three questions. Let me answer th em in the order in which you have asked them. B y the time I answer the first if I forget the third one, I will ask you again . As far as you've talked about ARPU, you see there are different definitions. 2G, 4G, smartphone , non-smartphone. Earlier we used to say Non Unlimited and Unlimited . But let's say very simply before these entry level plans and in our 16 circles , we improved the pricing to all were unlimited voice plans . There earlier the differen ce or delta used to be or was in the range of 1:4 in terms of ARPU. But once we have made the entry level pricing at about UL, everybody is a ULV customer then the delta is somewhere in the ballpark of 1:3. These figures are approximate figures and with different cuts. But 1:3 at this point of time would be a good benchmark.

In terms of churn , you are saying that the industry churn is elevated and I totally agree with that. It doesn't require discussion. You have seen that in the last quarter , there has been a bit of a reduction in the overall aggression. If some of us take the lead and others follow ultimately this can be reduced. And I would think that as industry now gradually move s to a direction of getting the right price and not so much focused on just getting market share. I mean one has to compete to get market share but this

through the high cost of customer acquisition route , if all industry players start exercising some discipline and making their offers less aggressive it should correct by itself.

Your third point was relating to , firstly the data which you have mentioned for Jio includes their fixed broadband data. So , it is not necessarily comparable. Now even then if you say that their consumption levels are higher , everybody will then have to choose that how much are we willing to consume . My personal opinion is that a lot of that consumption is consumption which can be avoided if the pricing is right. So , we are not saying that there will be a drastic change. But I believe if somebody is consuming 25 GB a month , if you increase the price and they find that to be a limitation and in the same price they can get 20 GB or 15 GB a month , most people will be abl e to manage their consumption within that. Today the situation has been that it has been so cheap and so unlimited , there is a lot of consumption which is avoidable consumption. I would think that these things would correct itself. But it is very clear that you can charge not based on that if somebody is using very high and paying very low today , ultimately, we have to say that if you use more you pay more and we have to move into that direction. And that

's the only right structure over a long term for the industry to price it s products. I don't think the kind of pricing we have in telecom exists anywhere in the world today or even in other industries which are offering services which come with that , if y ou use higher your per unit cost goes down but not wit h such large slabs as we have today.

Vivekanand Subbaraman: Just specific to your company ; I have one question on the capacity target. Now you have multiple levers to increase capacity. One is refarming your 3 G sites , you still have 3 G. Second, obviously you have 5G rollouts. That can happen. And thirdly you may be able to roll out additional 4G carriers. So , if you could just help us understand how capacity scales up from the current level to maybe twice as you have targeted in the next 3 years . If you ca n just give us directionally in terms of the break up or any other color that you can give on how this capacity goes up that would be great ?

Akshaya Moondra: Vivek, I am not absolutely clear about your question. I mean there are multiple ways in which we can increase the capacity which we have alluded to. And of course , as we add 5G, the capacity increases very large. As given in our investor presentation, as w e go from March ‘24 to March ‘26, the capacity increases about 2X. What is your question , I am not very clear ?

Vivekanand Subbaraman: My question is how much of this comes from 5G and how much can happen by just shutting down 3G and moving to 4G? I was just trying to understand and gauge your capacity investment as a percentage of the total CAPEX that you ’ve earmarked. And if you can give us slightly more color on 50 ,000 odd crore s CAPEX that you have discussed and how much of that goes into capac ity and how does it go? That's what I am getting at.

Akshaya Moondra: Let me just give you a very rough sense . The largest part of this CAPEX guidance that we have given is 5G. I will not be able to give you more detail than that , between coverage and capacity on 4G , it is more skewed not largely but somewhat skewed in favor of coverage than capacity. That's the only broad guidance I can give you. Also , the answer of how much comes from 5G roll out , how much comes from 4G r olling o ut more layers and how much comes from expanding 4G is actually very different for every circle because the spectrum portfolio is different in different circles. So , it depends on the situation in each circle. There's no single answer and while we've done all the working , I will also not know. It's not that I am not telling you but there is a different answer in every circle. So , it's going to be very different.

Vivekanand Subbaraman: Just one last one related to 5G. Your thought process is also 5G NSA I a m guessing. And just one more with respect to the NSA choice that Airtel has made , for the uplink layer they're using mid -band spectrum. Are you thinking something similar or what's going to be your 5G strategy?

Akshaya Moondra: As of now we are rolling out 5G NSA , that is a given . If we believe there is merit in going to SA then of course we can also roll out SA in the future. The main investment then required would be that you have to roll out a fresh core. The radio CAPEX which is incurred for 5G NSA w ill all be good for 5G SA also. And of course , we have to then also find the coverage layer which we'll have to decide which is the best layer to use at that point of time. So as of now our decision is to go with NSA because today 5G monetization itself is not happening and SA investment is much higher than NSA. So , at this point of time , investing in SA does not seem to be justified. However , that option is always available , in case that becomes the lead or that starts giving returns or that is the require ment of the customer. And generally , what we have seen is that SA is more re

levant for enterprise applications. In the consumer applications it may not have that much relevance. So , we will see how the market evolves. But currently we are focused on NSA.

Moderator: The next question is from the line of Vi bhor Singhal from Nu vama Equities .

Vibhor Singhal: My quick couple of questions were , one is assuming that the debt raise that we were planning and the non-fund limit increase that we were planning to get from the banks was contingent on the FPO that has already materialized . By when do you think we would be able to raise these funds , any timeline for that if you could provide ? Also, a related question would be that given the amount of liabilities that we have to pay sto the Government of India , assuming the moratorium period ends in September next year and post that those liabilities come due , would those liabilities be funded by the debt or the equity base that we have raised or would we look for part conversion into equity or internal accruals or some kind? What is the kind of mathematics that you are looking at in being able to address that?

Akshaya Moondra: So Vibh or, we are looking at fundraise which is the equity which has already been raised or the preferential issue of about 2000 and 25,000 of funded debt and 10 ,000 of non-funded, about 55 ,000 crores of overall facility available. The plan is to use that with some fungibility but at an overall conceptual level , we propose to use it for CAPEX over the next 3 years . The internal cash generation would largely be used for clearing the existing debt and clearing some vendor dues . Now in terms of the government liabilitie s post the moratorium , what we believe based on our outlook today is that in FY26 and FY27 , we will probably be looking at the conversion of the installments which are convertible as per the reforms package. That is what we are currently looking at.

Vibhor Singhal: And the remaining part of the liabilities which are not eligible for conversion. You think internal accruals would be good enough to address them by then?

Akshaya Moondra: Yes, based on our estimation it will be good to be met out of the c ash generation from operations.

Vibhor Singhal: But just the first part of my question , by when are we looking for this debt raise or the increase in non-fund limit, a ny timeline for that?

Akshaya Moondra: We've been engaged with the banks for a long tim e and it was their ask that first the equity raise should be completed and we've done that. We have started engagement with the banks again. I will not be able to give you a timeline but all that I can say is that we have some capital available

and we'll b e able to close the discussions with the banks in good time. Till the time when we need those facilities , they will be available.

Moderator: Ladies and gentlemen due to time constraints , that will be our last question for today. I would now like to hand the conference over to Mr. Akshay a Moondra for closing comments. Over to you sir.

Akshaya Moondra: Thank you D orwin. FY24 has come to an end and there are many positive takeaways as we mo ve to next year. We are pleased to report annual revenue and pre-Ind-AS 116 EBITDA growth for the second consecutive year on the back of consistently improving performance for last several quarters despite significantly lower investments. This clearly refl ects our ability to execute and compete effectively in this market. We have reported 11 quarters of sequential growth and key metrics of ARPU and 4G subscribers. Further , out of three private mobile operators , our share of gross adds is higher than our CMS showing that we are able to attract customers to our network. All of this is possible only because we are focused on providing great data and voice experience and are building a differ

entiated
digital experience adding several digital offerings in the rec ent months . With the recent fundraise , we will enter the next phase of growth as we continue to invest in our brand Vi that commands recognition and inspires trust , loyalty and affection. Our equity fundraiser of Rs. 215 billion coupled with debt funding will enable us to kickstart the investment cycle to expand our 4G coverage as well as launch 5G services. This moment in some way marks the beginning of Vi 2.0 and from here on V IL will stage a smart turnaround to eff ectively participate in the industry growth opportunities. Thank you all for joining this call. Have a good day and a good weekend.
Moderator: Thank you . On behalf of Vodafone Idea Limited , that concludes this conference. Thank you all for joining us. You may now disconnect your lines.

Call: Aug 2024

21 August 2024

National Stock Exchange of India Limited
“Exchange Plaza”,
Bandra - Kurla Complex, Bandra (E),
Mumbai
– 400 051 BSE Limited
Phiroze Jeejeebhoy Towers,
Dalal Street, Mumbai – 400 001

Sub: Transcript of Analyst / Investors Call (Regulation 30)

Ref: “Vodafone Idea Limited” (IDEA / 532822)

Dear Sir/Madam,

In terms of Regulation 30 of the SEBI (Listi ng Obligations and Discl osure Requirements) Regulations, 2015, please find enclosed transcript of the Analyst / Investors Call held on 13th August, 2024 relating to the Company’s performance for the first quarter ended 30th June 2024.

The same is uploaded on Company’s Website: www.myvi.in

The above is for your information and dissemination to the members.

Thanking you,

Yours truly,
For Vodafone Idea Limited

Pankaj Kapdeo
Company Secretary

Encl: as above

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“Vodafone Idea Limited Q1 FY25 Earnings
Conference Call”
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Moderator: Good afternoon, ladies, and gentlemen. This is Rio, the moderator for your conference call. Welcome to the Vodafone Idea Limited conference. For the duration of this presentation, all participant lines will be in the listen -only mode. After the presentation, a question -and-answe r session will be conducted. Should you need assistance during the conference call, please signal an operator by pressing star, then zero on your touch -tone phone. Please note that this conference is being recorded.
We have with us today, Mr. Akshaya Moond ra, CEO of Vodafone Idea Limited; and Mr. Murthy GVAS , CFO of Vodafone Idea Limited, along with other key members of the senior management on this call.
I want to thank the management team on behalf of all participants for taking valuable time to be with u s. Given that the senior management is on this conference call, participants are requested to focus on the key strategic and important questions to make sure that we make good use of the senior management's time. I must remind you that the discussions on t oday's call may include certain forward -looking statements and must be viewed, therefore, in conjunction with the risk

that the company faces.
With this, I now hand the conference call over to Mr. Akshaya Moondra. Thank you, and over to you, sir.
Akshaya M oondra : Thank you, Rio. A warm welcome to all participants to this earnings call. Yesterday, our Board of Directors adopted the unaudited results for the quarter ending June 30, 2024. All the results related documents are available on the website, and I ho pe you had the chance to go through the same. Let me provide key highlights for the quarter and a brief on our strategic initiatives. Post this, I will hand over to Murthy to share details on the company's financial performance.
Before I move on to company -specific performance, let me share some thoughts on Indian telecom market and the growth opportunities. India is one of the few countries with large and a growing population. The need for connectivity is constantly increasing across sections of society, whether we look at these sections in different income brackets or age brackets. In the last few years, wireless connectivity has become the key to complete almost every daily activity, be it a bill payment, online shopping or even for making small payments in addition to the basic purpose of offering human connectivity. While the 4G penetration is growing at a good pace, it still remains well below the 4G penetration we see in many other comparable countries. Thus, the sector continues to offer large opportunities.

Moving on to VIL, let me first talk about our recent fund raise. Further to our equity fundraising via FPO of INR180 billion and preferential issuance of INR20.8 billion to an ABG entity, we have raised INR24.6 billion via preferential issua nce of equity share to our partners, Nokia and Ericsson. We have a long -term partnership with both our partners as key suppliers of network equipment, and this transaction will further bolster our capex rollout for building a top -quality 4G and 5G network to contribute towards India's digital transformation.
Post this preferential issuance, the shareholding of Nokia and Ericsson in the company is 1.5% and 0.9%, respectively. With this equity issuance, VIL has raised INR240 billion of equity, including conve rsion of OCDs amounting to INR16 billion by ATC India between March and July 2024. Additionally, in line with our stated fundraising plan, we are in active discussions with lenders to raise fund -based facilities to the tune of INR250 billion and non -fund -based facilities of INR100 billion. This comprehensive fundraise of equity and debt will empower us to execute our well -defined strategy, which includes capex of INR500 billi

o n to 550 billion over the next
three years towards expansion of our 4G coverage an d launch of 5G services.
We participated in the spectrum auction in this quarter and acquired 50 MHz of spectrum across various brands in 11 circles. Out of this, 37.6 MHz was acquired in the sub -gigahertz 900 band. The total commitment for thi s spectrum is INR35.1 billion. In addition to renewal of 900 -MHz spectrum in UP West and West Bengal circles, we also enhanced our 900 -MHz spectrum holding in seven circles, namely Andhra Pradesh, Tamil Nadu, Karnataka, Punjab, Rajasthan, UP Ea st and Kolkata. This enables us to dedicate adequate 900 -MHz band spectrum for 4G, thereby enhancing the experience of our 4G customers in these large markets.
In the 4 circles of Andhra Pradesh, Tamil Nadu, Karnataka, and Punjab, our customers will be able to experience 4G on L900 for the first time. We also added 1,800 -MHz spectrum in Madhya Pradesh and 2,500 -MHz spectrum in Bihar, which helped in increasing the network capacity quickly. I t is important to note that we hold highest 4G spectrum per million subs amongst the 3 private operators. Further, our 5G spectrum portfolio in our 17 priority circles is competitive and sufficient for foreseeable future. The spectrum portfolio will allow us to offer superior experience to customers as well as to effectively utilize the spectrum across existing and emerging technologies.
Let me now quickly talk about our strategic initiatives.
Our first strategic initiative is our focused investment approach.

As you are aware, our investments were impacted on account of liquidity constraints over the last few years. The new funding as per our plan will be utilized primarily towards capex of INR500 billion to INR550 billion over next 3 years, which will enable us to effectively compete and participate in the industry growth opportunities as outlined b efore.
Post the successful closure of our IPO in April 2024, we have engaged with our equipment vendors for new contracts. We are focusing on high -impact and quickly executable priorities,

while we work towards closing discussions for long -term contracts. As a part of these discussions, we are al so finalizing our 5G rollout plan. As a result, we have already increased our data capacity by 7% till date. We have expanded voice over WiFi in our priority circles and at select locations in other circles.

Further, some quick win capex has already been o rdered and under execution, basis which we expect about 15% increase in our data capacity and an increase in 4G population coverage by about 16 million by end September 2024. We continue to work towards reforming the 2 100 band 3G spectrum for 4G consideri ng the overall ecosystem and h ave shut down 3G completely in seven circles with Haryan a getting added to the list of six other circles where it was done earlier, namely Maharashtra, Gujarat, Andhra Pradesh, Mumbai, Kolkata and Kerala .

In the other circles also, we continue to follow the same approach. During the quarter, we have shut down about 20,200 3G sites and added about 6,600 4G sites. Our overall broadband site count stood at about 417,250 as of June 30, 2024.

Moving on to market initiatives.

Recent ly, we have taken some tariff interventions, which we believe are a step in the right direction for the industry to move towards better return on investment as also to improve cash generation to support industry's large investment requirements. That said, further tariff rationalization is needed for the industry to fully cover its cost of capital.

Alongside these new and comprehensive plans, we are offering a range of unmatched benefits to prepaid customers by offering Night Free Data and Weekend Data Roll Over with our Hero Unlimited plans, and a unique Choose Your Benefit option to our postpaid customers under Vi Max plans. In

the prepaid segment, in May 2024, we launched Vi Guarantee, a unique offer that provides 130 GB of data to call 5G and new 4G hands et customers. Unlike some of the market offers that cater only to 5G customers, this plan also benefits new 4G handset users. This has been an instant hit amongst customers, resulting in over 200 million views of organic content on social media.

Our brand Vi continues to garner good reception, building brand affinity across all customer segments in the country. The company continues to make extensive progress on the marketing front by communicating key differentiators to its customers, entering into allianc es and introducing various innovative products and services in line with emerging customer needs and preferences.

During the cricket world cup, we introduced the second leg of 'Be Someone's We ' campaign focusing on the stories of empty nesters, battling lo neliness and the role of Vi in bridging that often unattended gap. It made an appeal to everyone to make the world less lonely with the power of connectivity and deepened emotional affinity to build positive momentum and consumer connect for Vi. This campa ign was promoted across TV, digital and on ground.

Additionally, we offer the most comprehensive international roaming proposition to our consumers, recognizing that different consumers have different needs. Vi is the only operator in the country to offer unlimited packs across a vast expanse of 29 countries that contributes to 70% of the international roaming traffic. These packs offer unlimited voice, data and SMS that ensure peace of mind for the consumers. We also offer limited packs to consumers who m ay not have a very large need for data or voice. This is one of the key focus a reas for us. And over the last one year, we have expanded the footprint of special international roaming pack from 98 to 120 countries. E -travel destinations, which are extremel y popular amongst Indian travellers have been added to international roaming portfolio. Further, we have launched VoLTE on international roaming to enhance customer experience in five countries that is U.S.A., Australia, Singapore, Japan and Taiwan.

Our br and continues to get more recognition and even more love. Vi won the prestigious Cannes Lion award for its human network -testing telecom network campaign, which was our initiative with the Dabbawalas of Mumbai to offer superior network connectivity in the nooks and corners of Mumbai. For this campaign, we also won Spikes Asia, The One Show, D&AD and Kyoorius awards. At the MOMMYs 2024 awards, Vi won Best Social Media Brand, Telecom. At AFAQs Marketers Xcellence Awards 2024, Vi won 5 awards, 2 gold, 2 silver and 1 bronze for 'Be Someone's We', Postpaid, performance marketing and human network testing network campaign.

Moving on to business services.

Our strength lies in the business services and enterprise sector , bolstered by our extensive relationships w ith enterprise clients and leveraging the diverse market experience of the Vodafone Group worldwide. Our evolution from Telco -to-Techco for our enterprise offerings is progressing successfully marked by our strategic expansion beyond traditional connectivi ty services including like Hybrid SD -WAN, SIP, IoT, IIoT and Cloud Services. We are achieving momentum in broadening our service portfolio and actively collaborating with various partners to enhance the relevance of our offerings for our enterprise clients .

Vi business has engaged with near ly 160,000 MSMEs over the past two years through its ReadyForNext Digital Assessment tool. This year on World MSME Day, Vi Business launched MSME Growth Insights Study 2.0, India's largest digital maturity assessment study. De veloped in collaboration with Dun & Bradstreet, this compre

hensive study and sitting spans 16 Industries

and provides insights into MSME ecosystem in India, Government policies, sector -specific trends, and the future of digitalization. ReadyForNext digital self-assessment helps MSMEs evaluate their digital maturity index across three key areas: Digital customer, digital workspace, and digital business, empowering them to assess their readiness for digital transformation.

Alongside the study, Vi Business als o launched ReadyForNext Digital Assessment tool 3.0 in both English and Hindi versions. This initiative aims to support businesses in accelerating their digital transformation journey, ensuring they are future ready and able to establish safe and secure workplaces for their employees. Vi Business has partnered with PayU to provide MSMEs with digital payment solutions. This collaboration leverages Vi Business' expertise in digital transformation and PayU's proficiency in digital payments and financial servic es. Together, they offer a comprehensive range of services tailored to meet the evolving need of MSMEs.

Over the past two years, the ReadyForNext campaign has been hono ured at prestigious platforms, including CIO Choice Awards, e4M Indian Mark eting Awards, ET BrandEquity DigiPlus Awards and MINT Marketing Awards. We added another feather to our cap. Last quarter, Vi Business was lauded as a global winner of prestigious ICMG Global Award 2023 for best digital strategy execution and best customer centricity a nd excellence.

The next strategic initiative is driving partnerships and digital revenue streams.

Vi aims to be a truly integrated digital services provider with a very clear objective of driving higher digital engagement with our consumers and driving mon etization through specific streams or by participating in select digital categories. Our stated strategy around this has been to build this through strategic partnerships .

And bring out most of these offerings on the Vi app. Vi app today goes being a multi -utility app that offers not just end -to-end telco account management, but also allows consumers to pay their

electricity or water bills, recharge for FASTAG or DTH, buy almost any OTT subscription, watch over 350 TV channels, play over 100 games, particip ate in eSports tournaments and more.

Further leveraging telco data and access capabilities to create a distal marketplace, we have launched shop section on Vi app in partnership with leading players across categories like entertainment, food, shopping and travel. Vi Shop again has opened to some very encouraging response from our consumers and one would only see better of it as we keep bringing in newer categories and expand our catalog ue.

We have a complete gaming arena under Vi Games on Vi app, where one could play a host of hyper -casual games online or avid gamers can participate in eSports tournaments. Further, the Cloud Play, our offering on cloud gaming allows our consumers to play the best of the games without having to download and install them on th eir devices. It is a subscription -based service currently being offered only on mobile.

Vi recently launched Vi Movies and TV and an all-new avatar, all new apps for mobile on both Android and iOS and as well as for TV across all operating systems, that is Google TV, Samsung, Firestick and soon we should have it for LG as well. It is an offering mainly for connected TV wherein our subscriber can buy a subscription plan to get access to a host of their favo urite OTTs, just like the way we have been buying DT H plans for TV channels. This gives a significant savings to the subscriber versus paying individually for different OTTs as well as convenience of one subscription and one payment compared to managing multiple subscriptions with different cycles.

We have a very strong roadmap to build Vi Movies and TV as a destination of choice

for our

consumers when it comes to their TV entertainment. While we continue to scale this, we still have a strong pipeline of products and proposition that's on our digital road ma p, which we will

continue to unveil in the coming months. In the pa rtnership space, we introduced two new recharge plans of Netflix that bundled TV and mobile subscriptions. Based on the transformation Vi app has seen over the last year and a half, our con sumer ratings on Play Store have consistently improved.
We would like to reiterate that we will continue to have a disproportionate focus to build the digital ecosystem with our partners enabling differentiated experience for Vi users, which will help us d rive customer stickiness as well as provide incremental monetization opportunities.
Moving on to other highlights .

Firstly, I am proud to share that we are Great Place To Work® Certified™ in India . This recognition reflects our commitment to creating a supp ortive, flexible and inclusive work environment for a large workforce across locations. Earlier in May 2024, we have also been ranked 15th amongst the top 25 best companies to work for in India as per Business Today. And the heart of our success is our bel ief that our people are our greatest asset.
On operations front, the 4G subscriber base has continued to grow for the 12th successive quarter, and stood at 126.7 million as on June 30, 2024, versus 122.9 million as on June 30, 2023, an addition of 3.8 mill ion 4G subscribers over last one year. The total subscriber base stood at 210.1 million.
With that, I hand over to Murthy who will share the financial highlights for the quarter.
Murthy GVAS : Thank you, Akshaya. A warm welcome to each of you. As Akshaya mentioned, this is a 12th consecutive quarter of growth in 4G subscribers. The revenue for the quarter stood at INR105.1 billion and the EBITDA of INR21 billion, excluding IndAS 116 impacts impr oved by 4.2% on a year -on-year basis and the EBITDA margin has improved to 20%. The reported EBITDA stood at INR42 billion as compared to INR41.6 billion in Q1FY24.
Further, depreciation and amortization expenses and net finance costs for the qua rter were INR53.7 billion and INR52.6 billion, respectively. Excluding the impact of IndAS 116, the depreciation and amortization expenses and net finance costs for the quarter were INR40 billion and INR43.5 billion respectively. The finance cost for the q uarter has declined mainly due to one reversal effects following the subsequent Supreme Court's order on RLSF and two, reversal of accruals amounting to approximately INR650 crores based on the agreement on the payment plan with some of the vendors on the due amounts.
Capex spend for the quarter stood at INR7.6 billion. As mentioned in our press release, certain capex has already been ordered and is under execution and hence the capex spend is expected to increase going forward. The total debt from banks an d financial institutions stood at INR46.5 billion and OCDs at INR1.6 billion as of June 30, 2024. The debt from banks and financial institutions reduced by INR45.5 billion during the last one year. We have so far raised a little over INR240 billion of equi ty in this calendar year via various modes. The cash and cash balance stood at INR181.5 billion as of June 30, 2024. Resultantly, our interest income has increased during this quarter.
The spectrum obligations to the government stood at INR2,095. 2 billion as of June 30, 2024, including deferred spectrum payment obligations of INR1,392 billion and AGR liability of

INR703.2 billion. This does not include the spectrum acquired in June '24 auction as the demand notes were received in July '24. With this, I han d over the call back to Rio and open the floor for questions.
Moderator: Thank you very much. We wi

ll now begin the question -and-answer session. The first
question is from the line of Sachin from Bank of America. Please go ahead.
Sachin: I have three quest ions. First question, I wanted to understand the update on investments in the network after fundraising . Now I heard your opening comments, I want to understand when we could start seeing improv ement in the network quality. And the reason I'm asking is when we look at the net adds in this quarter, it's still at similar levels in terms of losses as compared to 4Q. I presume from subsequent quarters; we should see the number coming down. So any color in that direction will be helpful?
Akshaya Moondra: As I mentioned in the opening remarks , our fundraise happened in April, post that we have been engaged with vendors. We have many circles where we have Chinese equipment where 5G is not allowed. So that is a part of discussion as to what is the best way to address that. The longer discussions are in pro gress and we are likely to conclude that soon,

probably over the next month maximum. But while that is in progress in terms of addressing the more longer -term contracts, we have used this period to quickly order some of the upgrades in terms of where we ju st needed a software upgrade or where we had some hardware available, which we could deploy quickly. In some of the cases , not much of a discussion was required as to what should be the product and where it should go.
And as a result of which, as I had indicated in my opening remarks and as has been captured in the press release also that we will be able to increase our capacity by about 15% compared to where we were before the funding and the increase in population coverage by about 16 million by end of September.
Besides the increase in population coverage, we would also see an improvement in experience of the custome r by deployment of more L900 and improving the indoor experience, particularly in some places, where L900 has been deployed for the first time. S ome improvement has already started happening . But for that to change the tra jectory of subscribers , definitely , will take some time because people will start experiencing the improvement in network, and then that should result in some improvement in sub scribers trend . The actions of having some quick wins wh ere not much of a decision -making is required in terms of capex that has been done very quickly. And in areas where we now need to finalize our product configuration and rollout plan , the rollout

plans have been decided, and we are in the process of finalizing our discussions with our vendors so that we can order the equipment and start deliveries in the coming quarter.
Sachin: Very clear. My second question, any color you could give us post tariff hikes, how have your customers r esponded? Are we seeing any signs of down trading or are we seeing people moving towards lower packages and consolidation and so on and so forth?
Akshaya Moondra: So Sachin, firstly, this has been a little over a month and sometimes these trends are not very clear. What I would say is , there is slightly longer time being taken for recharges , but down trading is that people spend the same amount of money on a lower benefit. All the trends, I would say, are largely in line with the previous price increases. Whether there is an element of SIM consolidation, difficult to say at this point of time. But generally, since the entry price increase this time has been minimal, that should not result in much of SIM consolidation. One of the trends we have seen is that port out to BSNL has generally increased from the pre - tariff increase levels which is a space that we are watching. And the reason for that is, of course, that they have not increased their t ariffs, so there's a fair amount of arbitrage.
Our expectation is that customers who are used t

o using a good coverage and experience of 4G,
probably the current offering of BSNL may not be to that extent and people who may have taken a quick decision in terms of the tariffs actions may most likely come back . We will keep on watching the space and see what needs to be done as we move forward.
Sachin: That's very clear. And last question is to Murthy. Just wanted to understand the one -offs in the quarter. I think there are two one -offs in the interest costs, right? One also on vendor dues, which I was not sure how much is the amount?
Murthy GVAS: The first of two one -offs is the effect arising out of subsequent Supreme Court judgment where interest is not applicable. And that figure we have disclosed in our notes of INR263 crores. The second one I mentioned is approximately about INR650 crores wh ich is an arising out of write -back of interest accrued pertaining to vendors with whom we have better settlement.
Sachin: Got it. Thank you.
Moderator: Thank you. Next question is from Sanjesh Jain from ICICI Securities. Please go ahead.

Sanjesh Jain: First on this capex and the 3G BTS shut down. I thought the 3G BTS were ref armable to 4G while we are shutting down. Are we not ref arming them to 4G, or these equipment's were not capable of being ref armed to 4G?
Akshaya Moondra : In general, whatever was being capable of ref arm, ref arm to 4G was largely done, although what we are closing down now, some of it is still ref armable and that is being used. However, I think your question is probably emanating from the point that we are s eeing a higher decline of 3G sites, which is not reflecting in the proportionate increase in the 4G technology sites. And the reason for that, as we have explained earlier also is that if we have, 10 MHz of 2,100 band spectrum , 5 MHz was already ref armed to 4G, and it was being counted as a 4G technology side. Now as you reform another 5 MHz from 3G to 4G, and that 4G spectrum goes from 5 to 10, there

will be a negative on the 3G side without there being an addition on the 4G side.
The ref arming which is happening today is more in the nature of the additional 5 MHz going into 4G. And that is why those numbers will not match. But as we have mentioned always that we continue to add significant capacity. A nd as I have mentioned earlier in response to the earlier question, that we are looking at the capacity growth by September alone of about 15% with whatever actions we are taking.
Sanjesh Jain: That's clear. That's pretty much clear. Second, on the capex for this year now that we have started placing the order, what is the expectation for the capex in the remaining 9 months of this fiscal year?
Akshaya Moondra : So Sanjesh, right now we are in the process of ordering . As mentioned earlier, we have a 3 -year capex guidance of INR500 billion to INR550 billion. What will happen in the next 9 months is a bit of a function of when orders happen and when the deployment happens or when the delivery starts. The best way to describe this today is that the 3 -year capex guidance is INR500 billion to INR550 billion and the idea would be to accelerate whatever capex that we have to do on coverage expansion.
And as we have mentioned in the past that 4G capacity growth would happen as the traffic grows, but the co verage would be pretty much accelerated. So this would be front ended . Some of the 5G capex will start immediately because that is based on where 5G devices are today and where there seems to be a case for deploying 5G.
So in general the capex will be fron t ended , but some part of 5G as this kind of gets rolled out gradually part of the 4G capacitization as the traffic growth. These are the ones which will be more towards the second half of this implementation time frame.

Sanjesh Ja

in: Got it. And we will b e looking at, again, a dynamic spectrum sharing between 4G, 5G or this will be only 5G kind of a site?
Akshaya Moondra: No. 5G currently will happen only in the mid band, which has been taken for 5G. So there is no spectrum sharing for 4G in fact.
Sanjesh Jain: Got it. And actually, on the churn rate which continues to remain quite elevated at 4%. The peers are at 2%, 2.5%. Do we expect this churn rate to come down materially in the next few quarters or you expect t his to remain high?
Akshaya Moondra: No. We do believe that this churn rate will come down materially in the next few quarters. There will be a time lag between the investment and this turning around, but definitely the whole hypothesis of the investment is that as opposed to currently being net subscriber negative, we should get to a net positive territory and start participating in the growth of the industry which we have not been doing over the past 2, 3 years because of th e lack of investment.
Sanjesh Jain: Got it. And last question on the overall capex plan of INR50,000, INR55,000 crores if I have to divide it between 3 years, is it fair to believe that next 18 months will have a majority of the capex upfronted and next 1.5 years will be much lower?
Akshaya Moondra: It would be skewed towards the front, first 18 months significantly higher than the next 18 months, probably that may not be the correct presentation. And the reason for that would largely be that, as I sai d, the coverage part on the population coverage that we want to do for 4G that would happen in the next 12 to 15 months.
In terms of 5G and 4G capacity, it will evolve based on how the market is evolving on the 5G side and based on how the traffic is going . So some of them 4G capacity is more need -based. 5G, we will kind of start investing. We said we'll be calibrated in our approach. And as the market evolves and as we find merit and see the experience of rolling out 5G, what impact does it have?
Those ar e the ones which are not absolutely decided in terms of time frame, but the 4G coverage and decongestion wherever we already have congestion, and a lot of the congestion is being sorted out by investments and the growth of capacity that I mentioned that we will achieve by September. So that is our top priority in decongesting areas where we have congestion today, but beyond that in terms of growing the capacity that is a function of growth.
Sanjesh Jain : Got it. That’s clear. Thanks Akshaya for answ ering all the questions and best of luck for the coming quarters.

Moderator: Thank you. The next question is from Vivekananda Subramaniam from Ambit Capital. Please go ahead.

V. Subramaniam: So continuing on the question that Sanjesh asked. Your peers are saying that 5G is off -loading 10% to 20% of their network traffic. And this could be a meaningful lever for you to catch up with your peers on the capacity front, so I just want to understand, you had outlined in the presentation on 27 June, where you had given certain targets for capacity ramp - up over the next couple of years. How much of that will be through 5G? And how should we think about your capex choices here given that now 5G is relatively more mature and perhaps you could skip some of the 4G capacity upgrades and instead choose to invest in 5G directly to increase or to more than double your capacity over the next couple of years.
Akshaya Moondra: The handsets of 5G are proliferating and so the 5G traffic with our peers is growing that is gi ven, but it is also growing in the context of the fact that 5G traffic today is free. So if you have a 5G device , there's no metering of that traffic.
And to that extent once this traffic starts getting met ered and charged or becomes the part of your quota , then we'll have to see. One of the challenges we find in the 5G is that

for the same usage
behaviour particularly in streaming you will end up consuming more data without a difference in experience which is fin e when you are not being charged for that data based on the traffic but if you're getting charged and your consumption is, let's say 3x for the same usage on 5G compared to 4G then the consumer will have to make a choice. Having said that, what you are saying is right that we are today investing at a point of time where we have not made some investments in capacity which we would have made earlier. And given that 5G is available today instead of investing in, let's say, the TDD layer of 4G where we have not made the investment.
We could directly invest in 5G and that definitely is a good solution, and those investments would be made. The only thing which is to be kept in mind is that there would be availability of 5G devices, and one may need to still create capacity on 4G depending on how much traffic actually shifts to 5G based on the availability of devices. So that is where it becomes a little dynamic in nature, but the point that 5G is a good solution for capacity that is very clear, and we'll follow that strategy.
Generally, from a capacity perspective we have been fine and our speeds on 4G have been absolutely fine. There are pockets, let's say, in Gujarat, UP West where we've had some congestion. B ut otherwise generally speaking capacity has not been our limitation. Our limitation or constraint has been the 4G coverage and which will be our priority and the first focus area for

expanding. So capacity while the strategy as explained will be followed, but it is not area of concern even now.
V. Subramaniam: Right. Understood. I appreciate the detailed response. And I guess that's perhaps why you are going to keep 4G capacity addition in the second half of your capex window, 3-year capex window. So just extending this question a little bit do you track the number of -- would you be able to disclose the number of smartphone users currently who have 5G -enabled handsets, I mean of the 127 million 4G users how many already have 5G handsets? Is that data avail able with you?
Akshaya Moondra: That data is available, I would not be able to give you a number, but I would say that it is a fairly large number, somewhat lesser than what peers will have who are already offering 4G, but not too different, I would say.
V. Subramaniam: Understood. So you mean to say, as a percentage of this user base, subscriber base, a fairly large number of users already have 5G handsets, right?
Akshaya Moondra: Yes.
V. Subramaniam: Okay. Okay. That's clear. Secondly, there is a regulato ry consultation that came up in the end of July, which was referring to some plans that were eliminated by Airtel and Voda, the metered tariffs, metered voice -based tariffs, Jio never had them. So if these plans make a comeback and if, let's say, the indus try participants decide to -- or are forced to launch these plans? Then how should we think about the ARPU numbers here? I mean, will this have a meaningful bearing on the ARPU? I mean you guys have a large percentage of 2G subscribers. So some of your cus tomers may have higher propensity to opt for these plans, right? So what are your thoughts here? I know consultation is still underway.
Akshaya Moondra: Vivek, unfortunately, I don't have the complete details on this consultation, which you ar e referring to. This must be in the process of being prepared. Generally speaking, even if there is a regulation which requires a metered plan to be available, with the kind of pricin g that we have in India on unlimited voice and reasonable level of data, while it may be a regulatory requirement, I doubt that it will become popular . Not having complete knowledge, it's just a reaction based on my understanding of what you are saying, but maybe we can di

scuss this offl ine
after we have some more clarity on the subject. But as I see, it's not been something which is top of the discussion items. So I don't think it has a major implication.
V. Subramaniam: My last question, pardon me, is a bit speculative, but I'm getting query. So I'm also taking the liberty to ask you this question. There were some media articles which highlighted

that government is looking to or it's in dialogue with some funds to exit it s stake in Vodafone Idea. Now I know during the FPO, you mentioned that you may need more support from the government in the form of conversion of the deferred payment instalments into equity. What's your dialogue been with the government in the recent per iods? What are they thinking? Is there anything you are able to share with us that can help us think this through better.
Akshaya Moondra: As you have read in the newspaper, I have also read it in the newspaper. We have had no communicat ion with the government and to that extent, we have to say that government as a public shareholder, they are free to take decisions with reference to their investments. This is an independent subject.
The only thing I would add to that is t hat whether the government continues with their shareholding or divest gradually or whatever they may decide to do is independent of what their policy is. Let's go back to how they became a shareholder. When the reforms package was announced, th ey were not a shareholder. So the reforms package was announced primarily with the objective of saying that support needs to be provided, the government is very clearly focused on having 3 healthy private operators. And in addition, the government also has besides the equities take a large amount of money, which we owe to them. And if you take everything into account, the conversion to equity was a means of supporting the balance sheet of the company by converting some debt into equity and The policy of the government remains the same. What they do with their public shareholding, so which it is, that is their decision . We, as the company, don't have any information or engagement with them on the subject.
V. Subramaniam: Sure. Okay. And i f you can comment on the Supreme Court's hearing and your plea with the Supreme Court on the AGR case, any visibility on the dates that will be great. That was my last question anyway.
Akshaya Moondra: In July, a gain, we had mentioned it in the court and the Honourable Chief Justice has said that he will look into the matter and take a decision soon. This is the feedback I got from our coun sel, we are also waiting for this matter to be decided hopefully, favourabl y. I mean favourably in terms of the matter being admitted for open hearing.
Moderator: The next question is from the line of Kunal Vora from BNP Paribas.
Kunal Vora: First question is on 5G. When will you start offering 5G in top cities? And how would you approach 5G monetization. In case of your peers, consumers who tried 5G and now might be willing to pay INR50, INR70 extra for 5G because it's available in 2GB plans and not base plans in

your case, the consumers might not have tried. So how would you app roach 5G monetization, if you can share your thoughts on this.
Akshaya Moondra: We are also watching this space. Really speaking today, what you call as INR50 or INR51 additional charge only comes back to the same price poi nt that you can participate at INR349 or INR379 as the minimum pricing plan. So, whether you pay INR299 and opting for this by paying INR51 extra or you pay directly INR349, it is one and the same thing to my mind.
So really speaking to that extent, moneti zation is not happening. But yes, the fact that the entry level for the free 5G unlimited data has been increased, should result in some highe

r monetization
or some monetization in the form of higher ARPUs. We are also watching the spac e how it is evolving. As I mentioned in my previous response that part of the 5G deployment is for capacity, and it is attractive cost capacity where the traffic is high. In some cases where we have a need for capacity, and we have a choice between deployi ng TDD or 5G, we may choose to bypass TDD and directly deploy 5G.
From these perspectives, 5G investment makes sense. But some of the investment, which is a function of monetization, we are watching the space and that's why I always kee p saying that while we have a certainty of our capex budget earmarked for 5G but the actual deployment of 5G will be a little more calibrated and in line with how the market is evolving.
Kunal Vora: So what I'm trying to understand is would you look to pri ce a little differently compared to Airtel especially in case of 5G, like say in their case consumers will try it like when

5G was available at 239 Plan and now they can decide whether they want to go for 299 or actually pay for 5G and get to maybe 349. In your case, is the minimum threshold is 349 -ish in that case many of those customers might not even be able to try 5G. So how would you approach the 5G pricing is what I was trying to understand?
Akshaya Moondra: This is a decision we'll have to ta ke closer to the time we launch. I t would be a bit early for us to decide on this. But definitely, once you are just starting with our network, which is not yet mature, which is in the case of peers, then one will have to look at pricing in that fashion.
Kunal Vora: Okay. Second one is what is the revenue translation which you're expecting because of the tariff hike on a blended basis? Let's say, this tariff hike, where does it take your ARPU from the current levels of INR146 level. I know that it won't be a precise number, but what kind of ARPU uplift are you expecting?

Akshaya Moondra: ARPU uplift is a mix of many things. But if I were to give you just some indication and some of the figures, I remember is that in the prepaid, we were calculating that a blended average price increase in our case would have been roughly around 17%, which should be generally true of peers maybe one was a little higher. generally, the price increase on a blended average was about 17%.
On this, rule out some part either either of the down -trading or the downgrading which happens or in some cases SIM consolidation or a higher level of churn immediately. The pass -through of the 17% price increase, how much of it will get into the actual revenue increase, one has to still see, and this probably will take 2 to 3 months from the time of p rice increase to kind of get settled. It could be in the ballpark of, I would say, 2/3 to 3/4 flow through to revenue increase of the percentage of price increase as we have seen. This is only for the prepaid, postpaid has some slightly more staggered bec ause of the timelines i.e. notice to be given after 6 months waiting period for new joinees. So that will be a more longer period of flow through to the revenue increase.
Kunal Vora: Understood. Lastly, on subscriber base, what is the trajectory you see from here you've been seeing declines. And with the tariff hike, there would be some more pressure. So -- and on the other hand, you are like investing in network. So when do you believe that the subscriber base stabilizes? And when do you think that subscriber base could actually start increasing?
Akshaya Moondra: Kunal, to the end result of what would be the timing of this turnaround, it is very difficult to predict. However, we are confident that what we have been lacking is in terms of the network offering. And as we invest in that, it will start turning around. Maybe it will not become positive immediately, but at least the trends will start turn

ing around, once the
investment starts coming on board. But I'll avoid me giving you a timeline on this one becau se it is difficult to say when does the rollout and the improvement and experience actually makes this turnaround. That is something we'll have to see how the market behaves in this direction.
Moderator: The next question is from Saurabh Handa from Citigroup.
Saurabh Handa: I had a couple of questions. Firstly, on 4G subscriber additions, the pace of additions has slowed down this quarter. Is there an element of seasonality, because of summer or something ? Or is this a trend, which has bee n seen for the last few quarters? Any color you can provide here?

Akshaya Moondra: It has been growing, but the pace of growth may have been slower. This is right . Generally, both this quarter and the quarter which we are cur rently tend to be seasonally weak quarters. If you look at the trends for all operators from Q4 to Q1, in terms of the overall subscriber additions or the revenue growth that was achieved quarter -on-quarter from Q4 that has moderated for everyon e in Q1.
So yes, seasonally, there is an impact, and that would also have an impact on the growth of 4G subscribers. And generally, these things start turning around in the Q3 of the financial year. Q1 and Q2 tend to be seasonally weak and to t hat extent, there is some impact of this.
Saurabh Handa: Okay. Got it. And my second question was on the coverage plan. So you have mentioned that you plan to increase your 4G coverage from around 1 billion currently, the population coverage, to 1.2 billio n in the next 18 months. Any idea you can give us on what this will translate into improve in terms of number of unique site additions from the 183,000 number

that you are at currently?
Akshaya Moondra: This would translate to somewhere around 210, 000 to 220,000 sites, somewhere in that range.
Saurabh Handa: Okay. So that's around 20,000, 30,000 additional sites, ballpark.
Akshaya Moondra: I'm talking about 4G sites. So actually, unique sites, we have is about 182,000, currently are 4G sites is about 168,000 which will go up to about 215,000 as a ballpark.
Saurabh Handa: Okay. And my las t question is just a follow -up on the AGR related question. So I mean just to clarify our understanding. So if the Chief Justice has sort of okayed the case. I mean, does it mean that it's now just a question of when it will be listed for hearing? Or is th ere still some uncertainty on whether it will be heard at all or maybe just in terms of likelihood, it's a very high chance that it should be listed for hearing? I mean how should we just think about this or what your council has been advising you?
Akshaya Moondra: The merits of the case is with the judge and the court. Our understanding is that, first, curative petition has to be admitted for hearing, in which case , it will be heard and then a dec ision will be taken. We have only two prayers in that petition. One is that the DOT be allowed to make corrections in the demands until 20 16-17. And secondly, given the nature of the case, there should be no penalty and interest on penalty charged.
So in essence, these are the two matters, which the court has to decide. The first one, if the court decides, then that means the matter goes to DOT, we then have to look at the demands, and they

have made corrections to the demands for the period after 2016-17. But for the period until 2016-17, because of the court order, they have not revisited the question of correcting the demands. So that is the matter which if the court approves, it will go to the DOT for this.
As far as the penalty waiver is concerned , that is a decision which has been taken by the court itself. And then there is no further activity required. It is the decision which will

determine the
action to be taken. Hope I've answered what you wa nted to know somewhat correctly.
Saurabh Handa: Yes. So just to clarify, so it is yet to be admitted for hearing. That is the status, but it's fair to assume that there is a high likelihood that it would be admitted for hearing based on the CJI comments? C an we look at it that way?
Akshaya Moondra: It will not be appropriate for me to make a judgment on that.
Moderator: Next question is from Balaji from IIFL.
Balaji: Most of my questions have been answered. I just had a quick housekeeping question. On the depreciation and amortization charge, it has come down a fair bit quarter -on-quarter. So going forward, is this the new normal? Or is there some one -off yet.
Murthy GVAS: So Balaji, depreciation and amortization has come down largely because of some of the assets which have completed their useful life and as we get into the capex cycle, and we put those assets to use , it will increase. But till then, yes, it will -- to the extent that the asset completed a useful life, there will be reduction there.
Akshaya Moondra: The assets, which are coming out of the depreciation is the capex which was incurred 7-8 years ago. Generally, our capex run rate for Vodafone Idea combined together at that time, maybe in the ballpark of INR15,000 -20,000 crores. So those are the assets which are coming out of this. So it's a question of what are the assets coming out and what was the run rate of capex at the time these assets were deployed? And what is the capex run rate today?
As our capex run rate starts going up, we would probably get to a flattish p eriod of depreciation for some time. And of course, then if you go further when in the last 3 years, our capex has been much lesser. And then that asset starts getting retired, you will see an increase in depreciation. So it's a question of what was the ca pex run rate 8 years back roughly, 8 or 9 years back, and what is the capex run rate today.
Moderator: Due to scarcity of time, we will have to take that as the last question. I would now like to hand the conference over to Mr. Akshaya Moondra for closing comments.

Akshaya Moondra: Thank you, Rio. We have started the year with a big bang with successful completion of the largest FPO in the country of INR180 billion, which was subscribed about 7 times. We did not stop here. We raised further equity from the promoters to the tune of INR20.8 billion and the preferential issue of equity shares to Nokia and Ericsson was INR24.6 billion. ATC also completed the conversion of its OCD originally amounting to INR16 billion. Further, the tariff hike has also happened, and we will see the benefits in the coming quarters.

We have kickstarted the investment cycle and are deploying the funds from the fund raise towards 4G coverage and capacity. We expect 15% increase in our data capacity and an increase in 4G population co verage by 16 million by end September '24. And larger improvements once the larger capex plan is executed in the near term. We are on a journey of VIL 2.0. and from here on, VIL will stage a smart turnaround to effectively participate in the industry growt h opportunities. Thank you all for joining us on this call. Have a good day.
Moderator: Thank you very much. On behalf of Vodafone Idea Limited, that concludes this conference. Thank you for joining us. Ladies and gentlemen, you may now disconnect your lin es.

Call: Sep 2024

30 September 2024

National Stock Exchange of India Limited
“Exchange Plaza”,
Bandra - Kurla Complex,
Bandra (E),
Mumbai – 400 051 BSE Limited
Phiroze Jeejeebhoy Towers,
Dalal Street,
Mumbai – 400 001

Sub: Transcript of Analyst / Investor Update Call

Ref: “Vodafone Idea Limited” (IDEA / 532822)

Dear Sir/Madam,

Further to our intimation dated September 20, 2024 please find enclosed transcript of the Analyst / Investor Update Call held on September 23, 2024 .

The same is uploaded on Company’s Website: www.myvi.in

The above is for your information and dissemination to the members.

Thanking you,

Yours truly,
For Vodafone Idea Limited

Pankaj Kapdeo
Company Secretary

Encl: as above

“Vodafone Idea Limited
Conference Call ”
September 23, 202 4

Moderator: Good afternoon, ladies and gentlemen. This is Ryan, the moderator for your Conference Call . Welcome to the Vodafone Idea Limited Conference. For the duration of this presentation, all participant lines will be in the listen -only mode. After the presentation, a question -and-answer session will be conducted.
Should you need assistance during the co nference call, please signal an operator by pressing star, then zero on your touchtone phone. Please note that this conference is being recorded. We have with us today Mr. Ravind er Takkar , Non -Executive Chairman of Vodafone Idea Limited , Mr. Akshaya Moondr a, CEO of Vodafone Idea Limited , and Mr. Murthy GVAS, CFO of Vodafone Idea Limited , along with other key members of the senior management on this call. I want to thank the management team on behalf of all the participants for taki ng valuable time to be wit h us.
Given that the senior management is on this conference call, participants are requested to focus on the questions related to the recent developments only to make sure that we make good use of the senior management's time. I must remind you that the d iscussions on today's call may include certain forward -looking statements and must be viewed, therefore, in conjunction with the risks that the company faces.
With this, I now hand the conference call over to Mr. Akshaya Moondra. Thank you and over to

you, sir.
Akshaya Moondra: Thank you, Ryan. A very warm welcome to all participants to this conference call. Thank you for joining us today. We have organized this update call to apprise you of our mega network equipment order and some key developments.
As y ou would recall during the previous earnings call, I had alluded to our ongoing discussions with our vendors for supply of network equipment. Most of you would have seen our media release over the weekend or today. I am pleased to share that we have concl uded deals worth about INR300 billion or INR30,000 crores with the three global players, namely Nokia, Ericsson, and Samsung, for supply of network equipment over a period of three years. We have continued with our existing long -term partners, Nokia and E ricsson, with whom we have a relationship since inception. We have also onboarded Samsung as our new partner. This is one of the key steps towards the rollout of the company's transformative three -year capex plan of INR500 to INR550 billion. The overall capex program is directed towards expanding the 4G population coverage from INR1.03 billion to INR1.2 billion, launch of 5G services, and capacity expansion in line with the data traffic growth.

I am happy to share that the company has activat ed its growth cycle. With the kick -starting of the planned capex, we will be able to expand our 4G coverage and launch 5G, as a result of which our cash from operations will improve. A large part of that cash generation will go towards payment of governmen t obligations. As you know, our bank debt is now at a very low level of around INR48 billion as of the end of last quarter. Even post the new debt fundraising, the cash requirement to service such debt will not be very large.
Further, as mentioned during the last earnings call, we have almost completed our quick -win capex. This capex, along with spectrum acquired in June 2024 spectrum auction, enabled us to increase our data capacity by about 15% and also expand the 4G population coverage by about 16 milli on compared to March 2024. As a result, we are witnessing a meaningful improvement in data speeds and improvement in customer experience in the geographies where these rollouts have been completed.
On the bank facility, we are in an advanced stage of dis cussions with existing as well as new lenders to tie up INR250 billion of funded and INR100 billion of non -f

und -based facilities. One of
the major steps in this debt fundraising process was the completion of techno -economic evaluation by an independent thi rd party engaged by S BI, our lead banker. This evaluation has been recently completed and the report has been submitted to all the banks and financial institutions which will allow them to now progress with their internal evaluation and approval processes. We expect the bank funding to conclude in next 7 -8 weeks. We had a closing cash balance of about INR180 billion as of June 30, 2024 and we are sufficiently funded to execute the capex plans in the interim.
On the AGR matter, the Honorable Supreme Court ha s dismissed the curative petition filed by telecom companies. The curative petition was raised on very limited aspects of the AGR issue, that is, to correct the errors in demands and waiver of penalty and interest thereon. In the Honorable Court's opinion, the petition did not meet the criteria laid down for admitting the curative petition. Based on this, they did not accept the petition and therefore there was no discussion on the merits of the case.
While a positive outcome would have no doubt eased the overall liability and enabled faster deleveraging, we would like to reassure you that our long -term business plan and revival strategy remains unaffected. In fact, our long -term business plan, which has been shared with the banks and on the basis of which the techno -economic evaluation has been done, has been constructed without considering any potential benefit in the AGR matter. Hence, while the outcome of the curative petition is disappointing, it does not have any impact on the long -term business plan o f

the company and its existing liabilities. Also, I would like to clarify that the curative petition outcome does not create any impact or modification on cash flows as already considered in our business plan.
Most significantly, the government's commitme nt to support the three -private player market remains unwavering. With 23% shareholding and receivables of over INR2,000 billion from the company, Government is the single largest stakeholder in the company. In light of the curative petition dismissal, we have initiated a fresh dialogue with the government on likely remedies.

To conclude, it has been a very eventful few months for us here at Vodafone Idea.
• Between March to July, the company has raised INR240 billion of equity, including preferential equity raise of INR24.6 billion from Nokia and Ericsson.
• In June 2024 spectrum auction, we acquired 50 megahertz of spectrum across low -band and mid -band spectrum in 11 circles. The additional 900 MHz spectrum acquired in 7 circles allowed us to dedicate adequa te 900 MHz band spectrum for 4G, thereby enhancing the experience of our 4G customers in these markets.
• In July, the new tariff plans became effective across the industry, which marks a vital step towards improving the returns in the industry. Further, con sidering the large investment requirements, industry will need further price increases.
• Finally, with the recent closure of our equipment agreements, we are firmly on a journey of Vi 2.0, and from here on we firmly believe that we will stage a smart turna round to effectively participate in the industry growth opportunities.
I would like to inform you that on this call we will only address questions relevant to these recent developments.
With this, I will hand over the call back to Ryan and open the floor for questions and answers.
Moderator: Thank you. Ladies and gentlemen, we will now begin the question -and-answer session. The first question is from the line of Sanjesh Jain from ICICI Securities. Please go ahead.
Sanjesh Jain: The first one is on the AGR Supreme Court ruling. Is there any further possibility for us to pursue this, or this ends any effort on the re

lief side for the AGR liabilities?
Ravinder Takkar : Hi, Sanjesh. This is Ravinder Takkar . Let me take that question From the court perspective, w e believe that this is the final outcome from the court in regards to the curative petition because we believe that was the final request that we could make. What is possible which I think is quite important, is to pursue further remedies and possibilities with the government. I

can tell you that we have been engaging with various senior government officials. Actually, we were engaged with them prior to the court ruling and certainly we have even after the court ruling. All the engagements have been with a very clear view from every side that the merits of our case on the AGR in regards to the calculation errors and mistakes, and then, of course, interest and penalties on those mistakes, are quite strong and correct. And while there was a hope that the court s will obviously consider the petition, the fact that the court has not done so means that the now action and responsibility in some ways falls squarely along with the government.
We have been since that time put ting together a comprehensive view of what w e believe would be the right mechanism and requests that we can make for addressing this challenge . I think there is a very clear understanding in the government that it should not be fair to ask us to pay for something which is a calculation error. We are in the process of putting together those requests. We will be engaging again with the government in the coming days on those requests. We expect a very strong engagement with the government as it has been with the industry for the last four years. Since the reform package in 2001.
As mentioned by Akshaya, they are very committed and continue to be very, very committed to three strong private players . Not only was the reform package done but then there was a government equity conversion in 2023. Since then the engagement has been very strong and as I said earlier that even on this AGR topic, there are very few discussions about the merit of our case. The understanding of that merit is quite strong and correct.
We expect to engage further with the govern ment and look forward to working with them in finding a solution for this challenge and hopefully we can together work with them to find a mechanism for relief on this matter. And we strongly feel that that is very possible. Given the engagement from the g overnment, given their point of view on what is the right thing here, we expect to still continue to pursue that. Obviously, not in the courts, but no w directly with the government.
Sanjesh Jain: Got it. That's clear. But will this require any change in th e regulation to be completed or this is possible in the course of the event like relief package, what we have seen earlier?
Ravinder Takkar: It's a bit too early today to talk about the mechanisms. We believe that the government of India has many levers an d mechanisms by which they can address the situation. I won’t like to speculate on what can be used and what are the possibilities, but we know that there are several options and several possibilities. Of course, the intent is to find a way which works the best for everybody in the industry as well as a solution that is fair for all the participants in

the industry as well as for the government. So I won't speculate on the mechanism, but certainly I think we know that there are several mechanisms by which t his can be addressed.
Sanjesh Jain: Fair enough. That's pretty much clear. Akshaya you said that the cash flow which business will generate will largely go into paying the liabilities to the government. What about the current liabilities which is outstandi ng for that? How are we planning that payout?
Akshaya Moondra: T

he liabilities which we have today, one is the bank loans which I said is
about 48 billion and then there are over dues to the vendors ; large part of which is cleared and they are getting cleared regularly. I didn't mention that separately because that is part of business as usual.
We have mentioned earlier that our capex guidance for the next three years is about INR50,000 crores to INR55,000 crores. That w ill be funded out of equity of INR20,000 crores which has been raised and the bank funding of INR25,000 crores plus the non -funded facility which will enable us to get the vendor credit of about INR10,000 crores. So that takes care of the capex which means the cash generation from the business will only go towards paying the other liabilities. The largest one is the government dues. There's a small part of the bank debt outstanding which I mentioned. And there are some remaining vendor over dues which are b eing cleared as we speak.
Sanjesh Jain: Two follow -up small questions. One when do we expect this capex to kick in now that we have agreed on the vendor equipment and everything? When should we see supplies coming in actual rollout starting and acceleratin g that’s number one?
Akshaya Moondra: We should start seeing the deliveries in the second half of the next quarter. And the deployment will continue in full flow. It's just that there is some lead time for the vendors to take the orders and start supplying . Earlier we had a very tight situation over the last two years where the global demand was pretty high but that situation has eased off. Our understanding is that once the initial lead time of the first supplies is taken care of, then supplies will come on a very regular basis and we'll be able to deploy very fast.
Sanjesh Jain: Got it. And why we are looking for INR10,000 crores of non -funded funding from the government side? The guarantees are yet to be continued?
Akshaya Moondra: No. I said that the IN R10,000 crores will be largely LC facility, not the bank guarantee facility which will enable us to get the vendor credit.
Sanjesh Jain: So you said non -funded, so I was just trying to get. Now it's clear. It's a LC, not guarantees.

Akshaya Moondra: Yes.
Sanjesh Jain: But that will be for a very limited period. Once the equipment’s are imported and the payment is done that LC will vacate, right?
Akshaya Moondra: No. This remains a revolving kind of facility. You open an LC and you get some deliveries . We are talking about a three -year capex guidance. One year credit will mean that it will rotate. This is a facility which continues, as there will be a capex beyond three years also. So, this is fundamentally a revolving LC facility.
Sanjay Jain: Got it. One l ast question. So now, standing in March ‘26, the cash outflow liability, how much do we see? Assuming that there is a conversion of equity from the government side for the moratorium which has already been announced, what should be the potential annual pay out starting FY27 for the government use?
Akshaya Moondra: So, let's say starting from FY27, the total payout to the government is INR43,000 crores annually, or INR430 billion. Out of that, about INR170 billion is the deferred series of installments which are covered by the reforms package and which can be converted. And there is INR260 billion of installments which would be the regular installments which were due without the moratorium.
Sanjay Jain: Okay. So the INR170 billion can still be converted into equity, right? That 260 is what actually goes off.
Akshaya Moondra: That's right.
Sanjay Jain: Got it.
Ravinder Takkar: This is, of course, not including any potential relief that we would see on AGR which could come after discussions with the government.
Sanjay Jain: That's clear. Absolutely. Thanks for all the answers and very, very helpful. An

d best
of luck for the coming quarters.
Moderator: Thank you. The next question is from the line of Vivek anand with Ambit Capital.

Please go ahead.
Vivek Anand: Thank you for the opportunity. So the capex that you announced recently covers 300 of the INR550 billion that you want to action. May I know what part of the three goals that

you had set for your INR550 billion capex gets covered in the curre nt contract? That's question one. I'll ask the second question after you answer this one. Thank you.
Akshaya Moondra: What we have announced right now is the radio equipment agreement, which is the largest chunk of any telecom capex. Now, this actually wil l contribute to all the objectives, whether it is 4G, 5G, incremental capacity, everything is covered here. Largely, the items outside of the radio are core and fiber . Core is more generic and f iber is more related to what you do . If it is a certain amount of 4G, then certain fibre and . if you do 5G, then the requirement of fiber is more. Accordingly, the balance amount of INR250 billion would cover the other elements. But at some level, they go hand -in-hand. And as we enhance our radio cov erage and radio capacity, we will also be enhancing our core and the fiber coverage and capacity.
I mean, core is basically capacity, but in case of fiber, both the coverage and capacity as a part of the remaining capex. Does that answer your question, if I understood your question correctly?
Vivek Anand: Yes, yes, I understood. And thank you so much for clarifying. So you're saying that all of your aspirations, whether it's 4G coverage expansion to 1.2 billion, near doubling of capacity over the next two y ears and 5G rollout, the radio capex for all of it is covered in this announcement. And separately, you will be deploying fiber capex and core capex on a need basis. Correct?
Akshaya Moondra: Yes. And some of these do not require ordering. Some of these ar e spent and some of the other RFPs have already been concluded. So actually, what we have concluded is more than the INR300 billion, which we have announced, if you look at it in overall terms. But what we have announced by way of the press release is larg ely the radio part of the ordering, which is the largest and most critical part of any telecom equipment supply.
Vivek Anand: Okay, great. The follow up I have to this order is, now that you have vendors willing to work with you, previously, they had, you elected to issue shares to vendors in lieu of some of your outstanding payments. Do you still retain some of these provisions in the current contract? And secondly, what form of or how much of a vendor credit are you getting in these new orders? Thanks.
Akshaya Moondra: Let me just be very clear that conversion of the dues to equity was a one - time exercise. This is not part of an y ongoing contract. Basically, whatever will be the new supplies will be covered by the new contract, which does not have anything to do with equity. These have to be paid for. That is to answer your first question. On Second, the way we have to look at the LC or the vendor credit is that we generally have a one year credit against LC from our

large vendors. And this works on a revol ving basis. Basically INR10,000 crores of LC facility would enable us to cover or get vendor credit to that extent on a continu ous basis. Our capex would, of course, be higher than the INR10,000 crores of figure that I'm mentioning. But everything is not supplies. There are lots of other things also. So generally, a INR10,000 -crores facility would cover what needs to be secured by an LC out of the total annual spend. And that's where we have pegged the figure.
Vivek Anand: Okay, thank you. My last question is on the thought process with respect to churn. Because the o

nly difference that I see between you and your peers in a meaningful way as far as subscriber acquisition is concerned is churn. Because your share of gross ads is higher than your current cust omer market share.
So, when you envisaged or chalked out this capex plan, and now you're making progress in deploying the network, by when can we expect enough deployment to happen such that you are able to stem churn? And related question is, if there is anything that you would like to call out in terms of your diagnosis for the elevated churn, that will be great.
Akshaya Moondra: We have always said that once we make the investment, we will be able to arrest our churn and instead of losing subscribers, we should start participating in the growth of the industry. Once our supplies start coming end of next quarter, then some amount of rollout is happening, and it gains momentum in Q4 of the financial year, we should start see ing the subscriber metrics improving from that time.
When does it turn to positive? It's a difficult thing to say, but I would expect that towards the end

of the financial year, we should be where our rollout will be significant, and we should see signific ant change in the customer experience.
Vivek Anand: Fair enough. And last question, because it is related to the series of questions that I've been asked. At what pace do you think it is logistically possible to roll out? Because we have seen your competi tors roll out very aggressively, maybe 40,000 -50,000 sites also on an annual basis. Is that something that is achievable once you start receiving the equipment by mid of the coming quarter, or are we thinking about this very ambitiously?
Akshaya Moondra: We have mentioned in the past that our goal for deployment, the highest priority is 4G coverage, because we believe that is the most important factor which is resulting in the churn. Having said that we will be getting from 1.03 to 1.2 billion over the next 12 to 15 months. I don't think there will be any limitations in terms of ability to roll out, because ability to roll out is dependent on, let's say, three major factors. One is the internal planning – which is

absolutely ready. Second is the ability of t he vendors to supply the equipment which is also there , and third the availability of the domestic local vendors who provide the installation services, or the organization of the same vendors who provide these services.
I believe over the last two years, a s far as the Indian market is concerned, we have seen peak deployment. The deployment which we are looking at is going to be much lesser than that. It is also lesser than the size of execution which we did at the time of our own integration project.
So whi chever way you look at it, the rollout of population coverage for 4G will go at full pace, and there are no deployment limitation s here . As far as the 5G and the traffic, the capacity growth, whether on 4G or 5G is concerned, again, these are not impacted by ability to deploy, but this is something which will go as the market evolves. So, while 4G population coverage will progress with full speed, the capacity deployment, of course, depends on how the traffic is going and what is the capacity required and w here it is required.
So, in summary to the response to your question is that capacity or the ability to deploy is not a limiting factor in whatever we are planning.
Vivek Anand: Great. Thank you, Akshaya, for the detailed answers. All the very best.
Modera tor: Thank you. The next question is from the line of Aditya Suresh with Macquarie. Please go ahead.
Aditya Suresh: Thank you. Good afternoon. Most of my questions have been already asked. Maybe if I can add one more. Akshaya, you mentioned about the business plan which has been submitted to your partners. Is there any contours which you can share in terms of the

underlying
assumptions on the cash flow generation or tariff? Anything at all which you can share on these plans so that we can get a bit mor e comfort around how you think the business shapes up in the next few years?
Akshaya Moondra: I will not be able to discuss too much here, but let me mention a couple of points which I believe are probably more important for anybody to kind of model out so me kind of a cash flow projection. One is that we had a price increase in July. We have factored in the next tariff increase of a similar size to happen somewhere after a 15 -month timeframe from the last price increase.
In terms of our cash flows, what we have assumed is that in the second half of FY26 post the moratorium and in FY27, which is also the first full year after the moratorium, about INR290 billion of the deferred series of installments which will fall due post the moratorium, they will be

conv erted to equity. I believe these are the two most relevant assumptions which I can share with you.
And then of course there is a lot of operational modeling which happens, which everybody can do. But these are two inherent assumptions which will probably h elp you to model anything that you are planning to do.
Aditya Suresh: Thank you so much.
Moderator: Thank you. The next question is from the line of Varatharajan Sivasankaran with Antique Limited. Please go ahead.
Varatharajan S.: Thanks for the opportunit y. I was wondering if you can provide some details on the 5G road as well. Because of 4G you mentioned the kind of coverage you are envisaging. Do you have any kind of a target you can work with for 5G as well?
Akshaya Moondra: So, on 5G, we have a significant part of the INR550 billion of capex

guidance. In fact, I can tell you that 5G in terms of absolute amount is more than 4G. That also happens somewhat because 5G requires more of fiber rollout. So, if you include everything, 5G is the larger amo unt of the capex as per the plan. The only thing which I have been adding on all my earlier commentaries is that 5G if we look at in the Indian environment and some of these things are true of the global markets also, is that firstly monetization of 5G is still not happening.
In fact, because of the unmetered 5G usage that is happening today, it has in some ways become a means of discounting. We do believe that that will get addressed over a period of time, but that is market evolution. Secondly is the case of use cases. On the consumer side, we have seen very few use cases.
I have been talking to many investors and I meet them on different conferences and different interactions. And most investors also they tend to, as users say that most of the time they d on't know even if they are using 5G whether they are on 5G or 4G. So, that is happening because there is not much of a use case.
And third factor is of course the evolution of 5G in terms of penetration of devices, which I believe is happening at a fairly rapid pace. So, we will keep on looking at all these market factors as the market is evolving and either accelerate or maybe slow down if necessary the plan that we have for 5G deployment. So that is how I would describe the 5G deployment, but we are going to cover our key markets, key geography.

Wherever we believe that there is a large penetration of 5G devices where the traffic is high, where in any case if the traffic is high, 5G rollout does make a lot of sense. Because per unit of capacity 5G is the m ost optimum capex to enter.
Varatharajan S.: Just to stretch that point, if you are looking at a flexibility in terms of implementation. So, should I assume that this 3 year kind of a contract could actually get stretched to 4 or 5 years with vendors?
Aksh aya Moondra: The way this works is that there is an agreed c

ommercial which are valid for
3 years. That doesn't mean that the capex stops after 3 years. What happens at the end of 3 years is to be discussed with the vendors at that point of time.
Generally, the way this has worked in this industry is that whenever these long -term agreements are done, they are done for a given period of time, which is normally 3 years. And after 3 years you get together again and evaluate the situation and then whate ver new ordering has to be done or new discussions have to be done, they are done at that time. So that is more business as usual. Yes, the timing of deployment could be slightly shorter than 3 years, could be slightly longer than 3 years on the 5G. But I don't think it will be materially different. All that I want to register is that 5G is a space which is evolving and we have to keep in mind the evolution of the market and not just say that this is my plan and I will just invest in 5G. That's the limited point I am making.
Moderator: Thank you. The next question is from the line of Aditya Bansal from Kotak. Please go ahead.
Aditya Bansal: Thanks for taking my question. So two questions. First one, can you please provide some update on the bank guarantee di scussions we are having with the government? And is that a part of discussions with the banks? Would that be a bottleneck? Any comment on that?
Ravinder Takkar: On the engagement with the government on the bank guarantees, as we said, we have several topic s that we engage with them. Bank guarantees is one of them. It's a very clear understanding with them that, given our current negotiations with the bank, we are not in a position to provide those bank guarantees.
The government itself has actually said tha t the industry has matured. And as a result, maybe bank guarantees should not be required. And of course, as you know, they have waived off this bank guarantee requirement for auctions that have been taking place for the last couple of years.

We expect tha t given that position of the government, that they will come up with a solution in which the bank guarantees will not be required. Again, we have very positive feedback from the government, that this is not something that adds value to anybody. It is a leg acy from the past that should be taken care of.
However , those are independent of some of the other discussions that I had mentioned earlier, because this is much more short term. And we expect a resolution of that actually to come quite quickly. So please keep an eye on that in the coming days and weeks.
Akshaya Moondra: And Ravinder, if I may add, this is also a part of the CO AI representation to

the government.
Ravinder Takkar: That's correct. Yes.
Aditya Bansal: And the second one is on the quantum of t he new 4G and 5G sites. Like for FPO, we had put out a certain number of sites. This contract covers like what quantum of the new 4G and 5G sites. Any comment on that would be helpful?
Akshaya Moondra: I can give you guidance on a number of sites. We curr ently have about 170,000 4G sites. The total physical sites that we have are about 183,000. For the target of 1.2 billion of population coverage , we believe we will need to grow our sites to somewhere between 215,000 to 220,000, which is a part of our plan .
As far as 5G is concerned, I will not be able to give you any guidance as far as number of sites is concerned. But if you're looking at the FPO document, it was part of the overall capex plan that we have both for 4G and 5G over the period of 3 years.
Aditya Bansal: Sure. And fair to assume that 5G firstly will be the leadership circles and metros and not the Pan India launch?
Akshaya Moondra: We have got 5G spectrum in 17 circles. We will be launching 5G in all the circles. What is important to see is th at in a given circle, what are the places you need to launch 5G. We are n

ot looking at selective circles. All our 17 priority circles, we will roll out 5G.
Aditya Bansal: Sure. Thank you. All the best.
Moderator: Thank you. Ladies and gentlemen, due to paucity of time, we would have to conclude this conference. Thank you for joining us. You may now disconnect your lines.

Call: Dec 2024

21 November 2024

National Stock Exchange of India Limited
“Exchange Plaza”,
Bandra - Kurla Complex,
Bandra (E),
Mumbai – 400 051 BSE Limited
Phiroze Jeejeebhoy Towers,
Dalal Street,
Mumbai – 400 001

Sub: Transcript of Analyst / Investors Call (Regulation 30)

Ref: “Vodafone Idea Limited” (IDEA / 532822)

Dear Sir/Madam,

In terms of Regulation 30 of the SEBI (Listing Obligation s and Disclosure Requirements) Regulations, 2015, please find enclosed transcript of the Analyst / Investors Call held on 14 November , 2024 relating to the Company’s performance for the second quarter and half year ended 3 0 September 2024 .

The same is also uploaded on Company’s Website: www.myvi.in

The above is for your information and dissemination to the members.

Thanking you,

Yours truly,
For Vodafone Idea Limited

Pankaj Kapdeo
Company Secretary

Encl: as above

“Vodafone Idea Limited Q2 FY25 Earnings Conference Call ”
November 14, 2024

Moderator : Good afternoon, ladies and gentlemen . This is Dorwin , the moderator for your Conference Call. Welcome to the Vodafone Idea Limited Earnings Conference Call for the Q2FY25 . For the duration of this presentation, all participant lines will be in the listen -only mode. After the presentation, a question -and-answer session will be conducted. Should you need assistance during the conference, please signal an operator by pressing “*” and then “0” on your touchtone phone. Please note that this conference is being recorded.
We have with us today , Mr. Akshaya Moondra – CEO of Vodafone Idea Limited and Mr. Murthy GVAS – CFO of Vodafone Idea Limited, along with other key members of th e Senior Management on this call.
I want to thank the Management Team on behalf of all the participants for taking valuable time to be with us. Given that the senior management is on this conference call, participants are requested to focus on key strategic and important questions to make sure that we make good use of the senior management's time. I must remind you that the discussions on today's call may include certain forward -looking statements and must be viewed, therefore, in conjunction wi th

the risks that the company faces.
With this, I now hand the conference call over to Mr. Akshaya Moondra. Thank you , and over to you, sir.
Akshaya Moondra: A very warm welcome to all participants to this Earnings Call . Yesterday, our Board of Directors adopted the Unaudited Results for the Quarter ending September 30, 2024. All the results -related documents are available on the website , and I hope you had a chance to go through the same. Let me provide key highlights for the quarter and insights on our s trategic initiatives. Post this, I will hand over to Murthy to share details on the company's financial performance.
Before I move on to company specific performance, let me share some thoughts on Indian telecom market and growth opportunities. In India, the need for connectivity is constantly increasing across sections of society whether we look at these sections in different Income brackets or Age brackets. The government's 'Digital India' program aimed at transforming India into a digitally empowered so ciety, has been a significant catalyst for telecom growth. The availability of low -cost smartphones has also significantly boosted telecom sector growth. The

wireless broadband subscriber base has increased by 66 million between August 2023 and August 2024 – growth of around 8%. However, the overall broadband tele -density still remains below 65% and offers large opportunities.
Indian wireless sector is at a crucial juncture. While on one side large investments are required to support the emergence of new technologies and explosive data growth, on the other side affordability of tariffs should be maintained to ensure connectivity to all sections of the society. This is possible when customers who are using more will pay more to enable the industry to genera te reasonable ROCE on the large investments it has made. Hence, further tariff rationalization is needed for the industry to recover its cost of capital.
Let me now talk about our strategic initiatives.
Our first strategic initiative is our focused invest ment approach
Our capex investments are gaining momentum post fund raise and in Q2FY25 we invested Rs. 13.6 billion. We expect capex spends of Rs. 80billion in H2FY25. We have completed our quick win capex which aimed at capitalizing low hanging fruits wh ile we were working towards closing our long term contracts during the quarter. Resultantly, our 4G data capacity has increased by approximately 14% and 4G population coverage increased by approximately 22 million from 1.03 billion to 1.05 billion over las t 6 months. During the quarter, we a

dded almost 42,000 4G sites
which is the largest ever addition of 4G sites in the Company in a quarter. We did significant network enhancement by deploying 4G on sub GHz 900 band across approximately 20,500 sites, includ ing site expansion on recently acquired 900 MHz spectrum in some circles, thereby offering superior indoor network experience as also increased coverage. We also added approximately 21,200 sites in the 1800 MHz and 2100 MHz bands mainly to increase the net work capacity enabling customers to experience faster data speeds on Vi GIGAnet network. As a result, we have witnessed improvement in 4G data speeds by as much as 18% and consequent improvement in customer experience in the geographies where these rollout s have been completed.
We are working on launching our 5G services, and we are committed to providing the best experience to our customers on whichever location and technology we are operating in. This commitment to customer experience is clearly reflecte d in the latest report from Opensignal on 4G network experience, where Vi has emerged as the Best 4G network amongst 4G users, outrightly winning across all six experience categories in 4G nationally: Best Download Speeds,

Best Upload Speeds, Best Video Experience, Best Live Video Experience, Best Games Experience, and Best Voice App Experience. This means Vi 4G users don’t just enjoy the fastest 4G speeds but also experience an overall superior quality of experience for everything they do online, whe ther it's watching videos, live streaming, playing online games orvoice app calling.
On the back of the extensive network expansion and upgrade, we rolled out one of India’s most hyperlocal campaigns to make consumers aware about the marked improvement th at they’ll experience with our network.
At the cost of repetition, I am pleased to share that in September, we concluded deals worth about Rs. 300 billion or USD3.6 billion with the three global partners, namely Nokia, Ericsson, and Samsung, for supply of network equipment over a period of three years. This is one of the key steps towards the rollout of the company's transformative three -year capex plan of Rs. 500 to 550 billion.

Post the conclusion of this mega deal, deployment has started in October 202 4 and the Company has kick started its capex cycle. The 4G expansion is in progress and our target is to achieve 4G population coverage of 1.1 billion by March 2025 and 1.2 billion by September 2025. The rollout of 5G in key geographies will start in Q4FY2 5.
Moving on to market initiatives
Our recent tariff increase has aided our increase in ARPU as well as revenue growth. It will take a couple of quarters to witness the full impact of the tariff increase on ARPU and revenue. I would like to highlight that, in addition to blended ARPU, in vi ew of the growing volume of M2M sims, we have disclosed our customer ARPU ex -M2M separately for this quarter. The difference between the two ARPUs is on account of M2M subscribers and revenues. Our customer ARPU ex M2M has increased by 7.8% QoQ. There is n o tariff increase in the Enterprise post paid segment as well as M2M tariffs during the quarter. For postpaid, part of the price increase takes time to reflect in ARPU as price increase can be done only after 6 months for new postpaid customers and for exi sting post paid customers the impact of price increase is after 1 month notice.
We registered a loss of 5.1 million subscribers with increased port outs to one operator which has not participated in the tariff hike. We have also seen a slight dip in our 4G /5G subscribers.

However, basis the latest MNP data available till October, port -outs to this operator are declining post August.
I am pleased to report that in the postpaid segment, we have been able to increase our customer

base on QoQ as well as YoY ba sis. While a larger part of this increase is from M2M segment, we have seen consistent increase in retail postpaid customers over last one year, as we are providing optimum range of feature rich offerings to meet the diverse needs of postpaid customers.
We offer a range of unmatched benefits to pre -paid as well as postpaid customers like offering ‘Night Free Data’ and ‘Weekend Data Roll Over’ with our ‘Hero Unlimited’ plans for prepaid customers and a unique ‘Choose Your Benefit’ option under ‘Vi Max’ plans for our post -paid customers. We have received good response for Vi Guarantee program in the prepaid segment, a unique offer that provides 130GB of additional data to all 5G and new 4G handset customers.
We also refreshed the offerings for our RED X Plan i n postpaid which at a monthly rental of Rs. 1,201 offers unlimited data for non -stop surfing, streaming, and connectivity in addition to complimentary offers like subscription to Netflix, Amazon Prime, Disney+Hostar, Sony Liv Premium, Sun NXT, EaseMyTrip b enefits, airport lounge access, 7 -day International Roaming pack, 3 -month membership of SwiggyOne along with Priority customer service across all Vi touchpoints. Also, we offer the most comprehensive international roaming proposition to our consumers recog nizing that different consumers have different needs. Vi is the only operator in the country to offer unlimited packs across a vast expanse of 29 countries that contributes to 70% of the international roaming traffic.
Our brand “Vi”, continues to garner go od reception, building brand affinity across all customer segments in the country. Our brand continued to get more recognition and accolades. Vi won at the prestigious London International awards, the Asia Pacific, and the SAMMIE awards for the Human Netw ork testing Network campaign with the Dabbawalas along with winning at Cannes Lion awards, Spikes Asia, D&AD awards. Vi won the Best Social media brand – Telecom and for the Be someone’s we Campaign at SAMMIE awards 2024. Our Dabbawala’s campaign, Be Someo ne’s We Campaign and Postpaid Choose your benefits have won multiple awards at the ET Brand Equity Shark awards, DG+ awards, e4m India Marketing awards and AFAQS BrandStoryz awards.

Moving on to Business services
Our core strength also includes business s ervices and enterprise sector, reinforced by our robust relationships with enterprise clients and diverse global expertise of the Vodafone Group. We are transforming our offerings from a Telco into a Techco, significantly expanding our enterprise solutions beyond our core connectivity offerings. This transformation includes advanced offerings such as hybrid SD -WAN, SIP, IoT, IIoT and cloud services. We continue to build the momentum by not only broadening our service portfolio but also actively collaboratin g with strategic partners to enhance the relevance and impact of our solutions for enterprise clients.
We joined hands with digital payments giant PayU India to offer customized digital payment solutions to MSMEs. Under this partnership, digital solutions , including payment solutions, customized offers engine, buy -now -pay-later options and seamless WhatsApp integration are

offered.
We also entered into a partnership with US -based Genesys to transform contact centre operations and strengthen customer engagement and services. This collaboration marks Vi Business's entry into the Contact Centre as a Service i.e. CCaaS sector.
We have built a strategic partnership with Infinity Labs Ltd to i ntroduce a Make -in-India SD -WAN solution as part of Hybrid SD -WAN portfolio. The collaboration enhances the existing SD WAN portfolio by integrating advanced AI -based security features, offering Indian enterprises a robust defence against the growing threa t of cyber -attacks and demonstrating our commitment t

o offer
indigenous technology & nurture.
On the IoT front, all our Enterprise IoT customers have been migrated to IoT Smart Central, a comprehensive Connectivity Management Platform that manages SIM life cycles, diagnostics, and billing needs —all from a single interface, addressing the evolving demands of the IoT market.
Additionally, our IoT lab which serves as an ecosystem orchestrator aimed at creating an interoperable and standard IoT environment in th e country, saw a lot of traction in the market with around 20 certificates issued to various IOT partners.
Vi Business is also at the forefront of building cybersecurity, empowering organizations to thrive with confidence. This service gives access to:

• Robust Threat Detection measures like Proactive monitoring and rapid response capabilities to identify and mitigate risks before they escalate.
• End -to-End Protection through a holistic approach that secures infrastructure, applications, and user data acro ss all platforms.
• Expert Guidance by Our team of cybersecurity specialists who tailor solutions that meet unique needs, ensuring compliance and resilience.

The next strategic initiative is driving partnerships and digital revenue streams
Vi aims to be a truly integrated digital services provider with a very clear objective of driving higher digital engagement with our consumers and driving monetization through specific streams or by participating in select digital categories. Our stated strategy around t his has been to build this through strategic partnerships and bring out most of these offerings on the Vi App.
Vi App is a multi -utility app that offers not just end to end telco account management, but also allows consumers to play over 100 Games, partici pate in eSports tournaments, pay utility bills, shop across categories like entertainment, food, shopping and travel, or buy almost any OTT subscription, watch over 350 TV channels, and more.
As discussed in the previous Earnings Call, we have launched Vi Movies & TV in an all new avatar with all new apps for mobile on both, Android & IOS as well as for TV across almost all major operating systems. It is an offering, mainly for Connected TV wherein our subscriber can buy a subscription plan to get access t o host of their favourite OTTs like Disney+ Hotstar, SonyLiv, Zee5, SunNxt, just like the way we have been buying DTH plans for TV channels. All Vi Movies & TV plans are also bundled with loads of data for allowing our consumers to watch freely without wor rying about their data getting over. We have a very strong roadmap to build Vi Movies & TV as a destination of choice for our consumers when it comes to their TV entertainment.
In addition to mobility & content, to complete the 'converged' offering, we have 'Vi One' - a converged proposition offering broadband + mobility + OTT under one plan in 3 circles - Mumbai, Gujarat and Maharashtra. In July, we signed a strategic partnership with Asianet, a leading broadband player in Kerala, and launched Vi One ad ditionally across entire Kerala – one of Vi's leadership markets. We would be expanding this to other important markets as well

going forward. This all -in-one bundle is designed to offer consumers exceptional value, convenience, and a seamless experience, addressing the growing demand for high -speed internet, reliable mobile connectivity, and OTT entertainment.
I would like to reiterate that we will continue to have a disproportionate focus to build a digital ecosystem with our partners, enabling a differen tiated experience for Vi users, which will help us drive customer stickiness as well as provide incremental monetization opportunities.
Moving on to other important topic of debt raise
We remain actively engaged with our lenders for tying up debt fund

ing towards the execution of
our long term network expansion. I am personally involved in these discussions alongwith the promoters. Post equity funding via FPO and Preferential issuance to one promoter group, we have

cash and bank balance of Rs. 136.2 billion which is more than sufficient to execute our balance capex plans for H2FY25 of Rs. 80 billion.
On the AGR matter, the Honorable Supreme Court has dismissed the curative petition filed b y telecom companies. We addressed this topic in detail in the investor call held on September 23. The Government remains unequivocally supportive of 3 private player market and we are engaged with them in finding a solution
Let me now talk about recently c oncluded India Mobile Congress. This year's IMC theme 'The Future is Now' resonates deeply with our emphasis to deliver immediate, technology -driven solutions that are solving today's challenges and designed to make an immediate impact. Our show themed 'Fu ture is Live' highlighted how we are transforming the way businesses and people live, work, and connect with advanced technologies.
We showcased Industry 4.0 solutions by integrating 5G, IoT, AI, and ML to connect human and non-human assets, digitise proce sses, and enable real -time monitoring. This was demonstrated through a fabricated Smart Mine with multiple use cases depicting real -time monitoring of worksites, rapid response during emergencies, smart wearables and safety management. We also exhibited 'R eady for Next' initiative for MSMEs, along with AI powered hybrid SD -WAN, CPaaS and CCaaS solutions. We showcased our comprehensive mobile gaming platform – Vi Games through first ever grassroots eSports tournament 'Vi Game to Fame'. We had also set up a s tate -of-the-art 360 -degree immersive dome that transports the audiences into a different world,

bringing to life the power of technology that can make people experience places or events. Further, we had music bands performing LIVE at the IMC where some of the band members were at the Vi IMC booth and others were remotely connected over Vi's low latency, high speed network, and creating music in complete sync, showing how connectivity can enable the creators and the artists virtual ecosystem.
Our solutions s howcased at the IMC were designed to make a real -world impact and reflect our commitment to bring the future to life right now by creating a more connected, efficient world for all.
With that, I handover to Murthy who will share the financial highlights fo r the quarter.
Murthy GVAS: Thank you, Akshaya . A warm welcome to each of you.
The revenues for the quarter stood at Rs. 109.3 billion, a growth of 4% versus last quarter. More importantly, the customer revenues for the quarter grew by 5.6% versus last quarter, driven by price increases effective from July 4th this year.
The EBITDA excluding Ind AS 116 for a quarter was at Rs. 23.2 billion, improving by 10.5% on a quarter -on-quarter basis. This is the highest quarterly EBITDA since merger and the margin has improved to 21.3%. The reported EBITDA including Ind AS 116 stood at Rs. 45.5 billion as compared to Rs. 42 billion in Q1FY2 5, a quarter -on-quarter growth of 8.2%. The reported EBITDA margin improved to 41.6%.
Further, depreciation and amortization expenses and net finance costs for the quarter were Rs. 54 billion and Rs. 63.1 billion respectively. Excluding the impact of Ind AS 116 , the depreciation and amortization expenses and net finance costs for the quarter were Rs. 39.4 billion and Rs. 51.1 billion respectively.
The finance costs for the previous quarter were lower due to the reversal effects arising out of the subsequent revenue share license fee, a judgment of the Supreme Court and the reversal of interest provision basis

of settlement with some vendors. Due to the above and due to the Forex mark -to-market accrual impacts, the reported finance cost in this quarter is higher when compared to the previous quarter. The PAT loss this quarter hence stands at Rs. 71.8 billion.

The debt from banks stood at Rs. 32.7 billion versus 78.3 billion at Q2FY2 4, a reduction of Rs. 45.8 billion during the last one year. The cash and bank balances stood at Rs. 136.2 billion as of September 38, 2024. The deferred spectrum obligations stood at Rs. 1,419.4 billion and the AGR liability at Rs. 703.2 billion totaling to Rs. 22.6 billion as of September 38, 2024.
With this, I hand over the call back to Dorwin and open the floor for questions.
Moderator: Thank you very much. We will now begin the question -and-answer session. We have the first question from the line of Sanjesh Jain from ICICI Securities. Please go ahead.
Sanjesh Jain: This quarter, we had this tariff increase. I agree that there was a decent ARPU growth of 7.6% quarter -on-quarter on the customer basis. But the subscriber continues to decline. When do you think that we will stop the customer losses and by when do you think with this 80 billion of capex plan, we should be trending into a positive territory?

Akshaya Moondra: Thanks , Sanjesh, for your question. I had mentioned a little bit in my opening remarks that we had first incurred the quick win capex , which has given us a result of a 14 % increase in capacity and 22 million in coverage. Of course, that was just the start of quick -win, which could be deployed quickly. And as you have yourself mentioned in the guidance we gave that we are looking at putting in a capex of about 80 billion in the second half of the year.
Now, it is difficult to predict a timeline as to when this will start turning around in terms of loss of subscribers. But definitely we can see that with the investments that we have made, some of the improvements are obvious, although at this point of time, they do not convert to increase in revenues or reducing the loss of subscribers.
As we make these investments, which will be based on new supplies ,the impact of which will be more pronounced with us coming out of some of the subscriber losses in the quarter which is the impact of the tariff increase, my gut feel would be that by the end of this financial year, we should have turned around the trajectory.
But this is just an expectation . I don't think it is possible to give you an exact timeline on when this could turn around. But our effort is now to start leveraging the benefit of the investments which have been there on the ground for some time, and also the larger investment which is now going to come in the second half of the year.

Sanjesh Jain: A related question there is that we did the largest 4G expansion of 42,000 towers, and a decent amount of them came in a better coverage spectrum which is 900. And yet we have lost 4G customers in this quarter. Now, how does this carry ? Is it more of a SIM consolidation or do you think there was an initial move towards BSNL which has stopped? How do you see this one?
Akshaya Moondra: So, actually two things . One is as happens following any price increase, the overall number of subscribers do contract, which has also happened this time. However , this time we have had an additional factor that a significant number of customers have gone to BSNL and they have been a beneficiary this time, which has not happened in the past. And that

has also been
compounded by the seasonality factor because this quarter is seasonally a weak quarter.
Now if we look at all those things, I would say that the impact of SIM consolidation, I have always maintained that with every price increase, the SIM consolidation , what is left to be consolidated is less and less. That impact, although it is there, but it is not as pronounced as it has been in the past.
However, the impact of BSNL has been there in this quarter. We have seen that impact reversing quite quickly from August to September , from September to October and from October to November. And in some ways we are inching towards the position which was there before the tariff increase. But yes, some loss which has happened during this period will still take some time to unwind , and we believe it will happen based on customer experience because there is definitely a differential in experience for a customer who is a high user of either data or voice.
So, I would say that the quarter gone by represents a quarter which is a normal impact post the tariff increase and as you would have seen , if you just look at the delta of what the subscriber trend was Q4 to Q1, everybody has seen a much more pronounced decline on those past trends in Q2.
So, this is across the board , and we do expect that some of these trends would start turning around with the seasonality coming back with some people who adjust their consumption or usage to the increased price points or basis the increased price temporarily before they come back to their original usage pattern and of course the impact of BSNL reducing as we go ahead. And we should see a reversal of this trend , but it will take some time.

Sanjesh Jain: On a follow -up here, Akshaya, that we have not seen material difference in the usage pattern for the peers which is the data group particularly while for us the data growth and the data usage per subscriber has also fallen, I thought we have expanded the network that should have benefited us, right? What explains this difference?
Akshaya Moondra: One of the things is that , there is reduction in this quarter for everyone . To your saying that ours is more pronounced , one of the major reasons is that the consumption of data on 5G network increase d as the number of people who are using 5G data on competitors ' network is increasing , and there is a lot of free data available on 5Gas that data is not subject to any limitation You can use as much as you want . So, the consumption will be higher compared to normal usage .
Secondly , as we know that for streaming , for the same kind of usage pattern , subscribers will see

a higher level of consumption on 5G. So, I would think that is the main reason for that difference. Otherwise, I cannot see any other reason why despite the decline being there for everyone or I mean , at least there is some impact on everyone , it is more pronounced for us.
Sanjesh Jain: And on the matters of waiver on BG and AGR resolution, the amounts which are coming for repayment in CY '25, where are we in discussion with the government on each of these three matters?
Akshaya Moondra: As far as the amounts which are coming up for payment, there is no specific engagement in the sense that the reforms package already provides for some conversion to the extent there is a shortfall in our ability to pay. So, there is no specific discussion because that is already provided for in the reforms package.
As far as the support of the government on the AGR matter is concerned, we had mentioned on the

earlier call also that once the curative petition has been dismissed, we have engaged with the government to support. Because as I had mentioned in the past, the curative petition was never taken up for merit. It was just rejected based on a technicality that it did not qualify for the criteria specified for curative petition. So, now we are engaged with the government. We have had multiple meetings and we are quite hopeful that the government remains committed to having three competitive private players. And I believe they recognize that while the court has not provided any relief, the merits on which the curative petition was filed is good . And we are

engaged with the government to provide us support because the court has decided not to admit the curative petition.
Moderator: Thank you. We have the next question from the line of Vivekanand Subbaraman from Ambit Private Limited. Please go ahead.
Vivekanand Subbaraman: Extending Sanjesh's question on the BG waiver discussions, how important is it for you to secure a BG waiver or get legislative relief on the AGR amounts to raise debt funding? And from your vantage point, currently how long do you think it will take for you to tap into debt funding and any more color you can provide on the debt fundraising? That will be great. So, that's question one.
Secondly, last time you had mentioned a certain impact in terms of the percentage of tariff hike, I mean , the tariff hike percolating into a certain percentage ARPU increase . I believe it was 11% to 14%. Do you stand by that or is there any deviation after seeing the consumer behavior downgrades to or rather port outs to BSNL and any timelines there in terms of recognizing the full benefits of the prior tariff hike or July tariff hike , and also thoughts on how we should think about subsequent tariff hikes plus correcting the tariff structure to get high data consumers to pay more money than the light data users ?
Akshaya Moondra: Let me address your second question first. On the question of tarrif hikes , I remember that we have indicated a certain range that price increase was about , let's say, 16% on a blended basis between prepaid and postpaid. And what we have seen as an ARPU increase is 7.8% quarter -on-quarter .
I may also indicate that this is an average growth of ARPU quarter -on-quarter . Our exit ARPU increase over the June quarter is north of 10%. So, really speaking, that is the extent to which price increase is realize d. From that level to the fact that the revenue has grown less, that is a function of subscriber loss. That is one part.
Another part also to understand is that if we tried to see that the weighted average of the prepaid and postpaid price increase was, let's say, about 16%. And against that, we have seen an ARPU increase of 7.8%. This has delta of around, let's say 8%. And the major components of that delta is that in some components of the overall revenue, there is no price increase. Some of the

components which constitute the ARPU that we are reporting, which is the enterprise segment, the M2M segment , where there is and also in some of the government segment, there is no price increase. So, that is one part which is not contributing to the revenue or ARPU growth.
Secondly, as happens with such price increases is that some of the customers are sticking to the old price points, and they have not upgraded their consumption by paying a higher amount. This thing happens more initial

ly, and some of the customers return back to their level.
And third is that some customers, they are still not come to a point of renewal for the customers who are on longer validity. Some of the customers had bought long validity packs just after the price increase announcement and before it becoming effective. And as you know, in postpaid base,

price hike happens over a slightly prolonged period of time.
These are broadly the reconciliation s between the 16% theoretical price increase and actual 8% ARPU increase, which we have seen. Does that answer your second question? Then I will go to the first one.
Vivekanand Subbaraman: Sure. There are two follow -ups here. One, you said 16% blended price increase. So, does it mean that by the end of fiscal '25, you will be 16% higher on ARPU versus the June '24 ARPU levels?
Akshaya Moondra: So, let's say about 3%- 3.5% , is the segment where there is no price increase and that will get discounted from the 16% that we are talking about. That is the balance target if everything was perfect. We are leaving aside the subscriber loss because that doesn't impact the ARPU. So, the downgrades of consumption, that we will have to see how much of it comes back. Of course, the balance impact, which has not yet happened, that will happen. So, the balance impact, which is not yet reflected, that will be a positive reversal from people who have downgraded their consumption. That will be a little positive. And there will be a further trickle of the churn because of the tariff increase when some of these subscribers come up for renewal. That would be a negative. But in about 16% , out of that about 3-3.5% where tariff increases don't happen at all, that will not be realized.
Vivekanand Subbaraman: And just brief comments on how you look at the environment right now and when we can expect another tariff hike. And of course, the issue that you mentioned in

the beginning of the call, the industry tariff structure being distorted and those users who heavily consume data aren't paying their fair share. How to think about these two things?
Akshaya Moondra: I do not have a direct answer to this. the way I described it is that one point of time you could be a subscriber and keep on receiving incoming calls and all at a zero price and now that minimum participation price has gone to a level of, let's say, Rs. 190, Rs. 200 for the industry. There are some discounted pricing plans, but they are for a very few numbers of subscribers. As opposed to that the higher ARPU customers who were, let's say, north of 2,000, 3,000, their needs can be filled with 500 .
Going forward , while tariff increases are required and they will happen, I don't think there is too much of room to increase the tariff at the entry level. That then by implication means that the tariffs have to increase more at the higher consumption levels. One of the ways this will manifest itself is that probably you will see and which was also bit at this time that at the entry level the tariff increase was about 10% whereas at the higher levels or higher price levels , it was more pronounced or, let's say, in some cases as much as 20%. This differential was reflected in the last price increase ., This differential will go up and, in some way, take that principle which I was talking about.
Secondly, I would say that once 5G consumption is increasing and 5G consumption starts getting metered and charged , that itself will provide some opportunities that higher consumption you can charge highe

r. So, this is a structural correction , cannot be done in a short period of time , will require the industry to think alike.
I believe this is the need of time because it is quite clear that at the entry level , the room for price increase at this point of time is not very much but definitely , the affordability and the ability to pay at higher levels of consumption exists . It is basically for the industry to rationalize that charging mechanism to bring it in line with what is true for any industry that you have a telescopic pricing , but as you use more and more , you are actually paying the differential is significant and it is not step -by-step pricing as we have today.
So, shall I move on to your first question?

Vivekanand Subbaraman: My questions on the ARPU are address ed. Thank you so much. If you can address my queries on debt fundraising, the linkage to BG waivers and legislative action on rationalizing the AGR amounts .
Akshaya Moondra: There are two things . As far as the BG waiver is concerned , let's say, that the government has already done away with the requirements of guarantees for the future auctions. Also the guarantees were returned for the earlier auctions and they are kind of the as per the regulation as it stands now , there is a reinstatement.
One of our representations to the government is that if it has been done away for future auctions , then why do we really need to keep it for past auctions ? It should be done away as rational for doing away with the bank guarantees should be the same.
In reality , the way it impacts us is that we are seeking a certain facility from the banks , and if we

are going to seek the bank guarantee facility , it will reduce our ability to get debt funding . So, it is very clear that bank guarantee is something which the banks themselves will not be very willing to offer . We are trying to get debt funding , which will go towards making investments , which will help in improving our performance and then improving our cash generation . Bank guarantees will not have that result. So, in the first place , the bank guarantees that are being talked about , that is , not possible to get.

Also it is not as if against that spectrum nothing has been paid as large amounts have been paid against the earlier auctions and there is a payment schedule. So , everything taken into account together , bank guarantee is something where we have requested the government , and we believe the rationale is understood and it is an industry request also . It's not only V IL request . The entire industry has requested that the bank guarantees should be done away with. So , that is where we are on the question of bank guarantees .

As far as the debt funding is concerned , as I said, we have been engaged with the banks . Our promoters are also , I mean , I along with my promoters are engaged with the banks . Those discussions are on . Probably post the curative petition , everybody is in a bit of a wait and watch situation to see that how things are evolving , and so these things will move together , the engagement wit h the government on AGR and the banking discussions.

Although I must clarify , which I had done in my earlier call also , that any reduction in the AGR liability was not a part of our business plan submitted to the banks on the basis of which a T EV report w as done by an external agency and submitted to the banks . So, it is not a part of this , but as any interested party , the lenders are also looking at what is happening on the AGR matter although it was not a part of our business plan.

So, w e are engaged , and I think we should be ab

le to close once some clarity emerges as to what
is happening on the AGR si de.

Vivekanand Subbaraman: Is there any plan B that you have in case the government isn't able to relent on the AGR front for whatever reason?

Akshaya Moondra: The point is that we are engaged with the government . I would not want to comment much on that . As I said , a conversion is already provided for in the reforms package, but our belief is that there was significant merit in what we had asked in the curative petition , and until now since the curative petition was in the courts, those merits we had not taken to the government because the expectation was that it would get addressed through the judicial rule. Since that has not happened, we are engaging with the government , and rather than talking about plan B, our position is that this needs to be addressed just on a basis of fairness and what is right for the industry.

Moderator: Thank you. The next question is from the line of Saurabh Handa from Citi group . Please go ahead.

Saurabh Handa: It's kind of just a follow up on the previous question . So, just on the bank funding, if the banks are actually seeking some sort of clarity on the AGR matter, then is it fair to assume that this process can take a w hile? Because the way I look at it, there is no real urgency at this point because your AGR dues start becoming payable only after whatever, 10 -11 months, in fact even beyond that, the moratorium isn't placed till September .

Akshaya Moondra: March 26.

Saurabh Handa: Yes, March 26 is AGR , your spectrum payments start coming in before that. So , this thing can be a bit of a protracted issue . Is that a possibility ? And the second thing is, I mean, if the TEV had already sort of given a clean chit even with out a favorable resolution to the AGR

matter, then why are things getting further delayed ? And there have also been some public statements made by some financial institutions saying that we will not provide lending . So, I mean, how does one view some of those ? Is it that these banks are basically looking for something from the government ? I mean , just some for the color would just help , and any sort of possible timelines ? I know it's a hard one , but still .

Akshaya Moond ra: No, I can't give you a timeline . I can only say that till the time this curative petition was dismissed , things were progressing as we had expected . there is a general sense or belief that if curative petition h as been dismissed, is the government supportive or not? People try to put the two together, which is not the fact. But that is what the normal perception builds up. it's not related as to what the government does on AGR, but everybody is seeing that since the engagement is on, what is happening in that direction.

It is not linked that what happens there and then basis that the bank funding will happen and we

are in discussion with the banks, but probably it will take a while to get some clarity on because post the curative dismissal , we have engaged with the government . We are also waiting for some response and clarity on the subject.
And it's a question of getting clarity and then how should the business be viewed? Is there some relief , which is going to be there , or no relief going to be there? Just some that clarity will be helpful to take anything forward. So , it is more about clarity rather than what happens with this.
Saurabh Handa: So, for now, I mean, given that you are well funded for at least your next year, year -and-a-half of capex , so it's sort of just business as usual and these discussions with banks will be and the government will be sort of simultaneous.
Akshaya Moondra: Yes, these are simultaneous, and not that if we have funding available, we are not progressing fast on these . It is important that we close these matters as quickly as possible.

And that is where, as I said, I am myself engaged and the promoters are also engaged. And we should find a quick closure to this, not that if we don't need immediate funding because we have equity funding available for capex , that's not the basis of any actions that we need to take is all that I would say . It is being handled on top priority. And we should see progress coming in that direction also, but it's difficult to give a timeline given the nature of these discussions.

Saurabh Handa: And just my second question was on the conversion of dues to equity. Now, I mean, I noticed that you have added this to your notes to accounts as well that this is permitted under the telecom relief package. Was this a requirement from the auditors or why has this actually come into the notes to accounts or is it just... ?
Akshaya Moondra: It's in the interest of disclosures given the fact that where our cash generation is today and post the moratorium, which is expiring in the next 12 months , you make this assessment. So, it is an important thing and given that the morator ium expires in the next 12 months, it was considered prudent to make this disclosure.
So, that disclosure has been made in notes to financial statements, but we have alluded on that point even on some of our earlier earnings c alls in addressing those ques tions. So, in terms of our communication, we have communicated that in the past also but given that the moratorium expires in the next 12 months, we have also thought it prudent that it should be disclosed in the financial statements also.
Saurabh Handa: So, once the moratorium ends, is it fair to assume that, I mean, a default situation would be that the government converts dues to equity because it's something which has already been approved by the Cabinet in the past. So, it won't really have to go through further rounds of government approvals, et cetera?
Akshaya Moondra: Yes, anything, any request , it will go through the process or approval based on the guidelines provided, but it was approved by the Cabinet in the past and has been publicly disclo sed. It doesn't need a Cabinet approval is my understanding, but whatever internal departmental approvals are required for any request which comes from anyone within the framework, those approvals will be required .
But on the whole, as emphasized in the past, this was expected that this will be required. And that is the reason when the reforms package was announced in 2021, they have provided it upfront that post the moratorium which expire s after four years , conversion will happen if there is a need. Otherwise, there was no need to put this in the reforms package for what would happen four years in advance. So, definitely that is the intent of the reforms package. And conversion will happen to the extent of shortfall of pay ment between whatever we can pay and what is the requirement of payment.

Moderator: Thank you. We have the next question from the line of Gaurav Malhotra from A xis Capital. Please go ahead.
Gaurav Malhotra: I just had some follow -up questions on the b ank guarantee. So, one is that, you know, what I heard is that the debt raise is somehow sort of connected to the bank guarantee issue to be resolved. That's one.
And secondly, in terms of these bank guarantees obviously also have a cost associated. Is that cost meaningful from your perspective? And how much is the quantum of bank guarantees that you are talking about?
Akshaya Moondra: The quantum of bank guarantees is disclosed in our financials i.e. about 24,000 crores over a period of one year. So , that is the first figure to be given. In our plan of things, we have not considered provision of bank guarantee as a part of a plan because from a bank's point of view, whether it is a bank guarantee

or a debt funding, the facility has to come from the
banks.
If it is a bank guarantee, the ban k guarantee commission is a nominal cost, but the main thing is it is exposure for the banks. And if banks were to provide that facility, which will then not really benefit anything in terms of improvement in operations or cash generation, I don't think ba nks will be willing to provide the bank guarantee. They are happy to provide the debt funding because that is what will help in turning around the business. So , in our plan of things, bank guarantee provision is not factored in at all. We have just conside red debt funding.
Gaurav Malhotra: And where are we in the process? Obviously, we read what the minister has also mentioned, but where are we in terms of trying to resolve this bank guarantee issue?
Akshaya Moondra: It is with the government. They have to decide. We have made whatever presentations we have to make . So, whatever we had to do has been done. We are awaiting a final decision from the government.
Moderator: Thank you. We have the next question from the lin e of Vivekanand Subbaraman from Ambit Private Limited. Please go ahead.

Vivekanand Subbaraman: I had a question on the proposal that the COAI and the industry participants had shared with the government on the big tech companies, especially those which account for disproportionate share of the network traffic to also be roped in to partially fund the capex that telcos are incurring to upgrade networks.
My question is how is the government thinking about this matter ? And if you could give us some insights into the polarity of traffic that is currently there by , let's say , the top two and three digital gateways or ecosystems and why you believe that this issue can perhaps lead to some alleviation of stress for the telecom i ndustry ?
Akshaya Moondra: There have been engagements with the government, but what is the government's view on it is best for them to respond. I will not be able to give you any response there. You are asking about the traffic quantum but I will not be able to give you any data .
Vivekanand Subbaraman: Just rough numbers in terms of proportion or?
Akshaya Moondra: I cannot give you any numbers, but YouTube is the largest consumer of data is my understanding and then other OTT players would be large. I will not be able to give you any numbers there because that is somewhat confidential information . But it's not a question of that . Large networks have been built and it is not that the system is not capable of handling the traffic. So, that is not a concern. The concern is that large investments are being made and the industry as such is subject to multiple things. And there is also a limit to which you can raise tariffs for priority services. You cannot have a differential tariff today for some services and for priority services. You can charge extra for services which take up a lot of your network and the investments have to be large for that. There is a multiple layer of engagement. This is not in India alone. This is global. I would say that it is not something for which any result can be expected soon. But yes, we are engaging with the government and it is happening in many other countries. This is an evolving space and we will have to see what is the best way to solve for the situation. But business is going on as usual. It is just a question of getting the right balance between how each one benefits from the investments that they are making.
The concern that telecom operators have is that they are the ones who are making large investments in running that traffic without a commensurate return. And if that return has to come by raising the tariffs , then it also raises the tariff for essential services , which is something one

would not want to

do. And that is why the question is , how can these large traffic generators also participate in contributing to the investment , which is being made without increasing the tariff for essential services very much.
Vivekanand Subbaraman: This is hel pful. Just one follow up. Are all industry participants aligned with you in this thinking or is there any difference of opinion among the industry participants?
Akshaya Moondra: No, you started by saying that this was a representation from CO AI. So , it is an industry issue. The larger the traffic, the larger the impact is . There is total alignment.
Moderator: Thank you. Ladies and gentlemen, we will take that a s the last question for today. I would now like to hand the conference over to Mr. Akshaya Moondra for closing comments. Over to you, sir.
Akshaya Moondra: Thank you, Dorwin . During 2024, the company has raised Rs. 240 billion of equity. In June spectrum auction, we acquired 50 MHz of spectrum across low band and mid -band spectrum in 11 circles . The tariff hike happened after a gap of more than two years , and we have

seen its benefits and will continue to see the benefits in the coming quarters. However, a s I mentioned earlier, considering the large investment requirements, industry will need further tariff rationalization to happen.
The AGR curative petition dismissal was unexpected , but we continue to be engaged with the government to find a solution whi ch can work for all stakeholders. This year is an important one for V IL as the company is taking critical steps in its transformation journey. We have kick -started the investment cycle and are deploying the funds from the fundraise towards 4G coverage capa city and for 5G rollout. These along with the mega deal with equipment suppliers are all key steps that will make V IL more competitive and ensure that the industry remains dynamic and competitive. With the continued support of the government, I am confiden t that V IL will stage a smart turnaround to effectively participate industry growth opportunities.
So, a s I said, this is going to be a very important year for us. Many things have happened. We are on the right track with investments being made, rollout h appening, the benefit of tariff increase coming our way. And with the continuing investment that we do, we will continue to see

consistent improvement in performance. I would say , we are on the right track. Thank you all for joining this call and have a go od day.
Moderator: Thank you. On behalf of Vodafone Idea Limited, that concludes this conference. Thank you all for joining us. You may now disconnect your lines.

Call: Feb 2025

19 February 2025

National Stock Exchange of India Limited
“Exchange Plaza”,
Bandra - Kurla Complex,
Bandra (E),
Mumbai – 400 051 BSE Limited
Phiroze Jeejeebhoy Towers,
Dalal Street,
Mumbai – 400 001

Sub: Disclosure under Regulation 30 of SEBI (Listing Obligations and Disclosure Requirements), Regulations, 2015 - Transcript of Analyst / Investors Call

Ref: “Vodafone Idea Limited” (IDEA / 532822)

Dear Sir/Madam,

In terms of Regulation 30 of the SEBI (Listing Obligation s and Disclosure Requirements) Regulations, 2015, please find enclosed transcript of the Analyst / Investors Call held on Wednesday, 12 February 2025 in respect of Unaudited Financial Results for the third quarter and nine months ended 31 December 2024 .

The same is uploaded on Company’s Website: www.myvi.in .

The above is for your information and dissemination to the members.

Thanking you,

Yours truly,
For Vodafone Idea Limited

Pankaj Kapdeo
Company Secretary

Encl: As above

“Voda fone Idea Limited Q3 FY-25
Earnings Conference Call”

February 12, 2025

Moderator: Good afternoon, ladies and gentlemen, this is Neerav the moderator for your conference call. Welcome to the Vodafone Idea Limited Q3FY25 Earnings C all. For the duration of this presentation all participant s’ lines will be in the listen -only mode. After the presentation a question -answer session will be cond ucted. Should you need assistance during the call, please signal the operator by pressing ‘*’ then ‘0’ on your touchtone phone. Please note that this

conference is being recorded.
We have with us today Mr. Akshaya M oondra – CEO of Vodafone Idea Limited and Mr. Murthy GVAS – CFO of Vodafone Idea Limited , along with other key members of the Senior Management on this call .
I want to thank the Management Team on behalf of all the participants for taking valuable time to be with us. Given that the Senior Mana gement is on this conference call, participants are requested to focus on key strategic and important questions to make sure that we make good use of the Senior Management's time. I must remind you that the discussion on today's call may include certain forward -looking statements and must be viewed therefore in conjunction with the risk that the company faces.
With this, I now hand the conference call over to Mr. Akshaya Moo ndra. Thank you and over to you sir.
Akshaya Moondra : Thank you, Neerav. A warm welcome to all participants to this earnings call. Yesterday, our Board of Directors adopted the un -audited results for the quarter ending December 31, 2024. All the results related documents are available on our website and I hope you had a chance to go t hrough the same. Let me provide key highlights for the quarter, progress on our investments and the positive impact of the same and insights on our strategic initiatives. Post this, I will handover to Murthy to share details on the Company’s financial perf ormance.

Before I move on to company specific performance, let me share some thoughts on Indian telecom market and growth opportunities.
Telecom in India has achieved widespread reach, with 4G population coverage at almost 99% and 5G expansion also moving at a fast pace. The demand for connectivity is surging across demographics, driven by diverse income groups, age segments, and evolving customer behavior. Technological advancements continue to reshape usage patterns, fueling the need for high -speed

data and digital services. Between November 2023 and November 2024, the wireless broadband subscriber base grew by ~45 million, reflecting ~5% growth. However, despite this impressive growth, overall broadband penetration remains below 65% representing a signif icant opportunity for further growth with higher adoption of broadband services.

The private mobile operators took a tariff hike in July 2024 after more than two years since last price increase, leading to improvements in ARPU and revenue. However, despi te these gains, the industry's ROCE continues to remain low. Further, telecom sector requires significant investments to support emerging technologies and the rapid increase in data consumption. Therefore, further tariff increase is necessary to help the i ndustry recover its cost of capital and sustain future growth. To maintain affordability and ensure connectivity for all, a pricing model where heavy data users contribute more for higher usage is optimal for the industry.

Let me also give an update on Ba nk Guarantee Waiver
In December 2024, the Department of Telecommunication, extended its support to the telecom industry by dispensing with the requirement of Bank Guarantee (BG) to be submitted for spectrum auctions held prior to 2021 reform package with c ertain conditions. Prior to this reform, BGs aggregating to ~Rs. 247.5 billion were required to be provided by the company for respective spectrum in

stalments, 13 months prior to each installment falling due. As per the communication received from DoT, no BG is required to be provided for the auctions until 2021, except requirement to provide BG for one year for one -time partial shortfall for the 2015 auction for which we are in discussion with the DoT.

Let me now talk about our strategic initiatives.
Our first strategic initiative is our focused investment approach
Post fund raise, our Capex investments are gathering significant momentum. For Q3FY25, we invested Rs. 32.1 billion which is more than what we did in first two quarters combined, bringing the total Capex for the first nine months of FY25 to Rs. 53.3 billion. The pace of network rollout is set to accelerate further with the full year expected capex to be around Rs. 100 billion.
During the quarter, we made substantial strides in expanding our network footprint, adding over 4,000 unique broadband towers, the largest quarterly addition since our merger. Our network enhancement efforts included the deployment of 4G on the sub -GHz 900 MHz band across approximately 15,000 sites, improving both cove rage and indoor network experience. We also

expanded our network capacity by adding approximately 10,400 sites in the 1800 MHz and 2100 MHz bands, which have resulted in faster data speeds of nearly 28%.
We are enhancing our infrastructure by deploying Hig h Powered Small Cells to tackle coverage and capacity challenges in congested areas. These ultra -lean pole sites, designed for minimal tech deployment and single -operator use, are optimized for efficiency with lower operational costs. As of December 31, 20 24, our total broadband site count stood at approximately 460,300, which includes about 74,800 TDD sites, 13,950 Massive MIMO sites, and 12,800 small cells. Moreover, we expanded our 4G 900 presence in all 16 priority circles where we have this spectrum.
With our investments done so far in the first 9 months of this financial year, we have added ~ 6,900 BB towers including HPSC sites, out of which ~5,000 towers were added in this quarter. I must remind you that, this is just the start of our larger investme nt cycle. We plan to take 4G count to approx. 215 -220,000 i.e. an increase of over 45,000 4G towers since the start of this investment cycle. Our immediate plan is to add another 13,000 towers till middle of next quarter i.e. Q1.
In the last nine months, we expanded our 4G population coverage by 41 million, reaching a total of 1.07 billion by the end of December 2024 covering 80% of the population, up from 1.03 billion in March 2024. During this period, our 4G data capacity grew by around 24%, which contr ibuted to an improvement of nearly 28% in 4G speeds. We are on track to meet our 4G population coverage target of 1.1 billion by March 2025 i.e. further expand population coverage by 30 million in just 3 months. Our plan is to finally take it to 1.2 billio n i.e. ~90% population coverage.
With these initial investments which have resulted in higher coverage and better experience for customers in already covered areas, we are witnessing green shoots. I am pleased to inform all of you that the combined VLR su bscriber numbers for December and January are showing positive net adds in 11 circles. We are confident that these trends will improve further as the pace of capex investment increases. Further, the progressive launch of 5G services should improve the subs criber traction.
The early result of our network investment is reflected in the latest Opensignal report, where Vi emerged as the best 4G network in India. Vi led across all six experience categories for 4G users: Best Download Speeds, Best Upload Speeds, Best Video Experience, Best Live Video Experience, Best Games Experience, and Best Voice App Experience. This recognition highlights that Vi 4G users enjoy not only the fastest 4G spe

eds but also an overall superior quality of experience for
various onlin e activities, including video streaming, gaming, and voice app calling. We are confident that as we roll out our 5G network, we will deliver the same superior quality.

Building on our extensive network expansion and upgrades, we launched one of India's mos t hyperlocal marketing campaigns to raise consumer awareness of the significant improvements in network experience. The campaign focused on showcasing local success stories and emphasizing how our network has become "Our Best Ever Network" at the city, dis trict, and locality levels.

Moving on to market initiatives
Tariff increase implemented in July has contributed to growth in both ARPU and overall revenue. Most impact from this price hike is reflected in Q2 and Q3FY25. As I mentioned in the last earnings call, alongside blended ARPU, we are also sharing a separate KPI - Customer ARPU excluding M2M, which provides a clearer trend of mobility business. Customer ARPU excluding M2M has shown a quarter -on-quarter increase of 4.7% and it has increased by almost 13% vis a vis Q1 ARPU.
Strategic initiatives were taken to reinforce market position through new offerings aligned with consumer preferences in the prepaid segment. The Super Hero Offering, launched in our 12 key markets, provides Unlimited Data for 12 hours from 12 midnight to 12 noon, in addition to the 2GB dail y quota which is now available to be used in the remaining 12 hours. The Non -Stop Hero Offering, launched in remaining 10 markets, provides Unlimited Data 24x7. As data consumption continues to grow, especially for consumers without wired broadband access, these propositions aim to enable a worry -free data experience.
In the postpaid business, we continue to see improving performance. It is a key focus area for us and as highlighted in the last quarter, we continue to see increase in our postpaid base on Q oQ and YoY basis. While a larger part of this increase is from M2M segment, we have seen a continuous increase in postpaid consumers over last one year. We are providing optimum range of feature rich offerings to meet the diverse needs of postpaid customer s. Recently, we launched Easy+, a new innovative proposition for corporate post -paid plans. It offers subscribers an option to select and directly buy additional services like International roaming, OTT Subscriptions and

data packs for their personal needs on their existing corporate plans. This service is available on the Vi App. This first -of-its-kind proposition introduces a simplified approach by making it seamless for subscribers to digitally purchase services of their choice on their corporate post -paid plans, thus offering complete flexibility and enhancing the overall customer experience.

We also introduced a new Vi Movies & TV Super pack at Rs. 175, combining data benefits with seamless access to high -quality digital entertainment. With this pack, V i prepaid subscribers can access 15+ OTT platforms including SonyLIV, ZEE5, ManoramaMAX, FanCode, PlayFlix, and more, along with 10GB data.

We continue to strengthen our international roaming business by expanding our roaming packs into new markets, adding 10 more countries in the last quarter alone. Today, our roaming packs are available in over 130 countries worldwide. Notably, we remain the only operator offering unlimited data and calls in as many as 29 countries.

During the quarter, we extended our 'Be Someone's We' campaign to bring people closer and make them feel connected from wherever they may be. We engaged with younger audiences through the podcast 'Be A Parent, Yaar! Powered by Yuvaa' where the central theme of 'Be Someone's We' was woven into c onversations between celebrities and their parents. The interaction with youth wa

s further enhanced through Snapchat with the introduction of 'Be Someone's We' lens.

We have launched an AI and ML -powered spam management solution to protect users from unsol icited and fraudulent messages. With spam messages on the rise, which are often used as a gateway to frauds, Vi's Spam SMS solution will safeguard customers by identifying and managing unsolicited and potentially harmful text in real time. As part of our b roader commitment to customer safety and experience, we are continuously working to develop solutions to curb spam, including voice calls, to ensure that users are further protected from unsolicited calls. These measures are in addition to various existing solutions and practices including making the mobile -app URL simple to use for filing spam complaints by enabling automatic pick up of spam content (SMS), sender number, and date, as well as whitelisting URLs in brand messages.

The spam detection system co ntinuously analyzes SMS messages in real time, using machine learning to identify patterns, recognize suspicious links, and tag potential spam as 'Suspected Spam.' As the system evolves, it adapts to new spam trends, improving accuracy and effectiveness.

We are also committed to educating customers and empowering them to identify and report phishing attempts, ensuring a secure mobile experience by proactively sharing important security tips and related information.

These strategic launches and initiatives r eflect our commitment to staying ahead of the curve by understanding and addressing customer needs while driving market innovation.

Moving on to Business services

We are transforming from a telecom company into a technology -driven enterprise, expanding beyond connectivity to offer advanced solutions like SD -WAN, IoT, and cloud services. Supported by Vodafone Group's expertise, we continue to grow through strategic partnerships and an expanded service portfolio.

Vi Business received several accolades recently. Its 'Ready for Next' Campaign for MSMEs was awarded the bronze category by ET Brand Equity Digi Plus. Additionally, the Vi Business Assist platform was recognized as 'Best New Product Launch' at the 5th Silv er Feather Awards. We also got recognized as Leading Brand in Telecom Sector at the eUttar Pradesh Awards.

The next strategic initiative is driving partnerships and digital revenue streams

As highlighted before, Vi aims to be a truly integrated digital s ervices provider with a very clear objective of driving higher digital engagement with our consumers and driving monetization through specific streams or by participating in select digital categories. Our stated strategy around this has been to build this through strategic partnerships and bring out most of these offerings on the Vi App.

Vi App is a multi -utility app that offers not just end to end telco account management, but also allows consumers to play over 100 Games, participate in eSports tournaments , pay utility bills, shop across categories like entertainment, food, shopping and travel, or buy almost any OTT subscription, watch over 350 TV channels, and more.

It is our constant endeavor to elevate the experience that our app offers to our consumers . We

recently enabled the Vi app to be used for a recharge by all prepaid users even when their daily data limit gets over to ensure they can recharge without delay when needed. We have also enabled UPI autopay for all our prepaid subscribers to make it co nvenient so that their services are not disrupted in case they miss their expiry date. It is initiatives like these which are helping us grow engagement on Vi app and it is showing in consistently improving Vi app ratings on Playstore.
As I mentioned in t he previous Earnings Call, we have launched Vi Movies & TV in an all new avatar for mobile on both, Android & IOS as well as for TV across majo

r operating systems. It is
an offering, mainly for Connected TV wherein our subscribers can buy a subscription pl an to get access to host of their favourite OTTs like Disney+ Hotstar, SonyLiv, Zee5, SunNxt, just like the

way customers' buy DTH plans for TV channels. During the quarter, we partnered with Lionsgate Play, a premium streaming service for Vi Movies & TV A pp and bundling of Vi Movies & TV with our flagship postpaid plans, to offer higher value to our subscribers. Additionally, we have also introduced 'First Episode Free' feature for all original content on Zee5, enabling subscribers to make an informed deci sion before subscribing. We have a very strong roadmap to build Vi Movies & TV as a destination of choice for our consumers when it comes to their TV entertainment.
I would like to reiterate that we will continue to have a disproportionate focus to build a digital ecosystem with our partners, enabling a differentiated experience for Vi users, which will help us drive customer stickiness as well as provide incremental monetization opportunities.

Moving on to other important topic of debt raise
We remain actively engaged with our lenders for tying up debt funding towards the execution of our long term network expansion. The recent support from Government on Bank Guarantee has supported these discussions to move forward. Additionally, we have cash and bank balance of Rs. 120.9 billion to be used for ongoing Capex.
With that I hand over to Murthy , who will share the financial highlights for the quarter.
Murthy GVAS : Thank you Akshay a. A warm welcome to each of you.
The revenues for the quarter were Rs. 111.2 billion, a YoY growth of 4.2%. The EBITDA excluding IndAS116 for the quarter was Rs. 24.5 billion, improving by 15% on YoY basis. This is the highest quarterly EBITDA since merger and the margin has improved to 22%. The reported EBITDA including INDAS 116 effects was Rs. 47.1 billion as compared to Rs. 43.5 billion in Q3 FY24 a YoY growth of 8.3%. The reported EBIDTA margin improved to 42.4%
Further, Depreciation & Amortisation expenses and Net Finance costs for the quarter were Rs. 56.3 billion and Rs. 56.9 billion respectively. Excluding the impact of Ind AS116, the Depreciation & Amortisation expenses and Net Finance costs for the quarter were Rs. 41.6 billion and Rs. 47.5 billion respectively.
The finance cost has declined in comparison to la st quarter mainly due to forex gain and reversal of interest provision basis the agreement arrived at with some of the vendors. Hence, the PAT loss this quarter was Rs. 66.1 billion.

The debt from banks reduced by Rs. 52.9 billion during the last one year and is currently at Rs. 23.3 billion as at the end of Q3 FY25 vs Rs. 76.2 billion in Q3FY24. The cash and bank balance comprising mainly of FPO proceeds to be used for Capex is Rs. 120.9 billion as of December 31, 2024.
With this I hand over the call to Neerav and open the floor for questions.
Moderator : Thank you very much. We will now begin with the question -and-answer session. The first question is from the line of Vivekanand from Ambit Capital . Please go ahead.
Vivekanand : Thank you so much for the opportunity. So, the first question is on the response to your network expansion so far. Thanks , Akshay a for highlighting some markers there , the VLR trends in several circles. So, to understand this better, as you are expanding t he network, is that helping you in reducing churn which is currently from when customers upgrade from 2G to 4G lose those customers. Is that how it is playing out or are you also able to strengthen your gross ads? Because when I look at the 3Q data it seem s like your gross a ds don't seem to have changed much. In fact, they seem to be flat over the last one year. So, h

elp us understand that one point
first. And the second question is on the tariffs. Now that the tariff hike impact is in numbers , when do you think is the right time for the industry to consider one more tariff hike and how should

one think about the tariff structure here on when the next tariff hike comes? Thank you.
Akshaya Moondra: Okay, thanks Vivek for your question. Your first question is relating to network expansion. And can you just repeat what exactly was the question relating to network expansion?
Vivekanand: So, when you did this network expansion you said that the VLR has improved. But when we see the quarterly data , we see that t he gross a ds have not increased. Your c hurn may have come down but no effect on gross ads. Is that how it's playing out or how should we…?
Akshaya Moondra: The gross ads figure is quite evident. So, ultimately if there is any improvement in subscriber metr ics without any change in the gross ads trajectory, then it has to come from the improvement in retention of the subscribers or better quality of subscribers which has been our focus for the last few months. The quality of acquisition and whatever can be d one in that direction has been in focus area for us. I would also want to highlight here that in terms of

our share of gross ads, it is much above our customer market share. So, that is an area where we are already doing well. We are able to attract custom ers. Our challenge has been sometimes to retain them because of the lack of investment which we have seen for a fairly long period of time. But as we return back to investment, and I would like to emphasize that what we have seen until now is just the begi nning of the larger investment that we have . Only with the investment which have been incurred and actually if you look at the results in December -January , only probably the rollout under November and part of December would have had any significant impact, which is only 10% of our new rollout of sites. So, really speaking, the larger investment is still to happen. But even with this minimal investment and with a fairly wider communication to our customers about the steps we are taking to improve the network , the pace at which we are rolling out, we have started to see early green shoots and which is reflected in the VLR for December and January combined, becoming positive in 11 circles, which is a major improvement. And we believe as the pace gathers and as the small investment becomes more formidable and when we are doing this larger investment, definitely these trends will improve for the better. We are very confident about this.
Your second question was relating to tariffs. In a normal scenario I would ha ve said that a time gap of one year is ideal between two tariff increases. However, I would add to that given the place where the telecom industry in India is today, where the return on capital is whether you take the market leader or you take anyone else, if nobody is returning their cost of capital and in that scenario, I would say it is fairly justified. If it can be faster, it could be nine months also, I would say. So, in a normal situation, a 12-month period is ideal to kind of make any changes on tar iffs. But given where the industry is today, a faster tariff change is probably a possibility and the need of the hour.
Vivekanand: Okay, that's helpful. And you don't think that the recent regulatory comments on making the voice only plan more affordable would come in the way of another tariff repair initiative, right?
Akshaya Moondra: No. I've been saying for the last 2-3 years that we have moved to a pricing structure where marginal users pay a certain price and then the incremental price which people who use heavily is very low, which is not a structure in any industry generally. It is important that while maintaining the affordabil

ity which has come through the voice and text plans in a manner,
we try to say that the consumers who are using more should actually be paying more. I'm not

saying that there should not be any benefit if people pay more. Their per unit of consumption or per GB of consumption should be charged less. The concept of tel escopic pricing is there in all products and services. I keep repeating this that we used to have an ARPUs which were maybe in Rs. 10-20 to a range of Rs. 5,000 for many normal consumers without international roaming. Today, almost everybody can fulfill their requirements by buying a plan of Rs. 400 -500 if you choose to be on prepaid, that is what needs to be addressed. So, I don't think the voice and text plans would come in the way of achieving the objective of tariff increase and tariff rationalization.
Vivekanand: Okay, great. I'll take up one last topic which is very important for investors. That's on the next 12 months, including the time that after the moratorium when you have to start making payments for spectrum dues and AGR dues that were not deferred. So, the question here is one, what is your dialogue with the government given that it's now less than a year, that you will have to perhaps engage with them and convin ce them or get them to take shareholding in lieu of deferred amounts. And secondly, the regular installment also is a fairly large number. So, if you could walk us through how you are thinking about, let's say the next 12 to 15 months in

terms of cash in a nd cash out in the company, that'll be great ?
Akshaya Moondra: So, Vivek, let me put it this way. As we have been saying that post the dismissal of the curative petition where the judicial route was closed, we have been actively engaged with the government to find a solution. As far as conversion is concerned, it is a part of the reforms package. And so, while I understand it is at the government's option, but the fact that in the reforms package in 2021 it was provided , clearly shows the intent that the government has to support the industry where this need arises. Conversion is a part of the reforms package and that should not be a difficulty in the initial period when we are making the investment and improving our cash generation through improvement in performance. In terms of what we were seeking through the curative petition is correction of some of the demands which would have brought these liabilities down. That has not worked. So, we are having a bit of a holistic engagement with the government. And when we are talking about conversion generally, it is not necessary that it is only the deferred installments which can be converted but t he non-deferred installments are also part of that. So, it is difficult to sa y what will finally happen. But the government is very cognizant of the fact that support is required at this time. They have also seen that we have raised equity of 26,000 crores overall through promoters, FPO, vendors converting some of their dues in the last 10 months or so. And we have made the investment, we have started

the investment cycle. We are seeing positive results coming out of that. And government is actually the largest stakeholder in this entire exercise. So, they are cognizant of this fact and I am confident that they will find a solution.
Vivekanand: Okay, Akshay, thank you so much for the elaborate answers. I will come back in the queue for more .
Moderator: Thank you. Next question is from the line of Sanj esh Jain from ICICI Securities. Please go ahead.
Sanjesh Jain: Good afternoon, Akshay a. First question on the network operating cost. Now that we are scaling up the network , this quarter really didn't show up. I believe we did a lot of investment at the fag end. How should we look at n etwork cost going up f

rom here in the next few
quarters as we expand the network?
Akshaya Moondra: Generally speaking, as you roll out a new site, the cost, it varies from circle to circle. But a new site energy cost plus rental is in the ballpark of Rs. 60,000 to 70 ,000 per month. And if you then look at , there are lean sites today where the cost structure is much lesser. So, really speaking, the growth of network cost is directly proportional to the number of sites that one rolls out. So, that can be fairly easily calculated , number of sites multiplied by even if you take it a little on the higher side as some of the marginal costs may go up somewhere around Rs. 70,000 per site is generally the cost increase which is linear. I've already in my opening remarks alluded to as to what is it that we have rolled out and what is it that we are planning to roll out by middle of next quarter. So, that should give you a fair idea. One of the factors which also happens in this cost is that the energy costs are sea sonally lower in this quarter. So, some of the costs attributable to the higher cost on account of rollout may have been offset by the saving in energy costs also. Murthy, if you want to add something.
Murthy GVAS: No, not really. So, Sanj esh, typically y ou should look at the seasonality in consumption the way the industry has been showing it , particularly for different quarters . For the growth in sites that are coming in, Akshay a has told you the kind of cost that we will incur . That's on a cash basis . On a lease accounting basis, obviously that would be slightly different. And accordingly, as we have always said that in the first few quarters where there's a large count of sites coming up, the costs below EBITDA may be slightly higher and even out over a period.

Akshaya Moondra: Just a disclaimer that my comments were based on cash EBITDA accounting basis, not on Ind-AS as Mu rthy has explained.
Sanjesh Jain: No, that's clear. That's clear. On the 5G expansion, when should you start that? Will be starting in next quarter or two quarter down the line , when are we thinking to roll out 5G and the circles that will be priority for that?
Akshaya Moondra: Sanjesh, it looks like you have not seen our press release clearly. We have clearly stated that Mumbai laun ch is slated for March and Delhi, Bangalore, Chandigarh and Patna are slated for April. It is already stated in our press release. The site rollout is already progressing in Mumbai and Delhi. It's just that you need to get to some threshold before doing a commercial launch. That is what we are waiting for. So, t he launch has started. In terms of the other circles , the priority would generally follow the priority circles. We said that Delhi, Mumbai and Bangalore

were the three metros which had to be covered first. And then we move on to the other important cities where we have a strong position like Gujarat, Maharashtra, Kerala. So, those would be the ones next in line which we will give guidance somewhere by the time of the next earnings call.
Sanjesh Jain: Very clear. Thanks, Akshay a. And then last question on the ARPU side, now that the tariff increase is sinked in , for next year, assuming there is no tariff hike, how do we see this ARPU growing say by premiumization and our postpaid is growing faster than the prepaid, at least postpaid has right now we are in a positive trajectory ? How do we see ARPU growing organically without tariff hike?
Akshaya Moondra: As was discussed in the last question , if we are talking about the full years' time then as I said, 9 to 12 months is a time window for a tariff increase. And I would expect that next year's ARPU growth will also be impacted by a tariff increase which should happen. But then what are the other drivers of ARPU increase besides the tariff correction? As our network starts improving, we

will have besides the growth of subscribers which may not impact the ARPU but there could be multiple secondary SIMs which if converted to primary SIMs will result in improvement in ARPU . These could be significant because if a subscriber is being counted but it is not a primary SIM for them, then they recharge infrequently. That kind of reduces the ARPU . But if they become the primary SIM and it recharges regularly, then the ARPU goes up. And the delta of ARPU for those subscribers, it can be significant. The others are upgrade of subscribers to higher plans. We are also kind of bundling this with many of the packs particularly in the

post paid. But those choices are also available in prepaid. So, upgrade of subscribers, more bundled offerings providing higher value products. And as I said earlier as a part of the price increase as for the industry, I would actually want to see the price increase going up somewhat in line with the consumption. And that could be another way to say that the ARPU s will go up.
Sanjesh Jain: Got it. One last bookkeeping question. Can you give the breakup of gross credit between the spectrum dues, AGR dues ?
Akshaya Moondra: Sorry, what is the breakup between ?
Murthy GVAS: So, Sanj esh, the AGR dues roughly are in the range of about 7 0,000 crores and spectrum is about 1,40,000 crores.
Sanjesh Jain: Got it and the total gross debt is?
Murthy GVAS: This is not a deb t. This is a deferred payment obligation. The only debt I have is to the banks which is about 2,300 crores as it stand s at the end of December.
Sanjesh Jain: Okay, that's a bank borrowing what you're talking about.
Murthy GVAS: That's right.
Sanjesh Jai n: Got it. That's it from my side. Thanks for answering this question.
Akshaya Moondra: Thanks Sanjesh.
Moderator: Thank you. Next question is from the line of Gaurav Malhotra from A xis Securities. Please go ahead.
Gaurav Malhotra: Hi. Thank you for the opportunity. Just got one question. If I just look at the overall OPEX on a Q -on-Q basis and I see it even on a Y OY, the number has not really moved up. But obviously there is capex being done. We also see marketing activity has sort of started to move up again. So, just wondering when will the OPEX start following the kind of moves which we are seeing in capex and also maybe the kind of marketing activity which is happening on the ground ?

Akshaya Moondra: While Murthy will give you a specific response, but when you look at it year - on- year and if you say that network is growing and the costs have not increased, it is a factor of many efforts and initiatives we are taking to bring down the cost or contain the cost. Normally we do not ta lk very much about it and maybe since the rollout has been minimal at this point of time, the initiatives taken otherwise are offsetting to some extent the cost increase. While we continue investing now, we have also been very focused on costs and that is an exercise which will continue. But if Murthy wants to give any specific response to this.
Murthy GVAS: If you see on a YTD basis last year versus this year, there are some costs which have increased, say the employee costs, etc . Network cost is lower because we have taken certain initiatives with regard to consumption, etc . and even in the case of marketing costs, we have said that we have ensured that the content costs have come down. All these have given us benefits and we expect the benefits to keep going. Having said that, from a network cost perspective given as I answered Sanj esh earlier, based on the number of towers that goes up and the way we account for it, obviously there'll be some costs coming in as the numbers increase.

Akshaya Moondra: And also in terms of the marketing costs, we have contained it right now. But as we rea

ch a point where the network rollout has reached a place where we think that its important to communicate to a larger audience through television and all, costs would go up. We are doing a lot of communication, but not the expensive kind of communication at this point.
Gaurav Malhotra: Understood. Thank you.
Moderator: Thank you. Next question is from Heman g Kh anna from Nom ura. Please go ahead.
Hemang Khanna: Hi sir, th ank you for taking my question. My first question relates to the subscriber base. Now that we're halfway through the quarter and tariff hikes are largely absorbed. Could you help understand how subscriber losses are trending now and has the run rate improv ed significantly from the third quarter run rate ? And my second question is on the debt raise. Could you help us with updates on that on what's happening with the debt raise? Is there any timeline in place and additionally to help us understand this better, what are some roadblocks of the next steps which are present from the debt raise perspective which are required for us to close the debt raise now? Thanks.

Akshaya Moondra: Thanks. On the subscribers, I had alluded to in the opening remarks . Let me just put things in perspective. We started making the quick win capex which was largely upgrade of capacity and coverage by rolling out 900 MHz 4G and also deploying more layers of spectrum on existing sites by software upgrades. This was the main activity which we had done between June to September, which gave us capacity, somewhat increased coverage and better indoor experience through rollout of 4G on 900 where it did not exist earlier. We finalized our orders with the vendors in Sep tember where we had made the announcement and those deliveries have started coming from end of October. The large -scale deployment started then in November and December has been a fairly large deployment which will continue going forward. As a result of all these initiatives and also a lot of communication which I hope is visible to you, we have been able to in December and January have a positive VLR net ad ds which has happened after a long period of time in 11 circles . So, definitely these investments have started to show an impact. And as I mentioned, this is a very small part of our overall capex plan. As the capex grew and particularly the site, our population c overage has grown from 1.03 billion to about 1.07 billion since April. By the end of this quarter, we expect to get to 1.1 billion with the ultimate target of going to 1.2 billion. But I guess in our case it is both a question of network experience and perception. Because till the time we were not investing or action was not visible on the ground, there was this perception that we will probably not invest. When customers are now seeing action on the ground, investmen ts coming, their experience improving, these things will turn around and we are very confident that as we keep on continuing this momentum and accelerate the investment, we will see the subscriber metrics improving further.
Your second question was relating to debt. The curative petition was dismissed not so much on merits, but on technicality . There was a concern whether the government is supportive of the telecom sector and in a ddressing the issues which were kind of arising out of in terms of liquidity post the AGR judgment . While the larger engagement with the government is ongoing to find a solution , the action by the government in waiving the bank guarantees i s a clear indication from the government that they remain committed to support the telecom sector through reforms as and when required. And that has given confidence to the banks. Post that we have restarted the discussions with th e banks. However, as I had mentioned before, the banks are also looking at some clarity on the AGR front. Let me repeat aga

in that the projections which we have been working on with the banks did not consider any relief on AGR. But given that it is an important point, they also want to seek some clarity as to what is the final position on the AGR . So, these are

ongoing discussions. These are progressing and we believe that we should be able to come to a conclusion soon. I will not be able to give you a timeline at this point of time because there are multiple moving parts. I hope I've answered both your questions completely.
Hemang Khanna: Sure, sir. Thanks. That is extremely helpful.
Moderator: Thank you. Next q uestion is from the Aditya Bansal from Motilal Oswal. Please go ahead.
Aditya Bansal: Hi Akshay a. Thanks for taking my question. My question is around two data points that are quite divergent. One is your postpaid subscriber base has been consistently goi ng up. Whereas if I look at data or data usage metrics, they are on a declining trend despite of the

generous f ree data that you mentioned in the opening remarks. So, what would explain this divergence? And I may have a follow up on this.
Akshaya Moondra: Okay. Our telecom trends generally are determined by prepaid subscribers. Postpaid subscribers, while being high ARPU , they are not the ones which drive the trends of consumption. So, postpaid subscribers are going up. And as I had all uded that wh ich I believe you would have noticed that if you just look at the postpaid subscribers, it's a mix of M2M and the consumer space. A large part of the overall postpaid increase is coming from M2M. But over the last one year we have seen a consistent growth in postpaid subscribers. But they do not determine the data usage. The large part of it comes from the prepaid subscribers. So, that is point number one. Now, in terms of data usage, we have seen a bit of decline . But I am happy to say that with whatever initiatives we have taken, we have seen a growth happening in January over December and we expect this month -on-month growth to continue in the coming two months also. So, there has been a period where , of course, the important metrics i s data usage per sub and that is the one I am referring to , not really the overall data usage . But in January we have seen an overall improvement in data consumption usage not the data per sub alone.
Aditya Bansal: Sure. Would it be possible to share the quantum of subscribers who are using less than 1 GB a month on your network? Just wanted to assess potential impact for from any down trading to the voice only . Would that be possible?

Akshaya Moondra: No. So, I don't have that data. Maybe it is not the right time to draw any conclusions but there has not been so much movement towards that. My personal opinion is that today the market has evolved to a point where everybody want s some data. So, let's say even if you were consuming 200 mb of data a month, you cannot move to a voice and text plan. You are saying how many people consume less than 1 GB? I'm saying even if I'm consuming 10 0 mb I would need a data plan. Also, the differential between the voice and text plan and ULB is marginal. I don't think given the price differential between the two, there is so much of scope for down trading . And in any case for people who have minimal data uses or even you need the comfort of having a data plan without any usage also, if you're just paying some Rs. 20 extra per month, I don't think it is very much so. I don't see much of a risk there. Although this is ju st early days and we'll have to see how this evolves.
Aditya Bansal: Sure. Thanks a lot.
Moderator: Thank you very much. Participants, you may press '*' and '1' to ask a question. Next question is from the line of Rishabh from HSBC . Please go ahead.
Rishabh: Hi Management. Thank you for the opportu

nity. Can you remind us on the amount of
statutory payables due in FY26 and FY27? What is the split there between AGR and spectrum liabilities?
Murthy GVAS: On the AGR liability, the installment annually after the monitoring period is roughly about 16,000 crores.
Akshaya Moondra: In FY26 , the installment is less. The AGR remains the same for FY26 and 27 which is about 16,000 crores. The spectrum installment in FY2 6 is about 12,000 -13,000 crores and in FY27 it will be more like 26,000-27,000 crores .
Rishabh: Thank you.
Moderator: Thank you. A reminder to all the p articipants. You may press '*' and '1' to ask the question. Next follow up question is from the line of Vivekanand from Ambit Capital. Please go ahead.

Vivekanand: Hi. Thanks for the follow up opportunity. So, my question is on the users on the network. Y ou mentioned that as soon as the tariff hike happened there was some knee jerk migration to BSNL. Have those customers started returning now that the 90-day cooling off period is over? That's one. Secondly, as you chart out your 5G rollout plan, would it b e possible for you to disclose how many 5G users are there on the network? Those are on the subscribers. Now Akshay a, you mentioned in your answer to my prior question that you are also engaging with the government to convert some of the non-deferred loans into equity. What is your ask from the government at this stage? Do you need more time to pay or do you want to get the government to convert more amounts of spectrum dues into equity? Could you explain that? Thanks.
Akshaya Moondra: So, Vivek, let me an swer or you may say not answer your last question . It's a wider engagement with the government and it would not be right on my part to get into any further details besides what I've already explained to you .
In terms of the impact of BSNL , the impact has completely reversed. If I just look at June versus

what is happening currently, the net port ins from BSNL has increased from June to January as far as we are concerned. Although in the interim there h as been a period of loss. Now there are some subscribers who have preferred to stay there. It's not that everyone is coming back, but the gains which BSNL has had is more than reversed. And if the net port -in from BSNL has incr eased from June to January, it is basically some reversal which is happening. We have not tracked it at a subscriber level really. The other thing which I can also tell you is that as far as the MNP is concerned, again compared from June till today, our ne t port outs have reduced significantly. There's been a significant improvement over the last six months which is also a reflection of one of the improving matrices.
Vivekanand: Okay. I had actually asked the 5G also if it is handy.
Akshaya Moondra: So, I will not be able to give you exact data, but what I can say is that the 5G devices, even though our number of subscribers has been declining, but within that declining base, the number of 5G devices on our network is constantly increasing. And if that is happening, while we currently do not have any offering of 5G, as we start rolling out 5G in the main cities to start with, I'm sure that number will grow at a faster rate. But at this point of time, we are seeing constant increase in the number of 5G devi ces on our network.

Vivekanand: Sure, just one small feedback. The other two operators are disclosing the 5G devices on their network. It would be great if you can do that also.
Akshaya Moondra: Yes, the other two competitors also have 5G network. So, we take that feedback and will start reporting at an appropriate time.
Vivekanand: I have one last if I am permitted, I will ask that . Would you be able to give the FY26 capex guidance?
Akshaya Moondra: No, we'll be able to

give at the time of the next earnings call.
Vivekanand: Okay, thank you so much and all the very best.
Akshaya Moondra: Thanks.
Moderator: Thank you very much. Ladies and gentlemen, due to time constraint, that will be the last question. I'll now hand the conference back to Mr. Akshay a Moondra for closing comments.
Akshaya Moondra: Thank you very much, Neera v. As alluded in my opening remarks, with our initial investments which have resulted in higher coverage and better experience for customers in already covered areas, we are witnessing green shoots. It is reflecting in the combined VLR subscriber numbers for December and January showing positive net adds in 11 circles. 5G is also underway in our key geographies. With our intensifying investments, we are very confident of further improvement in both operational and financial performance. 2025 is an important year for VIL as the company is taking critical steps in its transformation journey. Including the recent equity infusion by Vodafone Group , we have raised Rs. 260 billio n of equity in the last 10 months. The bank guarantee waiver from government has showed their support to the industry. We are working towards closure of debt funding for the execution of our long -term network expansion plan. Thank you all for joining this call and have a good day.
Moderator: Thank you very much . On behalf of Vodafone Idea Limited . that concludes this conference. Thank you for joining us and you may now disconnect your lines. Thank you.

Call: Jun 2025

5 June 2025

National Stock Exchange of India Limited
“Exchange Plaza”,
Bandra - Kurla Complex,
Bandra (E),
Mumbai – 400 051 BSE Limited
Phiroze Jeejeebhoy Towers,
Dalal Street,
Mumbai – 400 001

Sub: Disclosure under Regulation 30 of SEBI (Listing Obligatio ns and Disclosure Requirements) Regulations, 2015 - Transcript of Analyst / Investors Call

Ref: “Vodafone Idea Limited” (IDEA / 532822)

Dear Sir/Madam,

In terms of Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, please find enclosed transcript of the Analyst / Investors Call held on Monday, 2 June 2025 relating to the Company’s performance for the fourth quarter and financial year ended 31 March 2025.

The same is uploaded on Company’s Website: www.myvi.in .
The above is for your information and dissemination to the members.

Thanking you,

Yours truly,

For Vodafone Idea Limited

Pankaj Kapdeo
Company Secretary

Encl: As above

Vodafone Idea Limited
Q4 FY '25 Earnings Call

June 02, 202 5

Moderator: Good afternoon, ladies and gentlemen. This is Dorwin, the moderator for your conference call. Welcome to the Vodafone Idea Limited Q4 FY '25 Earnings Call. For the duration of this presentation, all participants' lines will be in the listen -only mode. After the presentation, a question and answer session will be conducted. Should y ou need assistance during the call, please signal an operator by pressing star and then zero on your touchtone phone. Please note that this conference is being recorded.
We have with us today Mr. Akshaya Moondra, CEO of Vodafone Idea Limited; and Mr. Murth y GVAS, CFO of Vodafone Idea Limited, along with other key members of the senior management on this call. I want to thank the members of the management team on behalf of all participants for

taking valuable time to be with us.
Given that the senior managem ent is on this conference call, participants are requested to focus on key strategic and important questions to make sure that we make good use of the senior management's time. I must remind you that the discussion on today's call may include certain forwa rd-looking statements and must be viewed, therefore, in conjunction with the risk that the company faces.
With this, I now hand the conference call over to Mr. Akshaya Moondra. Thank you, and over to you, sir.
Akshaya Moondra: Thank you, Dorwin. A warm welcome to all participants to this earnings call. On Friday, our Board of Directors adopted the audited results for the quarter and year ending March 31, 2025. All the results related documents are available on our website and I hope you had a chance to g o through the same. Let me provide key highlights for the quarter, progress on our investments and its positive impact along with the update on our key strategic initiatives. Post this, I will handover to Murthy to share details on the Company's financial performance.
Before I move on to company specific performance, let me share some thoughts on Indian telecom market and growth opportunities.
Wireless connectivity has become the backbone of India's digital ecosystem, connecting over a billion people across diverse geographies. Telecom companies have made substantial investments in wireless infrastructure - providing extensive 4G coverage covering almost 99% population and, rolling out 5G networks considered among the fastest in the world. The criticality of having a robust wireless sector has been authenticated multiple times including COVID 19 Pandemic, where it enabled remote working, digital education, telemedicine and e -commerce, keeping the economy and essential services functioning - or in times of geo political tension or

natural disasters, when the wireless network ensures real time communication, coordination and crisis response.
All this reinforces that India is among the top nations that offer such deep population coverage.
Over the last decade, the wireless operators have made very large investments in acquiring spectrum and expansion of network infrastructure - be it 4G to address the growing customer demand or rolling out advanced technology like 5G where the customer demand is still evolving - to support the Digital India Vision of our Hon'ble Prime Minister.
However, the sector faces significant challenges. India has one of the lowest ARPUs in the world making it challenging for telcos to sustain investment and innovation. The private mobile operators hiked tariff in July 2024 after more than two years since the previous price increase in November 2021, leading to improvements in ARPU and revenue. However, despite the price increase, the ARPU in India remains as one of the lowest globally and the industry's ROCE continues to remain below cost of capital. Further, the telecom sector requires significant investments to support emergi

ng technologies, and meet the rapid increase in data consumption.
These investment needs are further accelerated by ra pid AI advancements.
Therefore, to ensure a fair return on significant investments and support future capital expenditure in the telecom industry, further tariff increases are essential. Additionally, the industry needs to move towards a pricing model wher e heavy data users contribute more proportionally to their higher usage, than the current pricing structure where incremental data usage comes at an extremely low unsustainable price
Over the last few quarters, industry has made extensive investments in e stablishing, maintaining and upgrading infrastructure. On the back of these investments, India has significantly improved its global ranking in mobile broadband speed from 118th to 15th in a report published by the Portulans Institute, an independent non -profit research and educational institute based in Washington DC. The surge in connectivity demand across all demographics, driven by diverse income groups, age segments, and evolving customer behavior, has also boosted India's ranking in the Network Re adiness Index (NRI) 2024 to 49th position, up from 60th in the same report. However, despite this impressive growth, overall broadband penetration still remains below 65% representing a significant opportunity for further growth with higher adoption of bro adband services.
Let me now give an update on our engagement with DoT
In December 2024, the Department of Telecommunication, extended its support to the telecom industry by dispensing with the requirement of Bank Guarantee (BG) to be submitted for spectru m auctions held prior to the 2021 reform package with certain conditions. We continued

our engagement with DoT and requested the DoT for conversion of spectrum auction dues of Rs. 369.5 billion into equity shares, in line with the Reforms Package of 2021. The DoT accepted our request and the board of the company took the necessary steps and issued 36.95 billion equity shares at an issue price of Rs. 10/ - each on April 8, 2025. With this, GoI shareholding increased from 22.6% to 49%. The Promoter shareholdin g now stands at 25.6%. The promoters continue to have operational control of the company.
On the topic of fund raise,
During the quarter, besides the conversion of government dues, the Company also allotted ~1.7 billion equity shares at an issue price of Rs. 11.28 per share, including premium of Rs. 1.28 per share, for an aggregate consideration of Rs. 19.1 billion to Vodafone Group entities on a preferential basis. Cumulatively, during the year, the Company has raised equity of ~Rs. 614 billion, which comprised of FPO of Rs. 180 billion, preferential issue of ~Rs. 40 billion to promoters being Aditya Birla Group Rs. 21 billion and Vodafone Group Rs. 19 billion, ~Rs. 25 billion to vendors Nokia and Ericsson, and Rs. 369 billion to the Government of India .
Let me now talk about our strategic initiatives.
Our first strategic initiative is our focused investment approach
Our Capex investments are continuing to gather significant momentum. Before I move to the regular update, I would like to mention that we initiated the rollout of 5G in March 2025 and as we speak, our 5G services are now available in cities of Mumbai, Delhi, Chandigarh and Patna. Our expansion efforts are underway to offer 5G services in all the 17 circles where we have 5G spectrum by Augus t 2025.
For Q4FY25, we invested Rs. 42.8 billion highest quarterly capex since merger. This brings the total Capex for FY25 to Rs. 96.2 billion.
During the quarter, we made substantial strides in expanding our network footprint, adding over 6,900 unique b roadband towers, the largest quarterly addition since our merger. We continue to strengthen our network on sub GHz 900 band across all the 16 circles where we have 900 MHz sp

ectrum and during the quarter, we added ~18,400 sites, enhancing overall coverage and significantly improving indoor connectivity. Further, we added ~14,500 sites in the 1800 MHz and 2100 MHz bands primarily to boost network capacity, enabling faster data speeds on the Vi GIGAnet network. Our overall broadband site count stood at ~494,6 00 as of March 31, 2025 vs ~430,700 as of March 31, 2024.
With our investments during the year, we have added net ~14,100 broadband towers vs net cumulative addition of ~14,900 BB towers in last 5 years, from FY20 to FY24. I am very pleased

to share that we expanded our 4G population coverage by 73 million, reaching ~83% of the population, up from ~77% in March 2024. During the same period, our 4G data capacity grew by around 31%, which contributed to an improvement of 28% in 4G speeds. I must remind you that this is just the start of our larger investment cycle. As mentioned earlier, we plan to take 4G tower count to approx. 215 -220,000 i.e. an increase of over 45,000 4G towers vs Mar’24, which will improve our 4G population coverage to ~90%.
With thes e initial investments which have resulted in increased coverage and capacity, and as a result offering better customer experience, we are witnessing a significant reduction in our subscriber loss. We are confident that these trends will improve further as the capex investment continues. Further, the progressive launch of 5G services should further support the subscriber traction. This capex and network expansion will enable company to participate in the Industry growth.
Moving on to market initiatives
We remain dedicated to offering more than just seamless connectivity —our focus is on enhancing our consumers’ digital lifestyles through experiences that go beyond traditional voice and data services.
In our postpaid segment, performance continues to improve and remains a key priority. As noted last quarter, our postpaid subscriber base has shown consistent growth both quarter -on-quarter and year -on-year. While much of this growth stems from the M2M segment, we’ve also seen a steady rise in individual postpaid users over the past year. To cater to the diverse needs of our postpaid customers, we continue to deliver a well -curated portfolio of feature -rich plans.
Last quarter, we introduced Easy+ an innovative solution for corporate postpaid users which allows th e corporate subscribers to directly purchase add -on services —such as international roaming, OTT subscriptions, and data packs —for personal use within their existing corporate plans, fulfilling a long felt need of corporate customers. Available through the Vi App, Easy+ is a

first -of-its-kind offering that simplifies the process of buying additional services, giving users greater flexibility and enhancing the overall customer experience.
During the quarter, we launched the Vi Max Limitless Postpaid Data Plan s in nine markets, offering truly unlimited high -speed data. These plans also include premium benefits such as exclusive access to entertainment content and other value -added services.
On the prepaid front, last quarter saw the launch of two innovative pla ns. The Super Hero Plan, available in 12 key markets, offers unlimited data from midnight to noon along with 2GB/day. Meanwhile, the Non -Stop Hero Plan, rolled out in 16 markets, provides truly unlimited data access

24x7. Both plans have received a positiv e uptick from consumers, driving growth in ARPU and subscriber base across major markets.
Customer ARPU excluding M2M has shown a quarter -on-quarter increase of 1% despite a reduction of 2 days during the quarter. 4G subscribers increased from 126 to 126.4 during the quarter. The data traffic growth has also grown by 5.2% in Q4.
We offer international roaming coverage in 198 countries.

We continue to enhance our
international roaming services, and expanded our roaming packs to 15 more countries in the last quarter alone. Our roaming packs are now available in 144 countries worldwide. I am very pleased to share that we are the only operator offering unlimited data and calls in as many as 29 countries. To further enrich the travel experience, we have partnered with Blue Ribbon Bags, a US-based lost baggage concierge service, to offer baggage protection for our postpaid international roaming customers. Additionally, we have introduced a double data proposition with select international roaming packs, allowing cu stomers to enjoy more data during their travels. This initiative aims to enhance the international travel experience by addressing key concerns and providing a comprehensive and worry -free international travel experience for Vi customers.
To build affinity with youth of India, Vi partnered with Spotify, Yuvaa and Snapchat to design innovative engagements tailored to the platforms to extend the platform of 'Be Someone's We' and urge everyone to make our world a little less lonely through power of connections . Engagement spiked further with Runmahotsav on the Vi App during IPL. We amplified impact through influencer -led campaigns and digital awareness drives across key propositions. Vi's creative edge was recognised at the afaqs! Awards with wins for Content M arketing and Best Use of Visuals.
The company is taking various initiatives to tackle the growing menace of cyber frauds. We have implemented a nation -wide checking of suspicious SMSs. Currently we are roughly blocking about 0.6 mn SMSs per day and also de livering about 1.8 mn SMSs per day as suspected SPAM messages. We have also implemented identification of Suspected SPAM Calls in Mumbai and Delhi and are currently identifying around 12 mn calls everyday as Suspected SPAM calls. We are also implementing the initiative of identifying the Calling Name Presentation, whereby the name of the calling party will be displayed with each call. In case of international calls, while the name will not be identified, the calls will be identified as International Call. All these initiatives will go a long way in safeguarding the interests of our valued customers.
With a goal to focus on customer experience, we expanded our retail presence by opening more than 100 new flagship stores over the past six months. This expansi on brings the total number of

Vi flagship stores to over 500 nationwide, all directly operated by the company in metro and Tier 1 markets. Additionally, our overall physical retail footprint now includes more than 2,500 Vi stores and Mini stores across 600 cities and towns. While a large share of our customer concerns is resolved digitally through Vi App, we serve over 50,000 customers daily across retail touchpoints. Our stores enable us to deliver a distinct and high -quality service experience, as reflect ed in industry leading Google rating of 4.4 out of 5.
Moving on to Business services
Our strength in serving the enterprise sector is built on deep, trusted relationships with our clients and the global capabilities of the Vodafone Group. We are evolving from a traditional telecom provider into a full -scale Techco, expanding beyond connectivity to offer advanced solutions such as hybrid SD -WAN, SIP, IoT, IIoT, and cloud services. We continue to accelerate this momentum by diversifying our portfolio and col laborating with strategic partners, ensuring our offerings remain highly relevant, future -ready, and impactful for enterprise clients.

Vi Business recently signed an MoU with the West Bengal State Export Promotion Society to drive digital transformation f or MSMEs in the state. As a part of the partnership, Vi Business will offer localized digital tools, training modules in Bengali, and conduct training sessions to

boost
technology adoption among MSMEs in West Bengal.
In parallel with our efforts to digital ly empower MSMEs, Vi Business also continued to strengthen its engagement with India's business leadership through the 14th edition of Vi TeeWalk. The event brought together over 250 CXOs and senior business leaders from diverse industries, creating a prem ium platform for high -value networking and engagement. Beyond the game, Vi TeeWalk facilitated meaningful conversations and strengthened relationships in an exclusive, relaxed setting —reinforcing our commitment to building lasting partnerships with the bus iness community.

Our IoT Lab is emerging as a vital enabler of interoperability and standardization in the ecosystem. As the Indian telecom industry's first Lab -as-a-Service offering, it has issued 24 certifications this year alone —demonstrating strong a doption and industry confidence. Now evolving into a Center of Excellence, the lab serves as a collaborative hub for co -innovation, where ecosystem partners work together to develop future -ready IoT use cases.Vi Business has recently partnered with Hewlett Packard Enterprise (HPE) to deliver next -generation managed services in India. This collaboration leverages HPE Aruba Networking products to offer advanced wireless LAN, switching, and security solutions, aiming to transform enterprise networking experien ces across various sectors, including campus networks, manufacturing facilities, large corporate headquarters, and regional offices.
Vi Business continues to be recognized for its impactful transformation to Enterprises. We were recently recognized by CIO Choice as 'Digital Transformation Enabler' for large enterprises. Our ReadyForNext MSME programme was recognized as the 'Digital Init iative of the Year – India' by Asian Telecom and won 'Best Multi -Influencer (D2C/B2B)' at the e4m Impact Digital Influencer Awards.
The next strategic initiative is driving partnerships and enhancing digital revenue streams
As highlighted before, Vi aims to be a truly integrated digital services provider with a very clear objective of driving higher digital engagement with our consumers and driving monetization through specific streams or by participating in select digital categories. Our stated strategy around this has been to build this through strategic partnerships and bring out most of these offerings on the Vi App.

We offer our own OTT platform, Vi Movies & TV, accessible across all major operating systems on smartphones, Smart TVs, laptops, PCs, and tablets. The platform provides access to content from 17 leading OTT services through a range of subscription options for both prepaid and postpaid users. Over the past year, Vi Movies & TV has seen strong growth in adoption and content consumption. We re main focused on scaling the platform further, with a strong pipeline of new OTT partnerships and enhanced product features planned to enrich the user experience.
As you would know, Vi App is a multi -utility app that offers not just end to end telco account management, but also allows consumers to play over 100 Games, participate in eSports tournaments, pay utility bills, shop across categories like entertainment, food, shopping and travel, or buy almost any OTT subscription, watch over 350 TV channels, and more. I urge you to experience the new Vi App and share your feedback.

It is our constant endeavor to elevate the experience that our app offers to our consumers. We recently enabled the Vi app to be used for a recharge by all prepaid users even when their daily data limit gets over to ensure they can recharge without delay when needed. We have also enabled UPI autopay for all our prepaid subscribers to make it convenient so that their services are not disrupted in case they miss their e

xpiry date. Our subs cribers continue to appreciate these
initiatives. Growing engagement on Vi app is showing in the consistently improving Vi app ratings on Playstore.
I would like to reiterate that we will continue to have a sharp and disproportionate focus to build

a digi tal ecosystem with our partners, enabling a differentiated experience for Vi users. This will help us deliver enhanced customer value as well as provide incremental monetization opportunities.
Moving on to capex deployment plans
With the current planned capex, the 4G population coverage will increase to ~84% and 5G will be launched in all 17 circles, where we have 5G spectrum. We remain actively engaged with our lenders for tying up debt funding towards the execution of our long t erm network expansion plan. The recent conversion of spectrum auction dues into equity has supported these discussions to move forward.
With that, I handover to Murthy who will share the financial highlights for the quarter.
Murthy GVAS: Thank you, Akshay a. A warm welcome to each of you.
The revenues for the quarter and for FY 25 were Rs. 110.1 billion and Rs. 435.7 billion respectively, growing by 3.8% on a Q4 YoY basis and by 2.2% on an annual basis. Also, this is the highest daily average revenue in th e last 5 years.
The EBITDA excluding IndAS116 for the quarter and for the financial year was Rs. 23.2 billion and Rs. 92 billion respectively. The improvement in FY 25 EBITDA excluding IND AS 116 over FY 24 was 9.5%. The reported EBITDA including INDAS 1 16 effects for the quarter was Rs. 46.6 billion. For FY 25, the reported EBITDA was Rs.181.3 billion as compared to Rs. 171. 1 billion in FY 24, an improvement of Rs.10.2 billion.
Further, Depreciation & Amortisation expenses and Net Finance costs for th e quarter were Rs. 55.7 billion and Rs. 62.6 billion respectively. Excluding the impact of Ind AS116, the Depreciation & Amortisation expenses and Net Finance costs for the quarter were Rs. 40.7 billion and Rs. 52.7 billion respectively.

The finance cost f or the quarter has increased in comparison to last quarter mainly due to forex loss during this quarter and the reversal benefit of vendor related interest in last quarter.
For FY 25, the PAT loss stood at Rs. 273.8 billion, lower by Rs.38.5 billion over FY 24.
Pursuant to the conversion of dues into equity by the Government of India, the Company has derecognised an amount of ■369.5 billion from its Deferred Payment Obligation towards spectrum. This amount has been reclassified and disclosed as ‘Share Appl ication Money Pending Allotment’ under Other Equity as at March 31, 2025.
The debt from banks reduced from Rs. 40.4 billion in Mar’24 to Rs. 23.3 billion in Mar’25. The cash and bank balance as of March 31, 2025 stands at Rs. 99.3 billion.
With all the po sitive development during last year, there was an upgrade in credit ratings assigned to long -term and short -term bank facilities of the Company. These upgrades will support our ongoing discussions on debt funding.
With this, I hand over the call back to D orwin and open the floor for questions.
Moderator: Thank you very much. We have the first question from the line of Sanjesh Jain from ICICI Securities. Please go ahead.
Sanjesh Jain: First, on the 4G net add, it's been more than 4 months, 5 months. We have not seen material uptick in 4G. When should the benefit of this network expansion should start visible in terms of 4G addition accelerating? That's my first question.
Akshaya Moondra: Sanjesh, thanks for the question. 4G net adds that we had in the last q uarter was a nominal increase. This quarter, we've added about 0.4 million 4G subscribers. Generally, the 4G subscriber trajectory would also change in line with our overall subscriber trajectory. Also, when I talk about 4G, it includes 5G also, and the pr oportion of

5G devices on our network is also
growing constantly.
As we roll out our 5G network across different circles, that would also enable us in getting more smartphones onto our network. These are the things which are trending in the right direction , especially the subscriber metrics where we have seen a significant reduction in the subscriber loss compared to last quarter and an improvement in the 4G subscriber additions. I would say that with the continuing investment and launch of 5G, we should se e a further improvement going forward.

Sanjesh Jain: Very clear. So how has the experience of earlier 5G launches in a few locations where we have done? Have we seen the trend showing that at least early signs of that?
Akshaya Moondra: Yes, yes. In all the 4 cities , I mean, 2 circles and 2 cities , where we have

launched 5G, the uptake has been very good. Traffic has quickly started moving to 5G, wherever people have 5G devices. One thing I have been very happy about is that Mumbai, Delhi and also Chandigarh and Patna post the launch, we've not had any complaints with reference to 5G, really speaking.

Sometimes when you roll out a new technology for the first time, you'll find lot of complaints. In fact, there's been a lot of positive feedback, and we've not had anything in terms of complaints, which is technology related. Of course, complaints can come when a customer doesn't have a satisfactory experience. But I would say the launch of 5G and the uptake of 5G, wherever we have launched has been very good.

While 5G is giving a good experience, it is also releasing capacity on the 4G networks wherever it is being implemented, and that is also improving the experience on the 4G itself. So , it's been good in all ways.

Sanjesh Jain: Any 5G subscriber number which you can share? I know it's very small right now, but any 4G penetration, 5G subscriber number we can share?

Akshaya Moondra: I can tell you that in in all these four cities, the number of 5G subscribers who are using 5G as a percentage of people who have 5G devices is north of 60%. This means most people who have 5G devices have started using, although our rollout has been just 1.5 months -- or 2.5 months for Mumbai and other cities has been all less than a month. So , the uptake, given the time period whic h has elapsed , has been very good. And along with the number of users, a large quantum of traffic on these sites has shifted to 5G.

Sanjesh Jain: That's very helpful. And 5G, how tariff is, right? It starts with 2 GB per day plan or we start with 1.5 GB?

Akshaya Moondra: We start at the INR299 plan -- and that is our introductory offer, as we had mentioned. Ultimately, we would also kind of look at addressing that. But since we have just launched 5G, it is the initial phase. So , we've kept it attractive at INR299.

Sanjesh Jain: Very clear. Actually, on the capex side, we did around INR9,500 crores of capex for FY '25. How should we see FY '26 capex? And you did mention in an earlier remark that we are looking at a total site of 220 -225 k that we should be able to achieve in FY '26?

Akshaya Moondra: Currently, we have got capex under implementation in the ballpark of about INR5,000 crores to INR6,000 crores. A large part of it would be implemented in the current quarter and some of it may spill over to the next quarter.

In terms of our next round of capex, we have to kind of decide and firm up our plans. It also has some dependence on the funding. So , when we come to the next quarter, we will be able to provide some guidance there. But at l east for this quarter and coming quarter, we are on track for kind of incurring a capex of roughly around INR6,000 crores.

Sanjesh Jain: That's very clear. And anything on the fund raise? Any time line we have thought, any instrument,

which is in our mind, anything which has firmed up?

Akshaya Moondra: No, nothing is closed as yet. What I can tell you is that you would have seen that along with the quarterly results, we have also taken an enabling approval, which we do every year for fundraising. So , our pr imary source of fundraising remains bank borrowing, which we are working on. The conversion of the government dues to equity along with the upgrade in the credit rating, those are facilitating factors for us to take those discussions forward.

Post the conv ersion, the engagement has started again seriously. Since we don't want that everything has to come through bank funding, we have also taken an enabling approval because for items other than bank funding and NCDs, you need an enabling approval of sharehold ers. We are exploring some other possibilities in terms of instruments but the main focus remains on securing the bank funding.

Moderator: Our next question comes from the line of Vivekanand Subbaraman from Ambit Capital.

Vivekanand Subbaraman: So my first question is on the engagement with the government. So you and one other player have been talking about changing the way customers are charged from current 1 GB quasi unlimited packages on a daily basis to usage -linked pricing. Now I just want to understand, is there any engagement that you are having with the government to help you arrive at this because we've been hearing about this from the industry for quite a long time and no progress has been made despite three tariff hikes happening over the last 6 years. So is there anything that you feel that the government needs to do for you to move to that path of linking the tariffs to usage? That is one. Second, on the government front itself, DIPAM now has 49% shareholding. Are they interested or is t here any conversation for them to join your Board? That's on the government's front.

And the next question is on the settlement asset. Now your notes to accounts, Note number five mentions that you have postponed the receipt of the settlement asset to Sept ember 2025. Now given that your capex depends on funding, I just want to understand why you chose to postpone it instead of get Vodafone PLC to clear this settlement amount on 30th June?
Akshaya Moondra: Thanks, Vivek. Let me answer your three questions.
Your first question was on tariff and our commentary on the change in the tariff structure. This has nothing to do with the government. This is to be decided by industry as to how do they want to take it forward. You are right that while this discussion ha s been happening or this commentary has been happening for some time, we have not seen this converting to reality. I guess this requires a certain action. Somebody needs to take the lead and others need to also follow. But ultimately, it is not for any sin gle player to be able to make this change. It's an industry thing, which inherent in our commentary is that for the tariffs to increase . We believe that the entry -level tariffs are at a decent level. They do not have room to increase very much because we h ave a large population who are just using it to having some minimum connectivity. And as I keep on saying that we have moved from an era of zero ARPU to about INR 5,000 ARPU to now between -- for a single person if he wants to use for the full month, INR20 0 to, you can meet all your needs at about INR600. So that has contracted and which is fundamentally that the incremental usage comes at a very low price, which is not the case. So, industry will have to find a solution to this. I don't have any concrete p oints at this point of time. But we do believe that that's the only way the ARPUs can go up. You cannot increase the price uniformly across board now. It has to be incremental usage, incremental payment. Of course, it has to be telescopic by nature. Your p er uni

t of consumption will be cheaper if you are consuming more as happens in any kind of service or commodity that you may be selling. So that answers your first question.
On the second point, you said that the government is 49% shareholder, which is rig ht. I don't think there is any intent to take up any board seat. Let me just describe it like this, that this is shareholding of the government not with an intent to have the shareholding, but this shareholding is a consequence of their trying to provide s upport in reducing our dues. Their intent is not to have this holding and the intent is not to have any board seat. Based on the best of my understanding and comment which has also been there from the government themselves is that they have no intent of ta king any role in the management of the company.
The third question is relating to settlement assets. We have clarified earlier also that the recovery of settlement assets is dependent on the payment by the company of the AGR dues. So really speaking, the earlier arrangement was that these had to be paid by June '25 for this to be effective.

So, the settlement asset is not receivable unless we ourselves pay the AGR dues. Having said that, we are in discussion with Vodafone Group to see what is the best way to make this arrangement workable. While we are under discussion, we have extended the date from June to September so that there is no strict deadline and we can continue with our discussions.
Vivekanand Subbaraman: Okay. I have a couple of follow -ups. Now you have accelerated the capex as far as population coverage and 5G expansion is concerned. So the 4G population coverage target that you had outlined, say, by March 2026, right, 1.2 billion, are you still on course for that? And I believe Sanjesh was ask ing you that question with respect to the tower count and network presence. Is that target still on track? Or is that getting postponed due to the fundraising, the current discussions ongoing on fundraising?
Akshaya Moondra: The capex, which is already und er execution, we should be reaching a level of 84% of population coverage, 1.2 billion roughly translates to 90% of 4G population coverage. I believe we will move up to 84%, but to get to 90%, it has got linkage with bank funding. But Vivek, let me just te ll you one thing that it is not only that we have increased the population coverage, we've also rolled out a lot of infill sites.
So what we are rolling out is a mix of coverage expansion and infill sites to improve the experience of the customers. Now I w ould say that compared to where we were a year ago, today, we've come to a point that wherever we had congestion in our network, that has been completely addressed. So wherever our customers were, while we were providing a good experience earlier also, but what has changed is that there were pockets where there was congestion where we could not invest earlier, we've addressed all that.
Population coverage has also grown significantly. And a large part of the areas which we wanted to cover are covered. And o f course, 5G is also being rolled out. I would say that while getting from

84% to 90% is important, and we have to continue with our capex plans but we have come to a point where our overall offering , with the completion of this 5G in the remaining circles , is competitive in the market, and we can continue to invest more.
But the challenges which we had earlier where we were not able to address some of the customer experience issues, they have been fully addressed. Now it's a question of getting to further population coverage, which, as I said, there's some linkage to funding, which we'll continue to work on.
Moderator: The next question is from the line of Saurabh Handa from Citigroup.

Saurabh Handa: I had two questions. F

irstly, on the AGR issue. Now follo wing this dismissal of
the latest review petition, our understanding, at least as per media reports is that the Supreme Court did observe that if you do seek any relief from the government, then they won't come in the way. Could you give some more clarity or thoughts on this?
Is our understanding correct based on the press reports? And in your view, if the government does look to provide any further relief, do they -- can they just go ahead? Or do they need any specific clarity from the courts?
Akshaya Moondra: Saurabh, thanks for your question. Given the sensitivities around the court proceedings, I'm not allowed to comment on what was said. But what media has reported is a factual reporting of what happened in the court. There are, of course, transcrip ts and recordings available of the court proceeding. So I believe what media has reported is a correct reflection of what happened in the court.
As far as the government relief is concerned, we are engaged with the government. Whether or what the governmen t will do, I cannot comment on behalf of the government. But definitely, post the judgment, we continue with our engagement with the government to find a solution to the AGR matter.
Saurabh Handa: Okay. So I mean, is it fair to say that in your view, the g overnment can proceed now without it I mean, the general view was that beyond what is there in the relief package, if the government were to do something, then it could be against the previous court verdict. But does this now appear that it could pave the way for the government to go ahead? I mean, your view, I know what the government eventually does is in their hands. But is that your understanding?
Akshaya Moondra: Yes, our view is that the government can do. And in fact, just to put things in perspectiv e, even when the reforms package was announced in 2021, there was some PIL, which was filed in the Supreme Court. And that time the Supreme Court in their final order, they had stated to the effect that this is a policy matter, which is within the purview of the government, and they would not interfere in it.
In some ways, if you look at the reforms package of September 2021, government had taken the initiative. And I see no reason why the government should be constrained in any way to offer relief, which i t decides to do.
Saurabh Handa: Okay. That's very clear. And the second question was on the debt funding now despite the spectrum conversion to equity and also these credit rating upgrades, clearly, I guess, I know you started reengaging with banks, but th e debt ra ising isn't going through. So is it fair to

assume that it's again dependent on AGR. They're still seeking relief or clarity on AGR, even though the rating agencies seem to be okay giving you investment grade?
Akshaya Moondra: What the rating agen cy has done is somewhat different. One is that after the conversion, we have started reengaging with the banks. There are some activities which we have to finish, which are currently in progress. We will get to again a point of discussion with the banks somewhere in this month on some of the prerequisites in terms of those actions and activities are completed.
Generally, our discussions, part discussions with the banks showed that they needed some more clarity on AGR. Conversion, of course, has been a big s tep forward. So , I would say that the banks would want some clarity on the AGR dues. While that is happening, it is not preventing the discussions to go forward. Discussions are still continuing.
Saurabh Handa: Okay. And just my last question, just to clarify, the AGR outstanding right now is around -- is that INR703 billion because there were some different numbers which have been floating around, and I think you aren't mentioning this in your press release anymore.
Murthy GVAS: So Saurabh, the

figures , including accrued interest on 31st March is about INR760
billion.
Saurabh Handa: 7-6-0?
Akshaya Moondra: It's simply last year's figure, plus 8% interest. That's the only change.
Moderator: The next question is from the line of Gaurav Malhotra from Axis.
Gaurav Malhotra: Just a few questions. So Akshaya, you mentioned the 224,000 site number. So that was a number which was there, if I'm not incorrect in the QIP document, SPA document also, and you are at 184. So that 184 journey to 224 is premised on the bank debt funding as well. Is my understanding correct?
Akshaya Moondra: Our unique towers are already at 1,95,000. And of course, some of these are getting converted from not being broadband to broadband. So when we say a figure of about 220,000, that is a figure of the total number of sites. Of course, in the end result, everything will be a 4G site. So there will be no difference between the unique sites and the 4G broadband sites. Currently, there is some gap there. So ultimately, our target is to get t o about 220,000 sites. In terms of that being dependent on bank funding, as I said, with our current capex in progress, we

should get to 84% population coverage. With some more capex during the year independent of funding, we could still get to around 85%, 86%.
But to get to the entire target of 220,000, that would be requiring bank funding for sure. And just to be clear, 220,000 was an end target. It need not necessarily have been done in 2 years. It was a little dynamic. It could have been done in 2 years , 2.5 years also. So that was where we said that whatever we had planned for a 3 -year capex, of course, coverage was a priority, but it could have happened anywhere between 2 to 3 years' time frame.
Gaurav Malhotra: Understood. The next question is on your network opex. Obviously, your capex has moved up quite sharply. The sites have moved up, but your network opex has essentially remained flattish in the last 2, 3 quarters. So how should we sort of think about that?
Akshaya Moondra: Let me just give you an overall holistic view and then Murthy can add if required. While some costs are going up , we are very focused on managing our costs in a better manner. So what you are saying and ultimately, that is reflected that the costs are not going up as our costs are being maintained and they are not going up as much as they should by rolling out of new sites. So we have taken a number of actions.
Some of these, I ca n qualitatively tell you is that negotiation of rentals has been done over the year where they were very high. Biggest saving is coming from energy cost optimization. A lot of initiatives have been taken that we can operate on a lesser energy cost. Of cour se, just to be clear, if you look at on a year -on-year basis, it is comparable. But on a quarter -on-quarter basis, Q4 is the best energy cost quarter. So quarter -on-quarter comparison. But year -on-year also, we've had significant savings in energy cost.
Then there have been activities and initiatives like we have in -sourced fiber management and also managed services for some of the radio networks that we had. And I can tell you, particularly on fiber, it was a major, major activity whereby we in -sourced eve rything. We also had our concerns. But the end result has been good on both directions. Firstly, we have actually been able to reduce cost. But more importantly, the incidents that we used to have when the fiber was being managed through outsourcing was qu ite bad, and we've been able to reduce what we call as P1 incidents compared to when it was outsourced by 75%. A significant improvement has been done both on the cost front and also operationally, we are much better off with the in -sourcing. So that was o ne area.
And the last area to be highlighted is that IT cost, we were continuing with many legacy contra

cts.
We have revisited them. And in the last year, IT costs have also come down and probably the

benefit of some of that IT cost contracts which have be en renegotiated in the second half of the year would also spill over and give a higher benefit in the coming year.
In general, we have a strong focus on managing the cost. And while new rollouts are resulting in newer costs, we are trying to see how we can best manage the existing cost. Murthy, you want to add something?
Murthy GVAS: Yes. So Gaurav, network costs, as you would know, do not include rentals because rentals are accounted for below the EBITDA. From that perspective, since most of the rollout ha s happened largely in the last quarter, 1.5 quarters, hence, next year would have some impact on the rollout on an annualized basis. But at the same time, as Akshaya said, our focus would be to

reign in cost as much as possible.
Moderator: Our next questio n is from the line of Rishab from HSBC.
Rishabh: Firstly, a clarification on the discussion on Vodafone Group recoverables. So on the settlement, is it dependent on the payment of entire AGR dues or part of AGR dues payment will also help us to the settlem ent with Vodafone Group?
Akshaya Moondra: That is a very limited part of the overall AGR dues, which we have to pay to be able to claim that amount, not the entire AGR dues.
Rishabh: And secondly, on the launch of Nonstop Hero plan, what is the key strategy here as it offers unlimited data? And how does it help to boost ARPU?
Akshaya Moondra: Let me put it a little holistically . Nonstop Hero is a part of our strategy. As you are aware that we had been losing a number of subscribers over a fairly long period of time because we had not made investments. As we have made investments, our offering has become very competitive.
And as I said, we're also launching 5G now, where we will have a very, very competitive offering in the market. Now to leverage that , we have created a lot of capacity in the process. And the subscriber metrics is improving, but let's say, we need to have an improvement, which is faster than what we have seen until now.
To do that, as anybody needs to do that if you have had a signific ant loss of subscribers over a longer period of time, we need to have attractive propositions for our customers so as to get them back be able to experience our network, which they've not experienced for a long period of time.

And I'm sure that once they e xperience that with some incentives for getting them back to network, they will then continue to stay.
So right now, now there are products which are meant for ARPU upgrade, and we have seen that both with Superhero and Nonstop Hero. Some nonstop Heroes ea rlier were at a price point of INR365. Very recently, we have in the stronger circles also launched a Nonstop Hero at INR398.
In overall terms, we are currently focused on letting more and more subscribers experience our much improved and competitive network. And once we make some progress, ultimately, we would be having pricing, which is more in line with the market. But these are interventions and initiatives meant to get our subscriber base moving in the right direction.
Moderator: The next question comes from the line of Prashant P. R. from Jana Small Finance.
Prashant P. R.: So yes, my question is regarding the brand recognition that the company is going -- the advertisements that the company is doing. So I was just wondering whether there are any chances of we going back to the old ZooZoo ads or the PUB -G ads that we had. So because India, I believe, is a market where there is a lot of value which comes -- when it comes to nostalgia, right? So we have seen the releases of old movies, which were sup er hits -- which actually connects with the masses. So the curre

nt brand management of the company, the current advertisements that
the company is coming up with. So I'm not sure whether it is connecting with the masses, right? So if we -- can we just go b ack to the previous heads, say, run those campaigns, ask people to come back to Vi, just touch the nostalgia of the people. So is there any thought that is going in that direction for the company to connect with the masses? So that's my question.
Akshaya M oondra: Prashant, this is a complicated subject. I'm not an expert on the matter, but what I'm told is that old movies and reconnecting with the old brand while you are trying -- where you have established a new brand are two different things. However, I'v e heard you, I'll pass on your suggestions to our brand experts and let them give a thought to this.
Moderator: Ladies and gentlemen, due to time constraints, that will be the last question. I'll now hand the conference back over to Mr. Akshaya Moondra for closing comments.
Akshaya Moondra: Thank you, Dorwin. Friends as discussed during the call, our initial investments have led to improved coverage and enhanced customer experience, resulting in significant reduction in subscriber loss. 5G launch is underwa y in key geographies. With our intensifying investments, we are confident of improving subscriber metrics going forward.

FY '26 is going to be an important year for VIL and the company has taken critical steps towards the transformation journey. During the past year, the company has raised equity of INR614 billion, including FPO of INR180 billion, preferential issue of INR40 billion to promoters, around INR25 billion to vendors, Nokia and Ericsson and finally, INR369 billion to the Government of India.

The government has also shown their support to the industry by waiving the BG requirement for the past spectrum auctions. We are working towards tying up debt funding for the execution of our long -term network expansion plans. And as I mentioned that as we hav e made the investments, we are also taking various actions to make our offering and proposition more attractive to our customers and prospective customers. With this, I would like to thank you for joining this call. Have a good day.
Moderator: Thank you. O n behalf of Vodafone Idea Limited, that concludes this conference. Thank you all for joining us. You may now disconnect your lines.

Call: Sep 2025

25 August 2025

National Stock Exchange of India Limited
“Exchange Plaza”,
Bandra - Kurla Complex,
Bandra (E),
Mumbai – 400 051 BSE Limited
Phiroze Jeejeebhoy Towers,
Dalal Street,
Mumbai – 400 001

Sub: Disclosure under Regulation 30 of SEBI (Listing Obligatio ns and Disclosure Requirements) Regulations, 2015 - Transcript of Analyst / Investors Call

Ref: “Vodafone Idea Limited” (IDEA / 532822)

Dear Sir/Madam,

In terms of Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, please find enclosed transcript of the Analyst / Investors Call held on Monday,18 August 2025 relating to the Company’s performance for the first quarter ended 30 June 2025 .

The same is uploaded on Company’s Website: www.myvi.in .

The above is for your information and dissemination to the members.

Thanking you,

Yours truly,

For Vodafone Idea Limited

Pankaj Kapdeo
Company Secretary

Encl: As above

Vodafone Idea Limited
Q1 FY’26 Earnings Conference Call

August 18, 2025

Moderator : Ladies and gentlemen, good day, and welcome to Vodafone Idea Limited Q1 FY '26 Earnings Conference Call.
As a reminder, all participants’ lines will be in the listen -only mode and there will be an

opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an ope rator by pressing '*' then '0' on your touchtone phone. Please note that this conference is being recorded.
I now hand the conference over to Mr. Akshaya Moondra – CEO of Vodafone Idea. Thank you, and over to you, Mr. Moondra.
Akshaya Moondra Thank you, Re nju.
A warm welcome to all participants to this earnings call. Last week, our Board of Directors adopted the unaudited results for the quarter ending June 30, 2025. All the results related documents are available on our website and I hope you had a chance to go through the same. Let me provide key highlights for the quarter, progress on our investments and its positive impact along with the update on our key strategic initiatives.
Before I move on to company specific performance, let me share some thoughts on I ndian telecom market and growth opportunities.
1st July marks 10 years of the Digital India mission —a decade of transformative growth and empowerment. The aim was simple, to use technology to make life easier for every Indian. India's journey under the Dig ital India mission has been significantly fueled by the telecom sector, which has laid the foundational digital infrastructure across the length and breadth of the country. As a telecom company, we have a first -hand view of how widespread wireless broadban d coverage has empowered millions —bringing seamless internet access to remote villages, enabling e - governance, and enhancing digital literacy. Additionally, robust spectrum investments, expanding fiber connectivity and other factors have together transform ed India into one of the world's largest and fastest -growing digital economies. According to the State of India's Digital Economy Report 2024, released by ICRIER, India now ranks third in the world for digitalisation of the economy. By 2030, India's digita l economy is projected to contribute nearly one -fifth of the country's overall economy.

The telecom industry is not only connecting people but also serving as a backbone for national priorities like digital health, online education, fintech inclusion, and smart governance. From farmers using mobile apps to get crop updates to students in Tier 3 towns attending virtual classrooms, telecom -led broadband access is powering an inclusive digital and societal transformation.
With collaborative policy frameworks a nd sustained innovation, the telecom industry stands as a critical enabler of Digital India —ensuring every citizen, business, and institution can participate in and benefit from the country's digital revolution. The Digital India story is, at its core, a s tory of connectivity —and we're proud to be the backbone that supports this national mission.
Let me now talk about our strategic initiatives.
Our first strategic initiative is our focused investment approach
I am glad to inform that post launch of 5G ser vices in Mumbai in Mar'25, this quarter has witnessed expansion of our 5G services. Our 5G services are now available in 22 cities across 13 circles. Further expansion to additional key cities across all our 17 priority circles is planned by September 202 5.
We continue to invest towards expanding our high -speed broadband network's coverage and capacity by adding new 4G sites, upgrading our core and transmission network. In Q1FY26, we invested Rs. 24.4 billion capex. We added over 4,800 new unique 4G tower s during the quarter, reinforcing our focus to deliver superior connectivity. Parallelly, our network densificat

ion efforts
have also yielded results with a ratio of 2.7x 4G sites per 4G location as of June, 2025 – highest since merger and improved from 2. 3x 4G sites per 4G location as of March, 2024. We increased our 4G population coverage by ~7% to ~84% as of June, 2025 compared to ~77% as of March, 2024. During the same period, our 4G data capacity expanded by ~36%, driving a ~24% improvement in 4G speed s. As of June, 2025, Vi's total broadband site count stood at ~516,200. Additionally, we have also deployed ~13,100 Massive MIMO sites and more than 12,300 small cells.
With these initial investments which have resulted in increased coverage and capacity, and as a result offering better customer experience, the subscriber decline was restricted to 0.5 million

during the quarter i.e. ~90% lower compared to ~5 million each in Q2 and Q3 of last financial year, marking our strongest performance since merger. We are confident that these trends will improve further as the investment continues. Further, the progressive launch of 5G services will further support the subscriber traction. This capex and network expansion will enable the

company to participate in the i ndustry growth.
With a goal to bridge the digital divide in remote rural and underserved regions, we announced a strategic collaboration with AST SpaceMobile to deliver satellite -based mobile broadband to all smartphones. This partnership will enable us to extend our coverage reach in conjunction with AST's space -based cellular system, delivering seamless voice and data access without the need for separate specialised devices.
Moving on to market initiatives
Our commitment is steadfast in providing more t han merely seamless connectivity; we are focused on enriching the digital lifestyles of our consumers through experiences that go further than the usual voice and data services.
Our portfolio of digital -first offerings for prepaid users gained momentum, w ith the Non -Stop Hero Plan offering Unlimited Data 24x7 now active pan India. You would recall that, we had Vi Guarantee Program for 4G and 5G subscribers which provides 130 GB of additional data over the year, with 10 GB delivered every 28 days for 13 cyc les. During the quarter, we expanded it to unlimited voice users through 24 days of extra validity distributed over 12 months, with 2 -day extra validity credited on every unlimited voice recharge @ Rs.199.
With these propositions, Vi won an award for 'Be st Use of Influencers on Instagram' at Afaqs for the promotion of Vi Data Guarantee and Superhero and Nonstop Hero products.
For postpaid customers, catering to the growing demand for best -in-class OTT experience, we have added a Netflix subscription as a fixed recurring benefit to Vi Max Family Plan. Priced at just Rs 871, the Vi Max Family Plan includes two connections, a primary and a secondary. In this plan, Vi offers the highest data quota in the industry with a massive 120GB monthly data pool shared between the two members. This is the industry's largest data offering, in this price range.

Further, Vi is the only operator that offers Unlimited Night Data and Data Rollover up to 400GB, ensuring a worry free data experience.
On the back of these plans, the data traffic has grown by 10.4% YoY at overall level and 11.2% at per 4G subscriber level. The Consumer ARPU has shown a YoY increase of 14.9% reaching Rs. 177. The number of 4G subscribers has also reached 127.4 mn during the quarter.
We have been w orking on constantly improving our International Roaming Pack attractiveness for the end -consumer. Our roaming packs are now available in 144 countries worldwide vs 129 earlier. I am very pleased to share that we are the only operator offering truly unlimi ted data and calls, and with 11 countries added to this category the total count wit

h unlimited data and calls
has increased to 40. To further enrich the travel experience, we have partnered with Blue Ribbon Bags, a US -based lost baggage concierge service, to offer baggage protection for our postpaid international roaming customers. This initiative aims to enhance the international travel experience by addressing key concerns and providing a comprehensive and worry -free international travel experience for V i customers.
At Vi, we're leveraging advanced AI and ML models to proactively detect spam and fraud patterns, safeguarding our customers and ensuring a safer calling experience for them. From Jan - June this year, our AI engine flagged over 450 Mn SMSes as spam, protecting users before any harm could reach them.
In an industry first, we have become the first operator to launch a feature that displays the country of origin for incoming international calls. This feature further enhances our users' safety by empowering them to make informed choices before accepting c alls. This is also a protection against cyber frauds which are on the rise.
Vi's creative excellence has also earned industry recognition. Vi's Number Rakshak campaign aimed at re -uniting pilgrims with their loved ones during the Mahakumbh, 2025, won the prestigious Cannes Lions for the Cultural Engagement.
Moving on to Business services
Our ability to serve the enterprise sector is founded on strong, reliable relationships with our clients and the extensive resources of the Vodafone Group. We are transit ioning from a

conventional telecom provider to a comprehensive Techco, broadening our scope beyond connectivity to deliver sophisticated solutions like hybrid SD -WAN, SIP, IoT, IIoT, and cloud services. We are committed to maintaining this momentum by dive rsifying our offerings and partnering with strategic allies, ensuring that our services are not only highly relevant but also prepared for the future and impactful for our enterprise clients.
One of the major highlights this quarter is the launch of Vi Bus iness CCaaS, our AI -powered, cloud -

based contact centre as a service. Designed to unify customer interactions across channels, Vi Business CCaaS brings intelligence and scalability to customer engagement —enabling businesses to deliver consistent and smart conversations in real -time. Our partnerships with Genesys and Startele underscore our commitment to best -in-class technology.
In cloud and collaboration, the rollout of Google Workspace with Professional Services strengthens our proposition for modern work place solutions. While Google Workspace provides tools like Gmail, Drive, Docs, and Meet, our Professional Services ensure smooth deployment, data migration, user adoption, and post -deployment support. This holistic offering enables enterprises to fully ca pitalize on their cloud journey and enhance ROI from their collaboration suite.
We also advanced our capabilities in enterprise networking through a strategic managed services agreement with Hewlett Packard Enterprise. This collaboration enhances our abili ty to deliver comprehensive managed WLAN and security solutions, positioning us strongly to support digital - first enterprises across varied environments.
Our IoT business witnessed landmark progress. We secured a 10 -year contract with Genus Power Infrastru cture Ltd for 5 million smart meters —India's largest smart metering win. This is a strong endorsement of our execution capability in critical infrastructure projects. We also enhanced our ESIM strategy through a partnership with Airtel, enabling dual SIM f unctionality to support resilient, future -ready enterprise deployments. Additionally, our new Device Management System will enable real -time control and lifecycle management across IoT assets, boosting operational efficiency for our clients.
On the MSME da y 27th June, 2025, we launched the 4th editio

n of 'MSME Ready for Next 2025'.
This is India's largest digital advisory platform for MSMEs. We also released the MSME Growth Insights Study 2025 which revealed that 76% of small businesses plan to increase inv estments in

cybersecurity, along with growing interest in cloud, automation, and digital payment solutions. These efforts reinforce our long -standing commitment to empowering India's MSMEs through digital enablement.
The Company's leadership in the B2B dom ain was acknowledged with honors at the ET Trendies Awards and e4m Digital Influencer Awards, recognizing its outstanding impact in the MSME and enterprise segments.
We remain committed to accelerating innovation, delivering exceptional value to our custo mers, and driving growth across the enterprise ecosystem.
The next strategic initiative is driving partnerships and enhancing digital revenue streams
As emphasized in the earlier calls, our aspiration is to become a fully integrated digital services provider with a distinct goal of enhancing digital engagement with consumers and generating revenue through targeted streams. Our articulated strategy regarding this initiative has been to achieve it through strategic partnerships and to offer the majority of these services via the Vi App.
Our own OTT platform - Vi Movies & TV, is accessible across all major operating systems on smartphones, Smart TVs, laptops, PCs, and tablets. Vi Movies & TV offers access to 20+ OTTs through various subscription options t o our prepaid & postpaid users. The OTTs available on Vi Movies & TV include Zee5, JioHotstar, SonyLiv, Lionsgate, Fancode, SunNxt, Chaupal, Malayalam Manorama, Nammaflix, Playflix & more, and over 350 Live TV channels. We have recently also introduced Ama zon MX Player with Vi Movies & TV to bring to our consumers the wide range of content Amazon MX player has in its repertoire. The Vi Movies & TV plans are also bundled with loads of data for allowing our consumers to watch the content without worrying abou t their data getting over. Vi Movies & TV has grown well in terms of adoption and consumption in the last 15 months since its launch and, our focus is to continue to scale it, ingest more varied content and build distinct features to make it into a destina tion of choice for more & more consumers.
As you would know, apart from this, Vi App is a multi -utility app that offers not just end to end telco account management, but also allows consumers to play over 100 Games, participate in eSports tournaments, pay utility bills, shop across categories like entertainment, food, shopping and travel.

Our constant endeavor is to elevate the experience that the Vi App offers and I am happy to share that we have just rolled out 'Vi Finance' on Vi App where we are now off ering Personal Loans, Fixed Deposits and Credit Cards to our users. For loans, we have entered into a strategic partnership with Aditya Birla Capital. We have a roadmap to use their expertise & our customer intelligence to expand our offerings and offer un matched value to our consumers. Customers will also be able to make fixed deposits on Vi App – choosing from a range of options between banks

& NBFCs, and get very attractive interest rates on their savings. I urge you to experience the Vi App, particularl y the newly added Vi Finance, and share your feedback.
I would like to reiterate that we will continue to have a sharp and disproportionate focus to build a digital ecosystem with our partners, enabling a differentiated experience for Vi users. This will help us deliver enhanced customer value as well as provide incremental monetization opportunities.
Moving on to capex deployment plans
With Q1 capex, we have now expanded our 4G population coverage to ~84% and with the ongoing capex we p

lan to increase it further as well as expand the 5G coverage to all 17 circles. We remain actively engaged with our lenders for tying up debt funding towards the execution of our long - term network expansion plan. The recent conversion of spectrum auction dues into equity an d the credit rating upgrade have supported these discussions to move forward.
Before I conclude my remarks, on my final earnings call for Vodafone Idea, I would like to take a moment to sincerely thank all of you: our investors, analysts, and broader finan cial community. My first earnings call with all of you was in July, 2008 when I joined as the CFO at Idea Cellular. Post that I have had the pleasure of interacting with you on each of these quarterly calls, except one quarter in 2014 when I was away for m y course at Harvard. It has been a true privilege to lead this company and to share our journey with such a thoughtful and engaged group. Over the years, your insights, questions, and even your challenges have not only kept us sharp but have also played a meaningful role in shaping our strategic direction. I've learned a great deal from our interactions — from one -on-one meetings to these quarterly calls — and I deeply appreciate the trust, patience, and accountability you've brought to the table. I'm incre dibly proud of what we've accomplished as a team given the headwinds of last few years, and I leave confident in the strength of our leadership team, our strategy, and our commitment to delivering long -term value.

Talking about Abhijit, he has been the Chi ef Operating Officer of the Company since November 2021. In this role he has created a steady and focused impact on the business, and driven operational rigor. Prior to his current role, he was the Chief Enterprise Business Officer, where he strengthened t he B2B side of VIL's business. And in two prior stints, he led our critical markets of Gujarat and Kerala. Abhijit has had 3 decades of experience in telecom industry. Abhijit is also currently serving as the Chairperson of the Cellular Operators Associat ion of India (COAI) and the India Mobile Congress (IMC). I am sure Vodafone Idea will flourish under his able leadership.
Abhijit is here on this call with us. Let me handover to him for sharing his initial thoughts.
Abhijit Kishore : Good afternoon, everybody. I take this opportunity to thank Akshay a. Over the last 3 years, despite several challenges, Vodafone Idea has remained resilient, competed effectively and made significant progress under his leadership. My appointment in the new role as CEO of Vodafone Idea comes at an exciting time as VIL is on its turnaround journey. As we move forward, our focus remains on driving revenue growth through subscriber addition and effortless customer experience with intense market execution. I look forward to int eracting with the analysts and investor community going forward.
With that, I hand over to Murthy, who will share the financial highlights for the quarter.
Murthy GVAS : Thank you, Akshaya and Abhijit. A warm welcome to each of you.
The revenue for the quarter was Rs. 110.2 billion registering a growth of 4.9% on YoY basis. The cash EBITDA of Rs. 21.8 billion improved by 3.7% on YoY basis. The reported EBIDTA for the quarter was Rs. 46.1 billion as compared to Rs. 42 billion in Q1 FY25.
Depreciation & Amortisation expenses and Net Finance costs for the quarter were Rs. 54.7 billion and Rs. 57.5 billion respectively. Excluding the impact of IndAS116, the Depreciation & Amortisation expenses and Net Finance costs for the quarter were Rs. 39 .3 billion and Rs. 46.9 billion respectively.
During the previous quarter, pursuant to the conversion of Spectrum dues into Equity by the Government of India, the Company had derecognised an amount of ■369.5 billion from its Deferred Payment Obligation. Th e finance cost for the quarter vs

previous quarter has mainly reduced due to the above.

Capex spends for the quarter was Rs. 24.4 billion. The Company continues to invest in network and will accelerate broader capex plans of Rs. 500 –550 billion over thre e years that we have been mentioning previously once we tie up the bank debt. In this regard, we remain engaged with

lenders to secure debt financing. The debt from banks has further reduced to Rs. 19.3 billion as on June 30, 2025.
With this I hand over th e call back to Renju and open the floor for questions.
Moderator: Thank you. The first question comes from the line of Vivekanand S. with AMBIT Capital.
Vivekanand S. : I have 2 questions. The first one is on churn. So, it seems that your churn levels have moderated from the times that we saw the tariff hike , resulting in some subscribers migrating to BSNL. Have these customers returned to the network? And how should we think about churn here on , because you have now exp anded your population coverage for broadband to almost 84% ? So, I want you to just discuss the interplay between population coverage expansion and churn. And if possible, if you can provide some colour on the population coverage in your relevant 17 circles for 4G, that will be great. That's question 1.
The second question is on the Capex number. So cumulatively, since the FPO, you have done Capex of around INR 120 billion. And you are saying that you are on track to do the INR 500 billion to INR 550 billion Capex predicated on funding. But there seems to be some slippage in the Capex trajectory. So last quarter, you had said some Capex under implementation of INR 50 billion to INR 60 billion. And it seems that you have done much less than that Capex under im plementation. So, with the current balance sheet and visibility, how far will you go on Capex ? That's my second question.
Akshaya Moondra: Thanks, Vivek. Your first question is relating to churn and how do we see this going forward, and you had a specific question on BSNL. It is difficult to say whether the customers who had gone have come back . But definitely, the immediate fallout of the price increase where all operators saw a significant increase in loss of subscribers to BSNL has turned around. And if we look at the port -in, port -out data, which is available, that has been turning around, since January this year. So definitely, that is behind us as far as the current trends are concerned.

In terms of our own churn levels, they have been coming down continuously. Sometimes it is difficult to draw an exact correlation between population cover age and churn. But as you can see Q2 was impacted by price increase. But if you look at Q3 of last financial year, our subscriber loss was in the ballpark of 5 million, which reduced to 1.6 million in the previous quarter , and which has reduced to 0.5 million in the last reported quarter. As our population coverage has been increasing, we have seen a continuous improvement in the subscriber metrics .
I would say that some of the other interventions, which have still not played out completely are that while the 4G coverage was largely done, in the previous quarter, the 5G rollout has started from March '25, a few cities were rolle d out in Q1, but a large part of the new cities have been rolled out in June and July onwards. So that impact is still to reflect in the overall improvement in subscriber metrics.
As we continue to invest , these things take some time to register ., As you are aware, we have also come with several attractive pricing propositions, particularly the Non -Stop Hero, which is becoming quite popular. And in some of these circles, Non -Stop Hero has actually been launched in the current quarter, that is Q2. So that will have to play out.
So, with all these interventions in place

, we are quite confident that our subscriber metrics will
continue to improve and all factors of population coverage, 5G rollout, product interventions, better customer service, which is also a focus area. All these th ings combined together are letting the subscriber metrics move in the right direction, and that will continue.
If I have answered your first question, then I will move on to the second one.
Vivekanand S.: Yes. Just one follow -up here. So, you are saying that the churn is also due to your network not having 5G coverage. Did I get that correct? And you are now saying that with 5G rollout in more and more cities, churn will come down further. Is that a factor?
Akshaya Moondra: Yes. You see it's like this. As we have said in the past that generally speaking, we have not seen a difference in the trend of subscribers who are churning out between people who have 5G devices or not. However, once you start having a particular offering in our netwo rk, definitely, it creates a positive feedback or positive sense in the customers who are wanting to use 5G or who are particularly looking for 5G.

So, while we have said earlier that it did not have a significant impact on churn, as you make these investm ents, it gives you 2 benefits. One is, of course, people who want to use 5G technology who have 5G devices, they benefit from it, and it has been rolled out in most of the major cities in any

circle. Secondly, as we roll out 5G, it is also a means to create more capacity and particularly in congested areas, while bring ing in the 5G experience, it also improves the experience on 4G because that gets congested as traffic transfers to 5G.
It is difficult to pin down the churn performance to a single factor. And as I said, it's a combination of all 3 factors, majorly the population coverage, the availability of 5G, the pricing interventions. And of course, there's a lot of execution in the marketplace, which is there. We ourselves find differentials in our different markets.
And as we see more and more and we get into more details, sometimes these also turn out to be execution differences of what are we doing well in some areas, how can we replicate it in other areas. So, as I said, our investments are happening. We are moving in the right direction and the subscriber metrics will continue to improve.
Moving on to your second question about Capex . In the last quarter, we had indicated that we are looking at about INR 50 billion to INR 60 billion of Capex in H1. I had also mentioned that a large part of it should come in Q1. But the 5G rollout has taken a little while , and most of this will be done by this quarter. So that range of INR 50 billion to INR 60 billion, which we had indicated for H1, we should meet that target by September '25. So, we are in line with that target.
That is pretty much the Capex that we can incur out of new funding . As you are aware, currently, we also generate some positive cash from operations post servicing of debt. And we will have some capability to incur Capex beyond that. But the larger quantum of Capex , which is a part of our plan will require new funding to come, for which we have mentioned that we are engaged with the banks and also looking at some other sources of funding , so that we can maintain the continuity of our Capex .
However, I mus t add here that with whatever Capex we have incurred and what we will incur by end of September, we have got to a point where our 4G coverage is very competitive where we are present in terms of capacity utilization, experience, speeds, they are all very g ood. And 5G also

wherever we have rolled out, we have a very competitive offering in terms of speeds or performance.
So, while we look at a significant round of next Capex coming from new funding, it is very clear

that what we have already invested puts us in a much better competitive position, and we will continue to leverage that as we move forward.
Vivekanand S.: Okay. Akshaya, that's very helpful. As far as Capex is concerned, you are saying that the Capex that is coming out of fundraising in the FPO and other events last year, that will be done by September. And then beyond September, you will only spend what you are earning as cash EBITDA, so around INR 21 billi on or INR 22 billion per quarter. Is that the right way to infer your Capex trajectory?
Akshaya Moondra: Broadly, yes, there are other pluses and minuses. But yes, directionally, yes.
Vivekanand S.: Okay. Thank you.
Akshaya Moondra: Thanks, Vivek.
Moderator: Thank you. Our next question comes from the line of Sanjesh Jain with ICICI Securities. Please go ahead.
Sanjesh Jain: Hi. Good afternoon. Thanks Akshaya for taking the question. And b est of luck for your next journey, and I welcome Abhijit. So, my question first around the 5G subs. I know it's too early for us to call, but can you help us understand how much percentage of a customer in our coverage area have the 5G phone and how many of them have opted for the subscription? Because 5G is only beyond 2 GB per day plan. Can you help us with 5G?
Akshaya Moondra: So firstly, I will not be able to give you a number of 5G devices per se, but all that I can say is that since the launch of Mumbai in March '25, based on some data which is reported, we have actually seen an increase in our device market share as far as 5G is concern ed. One important point to be understood is that in the overall thing, once we have launched 5G, the 5G device share is increasing, and our device market share has increased on our network.

Number two is that we see that wherever we have launched 5G, we have seen 60% to 70% of subscribers who have got a 5G device actually adopting 5G and starting to use it. So that is the other thing. As we launch and about 2 months or a little plus -minus here and there , we get to the 60% to 70%. Of course, our effort is to see how do we get to that balance 35%, 30% to get to use 5G. But as you would know that some people are happy with 4G. 5G sometimes results in a higher battery dr ain. They don't want to use it. So sometimes it is also driven by the consumer choice.
The third point is we are offering this on INR 299 plan as an introductory offer, which is the 1.5 GB. So, it is not linked to the 2 GB plan. Our introductory offers on 5G with unlimited data or on

the INR 299 plan, which is 1.5 GB per day. Of course, in Mumbai, we have withdrawn that introductory offer. So, all these are meant to be introductory offers. When we find that the introductory offer has served its purpose, as we have withdrawn in Mumbai , ultimately, that's the plan for the remaining markets, but our introductory offer is at a price point of INR 299 with 1.5 GB per day.
Sanjesh Ja in: Clear. Second question.
Akshaya Moondra: Thanks for your good wishes. Sorry, I forgot to mention that.
Sanjesh Jain: Thank you. Second question on the subscriber again, though we have significantly restricted our total subscriber loss. But if I look at the 4G addition, which should have ideally resulted in a better 4G addition, there appears to be a lag between our total subscriber loss and the acceleration on 4G. How are we going to fix it? And what is causing this lag effect?
Akshaya Moondra: I would not describe it as a lag effect. If you see , after the price increase, we had lost 4G subscribers, which were otherwise increasing till then. In the last quarter, meaning Q4, we added about 0.4 million 4G subscribers. This quarter, we have add ed 1 million 4G subscribers , despite losing 0.5 million on an overall basis. So definitely, the 4G trends are better than the overall subscriber trends. They are moving better than

that, and they will continue to do
better than that.
But yes, post the pric e increase, there was a period of decline and from which over the last 2 quarters, we have seen a positive trend and an improving positive trend. So, I wouldn't call it that there's a lag or anything there.

Sanjesh Jain: No, because I think when we are losing 3 million, that is pre -tariff increase, we were still able to add 1 million customers, right? Now we are losing just 0.5 million, but our addition run rate remains still 1 million. I can understand the tariff increase and the consolidation impact had in the last few quarters. But I am just looking at the data before we got into the tariff increase, I think that trend should have accelerated, right?
Akshaya Moondra: Acceleration, you will have to see largely wi th reference to what have been the most recent trends. Whether when we were losing 3 million subscribers, the 4G was increasing by 1 million, I cannot specifically answer that question. We have to look at these as 2 independent trends, not necessarily correlated with each other. Most important is that are we adding 4G subscribers that trend is improving.
Sanjesh Jain: Got it. Got it. A follow -up again on the total subscriber base. So, we went from 183,000 sites to now 19 7,000. How has been the trend where we have added the capacity in the subscriber versus where we have not added to understand the benefit, where the network is coming, how is the growth panning out? Are we hitting the industry growth rate of 2% in the area s where we are now equal to the peers in terms of 4G coverage?
Akshaya Moondra: Generally, the answer to that question is yes. But as I mentioned a little while ago, when we look at our different markets, there are differentials in performances. There are markets where we have seen that as we have rolled out new sites, there is a rub -off effect on the existing network and sites. While the revenue is growing on the new sites, it is also growing equally well on the existing sites, which is what really should the result be all the time, and which is what our expectation is.
We hav e seen some markets where we are seeing that where we have rolled out new sites, we are seeing an improvement performance, but where we have not made investments in particular geographies within a market, those are not showing the kind of growth which some other markets are showing. So, we are currently at a point of time where we are getting into details of seeing what is happening in each market, taking corrective action.
And that is how as we look at , because ultimately, there's a significant investment which has been made. We monitor the result of that investment. The results may not be uniform across. Some places, the invested area and the areas where the existing sites, both are showing an equal

increase in metrics and revenues, which is what we want it to be, some markets or some geographies, part of markets, that is not true. And that is what we are constantly working to improve upon.
So that's the point I was making that we have const antly seen improving subscriber metrics. And as we look into these details and take actions in the marketplace, in terms of what do we need to do in terms of distribution, what do we do in terms of focusing on different areas where we find there is a gap , we are find ing constantly improving performances across.
So, with this round of Capex , 5G will make a significant difference. The recent pricing

interventions will make a significant difference. But along with that, we also have to see the differential performance in markets, take learnings from there , and then take action so that the collective benefit of investment in a market is felt across the market .
Sanjesh Jain: That's clear. Now touching upon the Capex , we

earlier mentioned that we a re
looking at moving to a total site of 215,000 to 220,000. We are at 197,000. By end of September, where are we looking at? Are we looking at reaching to 2 ,05,000? And then beyond that, I think we will need capital to keep up the pace. Will that be a righ t assumption to look into it?
Akshaya Moondra: In this quarter, what we are primarily doing is deploying 5G and redeploying some of the equipment , because we have had to swap some of the sites , where it is more an enhancement of capacity on existing sites. So, in this quarter, we are not expecting any significant change in the number of sites. It will not be anywhere close to the figure you are mentioning. And any significant increase in the new sites would depend largely on the new funding.
But as I said , we will have some cash generation, which will be invested and so we will see some increase in this quarter. However, in Q3 and Q4, as we deploy some of our internal cash generation for Capex , we will see some growth. But to get to a figure 2,05,000 or 2 ,15,000 , we will need new funding, not bank funding necessarily , new funding.
Sanjesh Jain: Got it. One question on the balance sheet side. I was just looking at the change in the net debt from Q4 to Q1, it's broadly gone up by INR 7,000 crores. So, we generated broadly INR 2,200 crores of EBITDA and another other income of INR 150 crores, and we have spent broadly the same number in the Capex . So, what explains this increase in the net debt by INR

7,000 crores? If you can help us understand the bridge. I know there is some interest accrued, but not paid, but that doesn't completely explain the re maining part.
Murthy GVAS : So Sanjesh, Murthy here. So, if I can just understand your question again. So, you are talking about net debt. Now net debt, an increase that you are talking about, which is basically less of cash and cash equivalent. My understanding is that it has gone up by about INR 3 billion, right?
Sanjesh Jain : No, no, not gross debt. I am talking about net debt. So, your cash has also depleted. So, your total net debt has gone up by INR 6,900 -something crores.
Akshaya Moondra: Sanjesh, rather than looking at net debt, let's look at 3 parts. One is the bank debt, which has reduced from INR 2 3.3 billion to INR 19.3 billion.
Sanjesh Jain: Correct.
Akshaya Moondra: So that is one part. The government, really speaking, there is no change. There was a conversion at which time some adjustments were done in terms of accrued interest and all. There is no cash implication of the government debt that exists today. The spect rum payments will all come in this quarter. So, there is no payment in Q1 as such. And then there is the cash, which is largely remaining out of the FPO funding. Now there is a time differential between when the Capex is booked in books and when the payout happens. So, it may not always match the cash flow.
The easier way to understand is that you look at the government debt as nothing having changed really from the last quarter. Bank debt reduced by INR 400 crores or INR 4 billion , and FPO funds largely being used for Capex . There could be a time differential between when Capex is recorded and when the cash outflow happens. So just look at the 3 parts independently. Otherwise, trying to combine the 3, then that requires a mo re offline discussion for clarity.
Murthy GVAS : Yes. Just to add, Sanjesh, the spectrum o r the AGR debt remains the same as last quarter and the external debt has gone down. The cash and cash equivalent has gone down on account of Capex . So therefore, if you take a net debt figure, that movement is slightly there as Akshaya explained.

Sanjesh Jain: That's clear. That's clear. Thanks Akshaya for all those explanation and Murthy. And best of luck f

or the coming quarters.
Moderator: Next question comes from the line of Hemang Kotadia with Anvil. Please go ahead.
Hemang Kotadia : Good afternoon. Sir, just wanted to ask on the postpaid gross adds. So, what will be the broad percentage between the M2M and mobile customer on the addition side?
And on the second question, what will be the AGR and deferred spectrum liability at the quarter end figure?
Akshaya Moondra: Let me address the postpaid question and the AGR will be answered by

Murthy. As far as the postpaid subscribers are concerned, we have a growth of about 1.1 million quarter -on-quarter. Large part of this comes from the M2M, which is a fast -growing stream, but it also has positive additions on the consumer postpaid side. I will not be able to give you the breakup here.
Akshaya Moondra : What was your question? Could you repeat the second question?
Hemang Kotadia : Yes, yes. I am asking outstanding on June quarter, AGR and deferred spectrum liability both.
Murthy GVAS : The outstanding as of end of June is about INR 1 19,000 crores for deferred payment towards spectrum , and about INR 7 6,000 crore for the AGR. So, totalling up to about INR 195,000 crores.
Hemang Kotadia: Okay. Thank you. Thank you Mr. Akshaya for your future endeavours.
Akshaya Moondra: Thank you.
Moderator: Thank you. Next question comes from the line of Mitul Jani from GM Enterprises. Please go ahead.
Mitul Jani : Good afternoon. Thank you, Mr. Moondra for your leadership during your tenure. And congratulations to Mr. Kishore for the post. My question is about the government stake. It's more

of a clarification. If the Company performs well, will it be feasible and viable for the Company to repurchase shares by settling the government stake somewhere in the future?
Akshaya Moondra : Firstly, technically, a Company cannot purchase its stake. So, it is basically , if at all that was to be thought of, it is promoters who have to buy a stake . A Company cannot buy back its stake , unless you get into a complicated process of reduction of capital.
today, we are focused on investing. So whatever capital is available to the Company , the focus is not in trying to do anything with the government holding . The focus will be in using any funding and cash generation for investments, which will give the best returns for the business.
Mitul Jani : Okay. Because that thing is like the dues are not being paid, so hence, it has been converted. So somewhere down the line, if the cash flow is somewhat additionally piled up in a sense, so the Company can just adjust for the dues, which have been like in the equity portion, that's why.
Akshaya Moondra: That's not a relevant question for today.
Mitul Jani : Thank you. All the best with your future endeavours.
Akshaya Moondra: Thanks Mitul.
Moderator: Next question comes from the line of Vivekanand S. with AMBIT Capital. Please go ahead.
V. Subbaraman : Hello, thank you for the opportunity. Akshaya, congratulations on the completion of a great term and career in Vodafone Idea. Thanks for your service. And Abhijit, congratulations and wish you the very best for your assignment.
My question, Abhijit, is to you. You have worked in the Vodafone Group. You have also handled enterprise roles in the past. So, from your vantage point, when you look at the Company now and the Enterprise business in India, how are you thinking about the ability of Vodafone Idea to leverage on the market opportunity, considering the capital constraints that the Company faces? And it's unlikely that the constraints are goi ng to go away or disappear anytime soon. So, would want to understand thoughts on the enterprise side and what your plans would be?

Akshaya Moondra: Vivek, before Abhijit answers the question, let me just th

ank you for your
wishes, and then I will leave it to Abhijit to answer the question which you asked.
Abhijit Kishore: Thanks, Vivek, for your wishes. I will keep it brief, and will get into detail from the next quarter onwards. But I clearly see an opportunity on the enterprise question since you are asking it specific to the enterprise. And as Akshaya said, we have moved in this journey from being a telco to a techco with the addition of many value -added services, which is more relevant for the enterprise , basis the cloud services.
I see a pretty bullish scenario as far as the enterprise is concerned. Also, Vodafone as a group has pretty deep entrenchment as far as the Enterprise business is concerned, including the IoT part of the business. So, it's a pretty good space to be in , and Vodafone Idea will be absolutely participating in the space.
V. Subbaraman: Okay. Do you have any kind of target in mind from a revenue contribution or say revenue opportunity perspective in terms of, let's say, revenue pool available to Voda Idea for the next 3 years, 5 years and areas that you are targeting? Because you have enlisted many things in past presentations linked to public, private cloud, IoT and other forms of communication like

SD-WAN. So, is there a target opportunity set in mind , given the kind of investment restrictions or constraints you may have?
Abhijit Kishore : I will try and explain that in the next one, Vivek. Too early for me to get into the details at this point in time, but we will definitely pick it up in the next one
Akshaya Moondra: Vivek, if I can give a broad reply to your question. One is, many of these businesses are in nascent stages. They are all coming up from a very small base. So, it is not necessar y that there are n't internal targets, but nothing that I can talk about rig ht now.
One thing which is growing very rapidly right now in the IoT space is the metering deals, which I alluded to. And you will see that us and also all operators are adding significant additions to the IoT space . PoS machines, are growing, but this is a bit of a fluctuating business, but automatic metering is something which is picking up.

As far as Enterprise business is concerned, there is a direct corre lation between investment and return sometimes. So, if you find a good opportunity, it is not so much a question of capital constraints, which will hinder in any way the growth of the Enterprise business really.
Enterprise investments can be easily made if there's a clear opportunity. So, Enterprise business , we are very focused, and it is not constrained by capital, which tends to be much smaller compared to the larger Mobility business , and opportunities in these new revenue streams is quite large. Some of they pick up at different times, as I can say that the automatic metering is picking up at real great speed. And others are also picking up, and you will get to hear about it as we progress.
V. Subbaraman: Great. Appreciate the colour . Thank you and all the best.
Moderator: Thank you. Next question comes from the line of Piyush Choudhary with HSBC. Please go ahead.
Piyush Choudhary : Yes. Hi. Thanks a lot for the opportunity. And Congratulations, Akshaya, and all the best for your next move. I have 2 questions. Firstly, on VLR subscriber base, which is down 2.6 million quarter -on-quarter, while that was down 1.2 million in the last quarter. Like what's explaining an acceleration on VLR subscriber being dropping? And as a percentage also, that number has been trending down. So, if you can share any colour on this?
Second question is on the funding. Can you discuss on the progress and key milestones to watch? What are the bottlenecks based on your discussion with banks? Any colour which you can share over here?
Akshaya Moondra: Okay. Piyush, on the VLR subscribers, I will not be abl

e to give you very
specific reply. All that I can say is that generally Q1 is a seasonally weak quarter. So, if you look at historical data from a quarter -on-quarter variance, Q1 is actually a weaker performance compared to Q4 generally across the industry.
In that context, the VLR trend may appear to be in a direction. And sometimes there is also this challenge about migrant labour , moving from one part of the country to another that creates some of these distortions. I don't have a specific reply, but I would say that t he reported subscribers, which are showing a consistent trend of reduction of subscriber loss from 5 million to 1.6 million

to 0.5 million, that is representative of the business performance, and that should be taken into account.
In terms of funding, as we have said multiple times, we are engaged with banks. Those discussions have again started moving forward , once the conversion happened and the credit rating upgrade happened. The banks are currently looking for some clarity on the AGR front. So that is where we are engaged with the government.
Given that the government has made the conversion, they are today the largest stakeholder in the Company , whether as an equity holder or any dues which are route to any external party, we are quite confident that there will be a solution to AGR.
Nevertheless, given the fact that we are keen on maintaining a continuity of our Capex , which has been going on since last year, we are looking at nonbanking sources of funding also, not the full amount of INR 25,000 crores that we have talked about, but a lesser amount so that we can continue with the Capex cycle. So, banking things are progressing, but they may take a little while, and we are trying to look at other sources of funding, which will be available in a shorter timeframe.
Piyush Choudhary : So, in a scenario of delay in any kind of new funding from the bank, the 2H network Capex could be slower. But like in terms let's say, the banks, whatever clarity they want on the AGR dues, you feel that by March 2026, those should be resolved?

Akshaya Moondra: In the past, we have always seen that government has been sup portive. You look at 2019 deferment of spectrum instalments , 2021 Reforms Package, 2023 conversion of government dues to equity, 2025 again, conversion of government dues to equity. Generally, these actions have happened.
Generally, they happen closer to the time when it is essentially needed. Our request to the government has been that let us resolve this earlier than before the deadline of March , so that banks get clarity and we can proceed with bank funding. And that is our continuing effort today also.
Piyush Choudhary: Thank you, Akshaya.

Akshaya Moondra: Thanks Piyush.
Moderator: Thank you. Ladies and gentlemen, due to time constraints, we have reached the end of question -and-answer session. I would now like to hand the conference over to Akshaya Moondra for closing comments.
Akshaya Moondra: Thanks, Renju. As discussed during the call, our investments have led to improved coverage and enhanced customer experience, resulting in best subscriber metrics since merger. 5G services has been expanded to 22 cities in 13 circles and more are under way. Our data usage has increased significantly by 9.4% quarter -on-fourth quarter, showing increased engagement with our subscribers.
With all these developments, we are confident of continuing improvement in subsc riber metrics, which has been demonstrated for the last 2 quarters. We are also working towards tying up debt funding for the execution of our long -term network expansion plan.
Thank you all once again for your support and engagement throughout my tenure. I look forward to watching the Company 's continued success, this time from the other side of the call.

Thank you
very much.
Moderator: Thank you. On behalf of Vodafone Idea Limited, that concludes this conference. Thank you for joining us. You may now disconnect your lines.

Call: Nov 2025

17 November 2025
National Stock Exchange of India Limited
“Exchange Plaza”,
Bandra - Kurla Complex, Bandra (E), Mumbai
– 400 051 BSE Limited
Phiroze Jeejeebhoy Towers,
Dalal Street, Mumbai – 400 001
Sub: D isclosur e under Regulation 30 of SE BI (Listing Ob ligations and D isclosure
Requirements) Regulations, 2015 - Transcript of An alyst / Investors Call
Ref: “Vodafone I dea Limited” (IDEA / 532822)
Dear Sir/Madam,
In terms of Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements)
Regulations, 2015, please find enclosed transcript of the Analyst / Investors Call held on
Tuesday, 11 November 2025 relating to the Company’s performance for the second quarter
and half year ended 30 September 2025.
The same is also being uploaded on Company’s Website: www.myvi.in.
The above is for your informati on and dissemination to th e me mbers.
Thanking you,
Yours truly,
For Vodafone I dea Limited
Pankaj Ka pdeo
Company S ecretary
Encl: As above

“Vodafone Idea Limited Q2 FY ‘26 Earnings
Conference Call”

November 11, 2025

Moderator: Ladies and gentlemen, good day, and welcome to Vodafone Idea Limited Q2 FY ‘26 Earnings Conference Call.
As a reminder, all participants’ lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing ‘*’ then ‘0’ on your touchtone phone. Please note that this conference is being recorded.
I now hand the conference over to Mr. Abhijit Kishore – Chief Executive Officer, Vodafone Idea Limited. Thank you, and over to you, Mr. Kishore.
Abhijit Kishore: Thank You Renju,
A warm welcome to all participants of this earnings’ call. It’s a pleasure to be speaking with you on my first earnings’ call as CEO. Before we begi n I would like to acknowledge that this quarter marks an important transition for our leadership t eam. I stepped into this role on August 19 and I want to thank Akshaya as well as the other members of the management for making this transition seamless.
I also want to thank Mr. Murthy, the earlier CFO for his contributions in guiding us through a significant period of transformation. He is there on the call with us and will provide his inputs as required.
I’m equally delighted to welcome Mr. Tejas Mehta, as our new CFO, who joins us from Mondel■z with over 25 years of experience across In dia and international markets leading large P&Ls through periods of growth, transformation and integration.
As the new CEO my philosophy, if I have to capture it in one sentence would be - Employee First, Customer Always and Experience is Everythi ng. The reason I believe in this is that our employees are the cornerstone of everything we stand for. Empowered, engaged and valued employees create seamless experiences for our customers whether it is a new site or a new process or a launch of a new product that makes our customers life easier. Employee first isn’t just a philosophy - it’s our way of life; cult ure to deliver our core purpose - World Class Experience that differentiates us, in this extrem ely competitive market. When our people feel valued, Customers feel the difference.
Let me provide a brief on update on recent AGR judgement. The Hon’ble Supreme Court via its

judgement dated October 27, 2025 and November 3, 2025 has permitted the Government of India to reconsider and take an appropriate decision with reference to the additional AGR demand as well as to comprehensively reassessing and reconciling all AGR dues, including interest and penalty, up to the Financial Year 2016-17. We are in discussion with the DoT for next steps on this matter.

Before I move on to company specific performance, let me share some thoughts on Indian telecom market and growth opportunities.

The telecommunications sector is not merely evolving but being reimagined through groundbreaking technological advancements an d visionary strategies. Telecommunications, more importantly wireless communication in Indi a presents an attractive narrative of growth potential. With nearly 1.2 billion total wireless subscribers and an overall wireless tele-density of over 83%, the country has made significant progress. Urban areas boast a tele-density of nearly 127% while rural regions have reached nearly 60% and the internet subscriber base is closing in on the 1 billion mark, with a remarkab le 44% originating from rural areas, signaling a profound digital democratization. The growing population, the low penetration and the increasing penetration of smartphones and affordable data plans, combined with government's vision of Digital India, are key to the long-term growth for the wireless sector.

The improving tele-density reflects the rapid digital adoption. UPI transactions grew to, 19.6 billion transactions by volume, worth nea

rly Rs. 25 lakh crores (US$ 290 billion) increasing almost 31% YoY. According to Worldline's Indi a Digital payment's report released in October 2025 the transaction growth was fueled largely by frequent, low-value transactions dubbed as the 'Kirana Effect'. This grass root level partic ipation underscore s that digital connectivity is not a privilege or luxury anymore but akin to a fundamental right. The Indian government's push toward a "Digital Bharat" and "Viksit Bharat 2047" thus also relies heavily on robust telecom infrastructure.

As a telecom company, we strive to be a facilitator of the Digital Bharat journey—bringing seamless internet access to larger population and enhancing digital literacy. With India poised to become one of the highest Mobile data traffic generating nations per active smartphone by 2030, the industry needs to be innovative and ni mble to keep up with the nation's growing connectivity demands.

Moving on to the results

On Monday, our Board of Directors adopted the unaudited results for the quarter ending September 30, 2025. All the results related documents are available on our website and I hope you had a chance to go through the same. Let me provide key highlights for the quarter, progress on our investments and its positive impact along with the update on our key strategic initiatives.

Let me now talk about our strategic initiatives.

Our first strategic initiative is ou r focused investment approach

I am glad to inform that since we initiated the launch of 5G services in Mumbai in Mar'25, over the period of last 6 months we have expanded our 5G services to all 17 circles where we hold 5G spectrum. These 17 circles contribute to nearly 99% of our revenue. In these 17 circles, our 5G services are available in 29 cities and we continue to expand the 5G services to other cities based on customer demand and 5G handset penetration.

In addition to the 5G rollout, we continue to invest towards expanding our high-speed broadband network's coverage and capacity by adding new 4G sites and upgrading our core and transmission network. We increased our 4G population coverage to over 84% as of September, 2025 compared to nearly 77% as of March, 2024. Our 4G data capacity expanded by over 38%, driving a 17% improvement in 4G speeds in September, 2025 as compared to March, 2024.

In Q2FY26, we invested Rs. 17.5 billion in capex. We added over 1,500 new unique 4G towers during the quarter, reinforcing our focus to deliv er superior connectivity. We strengthened our 4G with deployment of around 3,200 new sites on the sub-GHz 900 MHz spectrum in the 16 circles. We also added over 3,600 additional sites on 1800 MHz and 2100 MHz bands — enabling faster speeds and enhancing indoor coverage. Over the period of last one year we added around 19,000 broadband location and around 90,000 broadband sites. As of September 2025, our total broadband site count stood at ~527, 000. Additionally, we have also deployed over 13,000 Massive MIMO sites and more than 12,400 small cells.

Moving on to market initiatives

During the quarter, we continued to build on our core strategy of prioritizing customer experience, driving value, and fortifying our digital ecosystem. Our focus remains on delivering sustainable growth by enhancing our product portfolio across both prepaid and postpaid segments as well as deepening our presence in the digital market.
In the prepaid market, our strategy continues to yield positive results, especially with our flagship "Non-Stop Hero Plan" which offers unlimited data 24/7. This industry-first proposition has become a key driver for new customer acquisitions and an engine for higher renewals and upgrades among our existing base. This strong upta ke has significantly contributed to the growth in our 4G and 5G subscriber numbers.
Another program that proved to be a great retention tool for us was the

Vi Guarantee Program.
You would recall that, that the program provides 2-day extra validity credited on every unlimited voice recharge @ Rs.199, which results in 24 days of extra validity distributed over 12 months for our unlimited voice subscribers. Thus, rewarding customer loyalty to the network.

For our Postpaid Customers, we launched REDX Family Plan, India’s only family postpaid plan that offers unlimited 4G and 5G data and International Roaming, along with a host of premium travel, lifestyle and entertainment benefits. Built on the success of the flagship REDX postpaid plan, Vi REDX Family Plan, is a unique industry proposition where all the family members will
be offered the same data benefits as the primary connection. This means that the primary and add-on members of Vi REDX Family Plan - will enjoy unlimited data, entertainment and have access to a suite of premium benefits. They will also have access to Vi Priority service where REDX customers can enjoy exclusive benefits in cluding 24x7 dedicated customer care, priority handling at stores, and doorstep SIM delivery for senior citizens.
Easy+, our exclusive app for select postpaid cust omers enhanced its offerings with new features like Vi Shop and Vi MTV. It also expanded to an omnichannel experience with the launch of its website.
On the back of these initiatives, the data traffic has grown by 21.4% YoY at overall level and the data usage by 4G and5G subscribers increased by 20.3% for the same period of time. The Consumer ARPU has shown a YoY increase of 8.7% reaching Rs. 180. The number of 4G and 5G subscribers reached 127.8 mn , an addition of nearly 0.4 mn customers over the last 12
months.
We have been working on constantly improving our International Roaming Pack attractiveness for the end-consumer. Our roaming packs are now available in 151 countries worldwide. I am pleased to share that Vi remains the only operator in India to provide truly unlimited data and calls in 40+ countries, giving travelers complete freedom to stay connected without worry. Vi has also introduced a curated travel insurance proposition in partnership with Aditya Birla Capital Digital as an exclusive benefit for international roaming pack users — making every journey safer and more rewarding.
To make our network more secured for customers we launched two new in itiatives under the Vi Protect umbrella, a comprehensive AI powered security measure against spam voice calls that flags fraudulent and spam calls in real time. A dditionally, under Vi Protec t we also launched an
upgraded AI-powered Cyber Defense and Incident Response System to protect its core network and enterprise operations.
Moving on to Business services
Vi Business continued its strong momentum during the quarter, reinforcing its position as a trusted digital partner for enterprises across Indi a. With a strengthened 5G-ready infrastructure and a diversified portfolio spanning mobility, connectivity, cloud, IoT, Business Communication and Cybersecurity, it is empowering businesses to thrive in the digital economy.

At India Mobile Congress (IMC) 2025, Vi Business demonstrated its leadership in enterprise digital transformation by displa ying cutting edge enterprise solu tions that were powered by AI and centered on Security. Vi Business launched Io T innovation lab India’s first telco backed lab for innovation, co-creation & certification of IoT Devices & Application. Other key launches at the event were AI-powered Managed Wi-Fi solu tions, Secured Hybrid SD -WAN application in Robotics, AI powered CCaaS, VR experience of IoT Labs, AI powered platform for proactive diagnosis of IoT devices, multi-cloud services, Autonomous Security Operations Centre (SOC).
Vi Business also showcased growth stories of their MSME customers who were positively

impacted by India's largest digital advisory se rvice for MSME – The ReadyForNext program.
The showcase underscored the Company's commitment to empowering enterprises of all scales with secure, scalable, and inte lligent digital infrastructure.

Vi Business also partnered with Google to o ffer exclusive offers on Google Workspace for MSMEs under the ReadyForNext program, thus strengthening our position as the preferred digital transformation partner for the MSME segment.

I am happy to share we are witnessing rapid adoption of our AI-powered Contact Center as a Service (CCaaS) across BFSI, BPO, and manufact uring sectors. Vi Business's CCaaS was launched last quarter in partnership with Genesys. The rapid adoption underscores strong market demand for intelligent automation in customer engagement.

Vi Business is driving significant growth and value-led innovation in the IoT space. The Smart Metering business aims to deploy 12 million solutions in next th ree years, which will establish us as a key enabler of India's smart energy transition.

Furthermore, the launch of IoT Innovation Lab in collaboration with AWS and C-DOT positions us as a next generation hub. to co-create, ra pidly test and scale concepts across sectors like automotive, manufacturing and connected infrastructure.

To support the exponential growth in enterprise data traffic, we are executing a focused network expansion strategy. As a part of this we are developing 'Dedicated Enterprise Corridor' across key cities - Mumbai, Pune , Bengaluru, Hyderabad, and Chennai adding over 2 Tbps (terabytes per second) of new capacity and upgrading our data centers.

These investments significantly strengthen ou r ability to deliver hi gh-speed, low-latency connectivity for mission-critical enterprise applications.

Our efforts have also been recognized exte rnally — Vi Business received the "Customer Experience of the Year – Telecommunications" award at the Asia Experience Awards 2025. Vi Business was also awarded the Best Innovative Technology Implementation of the Year at the CIO Conclave & Awards 2025 for our Enterpri se connection management platform - Vi Business Assist (ViBA).

The next strategic initiative is driving partnerships and enhancing digital revenue streams

As emphasized in the earlier calls, our aspiration is to become a fully integrated digital services provider with a distinct goal of enhancing digital engagement with consumers and generating revenue through targeted streams. Our articulated strategy regarding this initiative has been to achieve it through strategic partnerships and to offer the majority of these services via the Vi App.

Over past 3 years, we have transformed Vi App from being just a mobile account management destination to a platform where users can access multiple services on a single app. Users can LIVE stream news or other LIVE TV programs on the 300+ available TV channels. Users can also play their favourite games, pay their utility bills, book metro tickets or shop across certain categories through the App. These features have resulted in robust adoption growth for Vi app as well as improvemen t in our app ratings.

The Vi App experience was further elevated with the launch of 'Vi Finance' this quarter. 'Vi Finance' enables users to access personal loans, fi xed deposits, and credit cards directly through a simple, app-based interface. We have entered into a strategic partnership with Aditya Birla Capital and recently with InstaMoney to offer instant personal loans ranging from under 50k to up to 5 Lakhs. Customers can also book fixed deposits on Vi App by choosing from a range of options between banks & NBFCs optimizing for the best interest rates. With this, the Vi App has now expanded to incl ude Vi Games, Vi Shop, Utility Bi ll Payment and Financial Services under Vi Finance- enhancing Vi App's utility as a daily digi

tal companion.

Our Vi Movies & TV OTT App continues to strengthen as a key digital engagement driver. It offers our prepaid & postpaid users access to 20+ OTTs through various subscription options. Vi Movies & TV plans are also bundled with additional data benefits, allowing customers to stream their favourite content seamlessly without worrying about data consumption. Vi Movies & TV has grown well in terms of adoption and consumption in the last 18 months since its launch. The focus is to continue to scale, ingest more varied content and build distinct features to make the app a destination of choice for more & more consumers.

I would like to reiterate that we will continue to have a sharp and disproportionate focus to build a digital ecosystem with our partners, enabling a differentiated experience for Vi users. To this effect, we have a strong pipeline ahead and you shall see more new propositions rolling out in the coming quarters, to help deliver enhanced customer value as well as make for incremental monetization opportunities.

Moving on to capex deployment plans & other developments this quarter

With Q2 capex, we have now expanded our 4G population coverage to over 84% and rolled out

5G coverage in all 17 priority circles. We rema in actively engaged with our lenders for tying up

debt funding towards the execution of our long-term network expansion plan. We had also witnessed improvement in our operational EBITDA during the quarter and Tejas will provide more color on that. With that, I handover the call to Tejas who will share the financial highlights for the quarter.
Tejas Mehta: Thank you, Abhijit. At the outset, I also want to place on record the contributions of Mr. Murthy.
Thank you for your help in my transition.
Good afternoon, everyone. It is my privilege to join today's call and be speaking with all of you.
It is my first earnings call, and I am excited to be part of the Vodafone Idea team. My priority will be to focus on continued operational excellence and long-term value creation.
With that, let me take you through th e financial highlights for the quarter:
The revenue for the quarter was Rs. 111.9 billion, registering a growth of 2.4% on a year-on-year basis. Sequentially, the revenue grew 1.6% from Rs. 110.2 billion in Q1 FY '26. The reported EBITDA for the quarter was Rs. 46.9 b illion, which improved by 3% on a year-on-year basis from RS. 45.5 billion in Q2 FY '25. Th is translated into a reported EBITDA margin improvement of 20 basis points from 41.6% to 41.9% during the same period.
The reported EBITDA also improved sequentially by 1.6% from Rs. 46.1 billion in Q1 FY '26.
However, as you all know, we have been reporting the cash EBITDA as that provides a better view of the underlying financial performance.
The cash EBITDA for the quarter was Rs. 22.5 bi llion, which declined year-on-year by 3.4% from Rs. 23.2 billion in Q2 FY '25. This was as the investment cycle that was initiated in Q3 FY '25 that resulted in higher comparative network operating cost in this quarter.
When you compare the cash EBITDA on a quarter-on-quarter basis, there has been a sequential improvement of 3% from Rs. 28.1 billion in Q1 FY '26. This translates into a cash EBITDA margin improvement of 30 basis points from 19.8% to 21.1% for the same period.
Depreciation and amortization expense and net finance cost for the quarter were Rs. 55.7 billion and Rs. 46.8 billion, respectively. Excluding the impact of IndAS 116, the depreciation and amortization expenses and net finance cost for the quarter were Rs. 39.9 billion and Rs. 36 billion, respectively.
Capex for the quarter was Rs. 17.5 billion and for H1FY26 at Rs. 42 billion. We remain engaged with lenders to secure the long-term debt financing to support our Capex plans of Rs. 500 billion to Rs. 550 billion.

The debt from banks has further reduced to Rs. 15.3 billion as of September 30th from Rs. 32.5 billion as of September 30th, 20 24, a reduction of Rs. 17.2 billion in the last 12 months. The cash and bank balance stan ds at Rs. 13.8 billion as of September 30, 2025.
With this, I hand over the call back to Renju and open the floor for questions.
Moderator: Thank you. We will now begin the question-and-answer session. The first question comes from the line of Rishabh Dhancholia with HSBC. Please go ahead.
Rishabh Dhancholia: Hi. Good afternoon and thanks for the opportunity. A couple of questions please. Firstly, on the subscriber trend. Subscribers actually increased quarter-on-quarter. What drove that? Are you seeing any churn out to BSNL because BSNL re ported gross subscriber addition for the month of August to September as per TRAI actually improved. In the area where you have rolled out 5G, how has been the subscriber traction and are you seeing lower churn in those areas?
Secondly, on Capex, what is the outlook on Capex for second half of the year and how much of it is dependent on the additional capital raise? Thank you.
Abhijit Kishore: Rishabh, I will just take your question one by one. I will start with the first one that you said on the subscriber loss. Yes, you are right. There has been a marginal drop in our overall subscribers.
If you look at the trend from a long-term point of view, over the last couple of quarters, we have been sequentially reducing our churn from 5.2 mill ion to 1.6 million to a 0.5 million last quarter which has increased to a 1 millio n subscriber loss this quarter.
There is some bit of seasonality impact as well, but the fundamentals of th e business are intact and we do not see ourselves making any changes to our long-term view as far as the subscriber is concerned. Also, we continue to see the 4G and 5G devices addition on our network as we are rolling out more and more 5G sites and 4G sites.
We also see a clear positive and a stable growth coming from the areas where we have invested.
We have been saying that while we have increased our coverage from 77% to 84%, our endeavour is to take it to 90% and those are the areas where we will keep moving.
The other thing which has also helped in better engagement and retentivity of our customers are

the propositions that I have spoken about, the' SuperHero' and the 'Non-Stop Hero' Plans,
which are seeing a very good traction for us, including the 'Vi Guarantee' Program. The data
usage per customer, has increased to 18.5 GB/day, is also a testament to the fact that the customers are actively involved and engaged in our business.
Coming to your second question that are we seeing any additional churn to BSNL, I do not think
we are seeing that., As I said, it is more seasonality and marginal impact that we see in this
quarter, and we are not changing any long-term view.

On the capex for the H2, we have spent Rs. 4,200 crores towards capex in the H1, and our
guidance is that we would be in a position from a year-on point of view, roughly in the range of
Rs. 7,500 crores to Rs. 8,000 crores of capex by the end of FY26. We are not really looking for any external funding for this particular capex, which is part of the internal accrual as well as the money that we have. Our focus continues to be expanding 4G and 5G coverage.
Moderator: Mr. Dhancholia, are you done with your question?
Rishabh Dhancholia: Yes. Just a follow-up on the subscriber trends. You mentioned that you have not changed your outlook or long-term view on subscriber additions. Any guidance as to when can we see positive
subscriber additions or subscriber churn turning around? Any guidance on that?
Abhijit Kishore: We are keeping the customers engaged as far as our product proposition and network
enhancement are concerned. Our challenge has

been to extend coverage that we have not been able to do. We firmly believe that the more sites and the more 4G and 5G sites that we roll, we will start to see this trajectory inflecting to positive.
Rishabh Dhancholia: If I may, one follow-up on the Capex. You said we plan to do Rs. 7,500 crores to Rs. 8,000
crores of Capex this year. Where will this take us in terms of unique sites? We are at around
197,000 unique sites right now. Where do you think we will land up after spending this amount
of Capex?
Abhijit Kishore: Rishabh, the way we look at it is a combination of the 4G - 5G layer addition, as well as some
bit of core and transmission. It will be difficu lt to give a forward-looking statement on the
number of sites, but it will be a mix between a 4G and 5G on the radio and some bit of it on the
transmission and core.
Rishabh Dhancholia: Thank you.
Abhijit Kishore: Thank you.
Moderator: Thank you. Our next question comes from the line of Sanjesh Jain with ICICI Securities. Please
go ahead.
Sanjesh Jain: Yes. Good afternoon and thanks for taking my question. I have got a few of them. To start with
the data, data customer which saw a decline while we had growth last quarter and if I look at the
last 12 months, we have added close to 90,000 BTS there on the mobile broadband side.
Now, when should we expect some traction here in terms of consistent growth coming in. If you
can also help us understand how are the circles growth, where we did the capex early in the cycle
to just understand how can we see that traction co ming in as the other circle also mature in terms
of coverage.

Abhijit Kishore: Sanjesh, thanks for the questions. There are two parts to the question that you are saying. One is
on the data subscribers that you said. We have added 4 lakh customers this quarter as far as the
4G/5G subscribers are concerned and we have also, explained earlier, launched two very good and engaging propositions on the 'SuperHero' an d the 'Non-Stop Hero' Program. We see that
the customers are getting engaged and the data us age per customer is going up. Yes, the data
customer growth is also linked to these overall subs churn coming down and hence that is one action item for us.
Second question that you asked is on the areas where we have invested early. We are clearly
seeing better traction there because as and when the customers are using our services, obviously, they are getting a very differentiated experience both on the network as well as on the product
proposition . We are hopeful that this curve w ill turn to the positive territory soon for the
subscriber as well as the larger customer on the data subscriber addition.
Sanjesh Jain: Abhijit, thanks. But still can you help us understand some of the circles like Mumbai and all
where we invested. How is the traction there in terms of getting the subscribers on the broadband
side?
Abhijit Kishore: I mean, not specifically naming Mumbai or Delhi for that matter but in the circles where we
have invested early, we clearly see better tracti on and lesser churn. . We see higher engagement
as far as data usage is concerned and we also see better traction in customer acquisition.
The earlier part of our investment has gone into some of the urban areas and there we see a clear
traction, where we see much better retentivity and engagement of our customers.

Sanjesh Jain: Got it.
Abhijit Kishore: I do not want to get into a circle level discussion , but at a national level, we clearly see that trend and obviously it is emanating from the fact that we have done early investment in urban market.
Sanjesh Jain: No. That is what I said. If I look at the country as a whole, which is the subscriber we disclosed, that at least after a last quarter acceleration, we have seen a deceleration in this quarter. But you mentioned it is purely a seasonal factor?
Abhijit Kishore:

Yes, but it is more a seasonal factor that we see and we are confident that we will come back as far as the delta is concerned on the customer loss.
Sanjesh Jain: Got it. Now, second question on the customer engagement itself. If I look at the data usage per customer on our network versus the peers' network, we are at 18 GB, they are at 28 GB per month. We need to build capacity both in term s of user behaviour being similar to the peer network and then we need to add the customer. So, how are we planning in terms of expanding the capacity? So, that is number one.

Number two, peers have the advantage of having their 40% or more of the data running on 5G network, where the capacity is higher. So, they can still carry those data on the network. Now, we are very initial phase as far as 5G. Now, how will we tackle this issue of creating capacity experience and then growing?
Abhijit Kishore: So, Sanjesh, the first question on the data usage growth, you are right. We are at 18.5 GB/day, but the way we look at it from where we were and where we have reached has been a significant jump because we had not been investing for some time. In the last couple of quarters, the investment has just started, and we see a significant jump as far as, data usage is concerned aided by better network experience as well as the product proposition. That is the first part on the data usage.
Secondly, from a capacity utilization point of view, we have enough headroom right now in the both 4G as well as the 5G network because 5G, as you would know, we have just launched in the last two quarters. Then the third part is hi storically, this difference has been there between the competition as far as the delta on the data usage concerns. It is a combined impact for all of that.
But if you were to look at the data usage increase on our network, we have had an increase of over 20% over the last one year, which is a clear reflection of our improving subscriber engagement. Our current focus is to enable more and more subscribers to experience the improved network, and hence some of the product propositions that we have launched, which is unique, are actually addressing that need.
Sanjesh Jain: Fair enough. Just one question on 5G. It has been two quarters for us launching 5G. We start 5G at 1.5 GB data plan, unlike peers who started 2 GB. Any plan for us to move to a 2 GB so the premiumization effect keeps start playing even on our ARPU from the 5G?
Abhijit Kishore: When we had launched 5G, we had started with an introductory offer of a Rs. 299 and 1.5 GB, which we have now, in the markets where we have launched 2-3 months ago, we have changed the tariff to Rs. 349. If you see the competition's pricing, it is between Rs. 349 and Rs. 379. We have moved to that price range, in areas where we launched a couple of months back..
But in some of the markets, as you would know, out of the 29 cities that we have 5G in the 17 circles, 24 of them have come in this quarter itself. So, as and when we see a critical mass of a customer coming on to our 5G network, we will see how do we upgrade and monetize better.
Sanjesh Jain: Abhijit, what is the subscriber count on 5G for now as we speak, or end of the quarter?
Abhijit Kishore: We do not share the separate count for the 4G and 5G. It is a combined count only, Sanjesh, that we share

Sanjesh Jain: Got it. One on the capex, now that we have some more time in terms of raising capital, how do we plan to prioritize the capex, what we are doi ng right now? Will it be more capacity creation over the coverage? That is how we should look at it?
Abhijit Kishore: I would say it will be a mix of both. But it w ill be more towards coverage, because we have enough capacity as we speak and within the coverage, it will be between the 4G and 5G. So, that is the way I w

ill put it. We will need to put some bit of it on the core and transmission as well.
It will be a fair mix of all, but it will be more towards the coverage between 4G and 5G.
Sanjesh Jain: Thanks. One last bookkeeping question. There was a sharp drop in the finance cost in this quarter. Was it to do with that now the interest on the moratorium stops, because we are out of the moratorium period? Is that the reason, or is there anything else in the drop in the finance

cost?
Abhijit Kishore: Tejas, do you want to take that?
Tejas Mehta: Sure. Thanks for the question. No, it is not to do with the moratorium. There have been some settlements with some various vend ors, on account of which we have made some provisions in the previous quarter that are now reversed, and also a slight favorable impact on lower forex fluctuation, which has contributed to the decrease in the interest cost.
Sanjesh Jain: So, Tejas, what should be the underlying finance cost on a steady state basis for us?
Tejas Mehta: I cannot give you exact numbers, but more like previous quarter.
Sanjesh Jain: More like Q1 or it is more like Q2?
Tejas Mehta: Yes. Broadly there. There will be some differ ences, but broadly towards that prior quarter.
Sanjesh Jain: Prior quarter. Average of the two prior quarte rs will be the numbers you work with, right?
Tejas Mehta: Yes.
Sanjesh Jain: Got it. Thanks. Thanks for all those answers, and best of luck for the coming quarters.
Tejas Mehta: Thank you.
Abhijit Kishore: Thank you, Sanjesh.
Moderator: Thank you. Next question comes on the line of Saurabh Handa w ith Citi Group. Please go ahead.

Saurabh Handa: Yes. Thank you for the opportunity. Firstly, on the pending fund raise, I have two questions on this. Firstly, do you think banks, now that you must have been, for the discussions with them over the last couple of weeks, do you think they will be waiting for, an official relief package from the government, which I suppose could take a few months as there are no repayments due before March?
Or could this be independent of when the relief package comes, now that we do have a Supreme Court verdict? And just secondly, on this, what is the status of raising credit from non-banking sources that you have previously spoken about? Is that something where timelines could be advanced? Thank you.
Abhijit Kishore: Okay. So, Saurabh, I will take the first one and will request Tejas, do it for the second one on the rating credit from the non-banking. So, on the first one, on the fund raising, as you rightly said, we are engaged with the banks and with the recent development of the Hon'ble Supreme Court's order, it is clear and the government be ing a 49% holder making it amply clear that, in the Indian context, three private players are required.
We are looking at the solution wh ich we believe will be best answered with a long-term view from the government. Our sense is that since the Supreme Court order has come recently, there might be a little bit of a dependency on that from the banks when they are looking at extending long-term funding. But we are engaged with them and working closely, as and when we get to a solution, we will come back to you. Tejas on the question on the credit.
Tejas Mehta: Sure. Saurabh, the current credit rating is BBB -. Maybe if you can elaborate your question.
Saurabh Handa: Sorry. No. What I meant was you had spoken about raising credit from non-banking sources, I guess private credit. Yes. Can that be something which can be advanced ahead of, say, funding from banks?
Tejas Mehta: Yes, Saurabh. We are talking to banks and NBFC s both, and as and when we get closer to the deal, we will come back to you. As we speak, we are engaged with multiple partners at this point in time.
Saurabh Handa: Okay. Sure and just a second question, could you just remind us of the total quantum of AGR de

bt which is outstanding as of September, and within this, how much would be the principal portion?
Abhijit Kishore: The principal and the interest, we cannot share, but as of September '25, is around Rs. 79,000 crores - Rs. 78,500 crores of total amount on the AGR.
Saurabh Handa: Okay. That is perfect. Thank you.

Tejas Mehta: Yes. Thank you, Saurabh.
Moderator: Thank you. Next question comes from the line of Sumangal Nevatia with Kotak Securities. Please go ahead.
Sumangal Nevatia: Yes. Good afternoon. Thanks for the chance. Sir, my first question is with respect to our end goal of 90% coverage for 4G, what is the timeline we are looking at, and how much more Capex will be required to reach 90%?
Abhijit Kishore: We are right now at 84%, and our sense is that over the next couple of quarters, we should be able to get to 90%. I cannot really give you a finite timeline right now, and the approximate capex that is required, would be, in the range of Rs. 4,000-odd crores for the coverage between our 84% to our 90%.
Sumangal Nevatia: Okay. So, a few quarters is where I think we can hit this end goal, right?

Abhijit Kishore: We are keeping the balance between expansion, getting population coverage, as well as keeping the 5G part intact. That is the reason we cannot really give you a finite time right now. But the endeavor is to get as soon as possible to 90% and bridge that gap.
Sumangal Nevatia: Understood and Sir if you look at the trend on the subscriber losses, it is encouraging to see a declining trend. What is our sense? When do you see this reversing to a gain starting, I mean, will it be now closer to that 90% goal in few quarters, or in between only in this journey we should now expect a reversal from coming months?
Abhijit Kishore: It will be in a manner as I have said before. The reason that we need to accelerate our coverage expansion is to ensure that we give better connectivity to our customers and better experience in the areas that we have not covered.
I will not say it is really linked to getting to that 90% coverage, but it will be definitely have an impact. I cannot really give you a finite timeline on turning positive. I made the comment that the fundamentals are in place, we are looking at a better engagement of customers in the markets where we have invested. Our product propositions are parallel to other players, now we are working towards making the churn positive as soon as possible. I would not really want to link it to say when we reach only 90% coverage.
Sumangal Nevatia: Understood and just one last question, with related to our discussion going on with DoT and the government with respect to AGR dues, what sort of timeline are we expecting in terms of some conclusion here? And against our Rs. 80,000-odd crores of dues, any thought process you can share? What is our ask with the DoT and the government?

Abhijit Kishore: So, Sumangal, we welcome the order from the Hon'ble Supreme Court and we are hopeful, government being a 49% player, to look at a long-term solution and we are engaged with the DoT. I cannot really give a timeline at this point in time on saying when will this get solved, but government has been extremely help ful, and we are very hopeful that it will be resolved as soon as possible.
Sumangal Nevatia: Got it. Thank you so much and all the best.
Abhijit Kishore: Thank you, Sumangal.
Moderator: Thank you. Next question comes on the line of Vivekanand with Ambit Capital. Please go ahead.
Vivekanand: Hello. Thank you so much for the opportunity. My first question is on the 5G network. You are disclosing 4G capacity and there is also a disclosure from your side with respect to using March 2024 as the reference point from a capacity addition perspective.
But I see that in your quarterly report and press rel

ease you talk about only 4G data capacity. It would really help us if you can share some additional KPIs with respect to 5G network rollout like additional capacity created and number of sites. That is one ask from my side.
The second one is the two circles where you rolled out 5G roughly two quarters back. Is the 5G network now handling a large part of your traffic? Are there any indicators you can provide here? Those are my questions on the 5G network. I will ask my other questions afterwards.
Abhijit Kishore: Okay. So, two parts to the question that you said. The reason why we look at the March '24 is because that is when our investment cycle started and hence that is a good benchmark when we were not investing and then when we started what is the kind of delta have we been able to create. Obviously, as you said, 4G data capacity has been increased by 38%.
The second question that you asked on the 5G, why we do not share, it is an initial stage. As I said earlier, we launched Mumbai in the month of March and post that in this quarter we have launched in 25 out of the 29 cities that we have launched. It is too early to make any comment while we keep monitoring trend. In the two cities or the circles where we launched 5G, the answer is yes. We have seen a much better traffic offload as far as the network on the 5G is concerned.
Vivekanand: Okay. Thank you for the color. We will wait for your disclosures on 5G in subsequent periods.
Also, there are a couple of media reports that talk about you doing trials with alternative domestic vendors. Several are named by the media.
And secondly, a topic which is unrelated, one of your competitors has signed an ICR with BSNL, so particularly in rural areas where the intra-circle roaming could perhaps help provide deep

coverage. So, what are your thoughts on these two matters? And what can you discuss further to what is shared on media on both these topics?
Abhijit Kishore: I am not going to comment on what the media ha s written as far as these are concerned. Once our discussion fructifies, then it will be better for us to come back and talk to you. As we speak, there is no conversation that we are really having with anybody on the ICR at a BAU level.

And the first question that you said on the other partners, everybody keeps exploring
opportunity, which is what we are also doing, but there is no firm change of plan as we speak.
Our partners from a network equipment point of view are what we have disclosed. So, there is
no change as we speak, but from an evaluation point of view on the technical front, there would be some evaluation which we keep doing. Even the government would want the indigenous
vendor, and hence we keep exploring that opportunity clearly.
Vivekanand: Okay. My last question is on the technology upgrades and the debate on 5G standalone versus
non-standalone. So, previously when you were talking about, say, your just-in-time capex
strategy, you would highlight that you are able to take advantage of advancements in
technologies even within the standards, right, whether it is 4G or 5G.
And there, that would help you economize on your deployments. So, I want your thoughts, one,
on this SA versus NSA debate on 5G, and secondly, is there a way for you to roll out your 5G
network incrementally?
Because I think, you mentioned that you rolled out in 25 cities, 30 cities. Surely there is a broad
scope for you to roll out more 5G. So, is there a way you are able to now think about 5G rollouts
in a more frugal manner given that you are late versus, say, incumbents who set up pan-India
networks?
Abhijit Kishore: Yes. So, we are going to run two parts of the question that you are asking. One, obviously, on
the 5G. At Vodafone Idea Limited, we have taken the route of NSA architecture and that is what
we are rolling out right now. At the same time, I can also say

that at any point in time that we
decide to move to the SA architecture, our curre nt architecture is capable of moving to SA. So,
when we decide the need to migrate to SA architecture, we would evaluate and do that.
As a second question of saying, how and where are we going to go? Again, the balance of capex
for this year as well as going forward is going to be a fair mix of getting to a 90%, providing capacity in the markets where we decide that there is congestion and a fair bit of 5G as well.
Vivekanand: Okay. Understood. Thank you so much and all the very best.
Abhijit Kishore: Thank you.

Moderator: Thank you. Next question comes on the line of Aditya Bansal with Motilal Oswal Financial
Services Limited. Please go ahead.
Aditya Bansal: Thanks for taking the question. My first question is on the network updates about EBITDA
levels. So, despite rollout on 4G as well as on 5G and also seasonality in terms of power outages, the cost above EBITDA in network has been held stable and lower than December '23 before it
began. What extent is that?
Abhijit Kishore: Tejas, you want to take that?
Tejas Mehta: If you look at our, network cost above EBITDA, right, and I am just looking at the variance and
the trend over a longish period of time, you are ri ght, they are slightly flattish. Last quarter-on-
quarter, we have increased only marginally. Yea r-on-year, it has increased more and that is from
the investments that we have ma de in the network as Abhijit ment ioned. Also, there is a benefit
inherent with the cost optimization that we have spoken in the past.
Aditya Bansal: Okay. But it has been lower than December '23 before you began rollout. So, that is why I was
like checking out what could be the reason, is it more efficiency that you are driving, anything
on the IT cost, etc.
Abhijit Kishore: We can take it offline, but there could be an IndAS 116 impact as well because there are some
which are below EBITDA, but we can take it offline and cross check.
Aditya Bansal: Sure and another one was on the non-wireless side of sales. So, revenue has grown very sharply
this quarter there. So, is this a sustainable trend or was there any one of benefit is on the non-
wireless side?
Abhijit Kishore: What do you mean by non-wireless?
Aditya Bansal: Basically, your customer revenue and the subscriber base that you give out, so if I remove that
from the reported revenues, so non-wireless or the enterprise revenue, that has increased by like
6% - 7% on a Y-o-Y as well as Q-o-Q basis. So, any particular reason there, or?
Abhijit Kishore: There is no extraordinary or one-time thing is what I can tell you on the trend. We have different
businesses on messaging and other things, but ther e is no extraordinary item even in the non-
voice or non-wireless that you are saying there.
Aditya Bansal: Sure and this last one, like obviously you are in touch with the DoT on the AGR dues, but do
you think if any relief comes through, the tariff hi ke or any potential tariff hike that gets delayed?
Like how do you look at it.

Abhijit Kishore: From a tariff hike point of view, if you really ask us, obviously, it depends on, how the industry takes shape and how the leaders take the position on the tariff hike. Is there a requirement of a tariff hike? Probably, the answer is yes. How fast and how soon can that happen, we will wait and watch. I will not really link it to DoT and the AGR judgment on that.

Aditya Bansal: Thank you. Thanks a lot and all the best.

Abhijit Kishore: Thank you.

Moderator: Thank you. Ladies and gentlemen, that was the last question for today. Due to time constraints, we have reached the end of question-and-answer session. I would now like to hand the conference over to Mr. Abhijit Kishore for closing comments.

Abhijit Kishore: Thank You Renju.

As di

scussed during the call, our investments have led to improved coverage and enhanced customer experien ce. 5G services have been expanded to 29 cities in 17 circles. Our data usage has increased significantly by 7.8% QoQ showing increased engagement with our subscribers.

We continue to keep exploring new avenues for debt funding for the execution of our long-term network expansion plan.

Moderator: Thank you. On behalf of Vodafone Idea Limited, this concludes this conference. Thank you for joining us. You may now disconnect your lines.

Call: May 2026

25 May 2026

National Stock Exchange of India Limited
“Exchange Plaza”,
Bandra - Kurla Complex,
Bandra (E),
Mumbai – 400 051 BSE Limited
Phiroze Jeejeebhoy Towers,
Dalal Street,
Mumbai – 400 001

Sub: Disclosure under Regulation 30 of SEBI (Listing Obligatio ns and Disclosure Requirements) Regulations, 2015 - Transcript of Analyst / Investors Call

Ref: “Vodafone Idea Limited” (IDEA / 532822)

Dear Sir/Madam,

In terms of Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, please find enclosed transcript of the Analyst / Investors Call held on Monday, 18 May 2026 relating to the Company’s performance for the fourth quarter and financial year ended 31 March 2026 .

The same is also uploaded on Company’s Website: www.myvi.in .

The above is for your information and dissemination to the members.

Thanking you,

Yours truly,

For Vodafone Idea Limited

Pankaj Kapdeo
Company Secretary

Encl: As above

 “Vodafone Idea Limited”
Q4 FY '26 and FY '26 Earnings Conference Call”
May 18, 2026
MANAGEMENT : MR. ABHIJIT KISHORE – CHIEF EXECUTIVE OFFICER – VODAFONE IDEA LIMITED
MR. TEJAS MEHTA – CHIEF FINANCIAL OFFICER – VODAFONE IDEA LIMITED

Moderator: Ladies and gentlemen, good day and welcome to Vodafone Idea Limited Q4 FY '26 and FY '26 Earnings Conference Call. As a reminder, all participant lines will be in the listen-only mode, and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing "*" then "0" on your touch-tone phone. Please note that this conference is being recorded.
I now hand the conference over to Mr. Abhijit Kishore, Chief Executive Officer, Vodafone Idea Limited. Thank you, and over to you.
Abhijit Kishore: Thank you, Yashashri. Good afternoon, and a very warm welcome to all of you. Thank you for making the time to be here today. On 16th May, 2026, our Board of Directors adopted the audited

results for the quarter and year-ending March 31st, 2026. All the results-related documents are available on our website, and I hope you've had a chance to go through the same.
This has been a quarter and a year of meaningful significance for Vodafone Idea limited. Let me share our progress on the key strategic initiatives. After which, I will handover to Tejas who will share details on the Company’s financial performance.
Before moving on to the results:
As you already know Mr. Kumar Mangalam Birla, Chairman of Aditya Birla Group has now taken charge as the Non-Executive Chairman of Vodafone Idea’s Board of Directors. In addition, the Aditya Birla Group has also committed to infuse an additional equity of Rs. 4,730 Crore.
These developments reaffirm the strong and continued commitment of the promoter group to our long-term growth. Mr. Ravinder Takkar, who served as Non-Executive Chairman, continues on the Board as Non-Executive Vice Chairman.
I would also like to update you on the AGR matter. This has been an area of close attention for all stakeholders. Following the Hon’ble Supreme Court’s direction permitting the Government to reassess our AGR liabilities, a DoT constituted committee completed its review and communicated its decision on April 30, 2026. Our AGR dues have been finalised at Rs 64,046 Crore as of December 31, 2025 — a reduction from the earlier frozen figure of Rs 87,695 Crore. The structured repayment schedule provides significant long-term clarity for the cashflows. The payment schedule till FY35 remains unchanged. The balance AGR dues have to be paid in 6 equal annual installments of Rs. 10,608 Crore from March’36 to March’41. This development meaningfully improves our balance sheet and provides a definitive conclusion to the AGR matter. Tejas will cover the accounting treatment and financial impact of this development.
We are deeply grateful to the Government of India for conclusively resolving the AGR matter. This is not just a resolution for Vodafone Idea as a company, it is a statement in support of India's digital infrastructure ambitions.
I am also delighted to share that our credit rating and outlook was upgraded by ICRA in March 2026. We were assigned an ICRA BBB rating with Positive outlook to the company’s long-term

fund-based term loans, even before the recent AGR reassessment exercise concluded. This is a significant milestone and an important enabler for our ongoing engagement with lenders.
Moving on to our performance
Our Q4FY26 and full year FY26 operating and financial performance marks a decisive step forward in our journey. As you would recall, we had introduced the 7 KPIs that we benchmark our performance against. I am happy to share that we have delivered against all 7 of these parameters. Let me briefly highlight our performance across each of these 7 parameters.
I am particularly pleased to share that during the quarter we have been able to stablise our subscriber base at 192.8 million customers vis-à-vis last quarter, a first since the merger.

More
importantly, we have registered improvement in subscriber numbers, for the first-time post-merger in the month of February which has continued into March as well.
Next, our revenue for Q4FY26 was Rs. 11,332 Crore, a 2.9% growth on a YoY basis.
Revenue for the full year grew by 3.0% to Rs. 44,873 Crore in FY26 from Rs. 43,571 Crore in FY25. The cash EBITDA for FY26 was Rs. 9,217 Crore vs. Rs. 9,198 Crore in FY25.
We also saw a healthy expansion in our Customer ARPU from Rs. 175 in Q4FY25 to Rs. 190 in Q4FY26, a growth of 8.3% YoY.
The Customer ARPU has now been increasing for 19 consecutive quarters. The Customer ARPU expansion over the last year has been driven primarily by premiumization which is evident from our improving 4G/5G subscriber mix which stood at 66.9% in Q4FY26 up from 63.8% in Q4FY25. We closed the quarter with 128.9 million 4G/5G subscribers, up from 126.4 million in Q4FY25.
Our data usage in Q4FY26 has also increased YoY by over 30% to 83.0 Petabyte/day from 63.8 Petabyte/day in Q4FY25.
We also added over 17,300 new unique broadband towers this year.
Our focused execution has also translated into better customer engagement as reflected in the data usage. The average data usage by a 4G/5G subscriber improved 27.2% YoY to 20.2 GB in Q4FY26.
Moving on, first let me update you on our network initiatives
Over the last 6 quarters we have deployed over Rs. 16,000 Crore and added approximately 30,000 unique broadband towers and expanded capacity by adding over 126,000 new broadband

layers. We also expanded 4G capacity by over 27%, and improved our 4G population coverage over 86% on pan India basis to deliver superior connectivity and experience to our customers.

We have always maintained that consistent and right investment has been key in stemming our subscriber losses and we are now witnessing tangible outcomes as 4G coverage and 5G presence deepens across circles.

On 5G, we have made substantial strides. Since the launch of our 5G services in Mumbai in March 2025, we have expanded our 5G footprint significantly and I am pleased to share that our 5G services are now live in over 80 cities across all our 17 circles where we have 5G spectrum. This expansion underscores our commitment to delivering a superior network experience to our customers.

Next our Differentiated Product Offerings and market initiatives.

Vi has always been a brand known for creating differentiation and we intend to sharpen this differentiation further across consumer and enterprise offerings. Our Non-stop hero proposition, which offers unlimited data to our subscribers continues to witness great traction and has been recording a sequential growth of over 25% for last three quarters. In the postpaid segment we continue to register sequential positive net additions for eighth consecutive quarters.

Our Easy+ offering designed specifically to cater to the needs of enterprise post-paid customers, we expanded the portfolio with the addition of personal loans to its offering.

We upgraded our Vi app offering and also supercharged it with AI capabilities. We launched an AI powered recharge assistant which optimizes value-based selection of recharge plans for our users.

Under the Vi Protect umbrella, we categorized over two billion calls and SMSs as suspected spam this quarter. Additionally, we are currently blocking nearly 250,000 domains as SPAM to secure our network.

The Vi brand continues to garner strong awareness and build brand affinity across all customer segments in the country. We continue to make extensive progress on the marketing front by communicating key differentiators to consumers, entering into alliances and introducing various innovative products and services.

This quarter, we also entered into a strategic partnership with Chennai Super Kings (CSK) as their official communications partner, giving us strong salience during

this IPL.

Vi Number Rakshak campaign at Kumbh was recognized at the London International Awards and The Clio Awards this quarter.

Moving on to our Enterprise Business

On the enterprise side, during the quarter, enterprise offerings across Connectivity, Cloud, IoT, Business Communications, Mobility and Cybersecurity demonstrated strong momentum with increasing enterprise adoption across key sectors including BFSI, manufacturing, utilities, logistics, and government.

We are also developing the ‘Dedicated Enterprise Corridor’, by strengthening the fixed line capabilities with the addition of ~1.3 Tbps network capacity across data centres, enhancing scalability, resilience, and high-speed connectivity for enterprise customers.

We earned multiple prestigious recognitions, including Innovative Connectivity Solution of the Year (India) at the Asian Telecom Awards 2026 for our CCaaS offering, and the Aegis Graham Bell Award for innovation in IoT.

The telecom industry is well positioned for growth as need for connectivity is driven by a fast-growing economy, a growing and young population, rising technology adoption across all age groups, lower rural tele-density and increasing smart phone penetration.

Collectively, these improving trends and developments give us increasing confidence in our ability to participate in the industry’s growth story.

Before I hand over, I want to take a moment to acknowledge the people behind these results. As I have stated earlier, we are guided by a simple belief- ‘Employees first, customer always, experience is everything’. The progress we have made this year on our network, customer retention and execution has been delivered by a team that has shown remarkable commitment through a challenging period. Our employees have stayed focused working relentlessly to rebuild the brand by delivering differentiated service and providing innovative offerings. These trends across KPIs are a clear reflection that our strategic initiatives and employee efforts are translating into tangible improvement.

With that, I will hand over the call to Tejas, our CFO for the financial commentary. Thank you.

Tejas Mehta: Thank you, Abhijit. Good afternoon, everyone. We continue to witness improving trends across key financial metrics.

Let me start with the revenue. Revenue for the quarter was at Rs. 11,332 Crores, registering a year-on-year growth of 2.9%. At the full year growth, this translates to 3% at a revenue of Rs.44,873 Crores.

Sequentially quarter-on-quarter, on an EDB basis, it also grew 2.3%. This quarter actually is the highest average daily revenue in the last six years. Coming to EBITDA. EBITDA for the quarter was Rs. 4,889 Crores, improving 4.9% versus the same quarter last year. This actually translated into an EBITDA margin improvement of 80 basis points to 43.1%. The EBITDA for the full year also grew by 4.8% at Rs. 19,003 Crores.

The cash EBITDA for Quarter 4 also improved by 4.8% to Rs. 2,432 Crores versus the same quarter last year. The cash EBITDA for this full year ended at Rs.9,217 Crores. It showed only

a marginal improvement, and this is due to the 17,300 sites rollout, which actually shows our focus on overall cost management.

Investment for the quarter was at Rs. 2,294 Crores and closing the full year at Rs.8,742 Crores for investment. Also pleased to share that our bank debt has further reduced to only Rs. 726 Crores as at March 31st from Rs.2,326 Crores from the March of last year, a reduction of Rs.1600 Crores. The free cash bank balance stood at Rs.3,715 Crores as of March 31st, 2026.

Let me briefly explain the accounting impact of the AGR settlement. On the AGR matter, the company received a communication from DoT on April 30th stating that the committee formed for the purpose of reassessment has finalized the AGR dues at Rs.64,046 Crores for

the year

2006-2007 to 2018-2019. The payments against these AGR dues of Rs.64,046 Crores will be made as, first, a minimum of Rs.100 Crores annually from March 2032 to March 2035, and subsequently Rs. 10,608 Crores annually for the next six years, i.e., from March 2036 to March 2041.

In addition, the company also has to pay spectrum usage charges amounting to Rs. 609 Crores with interest in respect of FY 2017-2018 and FY 2018-2019 in six annual installments of Rs. 124 Crores between March 2026 and March 2031. And hence the company has already paid Rs. 124 Crores as of March 2026.

Consequently, in accordance with the applicable accounting standards, the financial liability of Rs. 80,502 Crores as at 31st December 2025 was derecognized, and a revised financial liability of Rs. 24,880 Crores was recognized, which is the present value of the reduced liability and the future payments as I stated above.

The resulting difference of Rs. 55,622 Crores, along with net impact of other related provisions, has been credited to the P&L as an exceptional item in the quarter and the full year financials ended March 31, 2026. With this one-time benefit in exceptional items, we recorded a net profit of Rs. 51,970 Crores in Q4 FY 2026 and a net profit of Rs. 34,552 Crores for the full year of FY 2026.

To summarize, this quarter reflects the continued improvement in our operational and financial performance. In line with our stated strategy and ambition, we continue to make progress, including securing funding for future capex and the capital infusion from the promoters is a significant step in that direction.

With that, I hand over the call back to Yashashri. Thank you.

Moderator: Thank you very much. We will now begin the question-and-answer session. Participants connected on the audio may please press star and one on their touch-tone telephone. If you wish to remove yourself from the question queue, you may press star and two. Participants are requested to use handsets while asking a question. Ladies and gentlemen, we will wait for a moment while the question queue assembles.

We'll take our first question from the line of Sanjesh Jain from ICICI Securities. Please go ahead.

Sanjesh Jain: Yes, good afternoon. Thanks for taking my questions. Couple of them. First on the ARPU, if I adjust the days, it appears that ARPU has grown over 3.2% sequentially. What is driving this strong growth, because premiumization still underwhelming, we have added only 0.4 million customers on 4G and 5G. So, what is driving such a strong ARPU improvement? Is it better engagement with the customer? Can you help us understand and how much more is left in these efforts to drive organic ARPU growth for us?

Abhijit Kishore: Yes, thanks Sanjesh. So, I'll answer that in two parts. One, obviously, as you rightly said and which is also reflected in the data consumption that you saw, which has grown over 30%, which clearly reflects that the customers are now experiencing a very different network across the country.

Second, the increase that we see in our unlimited data customers and the proposition which is a differentiated proposition that we launched last year, which is the Nonstop Hero, which gives the customer the freedom of using unlimited data for 24 hours, that is pushing. And as I said that quarter-on-quarter we see a significant increase of almost 25% on the Nonstop Hero. So, both of these; investment on network, addition of sites, increase in capacity, increase in population, we've also added roughly around 48 million more population to our kitty, which was not able to experience our services. So, all of that put together is reflected in the ARPU growth which is very strong and we intend to keep growing this way.

Sanjesh Jain: Got it. Got it. So how much more do you think is possible? Because I can see we are at a significant discount on an ARPU versus the pe

ers. So, is there a significant gap which we can bridge through these efforts?

Abhijit Kishore: So, three parts to this, Sanjesh. One is, obviously, we are looking at these differentiated offering to bridge some part of the gap, but I don't think the gap will be bridged only with this. The way to understand this is the mix of the customers that we have. As I said, we have almost 67% of our customers now on the smartphone and 33% of them being on a feature phone. That is a big lever for us to push and this opportunity is available with us to upgrade our customers. So that's one.

Second opportunity is, when we look at our smartphone base and the split between the customers who are still not using data with us, though they are using smartphone on our network. The third opportunity is that there are a lot of customers who are still using a data quota, which is a 1.5 GB a day or a 2 GB a day for them to move into a truly unlimited the Non-Stop Hero data. So, all of these things put together, we see a large opportunity for ARPU upgrade.

Sanjesh Jain: Got it. My second question is on the subscriber. We have almost reached to a flattish versus a decline historically. Can you help us understand how are we behaving in the areas or in the locations where we have added the network versus the areas we have not added the network to just get a sense what does it means in terms of capex and that translating into a subscriber growth?

Abhijit Kishore: Yes, Sanjesh. So, if you see our deployment of Rs. 16,000 Crores over the last six quarters that has been deployed in a graded manner in different circles depending upon the number of

customers that we had in that circle. And I'll just pick up one circle for example, say, Maharashtra. So, we have circles like Maharashtra, Gujarat, Kerala, UP East, some of these circles where we have invested a little more than the other circle depending upon the customer availability that we had and the gap that we had.

We see a significant change in three things: one, customer acquisition; second, the quality of customer being acquired; and the third is on the base retention. So, we clearly see a difference in the circles and in the areas within those circles where we have been able to add more layers, providing better experience, better capacity, and better coverage to the customers.

Sanjesh Jain: So, any number you want to put where we have put the network, how much we have grown just to understand the intensity of benefit we can get?

Abhijit Kishore: I'll say that the numbers are significantly better. We don't share the numbers circle-wise, but we can tell you that the circles that I named, have significantly grown better. One of the things that we are also seeing, which is helping both upgrading the customers as well as subscriber addition is the number of 5G cities that we have been able to launch over the last one year, which is upwards of 80 now.

So, we can't share the numbers, but you can safely assume that these are some of the circles that I named, the difference is significant compared to others. Most of the circles have grown, but these circles have grown better than the other circles.

Sanjesh Jain: Got it. Very clear. My next set of question is on the opex and the fundraise. Network operating cost declined sequentially while we continue to add these sites. What's driving the efficiency in the network opex? Number two, on the fundraise, where are we in terms of debt fundraise that we are anticipating to come? How soon, because that will be key enabler in FY '27 in terms of the execution of our plan?

And one related question on the shareholding pattern. Both the promoter, probably post-CLAM adjustment for Vodafone and Aditya Birla Group taking the preferential issue, now reaches probably first time an equal shareholding in the Vodafone and Idea. Will that change anything in terms of the Board struct

ure or the agreement between the promoters?

Abhijit Kishore: Okay. So, you've asked three questions. One is on the opex, network opex, which I'll let Tejas to answer. But before that, I'll give you an answer on the debt raise and the second was on the promoter shareholding pattern. So, on the debt raise, we've maintained our capex for the over the next three years for Rs. 45,000 Crores. We are looking at a funded facility of Rs. 25,000 Crores and a non-funded facility of Rs. 10,000 Crores.

We are deeply engaged, as we have said, it's an SBI-led consortium which is looking into this, the consortium is composed of PSU banks, private banks as well as the foreign banks. And we are confident of closing that very fast. We don't want to put a timeline, unless and until its closed. So that's on the debt, but we are very confident that our capex intensity and what we have spent in the last quarter or last year is only going to intensify towards the Rs. 45,000 Crores capex target that we have laid for ourselves over the next three years.

As far as the shareholding pattern is concerned the current shareholding pattern is 16.07% for Vodafone plc and 9.57% for the ABG Group. That, post the conversion of the warrants as well as the CLAM, will stand differently, but that is only after they completely converted. So that's where we stand right now.

The last part on the question that you said that will there be any change -- I don't think there is any change in the Board structure. Now I'll hand it over to Tejas for the opex on the network.

Tejas Mehta: Thanks. Thanks for the question. Actually, if you're looking at quarter-on-quarter numbers, we spent Rs. 2,361 Crores on network cost in the prior quarter, vs. Rs. 2,345 Crores this quarter, so a small decline. I spoke about the cost management efforts as well. Secondly, broadly over the last few years we've worked on reducing our dependence on diesel and working on electrification of our network. So, Abhijit has also spoken about our self-optimized network. Both of them put together have kept the network cost flattish.

Sanjesh Jain: No, no, Tejas, I was referring that we have added 6% more site on a Y-o-Y basis. On the number of sites, if I add the loading, it is much higher. We have added almost 70,000 BTS in last 12 months, while the growth on the network opex is just 0.8%. Obviously, it appears very heartening, but how sustainable is this and should we see inflation coming from next year or there's more scope?

Tejas Mehta: No, I think, both, I'll answer for both the quarter and the full year. You'll see the same trend on quarter and on full year. We've definitely benefited with the efficiency efforts that we have spoken about in the past. So, you are right, we have been able to offset the increase that you would have otherwise seen on the rollout cost. That one is totally aligned.

But if you look at the cash cost, or look at the cash EBITDA, in the future you will see a little bit of inflation, but our efforts on efficiency will not go away. So, we will attempt to offset increase of the rollout, but yes, we would be lapping a year of this benefit already and hence you might see some inflation going forward as well. But for this year and this quarter, as you are saying, it was heartening to see the efforts fructifying and offset the rollout cost with efficiency.

Sanjesh Jain: Got it. Thanks Abhijit, thanks Tejas for all those answers and best of luck for the coming quarters.

Abhijit Kishore: Thank you, Sanjesh.

Tejas Mehta: Thank you.

Moderator: Thank you. Next question is from the line of Vivekanand Subbaraman from Ambit. Please go ahead.

Vivekanand Subbaraman: Yes. Thanks for the opportunity. Abhijit, I wanted an update on the seven-key metrics that you are tracking. Now my understanding is that there are certain input metrics and the remainder are output metrics.

So, of the KPIs that you're tracking which are input related, what are the highest priority areas for FY '27 and is there any thought process that you can share with us to help us understand this better and how this translates into you being able to step up outcome metrics like data usage per customer or even the customer ARPU number that you are talking about? Thank you.

Abhijit Kishore: Yes, Vivekanand, thanks for the question. So, those seven metrics that I spoke of that we track is basically revenue, cash EBITDA, customer addition, then the broadband customer addition, ARPU, site and the data usage. So, if you look at it other than the data customers and the subscribers, most of them are the output related metrics.

All of these seven are critical for us. But one of the metrics, we have always been asked about subscribers because, while we will have three pillars of growth that we look at, which is one is on the ARPU upgrade, which is whether it is from a base or the upgrade, second is on the customer addition.

So, customer addition remains a key priority focus for us and has turned positive from February 2026 onwards and we will continue that momentum. As far as the output is concerned, on ARPU I spoke about premiumization, which is also critical agenda. The other critical agenda for us, looking at the gap that we have, is the rollout and deployment on network for both 4G and 5G, which is again part of the seven metrics.

So, in a manner all seven are critical, but from an input point of view, customer addition, site rollout, and broadband customer, which is a 4G/5G customer, these three remain critical from an input parameter point of view.

Vivekananda Subbaraman: Okay, very helpful. Just one follow-up on the customer addition question. So, your churn has moderated quite a bit this quarter and if I look at the gross adds, they seem to be lower on a year-on-year basis, most likely because of your churn getting moderated. So, what has helped you in

terms of moderating subscriber churn and the related question is, is there any moderation in the market activity at an industry level to reduce the rotational churn?
Are there any initiatives that you want to call out and how should we think about the churn for you, let's say, in the next 12 months? The direction as well as any numeric thought process that you want to share. Thank you.
Abhijit Kishore: Thanks, Vivekanand, for asking that question. I think, while yes, the answer is that we have reduced the churn percentage, but if you were to look at the industry our churn percentage is higher. So that is one area that we are still working on. And as I was telling Sanjesh that the areas where we have invested relatively more we clearly see a delta of our retentivity.
And which is obvious from the fact that the customers when they are getting the experience they tend to stay with us. And obviously there are a certain percentage of customers which keeps migrating from either a feature phone to a smartphone. And then they have an opportunity of upgrading it within our network, that adds to our retentivity exercise.

The other part of the thing that I'd like to address is the gross addition which you said and your observation is absolutely correct. We have taken some strategic decisions for reducing cost of acquisition, which effectively means a better-quality customer.
Because, in this industry the cost of acquisition willingly and unwillingly gets translated into a discount in the market. So, we are cognizant of that and as and when we are launch the network, both 4G and 5G, we are conscious that we are reducing the cost of acquisition and also spreading our business through the distribution channel to start focusing more on the quality of customer acquisitions rather than the quantity of customer acquisition.
And that is one of the reasons why in the l

ast call, earnings call, I had said that if you look at our acquisition, in quarter 2 it was 21.8 million, which dropped to 19.3 million in quarter 3 and which we have maintained at 19.1 million in quarter 4 was by design to ensure that we are able to get a better-quality customer. And that obviously reflects in better churn and retentivity as well.
The second part is on the MNP, which is a large industry as you would imagine in the Indian context, 47% of the customer acquisition happens where the customer is moving from one operator to another. We have been a small player in that with around 20%-odd share, and that's something that we are focusing on again, in the areas where we are putting a network. So, there is a focused strategy market by market to look at how we extract value from the infrastructure that we are putting on both 4G and 5G.
Vivekananda Subbaraman: Thanks Abhijit for the detailed explanation. My last question is not just to you but to Tejas as well. So currently your cash EBITDA margin is 20.5%. I want to understand from you the capex cycle, after you complete it, where do you see this EBITDA margin trend towards? Because we know that the gap between your EBITDA margin and that of the peers is very significant.
If you can help us think this through better quantitatively and also any levers that you want to point out, I think some of them you discussed already, which is your cost curtailment program on network and SG&A, but if you can help us think this through better, because last year we didn't see any incremental EBITDA margin because revenue got added but cash EBITDA didn't flow through.
Tejas Mehta: No, thanks for the question, Vivekananda. as you have heard us before and look at the ambition that Abhijit has shared at the investor call we had, we are looking to significantly uptick our revenue and hence the flow through to cash EBITDA margin.
If you see where we are today, we are at 20%, and you are absolutely right because in the next three-four years this has to increase. If you use the numbers we've shared before they translate to a double-digit revenue growth and the cash EBITDA number will be north of 35%. We don't want to share in which year that will happen but that should be our ambition for EBITDA margin.
If we do what we have said in the past on our revenue growth and our cash EBITDA growth.
There are largely three levers of growth which is customer, Abhijit has spoken about ARPU.
The industry pricing architecture over the next two-three years as that plays through and our own confidence on decreasing churn in circles where we have deployed incremental capex.

Those are all the levers we will use and leverage as we look at flowing this revenue into the bottom line.
Vivekananda Subbaraman: Thank you, Tejas. Appreciate the color. All the very best.
Tejas Mehta: Thanks Vivekananda. Thank you.
Moderator: Thank you. Next question is from the line of Ritvik Agrawal from 3P Investment Managers. Please go ahead.
Ritvik Agrawal: Hi, thanks for the opportunity. Just wanted to understand with the ongoing increase in

smartphone prices due to RAM shortage, how are we seeing this migration from 2G to 4G? And a second question on capex, I feel this quarter the capex was lower as compared to some of our peers. Where do you think this can go in the coming quarters?
Abhijit Kishore: Yes, thanks Ritvik for asking that question from a smartphone penetration point of view, yes, there's a little bit of a dip that we saw in the smartphone being sold in the country, but I think to my mind that's more temporary and it's not something that will stay.
And we s typically see between a 3% to 4% upgrade within our network for customers who are upgrading from a feature phone to a smartphone. And that doesn't seem to be coming down at least in the last few months that we have noticed. We are keeping a close eye. I don't

think that
to be honest a concern. So that's point number one.
Point number two is the way we look at this opportunity and the headroom available. As I said, we have 33% of our base using a 2G handset, which is a large opportunity as compared to anybody else in the industry. We are focusing on this opportunity and starting to put network in those areas and capacities in areas where we have customers who will upgrade and need to have a much better experience. So, I don't think that to be honest it is a concern.
On the second question is on the capex, as I said, we've spent Rs. 8,700 Crores in the last full year versus an Rs. 9,600 Crores of the previous year. Our capex intensity, as we have laid out our plan for the next three years is Rs. 45,000 Crores that absolutely remains intact and we are on track. So, you will see a far greater intensity of capex starting from quarter 1 and further intensifying in subsequent quarters of this financial year.
Ritvik Agrawal: Understood. Thank you.
Abhijit Kishore: Thanks.
Moderator: Thank you. Next question is from the line of Gaurav Malhotra from Axis. Please go ahead.
Gaurav Malhotra: Yes. Hi. Thanks for the opportunity. Just a couple of questions, so one, when I look at the VLR subscriber number percentage, it's still lower than peers. So just wanted to get a sense on why this should be still lower than competitors. And the second question is now that you have launched 5G, any sense on FWA plans? Thanks.

Abhijit Kishore: Yes. Gaurav, thanks for the question. So, I'll answer the second one first. So, on the FWA yes, we are looking at some of the pilots. As we said that we launched 5G in Mumbai last year and now we are at upwards of 80 cities. We are evaluating FWA, but right now the focus largely on the mobility, because we have a large gap on the mobility front on both 4G and 5G.
So, the focus will definitely be on mobility and the connectivity. FWA will be a part of the strategy, but only on a select basis. So that's the strategy and what we guided last time.
On the VLR question, we have a mix of customers who because their network experience is patchy at times, tend to churn. That's the only reason why we see a fairly decent proportion of customers who keep moving in and out of the network, which impacts the VLR.
So, this VLR percentage, if I look at some of the circles are upwards of 93%-92%, but in certain circles it pulls us down to 80% and hence the average range lied between 88%-87%. So that's the answer to VLR.
Gaurav Malhotra: So, if I understand correctly, it's not that these are inactive subscribers, it is just that they may be multi-simmers, who are not using the Vi number as frequently to fall within the VLR ambit is that correct?
Abhijit Kishore: Primarily yes, Gaurav. That could be because, obviously some of them will fall into inactivity and hence they churn out and lead to a larger churn optically. But primarily these are not the inactive customers; they are the customers who move in and out of the network, depending upon their experience and their usage.
Gaurav Malhotra: And just a follow-up, so these shifting customers, they would be 4G or more 2G customers?
Abhijit Kishore: It will be a mix of both actually, 2G and 4G, so depending upon, which geography and circle, are we looking at.
Gaurav Malhotra: Okay.
Abhijit Kishore: Depending upon how the experience is there.
Gaurav Malhotra: Understood. Thank you.
Abhijit Kishore: Thanks, Gaurav.
Moderator: Thank you. Next question is from the line of Balaji Subramanian from IIFL. Please go ahead.
Balaji Subramanian: Hi. Good afternoon. Thanks for taking my questions. I have two questions. The first one is on the subscriber growth side. While, we can see and understand the different levers that you have for ARPU and you have clearly articulated them as well, how do you see the subscriber growth going forward?

The context is that we have, two strong operators who have reached fairly close to their steady-state subscriber market share and from there on what is your strategy to grow the subscriber

base? Is it going to be churning customers away from them, does that mean that we are going to see a higher marketing spend than the industry?
And the second question would be that how do you plan to make the spectrum payouts from FY '28 onwards? FY '27 looks fairly manageable because based on whatever plan commitment you might end up receiving and the promoter equity infusion, but going forward, especially in case there is no further equity issuance and no meaningful conversion of any spectrum debt into government equity, how do you plan to tackle those? Thank you.
Abhijit Kishore: Okay. Thanks, Balaji. I'll take the first one on the subscribers. So, four clear levers on the subscriber addition, the first lever has been covered in response to the questions of your colleagues which is churn. Our churn is approximately 4%, which is significantly higher than the other operators. The moment we start adding network and capacity, we clearly see the churn arresting. We are targeting a 0.5% - 0.6% reduction in churn. So that's one lever on the customer addition for which we don't have to compete with other operators.
Second part on the subscriber addition is the new population that I'm adding. Over the last six quarters, we have added 125 million incremental population in the areas where we have expanded our coverage. Over the next year or year and a half, we will add another 60,000 to 70,000 4G sites so that is another 125 million population being brought under the fold. So that's a second lever of growth, which is territory where I'm not present today.
Third, I spoke about the MNP, which is a market that I am participating in but I am not fairly, represented in that market. This lever links to your question about competing with other operators. There are roughly around 1.4 odd Crore customer every month which come in the MNP segment to be acquired. I think we play a very small part there with some 3-odd million customers. There are 1.1 Crores customers who shift between only two operators. We will provide a viable third option to this segment.
And the last one is wherever we are going to put network or where we already have network, we have been over-leveraging the network on the gross acquisition, which I touched upon briefly, which means that the quality of customer that you acquire is not as good as probably the other operators. We are now focusing very clearly on making sure that our quality of customer is as per the industry standards, which we see as an opportunity. So, these four things put together is what the strategy is on the customer acquisition.
As far as higher spend because of the customer acquisition is considered, the answer is no. We will rather have a per-sub cost of acquisition lower than this year. But yes, if there is a volume variance as compared to this year then, those costs will go up.
I will rather be focusing more, on one of our stated strategy which is brand reappraisal. And I think that's one area and opportunity to explore, now that the vicious cycle of losing customer confidence because of the AGR overhang, is conclusively behind us, we see a clear opportunity and the gap in the market to reappraise our brand and its positioning.
So, you will see some heightened activity on that front, but definitely not in the market where I'm not getting quality customers.

Moderator: Balaji…
Balaji Subramanian: That answers my first question. If I can have a quick follow-up, so when you said the second point on expanding population coverage, so I would presume that there would be at least one of the other two large competitors there, right? So that also would entail, some bit of

, churning
away from them assuming that or MNP-led gains there. So, is that a fair statement?
Abhijit Kishore: Yes, there will be some part of that in those areas. Because obviously if there are only two players available or one player available and the market is large, I'll be able to participate in that area.
Balaji Subramanian: Yes, that answers my first question. On the second, yes?
Tejas Mehta: Yes. So, on your question on the spectrum payout, right now we are not looking at any kind of change or adjustment in the spectrum payout. To your question regarding how are we looking to pay this, I can simply articulate it let's say over the next three years, these are numbers discussions that we've had probably in the past as well so if you look at our capex ambition, we want to spend Rs. 45,000 Crores of capex over the next three years.
Rs. 7,000 Crores, Rs. 15,000 Crores and Rs. 27,000 Crores is the spectrum I have to pay over next three years, that makes it Rs. 49,000 Crores. Then I have to also service my debt, so let's say another say Rs. 5,000-6,000 odd crore if you add that up it's about Rs. 100,000 Crores. I'm starting this year with a cash balance of more than Rs. 3,500 Crores.
Now let me look at the cash sources for the next three years: as we've shared we want to look at tripling our EBITDA, and we spoke about the levers as well, that gives me a cumulative cash

EBITDA between FY'27, '28 and '29 of about Rs. 60,000 Crores. We've spoken about the debt of Rs. 25,000 Crores funded and a rolling LC facility which we will keep utilizing for the next three years, so that gives me another Rs. 35,000 Crores.

On top of that, we have the CLAM settlement and we have confidence in our income tax refunds that we've seen in the past the combined amount will be another Rs. 10,000 Crores in totality with the CLAM and the IT refund. So that gives you Rs. 105,000 Crores plus the opening balance.

And the promoter infusion, will add to an already positive cash flow. In that sense we are very confident that with the bank loan for the capex and for the EBITDA, we'll be able to fulfill our all obligations across the next three years and the infusion will only add to this. Hope that helps, Balaji.

Balaji Subramanian: Okay, thanks. This is very clear and super helpful. All the best.

Tejas Mehta: Thank you, Balaji.

Moderator: Thank you. Ladies and gentlemen, we'll take that as the last question for today. I now hand the conference over to Mr. Abhijit Kishore for closing comments. Over to you, sir.

Abhijit Kishore: Thank you. Let me wrap up by restating our ambition. As you heard Tejas say, our three-year targets are unambiguous: sustained net customer addition, double-digit revenue growth, and 3x EBITDA. We are backing these targets with Rs. 45,000 Cr of investment, strong promoter commitment and a leadership team that has managed through some of the most challenging conditions in Indian telecom and emerged intact.

The worst is behind us. The seven key parameters that we track are already moving in the right direction. The seventh, net subscriber addition, is narrowing fast.

We enter FY27 with a clear strategy, improving operational momentum and growing confidence in the trajectory ahead. Thank you all for joining in.

Moderator: Thank you. On behalf of Vodafone Idea Limited, that concludes this conference. Thank you for joining us. You may now disconnect your lines.